

Anand Rathi Wea. (ANANDRATHI)

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ANANDRATHI

Private Wealth. uncomplicated

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Department of Corporate Services Listing Department

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We are enclosing herewith copy of the transcript of the Company's Q1 FY23 earnings conference call dated

13* July, 2022. The transcript is also available on the Company's website at <https://anandrathiwealth.in/>

This is for your information and record.

Thanking You

Yours faithfully

For Anand Rathi Wealth Limited

Jinal Trivedi

Interim Compliance Officer

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"Anand Rathi Wealth Limited

Q1 FY2023 Earnings Conference Call "

July 13, 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th July, 2022 will prevail.

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Page 2 of 18 MANAGEMENT :

■ MR. FEROZE AZEEZ – DEPUTY CEO

■ MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER , ANAND RATHI GROUP

■ MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER

■ MR. CHETHAN SHENOY - DIRECTOR AND HEAD - PRODUCT AND RESEARCH

■ MR. VISHAL SANGHAVI - HEAD IR

Page 3 of 18 Moderator : Ladies and gentlemen, good day and welcome to the Anand Rathi Wealth Limited Q1 FY2023 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the belief, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Feroze Azeez. Thank you and over to you, Sir.

Feroze Azeez : Good evening and thank you everyone for joining the Earnings Conference Call for the quarter ended June 30, 2022. Along with me I have Mr. Jugal Mantri - Group Financial Officer; our CFO – Mr. Rajesh Bhutara ; Mr. Chethan Shenoy - Director and Head - Product and Research; Vishal Sanghavi - Head IR and the SGA team our Investor Relations Advisors.

We are one of the leading non-bank wealth solution company in India and closely work with HNIs and ultra HNIs to meet their financial goals and objectives. We facilitate their investments in financial instruments using our well-researched solutions. Our performance during the last few years has helped our satisfied clients to achieve their objectives.

AUM of our flagship business Private Wealth is Rs.32,142 Crores as on June 30, 2022. Our strong performance for Q1 FY 2023 was backed by addition of new clients and strong net flows. Despite challenging equity capital market scenario, our net flows for the quarters stood at Rs.1,355 Crores which grew by nearly 400% as compared to the same period last year. We have 7,400 plus satisfied client families of which 58% are with us for more than three years and account for 77 % of our AUM.

The share of equity mutual fund AUM to total AUM has increased from 39 % to 46 %. We believe this strong performance will continue in the current financial year with a strong team of 271 relationship managers. Apart from this, the company has two new age technology-led business verticals that is Digital Wealth and Omni Financial Advisor, OFA. The DWM business is a fintech extension of the company's proposition for the mass affluent segment with wealth solutions delivered through a combination of human interface empowered with technology. OFA business is a strategic extension for capturing the wealth management landscape to service retail clients to the mutual fund distributors by using our technology platform. We believe that the wealth management sector in India holds significant growth

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Page 4 of 18 potential and we remain optimistic about the business potential and will continued drive towards our vision while consistently focusing on uncomplicated solutions.

With this I will now ask Mr. Jugal Mantri to take us through the financial performance.

Jugal

I Sir over to you.

Jugal Mantri : Thanks Feroze bhai. Good evening and Happy Guru Purnima to all. I am happy to share that the company has posted strong financial performance for the quarter ended June 2022 backed by the accelerated growth across all important business parameters. Our revenue for the quarter ended June 30, 2022 ; stood at Rs.133.5 Crores as against Rs.98.4 Crores in Q1 FY2022 registering a growth of 35.7 %. Our PBT for the quarter stood at Rs. 52.9 Crores registering a growth of 33.6% as compared to Rs.39.6 Crores in Q1 FY2022. Our PAT for that current quarter June quarter stood at a healthy Rs. 39.7 Crores registering a growth of 33.6% as compared to Rs.29.7 Crores in corresponding quarter of FY2022.

For Q1 FY 2023 earning per share stood at Rs. 9.5 while annualized return on equity stood at a healthy 42.3%. We are confident that our long-term commitment to provide our clients with the most effective wealth management solutions along with a committed team of relationship managers will enable us to see strong growth in the coming year.

With this we will now open the floor for question and answer. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora : Good afternoon, Sir, thanks for the opportunity and congratulations for good numbers. Could you share what was the MLD issuances for 1Q FY2023.

Jugal Mantri : See in FY2023 June quarter the MLD issuances which were there from Anand Rathi Global Finance was more or less same like in the first quarter of FY2022. It was Rs. 690 Crores and about the same amount has been issued from Anand Rathi Global Finance Limited of Rs. 703 Crores in FY2023 quarter one and about Rs. 390 Crores plus have been issued or

source d from the third-party of the similar product.

Rohan Mandora : And how would the yields vary between the MLDs issued from Anand Rath Global Finance and third -party.

Jugal Mantri : Yields on third -party products are marginally better than what is issued from Anand Rath Global Finance Limited.

Rohan Mandora : And what would be the quantum of MLD that would have matured for 1Q.

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Page 5 of 18 Jugal Mantri : The maturity value of the MLD was almost about the same . If you put together Rs. 690 - 700 Crores plus Rs. 390 Crores . So almost about Rs.1,090 Crores of MLD s have been matured in Q1 FY2023.

Rohan Mandora : And in terms of the employee expenses on a Q-on-Q basis , it has gone up from Rs. 52 Crores to around Rs. 60 Crores . So what explains the jump if you could quantify that.

Jugal Mantri : Increase in employee cost you are asking ?

Rohan Mandora : Yes, Sir, employee expenses.

Jugal Mantri : So it is like there are multiple factors . One thing is that there is a majority of the RM s expenditure or the provisioning is linked to the revenue and if you look at the revenue and in terms of percentage of that there are hardly any change. If you look at it last year the employee benefit expenses was about 45 % of revenue and it is in the same range even in this financial year . At the absolute number you may say that number looks higher but if you compare it with the revenue numbers in terms of percentage , it is more or less same . Besides that definitely there is an addition of the account managers and the employees . The team has been growing but that will have the marginal impact and largely it is being linked to the revenue.

Rohan Mandora : And is your annual hike factored in this or will it be in the subsequent quarters, annual increments ?

Jugal Mantri : Of course it will come in the Q2 . But in our case the impact of the annual increment is very - very marginal , reason being that majority of the employee benefits are driven by the variables so the impact

on the fixed cost is very marginal.

Rohan Mandora : And the fixed cost for 1Q has increased by almost 17 % year-on-year so should we consider this a normal run rate for the full year in terms of fixed cost increases ?

Jugal Mantri : Yes definitely . Reason being , we have moved from COVID era to the normal era. So definitely the savings which we were having because of the virtual environment and now since offices are running and the administrative expenses, business promotion expenses all have come on track. So in fact this was the normal operating first quarter post COVID era. So the rise is largely on account of these. But going forward it will remain at the same line.

Rohan Mandora : Thanks a lot.

Moderator : Thank you. The next question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.

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Page 6 of 18 Umang Shah : Thanks for taking my question and congratulations to the team for a very strong first quarter.

My first question is on clearly the new client acquisition as well as the net flow accretion during the quarter has been fairly impressive , if we were to look at it in the context of a very volatile market environment. So if you could just help us , one is clearly what will be our strategy going forward as well and let us say if markets were to stabilize and improve from here on should we expect a similar trajectory or a better trajectory from what we have reported in the first quarter.

Feroze Azeez : Firstly , the net flows have been better and they have been very healthy , like you said . It is because what happens is , in good times of course the wealth management outfit does well . In bad times or volatile times like what we have all seen for the quarter ending June, what happens is the emphasis placed on consolidation . When a person sees good performance relative to other outfits then they start consolidating their money and give me a larger wallet share . That is one reason , second is clients start giving you more references when they see relative better performance . During good times everybody looks identical , risk becomes an abstract word. So in bad times it is very easy to distinguish between good advisors and bad advisors or good distributors and bad distributors. So this is one very important reason and then what happens is once you get a listed there is an extent of transparency goes up and that improves confidence . So that acted as a catalyst or has begun to act as a catalyst. So we believe that this trajectory will improve and if markets stabilize you will get further , the lift in the rate at which net flows and clients addition in the future.

Umang Shah : Perfect this is good. Is this also the reason , I mean, we are also seeing improving kind of vintage both in clients as well as the assets , that we manage which means that it is fair to

assume that the assets and clients become much more stickier for us.

Feroze Azeez : The client attrition is very minimal for us . And what happens is dealing with this segment of HNI, you are not doing absolute pure play retail . In the private wealth business you basically influence the client behavior during bad times . Because if you speak to a person for two, three, four years and you seasoned him and prepared him for bad times like we saw in the last quarter . When the bad times happens they are wanting to invest more that is why you will see net flows and in equity especially they have been beautiful. So coming to the point now whether the client net flows are going to remain as robust the answer is yes . And what we see is when the clients have all been seasoned and in HNI you are interacting with a smaller universe so you will be able to influence their behavior with vintage . So to answer your pointed question on vintage , the clients ' vintage is increasing as time progresses . As you see

58 % of our clients have been with us for three years it also implies that 42 % have been added in the last three years alone. So we think as time progresses vintage will happen . What I see as an opportunity is the other 42 % also giving us large wallet shares as time progresses.

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Page 7 of 18 Umang Shah : Sure that is helpful. My second question is for Jugalji , picking up from the previous question. So given that the large part of our employee costs or a large part of Opex actually becomes more revenue linked or performance driven is it fair to assume that as the overall AUM start expanding our operating leverage starts playing out and EBITDA margins either sustain or start improving from where we are currently.

Jugal Mantri : Yes, I think you are playing my role because the way you have highlighted all the positive sides of our business . That is the great thing since all the financial veterans understand what we have been doing . You are bang on the way we have performed in terms of AUM as well as vintage as well as the new funds mobilization and similarly when you are talking about the point the variability linked to the vintage . You are absolutely right and in -fact you can see when I recall having discussed with you about the operating leverage before the IPO time. At that time, the operating margin which we had those were like about 38 % . Which we had and now it has already been beyond 41 % . So that is the beauty of the whole structure . When vintage starts playing definitely your operating cost will not grow in that tandem and that is why the margin whether be it the EBITDA margin or the PAT margin are showing year-on-year growth even though it will be marginal because there is a limit to which we can reach because of the taxation and other impact , but definitely bit -by-bit we are adding to what we were doing in the past.

Umang Shah : And just last question from my end is on yield. So clearly this quarter we have been able to kind of optimize our yields probably because of a larger component of MLD issuances in the net flows . Now, I understand that probably there could be some quarterly volatility , but assuming on a four to six quarter basis what should we assume as base yields for the business, I mean, would we see a higher volatility or we believe that yield should kind of move a narrow band going forward ?

Jugal Mantri : No, actually in-case if you will talk about the yield , the volatility impact the AUM but actually the yield . There is not substantial change because the yield will remain constant and it is linked to the asset bucket . So like , if I am having the asset in equity mutual fund the commission which has been paid by the mutual funds that remain the same. So ultimately the point which I am making is that the volatility largely impact AUM but the yield more or less remains same and it changes with the change in AUM or the traction in the AUM. So if I have the increase or I am adding to the AUM by way of increasing market capitalization or growth in equity mutual fund as well as new mobilization the revenue amount will keep on growing . And in terms of yield , I do not see much change going forward and it will remain almost around same level.

Umang Shah : All right, perfect thank you. Thank you so much for patiently answering my questions and good luck for future quarters.

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Page 8 of 18 Moderator : Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah : Hi, Congratulations on good set of numbers. I have a few questions . It is very basic question for myself. Can you help me with the market size of MLD s in India and who would be the top issuers of this product in India ?

Feroze Azeez : So, MLD s market size in India is now reasonably large . But MLD s are broken into t

wo . One

are pure bonds which look like MLD s that i s a very large market and that is the listed market. Basically you are having MLD s from a listed debenture more or less and not too much market play and second you have the pure play MLD s which actually give you the market play . I would say , I would not precisely know the market size currently but I can tell you, who are the top issuers . The top issuers of course is ARGFL, Edelweiss now the PAG Entity, Centrum, IIFL Wealth and on MNC side - Citi is issuer . There are several issuers seven - eight of them but I ha ve named the to p one. If you look at the MLD business - pure play MLD, I would say a Rs.1,500 Crores of net mobilization every month could be the size of the pure play MLD business.

Arpit Shah : I just wanted to understand why our take rates in MLD s are about 2% or 3% . Because if I see other wealth products they would be around 1% or so or maybe lower than 1%. So how do we make money on MLD product that is what I want to ask?

Jugal Mantri : If you will look at any debt product which is sold by any wealth distributor or any financial intermediary , you will find that the commission - say NCD or any debt product typically the brokerages which are being paid are in the range of 1.5% to 2.5% . So in fact the commission structure which is there on the MLD s that is in line with what is being offered on the sim ilar product s in the market.

Feroze Azeez : Let me add something here Jugalji. See you can look at commissions in two ways . MLDs yield , if you calculate per annum you will not get 2% - 2.5% . See what happens in MLD s, is you recognize it initially as trading income . For example ARGFL has had 985 MLD s maturing, if you compare it with what would you have actually earned per annum yield on market value , which is what you get paid on equity mutual funds it will not be 2.5% - 3%. So point is - if you calculate yie ld like a mutual fund does , it pays you a trail commission on an annualized basis on market value . At maturity if somebody backward calculated you would make 10 % - 15% more . When you actually take your total gross mobilization and the money you made and di vide it by A UM the yield will look sharper and larger. So to answer your pointed question the yield per annum is measured in the way a mutual fund -based trail commission , would not be twice that of mutual fund it will be just 15 % - 20% more than usual. You understood my point right ?

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Page 9 of 18 Arpit Shah : Yes I got your point. I just want to understand who will be the underlying borrowers of such products ? What kind of businesses of borrow er in such format in terms of MLD s?

Jugal Mantri : Borrowers in the sense ? These MLD s are issued by the NBFC . The NBFCs are the borrowers.

Arpit Shah : Who would be the underlying borrowers of those NBFCs ?

Jugal Mantri : No, it is not necessary . Ultimately the money which is being raised by the NBFC . It is at the discretion of the NBFC that how does they want to utilize these money , which is being raised. So it is not necessary , it is not a structure where these borrowings are b eing made to facilitate or back -to-back the b orrowing arrangements are there. These are plainly the MLD s are iss ued on the strength of the balance sheet of the issuer.

Arpit Shah : And can you split the difference between fixed and variable expenses on employees.

Jugal Mantri : This is quite simple . Like anyone who is getting the fixed compensation or the fixed salary which is coming every month that is the fixed component . The variable component that is linked to the performance of the employee . So we have got a CTC structure where the overall compensation of every RMs is determined based on his AUM and earnings on th at AUM his CT C is being decided and whatever fixed component is being paid to him that gets deducted and remaining amount is

bein g paid as a variable payment .

Arpit Shah : So what will be the fixed amount a quarter?

Jugal Mantri : Fixed amount per quarter ? You are talking about at the overall aggregate level ?

Arpit Shah : Yes.

Jugal Mantri : That is - say about Rs.12 Crores per month.

Arpit Shah : Around Rs.36 Crores a quarter.

Jugal Mantri : Rs.36 to 37 Crores per quarter correct.

Arpit Shah : So, we do get upfront fees on MLD s, right that is what Feroze meant ?

Jugal Mantri : Yes, every product other than mutual fund most of the products which are being sold by financial intermediaries they receive upfront income and that is the case with MLD s also.

Arpit Shah : Thank you so much.

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Page 10 of 18 Moderator : Thank you. The next question is from the line of Janakiraman Rengaraju from Franklin MF. Please go ahead.

Janakiraman R : Hi Feroze and team commendable performance, congratulations. See one is again going

back to that interplay between the profitability and the cost structure. Now you have gradually improved the profitability, so if you measure PBT as a percentage of AUM, I think this quarter you almost touched about some 65 basis points. Where is the limit to this, to what level can improving efficiency in your operations improve this PBT metric by?

Feroze Azeez : According to us, see like AUM is a photograph, revenue and margins are a movie. So AUM captured on a specific day that will not be a right representation of what yield would you make as a profit after tax or profit before tax. What we believe is that making a yield of 1.3% to 1.5% on AUM is something which is sustainable for good, point one. Point two making more than 40% - 42% of PBT and upwards of 31% - 32% of PAT. These are the three numbers, we look at internally. Right now of course it can be dissected as a percentage of AUM but since AUM is just one specific day and if the market is 5% down that day for example it will distort that number. I do not know whether I am able to articulate, so these were the three numbers we internally focus on.

Janakiraman R : So, 1.3% to 1.5% and about 42% of revenue as PBT.

Feroze Azeez : Yes, so sometimes we would like to discover further value-added services in our research and product group to spend some money to get a further lift in the revenues. So sometimes when we go to 43% - 44%, we like to see what else value-added services can be given to clients. So we are not very ambitious to bring PBT to 45% - 47%. Also because then you might be missing out on several other opportunities which can give you growth. Now so we spend that little money and not try and get to 47% - 48%. So 40% - 44% is what we look at as a percentage, i.e. PBT as a percentage of revenue.

Jugal Mantri : I think I will just add what Feroze bhai has said. Mr. Janakiraman. One simple point which he has made. If you compare the AUM on point-to-point basis definitely there is a variation because if you see from 31st March to 30th June the NIFTY was down by say about 9.5% and mid cap, small cap they were down by 10% to 13%. So wherever the clients who have invested in different asset classes either being managed by you or anywhere else their annual numbers are down. But we have been getting trail on day-to-day basis. So when AUM at any particular point, if it is lower that can have a variation if you compare on point-to-point basis. But ultimately all three objectives as highlighted by Feroze bhai those are the key parameters. These broad numbers even whether you compare it today or after one year based on the operational efficiency, it might be we can better it by another say 2% to 5% or it can

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Page 11 of 18 come down by 2% to 5% whatever operating leverage which we have that would be the end result but directionally we will be moving in the similar way.

Janakir

aman R : Feroze, when I look at the growth in AUM - how to look at that number? So you have the increase in per ticket, per client the AUM side as well as the total client count both of them contribute. So how do you see that mix working?

Feroze Azeez : It is very simple. I will just tell you how we internally look at the growth engines for AUM. So the four growth engines for AUM are as follows and all of them seem to be very consistent. One is the embedded growth of the portfolios. Since the asset mix of how we have deployed our AUM is poised for an expected return of 12% to 14%. We expect at least a 10% growth in AUM by the virtue of the growth in portfolios that is first leg which is the embedded growth which this business has unlike several other businesses. The second engine of growth is the capacity utilization of our RMs. Our RMs today managed 28 - 29 clients per head. But in our belief before COVID the capacity of an RM to efficiently manage and keep his clients and family satisfied is 50. That means as a unit, I can double or close to increase our client strength by 80% without using a new RM machinery, so that is capacity utilization vertical of AUM growth. The third is existing clients like there are 42% of the clients of the 7,400, who have come within three years. So they start believing us more as you start establishing credibility to what you have said and they start giving you a large wallet share that is the third source of AUM growth. The last source of AUM growth is my 300 account managers, who are currently being trained to become RMs and that is the fourth leg of growth. So with this four legs of growth the first one which is the most certain one which is a 10% - 12% plus the other three, gives us a 25% AUM growth belief over years to come. Not just one or two years guidance, I would say that I personally very strongly believe 20% - 25% AUM growth is with all these four cylinders of the engine is what has happened in the past and I would say that is how we look at AUM growth on a yearly basis 20% - 25%. AUM growth in a bad quarter where market like for example the last one, we added Rs. 1,355 Crores but our AUM did not go up because market took away from. So next quarter if God is kind for example if this Rs.1,300 Crores, we again add Rs.1,500 Crores for example and then market gives back the Rs.1,300 Rs.1,400 Crores then you have Rs.2,800 Crores of AUM growth. So I am not making a guidance I am just giving you in an illustrious way of how we look at it.

Janakiraman R : Unders tood. And these are the early days for Anand Rath i as a listed entity, but have you taken any de cision in terms of distribution. So this is a n asset light business , so of the free cash that it generate how do you plan to deploy that.

Jugal Mantri : See ther e are two things . One thing is that we do have very clearly spelled out the dividend distribution policy that the guidance is about 30% to 40% of the cash accrued will be

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Page 12 of 18 distributed and rest of the things as you have rightly said that these are the early days for us and this is the first time any of the group comp any has been capitalized. So there are a lot of opportunities in the market and as and when those opportunities will come up so better to keep certain cash on the balance sheet and scout for other opportunit ies which may come up in future.

Janakiraman R : Thanks Feroze, thanks Mr. Mantri all the best.

Moderator : Thank you. The next question is from the line of Rohan Mandora from Equirus Securities . Please go ahead.

Rohan Mandora : Sir, t hanks for the opportunity again. This was a follow -up to an earlier question on operating efficiency. In terms of the employee Opex , employee expenses to total revenues where do we see that in next two years' time because fo r the RM , employee expenses w

ould

probably mo ve in line with the growth in revenues but how should we look at the non -RM employee expenses growth trajectory that was one. The second , the slide on guidance we have not given this quarter - so does the previous guidance hold or is the re a change in the guidance with respect to the FY2023 ?

Jugal Mantri : So very important , I will take your first question first in terms of like variable cost you rightly identified in case of fixed cost that is where you get the operating leverage at one reason being th at th e cost of the product team, operation teams and other support and services function that remains constant even and it is not directly commensurate with the growth in your business . And we are capacitized to even like as of now if the AUM supposed from Rs.32,000 it runs up by 50 % or 100 % the incremental fixed cost increase will be marginally up it will not grow with the growth in the revenue as well as in AUM. So that is the scenario with the fixed cost and the second point with regards to the guidance we thought that if somebody will look at the guidance number , we have already achieved the 27% in Q1 of FY2023 and normally like the first two quarters are the lean period for the BFSI sector so we thought that since we are already on the track with the guidanc e and having slightly over achieved that so we thought there is no need to reiterate what we have given in the guidance . It is up to you people to make a sense that how we are going to fare with regard to the guidance which have been given.

Rohan Mandora : Thanks a lot.

Moderator : Thank you. The next question is from the line of Nityanand Parab . Please go ahead.

Nityanand Parab : Congrats on a good set of numbers Sir. I have one question on OFA platform value. So in Q1, in this quarter's presentation you have shown that we have increased the overall clients

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Page 13 of 18 to 18 lakhs, but the platform value is shown Rs.79,511 Crores . So if I compare it to the Q3 FY20 22 presentation you have shown it 17 lakhs with Rs.84,596 Crore s, so just wanted to check how we can read this . Is this a right number or is this a typo or something like that.

Jugal Mantri : No, if you will see the num ber which has been given for OF A is that we have got 5,368 MFDs which are Mutual Fund Distributor and t he assets on the platform is Rs. 79,500 Crore s at the end of June 30, 2022 . This if you compare it with the June 30, 2021, at that point of time we had 5 ,058 MFDs with an AUA of Rs.58 ,586 Crores.

Nityanand Parab : I was comparing with Q3 FY 2022 in the presentation the figure which was shown was Rs.84,596 Crores.

Jugal Mantri : I do not have that presentation right now but I am giving you Y-o-Y number that what was the number at the end of June 30, 2021, and what is the number at June 30, 2022.

Feroze Azeez : I will just add one point . It could also be ma rk-to-market and stuff like that . This was at 15,800 Nifty and at that time it was 17,800 and generally retail is more equity than debt this will impact the AUM.

Nityanand Parab : The second question is related to the digital wealth AUM. So we can see that it has de - grown slightly for this quarter so what is the outlook for this and if you can share what will be the percentage of the digital wealth in overall business for next three years, five years ? What is the overall bifurcation we can h ave within the ov erall business ?

Feroze Azeez : Basically, like we hav e always stated during the IPO as well , these two businesses which are the digital businesses , we are learning and we are making sure that we ad opt to the changing environment. So what we look at from a t hree to five year perspective is a robust growth of

30% - 35% on a lower base like this . But since we are in the stage where we have come to the level, digital business which is not burning cash and that is something which

we are

reasonably clear. I think about 30%-35% growth on a lower base of AUM is something which is reasonable as we learn and we adopt and develop a strategy which will make it more monetizable . And for the OFA business of course today , we have used it as a SaaS platform . We have some ideas of monetizing it very effectively , but I would not like to comment and create an expectation on businesses which we are wanting to build over the future . That is why giving a guidance of three to five years on a business where you are trying to develop something to be making sure that you capture the adjacent segments is something we should look at it on a yearly basis.

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Page 14 of 18 Nityanand Parab : And the last question was on the guidance , the last participant has also asked . So we are on

the path to achieve the guidance which we have shared last year for FY20 23? So are we going to up the guidance overall or what is the overall take on that ?

Feroze Azeez : Like Jugalji said that now you have to extrapolate . In a quarter like how it has been April to June if we have done 26% - 27% whatever that second decimal penetration into the guidance and generally we do 22% - 23% in the first quarter . It is for you to extrapolate and these were not periods where it was as easy to breathe , April to June quarter. So it is for you to extrapolate and see . We feel very - very confident about the guidance.

Nityanand Parab : Okay thank you.

Moderator : Thank you. The next question is from the line of Ajox Frederick from Unifi Capital. Please go ahead.

Ajox Frederick : Thank you for the opportunity. My question is again on the OFA, what quantum of revenue is coming from that particular business.

Jugal Mantri : See as of now in case of OFA as it is being said that this is the IT platform and where we are charging fixed fee from these MFDs . So monthly income is in the range of about Rs.40 to Rs.50 lakh fees which we are collecting from these MFDs in total per month .

Ajox Frederick : And some of our peers are using a similar model and charging the AUM as a sub broker or whatever you may call it and they are charging 30 bps on the AUM so what stops us from doing that.

Jugal Mantri : The thought process is that - anyway we are the largest player and once you grow it and you penetrate the market to the fullest extreme . Thereafter only you should focus on the revenue .

As Feroze bhai has said that these are the experimental businesses where we are into it and initial objective is to gain the market share thereafter explore it from the revenue perspective to the fullest. So as of now when you are building up the size, capacity and penetration . The focus is on acquiring the market share not on generating the revenue because both these businesses are positive contributors to the growth.

Ajox Frederick : Just one question on the MLD , to a new customer how is MLD being positioned as a guaranteed product or how is the sales it is being done in a very generic manner.

Feroze Azeez : To any customer for that matter we look at a portfolio with a plan A and a plan B. We create portfolios , it all animates from client objectives . If the client objective is - let us assume 12%, we try and see what is the minimum three -year standard deviation at which this can be

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Page 15 of 18 delivered. So the team which actually simulates several portfolio combinations as percentage of these three-products equity mutual fund, debt mutual fund and MLDs. Depending on the risk return profile i.e. 12% then we try and backward calculate what is the minimum standard deviation at which that can be achieved and then we draw what is the most efficient portfolio which can achieve an expected return of 12 % and then we give a client an alternative of having a certain percentage in MLD 10% - 20%,

30% - 35%. If the client

understands and says 30 % in MLD then we tell them the standard deviation of a portfolio with this much amount of mutual fund , this much amount of debt mutual fund, equity mutual fund, and MLD this is the three year standard deviation, this is the beta, this is the maximum drawdown you could expect on a three -year holding period and then when the client signs up for that portfolio MLDs is a resultant outcome of that decision . MLD is not sold standalone . If I went in the marketplace and if somebody said take this Crore put it in MLD that is not the way we work. We like to design a portfolio on the risk return objective and then work backwards and whatever is the MLD proportion which gives an efficient combination that is how an MLD is sold and that is why you see such repeat buying . I am

sure a few of you would have seen during IPO presentations close to 78 % - 80% of repeat buyers . The reason why it is repeat buyer it is not being sold as a standalone product , it is a proportion on a portfolio when there is a maturity automatically there is a void and the void gets filled with a new fresh issuance. Does that answer ?

Ajox Frederick : Yes, that is very helpful and I am assuming current MLDs are three -year products right ? Whatever is being there right now ?

Feroze Azeez : This is both three year and five year . We issue MLD s on the basis of the probability of its success . If the markets are obscenely overvalued then you would rather have a five -year MLD s. So to answer your pointed question it could be three year and five-year proportions .

Could be two thirds favoring five years and one third favoring three years at the moment.

Ajox Frederick : All right that is very helpful and all the best for your future. Thank you very much.

Moderator : Thank you. The next question is from the line of Mr. Bhuvnesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg : Hi! Sir thank you for the opportunity. First question on your digital wealth and OFA. So just want to understand the difference between these two. Because I see in your presentation in digital wealth you had mentioned that it is a partner led distribution whereas OFA also you are having a MFDs as your partner. So just want to understand , what is the difference between these digital wealth and OFA that is my first question?

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Page 16 of 18 Feroze Azeez : Digital wealth business is a kind of a sub broker model . To cater to different segment for MFD s, very retail, SIP driven - OFA is a SaaS platform (Software as a Service) . A digital wealth management is providing the HNI proposition to a mass affluent using the help of technology powering the human. So the capacity of managing clients could be 150 - 200. In DWM you are trying to make sure that the HNI proposition is delivered to a mass affluent with an internal team or an external team of relationship manager who can reach out to three times - four times and make it a more profitable business to go to a Rs. 1 Crore client or a Rs. 50 lakh client . That is the difference . So DWM is an interpolation of the private wealth business to the mass affluent . OFA is a SaaS platform for a fee . MFD uses our technology and white labels it and shows it to the client , is that clear ?

Bhuvnesh Garg : So in digital wealth , if I understood correctly , your RM is your employee , right? So whereas OFA is again it is an MFD ?

Feroze Azeez : Yes. See OFA has only technology . DWM has an HNI proposition as similar as it is possible to the mass affluent because if we send a conventional relationship manager who can manage only 50 - 60 clients . To a client who has only 50 lakhs it is not a viable business. So for it to become a viable business technology should be able to power an RM to manage 200 clients then it becomes a viable business . That is why we call it a

n experiment because you

learn as you go along . A private wealth division is 20 years old, 18 years old or whatever that number is this , you are learning so you will strategize and learn and have the agility in the initial part of the business that is why we have been so clear that you should not extrapolate it 5 - 10 years unlike most technology businesses who extrapolate and then say this should be the valuation and stuff. So we are trying to learn be a very agile in these businesses.

Moderator : Thank you so much. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal : Good evening everyone and thank you for the opportunity. I just wanted to know in your private wealth business , I even on a sequential basis there has been a 60 % growth in the net flows. Can you share the breakup between the different products how the flow has been ?

Feroze Azeez : Jugalji you will have the precise numbers or I know more the tentative one.

Jugal Mantri : Yes if you will compare it like on the mutual fund front as against Rs. 15,400 in June 30, 2021, it has grown to Rs. 18,600 and in case of MLD against Rs. 9,200 Crores. You wanted AUM mix.

Devesh Agarwal : No, the net flows Rs.1,355 Crores breakup.

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Page 17 of 18 Feroze Azeez : I remember that number Jugalji. So Rs. 800 - Rs.900 Crores of equity mutual fund Rs.100 – Rs. 200 Crores of debt mutual funds and other securities of another Rs. 200 Crores, this is the breakup.

Devesh Agarwal : And when we say Rs. 200 Crores of MLD flows so the revenues that we made in the quarter if I assume a 7% yield that would imply it self Rs. 1,100 - Rs.1,200 Crores . So how do I tie - up these two numbers.

Feroze Azeez : So you are mixing them with net flow. The commission you make is on the gross flow like a previous participant ask the question , what is the net flow in MLD . This quarter could be

miniscule but there is maturity and there is reinvestment . What you earn is a percent of gross mobilization , does it answer ?

Devesh Agarwal : So what was the gross number ?

Jugal Mantri : The gross mobilization for MLD was about Rs.1,100 Crores.

Devesh Agarwal : And that includes your secondary sales or secondary sales are different .

Jugal Mantri : No this is primary mobilization.

Devesh Agarwal : And how much would be secondary sales Sir.

Jugal Mantri : Secondary might be about 40% of this.

Devesh Agarwal : Around 40% and third-party Edelweiss MLDs that you do would be one third of your overall number.

Jugal Mantri : Yes, Rs. 390 Crores out of the Rs, 1,100.

Devesh Agarwal : And one final question if I see the portfolio mix of the AUM - product mix . In last one year the share of equity has gone up from 39% to 46 % , this would have also helped you in your blended yields . So do you think that there could be some churn that you would be doing from equity to debt and that can have some impact on your yields going ahead ?

Feroze Azeez : So to answer your pointed question is NO. We have different clients with different return objectives . We generally look at allocating money into equity and 46 % is a reasonable representation of what we currently recommend to our client on aggregate basis .

Devesh Agarwal : Perfect that answers my question . Thank you so much.

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Page 18 of 18 Moderator : Thank you. Due to time constraint that was the last question. I would now like to hand over the conference to the management for closing comments.

Jugal Mantri : Thank you. I take this opportunity to thank everyone for joining on the call. I hope we have been able to address most of the queries, but it appears that there was some pending in queue . So we will request for all the participants ' who have not been able to raise their questions or put up their questions, they please kindly get

in touch with our investor

relations team or Strategic Growth Advisor our investor relationship advisor. Thank you all.

Moderator : Thank you. On behalf of Anand Rath i Wealth Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2022

ANANDRATHI

Private Wealth. uncomplicated

Ref No: 65/2022-23

Dated: October 19, 2022

BSE Limited National Stock Exchange of India Limited

Department of Corporate Services Listing Department

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Dalal Street, Mumbai — 400 001 Bandra (East), Mumbai - 400 051

Scrip Code: 543415

_ Trading Symbol: ANANDRATHI

Scrip ID: ANANDRATHI

Subject: Q2 H1 FY23 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q2 H1 FY23 earnings conference call dated 14th October, 2022. The transcript is also available on the Company's website at

<https://anandrathiwealth.in>

This is for your information and record.

Thanking You

Yours faithfully

For Anand Rathi Wealth Limited

Nitesh Tanwar

ANAND RATHI WEALTH LIMITED :

(Formerly known as 'Anand Rathi Wealth Services Limited) Registered Office : Floor No 10, A Wing, Express Zone, Western Express Highway, Goregaon (E), Mumbai - 400 063

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"Anand Rathi Wealth Limited

Q2 H 1 FY2023 Earnings Conference Call"

October 14, 2022

Disclaimer: E& OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 14, 2022 will prevail.

MANAGEMENT : MR. FEROZE AZEEZ – DEPUTY CEO

MR. JUGAL MANTRI – GROUP CFO , ANAND RATHI

GROUP

MR. RAJESH BHUTARA – CFO, ARWL

MR. CHETHAN SHENOY - DIRECTOR AND HEAD -

PRODUCT AND RESEARCH

MR. VISHAL SANGHAVI - HEAD IR

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Moderator: Ladies and gentlemen, good day and welcome to the Anand Rathi Wealth Limited Q2 H1 FY2023 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the belief, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Feroze Azeez, Deputy CEO. Thank you and over to you, Sir.

Feroze Azeez: Thank you Rutuja. So, good afternoon everyone. Thanks to join us for the Earnings Conference Call of the quarter and the half year ended 30th September, 2022. I am joined with, Mr. Jugal Mantri, our Group CFO; Rajesh Bhutara, who is our CFO; Vishal Sanghavi, who is our Head IR; Chethan Shenoy, Director and Head - Product and Research; and we are also joined by the SGA team which is our Investor Relations Advisors.

Let me begin with sharing a piece of good news from our perspective. In the recently published report by AMFI for the financial year FY '22, we were ranked among the top three non-bank mutual fund distributor as per gross commission and over the previous financial year the growth in the mutual fund trail revenues was almost about 72%. And in the B2C category, we were the highest, if you exclude the aggregator B2B business models.

Now coming to the strong performance we've had in this half year, not just on the flagship business, but on all three of the businesses including the Digital Wealth and the Omni Financial Channel Vertical as well. Our flagship business, Private Wealth grew by about 15% year-on-year on AUM, in spite of a very lackluster market and a 3% downtick on Nifty over 30th September both years and a 9% increase quarter-on-quarter on the AUM.

On the back of huge penetration into the wallets, especially during sideways movements or bad markets and uncertainties, we are able to establish our credibility as a wealth outfit much better during bad times. So, penetration has resulted in AUM increase and also clients refer you more clients when their friends are struggling with other managers. So that's why, our net mobilization numbers have doubled when compared to the same period previous year.

So, it gives us immense confidence during sideways movements and not such great times and more volatile times if you are able to do well and during good times the AUMs also increase because of the market movement and also due to the sentiment where people want to invest more money. So bad times, penetration and references become higher and other two growth verticals do very well during great times. So both – two correlated variables help you during opposite times. So that's why you see almost about 106% jump in our net mobilization numbers for the first half year.

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And of course, you would have read that we had a great increase in our client base in terms of year-on-year, we've had a growth of 19% in terms of client addition and we are inching towards our target of 10,000 Crore families in a calibrated fashion and the pace of client addition is seeing a very sharp tick as well.

On the Digital Wealth vertical, the AUM has increased by about 23% to Rs.949 Crores which is a business which helps us standardize and scale it using the help of technology, also helps us be embraced with the changes in technology which can be there in our business

on the Private

Wealth side as well. And clients have grown by about 14% year-on-year to 4,065 clients in the Digital Wealth vertical.

The OFA business is a strategic extension for capturing wealth management landscape to service retail clients through mutual fund distributors by using a SaaS platform or providing them technology platform. As on 30th September, we had close to about 5,500 mutual fund distributor associated with us with asset under administration and reporting of about Rs.85,900 Crores, which we currently only monetize as a subscription fee, but later in the life of this business when we find appropriate could be an important monetizing tool. So, I personally think that. I will stop here and I'll request Mr. Jugal Mantri to say a few words and take us through the financial numbers as well.

Jugal Mantri: Thank you very much Feroze bhai. Good afternoon to all. Let me also first begin with the happy note to share that the Board of Directors has declared an interim dividend of Rs.5 per equity share which is 100% of the face value. This is in-line with the company's endeavor to regularly reward its shareholders.

Despite all the external challenges, the company and its subsidiaries have boosted strong performance for the quarter and half year ended September 2022, backed by an overall improvement in operational efficiencies. Our consolidated AUM as on 30th September, 2022 stood at Rs.35,842 Crores which registered a growth of 16% Y-o-Y and 9% Q-on-Q. Our consolidated revenue for the quarter ended 30th September 2022 stood at Rs.138 Crores as against Rs.104 Crores in Q2, FY '22 registering a growth of 33%.

While revenue for first half in financial year 23 stood at Rs.272 Crores as compared to Rs 202

Crores in the previous first half of financial year 2022, registering a growth of 34%. Our PBT for the quarter stood at Rs.58 Crores, registering a growth of 40%; whereas PBT for H1 FY '23 stood at Rs.110 Crores, registering a growth of 37%.

Our PAT for the quarter stood at healthy Rs.43 Crores registering a growth of 41% as compared to Rs.30 Crores in Q2 FY '22. PAT for H1 FY '23 registered a growth of 37% and it stood at Rs.83 Crores. PAT margin stood at 31.1% in Q2, FY '23 and 30.4% in H1 FY '23. EPS, earning per share for Q2, FY '23 stood at Rs.10.3 per share and for first half FY '23 stood at Rs.19.8 per share, registering a growth of 41% and 37% Y-o-Y respectively.

Return on equity for first half ended 30th September, 2022 stood at a healthy 43% which was 41.7% in financial year FY '22. Another area where we witnessed strong momentum was the addition in number of client families. We have added almost 1,250 client families compared to same period last year. Our total client families as on 30th September 2022 stood at 7,928. In the last 12 months we have added 37 relationship manager on the net basis. We continue to remain

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optimistic about the business potential and will drive towards our vision, while assisting our clients achieve high quality experience in the journey of wealth solution.

With this we will now open the floor for questions -and-answers. Thank you. Over to you Rutuja.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on the touchstone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: Congratulations on good set of numbers. So, my first question was on the gross enclosed, if you could share what was the gross enclosed for the quarter and split it across equity debt MF and the primary

and secondary MLD issuances?

Feroze Azeez: Gross or net you mean?

Rohan Mandora: Gross. Gross and net both essentially.

Feroze Azeez: We only look at net because mutual funds when they exit one fund and they're recalibrating their portfolios to our model portfolio there could be very large gross numbers, right? In a mutual fund, if I have five schemes, which I'm changing three then the gross number will be very deceptive. So net number, I can give you some color on that and gross number is very, very distorted. Does that answer? Of course, from the MLD standpoint gross numbers and net numbers can be given to you and I'm sure Jugalji and Rajeshji will be able to add there.

So now coming to the net number which is almost about Rs. 2,500 Crores for the first half year, a large portion of that which is almost two-thirds of it, goes into equity mutual fund because we believe that when markets fall and if you've seasoned your investors to expect a market fall because that's the nature of the beast, they don't look for reasons for the fall, but they are in a hurry to actually take actions.

So last six months markets average has been lower than they were in the previous six months.

Hence, we had a net mobilization, largely in the equity mutual fund side, of almost about Rs.1,500 Crores to Rs. 1,600 Crores. And from an industry standpoint, if you leave SIPs out, the total net mobilization in the equity mutual fund has been Rs. 79,000 Crores for the first six months and if you leave the SIP number of average Rs. 12,300 Crores then the total net mobilization in terms of lumpsum which is the business we are in, unlike several other aggregators was total about Rs. 6,000 to 7,000 Crores out of which Rs. 1,400 to 1,500 Crores or even little more, has been our market share in terms of net mobilization and gives us immense pleasure because we are buying low and creating a potential for higher return for our clients. Otherwise, it's an academic statement to buy low. Juga lji, if you may want to add a few points and if there is some gross numbers, which Rajeshji will have on the MLD side.

Jugal Mantri: No, you are bang on with the numbers, in the first half we have added about Rs.1,650 Crores in equity mutual fund and there was some exists in debt of about Rs.200 Crores, so net addition was about Rs.1,500 Crores in mutual fund. And in case of MLD there was addition of about Rs.725 Crores and small addition was there in other products to the tune of Rs.300 Crores. So all put

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together, there was net accretion of Rs.2,500 Crores in the first half. The MLD gross issuance was about Rs.2,300 Crores.

Rohan Mandora: Okay and the split between primary and secondary business ?

Jugal Mantri: So, its all primary. So out of Rs. 2,300 Crore, largely it is primary only.

Rohan Mandora: Sir, Mr. Amit Rathi has resigned from the Directorship, so just want to understand the reason for the same and are we looking at replacement for him on the Board?

Jugal Mantri: You are aware since you have been associated with us, so Mr. Amit Rathi since last three years, he has been playing non-Executive role in Anand Rathi Wealth Limited, so he was non-Executive Director on the Board. And being decided to pursue his ventures in the financial services and to avoid any conflict of interest or overlapping he has opted to be relieved from his position as non-Executive Director. We have got 4 Independent Directors which are more adequate and as per the requisite requirement of the company's law, so we don't see that there'll be any requirement to have any addition on account of any non-Executive Director on the Board.

Rohan Mandora: If you can share, what would be the trail income coverage of fixed cost for total?

Jugal Mantri: We have seen good traction in the trail income also and as of now the trail income which is

being covered is largely about 85% of the fixed costs that get covered by the trail income.

Feroze Azeez: I would like to add one thing, Jugalji. So we've had a 33% increase in trail income between the same periods of the first half year this year. So the increase is 33%. Overall revenue increase is about 35%, in spite of markets not supportive. If they had supported then the ratios could have been far better. So, our internal target of having 50% trail and 50% upfront revenues from different sources remains and we are inching towards that, is what is our stance internal target of getting to 50:50. And of course, like Jugalji, you said 85% to 90% of the trail revenue covers the fixed cost, currently.

Moderator: Participants who wish to ask a question, may press star and one. The next question is from the line of Dhagash Shah from Motilal Oswal Private Limited.

Dhagash Shah: First question is, what is your growth outlook on clients within the Rs.50 lakh to Rs.10 Crore bracket?

Feroze Azeez: Our focus segment is Rs.5 Crores to Rs.50 Crores of balance sheet size. Okay, so, we don't look at Rs.50 lakhs to Rs.10 Crores. If somebody has got, apart from the assets he currently consumes, the house he lives in is not counted, if the person has between Rs.5 Crore to Rs.50 Crore balance sheet size putting all assets together, then he is my target segment.

In that segment, we think our growth of 20% -25% in client set is what is our projection from our business standpoint. Of course, the pie is expanding at a similar pace from this segment perspective. So, getting the similar growth number for our business should be possible, given the fact that now that we have been a listed company for close to a year, it creates a perception or at least creates a basic governance kind of a mindset and that helps you acquire more clients. So, 20% to 25% growth in the target segment which we currently operate.

Do we mandate a client to start with Rs.5 Crores? The answer is, no. We start them with Rs.50 lakhs to a Rs.1 Crore as well. Because if we are able to deliver what's the expectation we are

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creating in the minds of the client over a period of time, he gives us a larger wallet share because we are very mathematical, when it comes to giving our advice.

Dhagash Shah: And sir, what would be the cost of AUM acquisition in this bracket versus the above Rs.50 Crore bracket?

Feroze Azeez: The cost of acquisition of AUM?

Dhagash Shah: I'm not looking for a direct number, but whether this would be higher than the Rs.50 crore and above bracket or not. Just if you could get some color on that?

Feroze Azeez: See the cost of acquisition an AUM addition is negligible. I don't have a separate acquisition engine which acquires the client. So, RMs are the person who take references from existing clients and I don't pay existing clients to refer me people. But over a period of time, every decision we take, we give mathematics for our clients better prudence in terms of decision-making.

For example, now if somebody said that he has got 40% of his money in real estate, I would compute the per annum return of his real estate portfolio, which he would have never computed. None of us, as Indians compute what is the per annum return of a real estate portfolio and still have half our money is there, quite a few HNIs do.

So, when I compute and show him that he has got 8% compounded return - in multiples of value, it look larger, but when he sees 8% then it is an eye opener for him, then he is putting his property on an anvil to sell, which I don't pay any cost for. And then when he sells those properties, he consolidates money with us. So, if he says, I am doing very well in mutual funds then I take a transaction dump from him and then tell him, if he followed my model portfolio, he would be richer or poorer. If he

is richer, then he sells his mutual funds from competition or transfers broker code to us. So, everything is mathematical. So there's no cost which can be ascertained to asset acquisition.

For client acquisition, if you say what is the cost, I would say there will be some cost, because I do physical events as well. Pre-COVID we used to do a lot of physical events in five-star hotels where you get 200 HNIs in a room and give them a presentation. Those are now far and few between. But every event used to cost us an average of Rs.5-6 lakhs, which in this financial year would be four or five such physical events, which could have gone up to almost 30-40 events before COVID. So our cost remains low, because we have done about 100 odd webinars where there are about 30-40 participants each as an average and there's no cost to that currently.

Dhagash Shah: And lastly, sir, how do you see the digital wealth segment scaling up, and what do you see are the key challenges?

Feroze Azeez: If you ask me the key challenges there are - to have an ever-changing technology to make sure that we not just succumbing to what market does in the digital space, because in the digital space people are focusing on reporting. We are looking at technology to create advice more than reporting, because reporting is one element of it and execution. So technology for execution and reporting has reached the epitome in the industry of fintech business.

But advice creation mathematically and using technology for that is what I think is the challenge with the industry faces. From our perspective, for us to have a digital wealth presence is to create

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a standardized offering, which is what we have. We just run four portfolios, in spite of having a private wealth outfit with 8,000 families approximately, I try and fit all the clients to four portfolios, which are centrally managed and implemented in different markets. So if you speak to my Delhi private banker or RM and speak to a Bangalore guy, he is going to give you very, very similar, if not identical advice.

So if I have a standardized proposition in the private wealth business, it makes sense for me to see how I can power my RM to not manage 50 clients, but manage 200 clients with technology. So, it's always going to be a phygital model. It's not going to be a pure digital model assuming a US kind of an extrapolation to the Indian context, which is the behavioral patterns are very different. US has been investing in capital markets ancestrally, in India my dad never invested in equity.

So extrapolating the technology strategies there to this side of the world may not be as relevant. So, coming back to your pointed question on the technology side, the biggest challenge is to use technology to create advice. Our key strength has been standardization. In spite of standardization, not having a huge appeal in our HNI, it's difficult to tell him that, sir, I will not customize, I will standardize.

But finance will reach clients only if you standardize, you can't run 8,000 different portfolios and leave the judgment to 270 RMs and assume that he will get the best efficient portfolio, right? So that's our strategy. So, if I have a standardized, if I have been able to bring 270 RMs to the same page that we all give away our individuality and create similar portfolios, I am the best voice to use technology to scale, because the toughest part is to convince the client that you don't need customization.

Customization might sound fancy, it is more marketing. But finance will never reach you if you customize the portfolio, because the guys sitting there in Bangalore or in Coimbatore will not know the best finance to create risk rewards, which are efficient. It's like an asset management company saying the sales guy will be the fund manager.

Dhagash Shah: Thank you

for the color, sir.

Feroze Azeez: Sorry, a longish answer to a very pointed question, but wouldn't have articulated better with fewer words from my perspective.

Moderator: The next question is from the line of Mayank Agarwal from InCred Capital. Please go ahead.

Mayank Agarwal: Hi, thanks for the opportunity. Mayank from InCred. So my first question is regarding the RM addition. Sir, you have not added RM for last two to three quarters, so what's the strategy going ahead? And in this also, what we have learned is that you also add some AMs to RMs. So, what was your plan going ahead? How many AMs would you be making RM? And how would your ratio between RM and AM? The AM would be converted into RM going ahead? And, second question is on data point. Can I get a revenue break-up between mutual fund, other securities, IT enabled and others, if you gave from last quarter? Thank you.

Feroze Azeez: Can you repeat your second question though?

Mayank Agarwal: What is your revenue break-up in mutual fund, other securities and IT enabled and others? So basically you gave the data up till last quarter?

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Feroze Azeez: Sure. So firstly, let me throw some light on the RM addition. Our RM addition strategy is going to be completely driven by how many people whom we can currently absorb and make them sizable RMS. So, over the last one year given the uncertainty, we have gone a little slow, we still added about 30 plus RMs from the AM fraternity largely, lateral hired also happened. Currently, we continue to follow the principle of one relationship manager mentoring one AM, which has worked beautifully for us, and we have a small group of people who need to reach Rs.40 crores - Rs.50 Crores of assets and that 70 RMs is the limit we put. So if those RMs cross the bridge then I have more capacity to transfer the rest of them from the AM to the RM fraternity. So even if I delay an AM's promotion by three - four months it just solidifies and increases his chance of success when he actually transforms into an RM.

So what will we currently look at? We think that this ratio, because we are not promoted as many, there is more ripe individuals who are currently potential RMs. So you may see an inverse correlation between the RMs promoted to what can be promoted, because the rest of them have created a larger pipeline in the interim period.

And from an AUM breakup standpoint, I can just tell you conceptually and Jugalji is the best person to answer very, very pointed numbers. So when we look at a client strategy, we look at two-thirds of the money in mutual fund, one-third in MLD, and some work-in-progress, which is raw material coming for alignment into these two products largely, as we recommend only these two, three products today, including debt - equity mutual funds and MLDs.

So you would see a very similar proportion. It's not academic that these proportions are not being followed at the marketplace. So that's why you will see almost about Rs.18,000 Crores Rs.20,000 Crores of mutual fund assets. About Rs.9,000 Crores Rs.10,000 Crores of MLDs and there is a lot of money, which is work-in-progress which first moves to our DMAT account and then we align it to our strategy where the client gets efficiency as the prime driver and decision-making criteria. Jugal sir if you may want to add a few things and give pointed number?

Jugal Mantri: I think what you said is that in terms of the relationship manager edition, one thing is, which is absolutely clear is that besides 271 relationship manager, we have had a strong force of 265 account manager and as you rightly said that the addition to the RM fraternity that is graded process, and these people are upgraded and added to the RM fraternity over a period of time. So just to answer what Mayank has asked to reaffirm that we have got a very, very

strong force,

which is up for elevation in next 18 to 36 months time, and that itself has got the potential to double our RM force to almost 500 plus number of RMs.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities.

Devesh Agarwal: Good afternoon, everyone and many congratulations for a good set of numbers. Jugalji, just I wanted to understand better the MLD gross inflow number that you shared, you said Rs.2,300 Crores is the number for the first half, and if I recollect rightly in the first quarter it was Rs.1,500 Crores. So for the second quarter I will talk about Rs.800 Crores of gross inflows in MLDs?

Jugal Mantri: In the first quarter the gross issuance was Rs.1,100 Crores and in the second quarter it is Rs.1,235 Crores.

Devesh Agarwal: So what is this Rs. 200 crores of secondary issue?

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Jugal Mantri: Out of Rs.1,100 Crores, Rs.350 Crores was secondary issue, right. And this quarter, the secondary number is Rs.180 Crores.

Devesh Agarwal: So broadly the yields that we are getting this time is around 7.5% on the entire MLD portfolio?

Jugal Mantri: Yes. Around that.

Devesh Agarwal: Around that? Right. Perfect. And sir secondly basically in the past, you have said that first half is relatively weaker compared with...

Jugal Mantri: The yield which was about 7.5% in the first quarter that is around 7% in the Q2 on MLDs.

Devesh Agarwal: Sir, generally you had said in the past that our first half is relatively weaker and second half is much stronger, and we have already achieved Rs.83 Crores of PAT in the first half versus our guidance of Rs.155 Crores for FY '23. So, is it this time you think that the 2nd half will be equal or you are looking to upgrade your FY '23 guidance?

Jugal Mantri: So, I don't see any reason that second half will be equal. Historically, what we have seen that holds true and I am sure that the second half will also move in the similar fashion as it has happened in the past also. And as far as guidance is concerned, we have already achieved 50% to 53% of the guidelines which have been given on the profitability front.

But internally, our belief is that as long as your performance or the likely performance if it is in the range of 10% of the guidance given, though it can be 5% to 10% of over achievement, let

the guidance remain same instead of keep -on tweaking number on every quarterly basis. So that is why we are sticking to the guidance, which have been given in that beginning of the year. So just to re affirm that the guidance which we have given, we are still holding that, and we don't see any reason to believe that this year's second half will not be in line with what has happened in the history.

Devesh Agarwal: Thank you so much and all the very best

Feroze Azeez: I would like to clarify one thing. Yield is a very important thing. See when you said yield is 7.5%, like Jugalji said, yield is 7% and yield is a number, which generally in our business is referred to the per annum income of a specific instrument, okay. So, when you look at an upfront of something, which is a five-year instrument if I calibrate the yield on the average market value of all the thousand odd products, which have matured is about 1.17% per annum and that will be yield. Yield is always per annum generally.

So annualized yield, what happens in a mutual fund, like, for example I fund my 11 mutual fund model portfolio, which I buy for myself and most of our clients end up buying the same 11 mutual funds. I make 1.1% post GST. With that 7% number, it might make you believe that you're earning more on MLDs, if your mutual funds commissions are on market value, face value recognition of 7% is on face value.

If the product gives you a 13% IRR, then if you have to look at the average market value, because 92% of our MLDs, which have matured

have given the desired coupon, none of them have ever

lost capital in spite of 1,024 maturities being done from December 2012, we have based issuances.

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So point I'm trying to get to is, anybody looking at our business thinking that yield of MLD is 7%, may be looking at that is not the yield. Now when I look at bond portfolio, bond yield, mean the per annum yield at the purchase price in the secondary market. So that's what I wanted to clarify, our curiosity work backwards to find out the thousand maturities, what did I end up making per annum? So tomorrow if I don't want to do an MLD, an equity mutual fund will give me the same yield, it's only accounting difference from an upfront to a trail basis.

Devesh Agarwal: Yes, that is very clear. Just wanted to know one more thing, the average duration of our MLD is now five years, what we are selling?

Feroze Azeez: Yes. So what we have is, all our decisions are driven by client objectives after COVID and given the where market reached, we thought that an MLD, which is a three-year MLD has a lesser probability of success, because the two-year additional and that's why August 2020, we did a lot of mathematics and realized that even if one year gets wasted in a five-year product, you still have four years to achieve your targets on NIFTY, because these are NIFTY linked MLD.

If I take a three-year product and like you see the one year got wasted, last October to now, market has not done anything. So, if I buy a three-year product, then I have to make up for the lost ground in two years. So, the probabilities of success for my client goes up as five years, that's why it's five years. It might optically look at I wanted to make more money upfront is why it is five years, so I'm clarifying it, everything in our company emanates from client objective.

Devesh Agarwal: Thank you so much

Moderator: The next question is from the line of Nirmal Bari from Sameeksha Capital.

Nirmal Bari: Thanks for the opportunity. Congrats on the very good numbers. So, my first question is that, 11% to 12% of our AUM, which shifts in others. So, what is that and what kind of revenue do we generate over there?

Feroze Azeez: The others could be PMS transfers. We don't recommend PMS, because where efficiency doesn't happen in PMSs because of the higher standard deviation. But the client has PMSs, so I take a broker code transfer and then if it is PMS's there is revenue, it comes to me.

If it is tax free bonds, which are work-in-progress, if it is stocks, which are work-in-progress, those are the three large categories in the others, which we take as raw material to converge to our strategy because when I meet a client, he has a Rs.5 - 7 Crore balance sheet. He says, okay, I give you Rs.1 Crore, which is liquid. I have Rs.1 Crore mutual fund, I'm transferring broker code to you, but the other Rs.2 Crore is sitting in the Demat account take it. I have one PMS, I can transfer it to you. I have insurance policies with different people, exit them over a period. So that's what is my work-in-progress, W-I-P.

So coming back to your pointed question, what do I earn on it? There are three different categories largely, out of its direct equity and tax free bonds, we don't earn. In PMS transfers, we start earning from day one, unlike in mutual funds, COBs, Change-of-Brokers don't give commissions from first day, PMS's do.

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So it's reasonably different. But Yes, that's still work -in-progress. And that goes back to my specific yields of 1% - 1.5%, which I make on these two products, plus the debt mutual fund, which gives us 40 paisa, 50 paisa trail.

Nirmal Bari: And the second question was on the quantum of MLD, we did about Rs.2,300 Crores of MLDs. Now, if I look at our AUM of

roughly Rs.35,000 Crores and 30% of that being in MLDs, that's Rs.10,500 Crores. Now, with average five -year kind of maturity, I'm simply dividing it by the annual rollover, just the rollover part of it would be about Rs.2,000 - Rs.2,100 odd Crores and then whatever the growth be on it. But in the H1 itself you've done Rs.2,300 Crores, so is there a risk that in H2, the quantum of MLDs would be significantly lower?

Feroze Azeez: In fact, the maturities are very, very healthy, let me not put a number to it. So, what happens is, whatever you issued three years back is not coming back as capital, it's coming back with an appreciation. So, if you ask me how is our maturity pipelines over the next few years? Very, very healthy.

Second, what kind of proportions do clients rollover? When we had done it during IPOs, it was 78% of our clients are repeat buyers. Does that continue? Does it become stronger with credibility? We have improved credibility further because we have been issuing for 10 years. So, 10 years to say that I have been issuing for 10 years, I have finished 1,000 maturities, which might be the largest, I don't know the number, but one of the largest issuances plus maturity, the credibility increases. So repeat buying becomes more and more solidified.

Unless, I tell him to put 5% as a company into equity mutual fund, which we did last year, money got rolled over as per this gaps, which are there in the products, which we do as the decision - making criteria. Somebody has given me Rs.100, or if you have a balance sheet of Rs.100, if you have decided Rs.55 goes into equity mutual funds, Rs.30 goes into MLDs and Rs.20 goes into debt, or Rs.10 goes into debt, anytime he has fresh funds, the allocation happens as per the gap in the decided allocation. And that's how straightforward advice in our company has gotten. Feroze Azeez: Jugalji, please feel free to add whatever you want to add.

Jugal Mantri: Yes, perfect. I think Nirmal must have understood that, when you are talking about the MLD value, whether it is Rs.9,000- 9,500 Crore as of now, the book which is there. And as Feroze bhai has told that, even if you take a mean appreciation of 60% on the AUM, in the next five years your Rs.10,000 Crore which can become Rs.16,000 Crore.

And now if you divide by five, you will see that annual issuance, even if there is a rollover of 90% to 95% of Rs.3,200 Crore annual maturity which could be, that can translate into the assured business of around Rs.3,000 Crore new MLD insurance. Is it clear Nirmal?

Moderator: Does that answer your question, Mr. Nirmal? Your voice is breaking sir. As there is no response on the participant, we'll move to the next question which is from the line of Senthil Kumar from Joindre Capital Services Ltd.

Senthil Kumar: Good afternoon, sir. Thanks for the opportunity. I want to understand the management's outlook on AUM guidance of Rs.39,000 Crores for FY'23. Though in the first half of FY'23, AUM increased by 16% to Rs.33,842 Crores, I could see 17% drop in private wealth AUM inflow in second quarter on sequential basis. And another thing is, now only 14% incremental AUM

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guidance is achieved in Q2 of 2023 against the 27% in 1st quarter. So on back of this, is the management confident of achieving AUM target in the second half of 2023?

Feroze Azeez: So let me take that. Okay. So Jugalji you want to add something first?

Jugal Mantri: No, no you can go ahead, I'll add it. No issue on that.

Feroze Azeez: See, our AUM addition comes from two sources, right? One is the new money you bring in and the change in the market value of the underlying Rs. 35,000 Crores approximately, right? So, over the last one year, the market-to-markets have not been a huge contributor. Average they end up instituting over the long term of 10% to 12%, since you have not got su

pport from there is

why you are at 16% AUM growth.

Are we confident to achieve the guidance on the AUM bit? Very, very confident. Of course, not if the market fell to by 20% right? Because it has two components. But are we confident to add similar numbers in terms of net mobilization for this six months and for the next 10 years and growing?

So because there is an element of external variable which will dictate the AUM, net mobilization

which is fresh money we think will become better in the second half from the Rs.2,500 Crore. So, our internal target for the first six months was Rs.500 Crores per month. Of course, we marginally fell short to Rs.2,500 Crores. The target continues to add. So, if the markets don't disappoint extensively, we should most likely meet our AUM guidance. Jugal sir?

Jugal Mantri: No, I think you have very aptly answered that we should not look at the AUM which is driven largely from the Nifty performance. Reason being, in case if you look at the AUM on say 17th of August, when market is around 17,900 you will find that the AUM is up whatever we have been discussing it is higher by another 4% to 5%.

So as you rightly said that, the Nifty which was say around 17,500 on 31st March and it is almost 2.5%, 3% down compared to that. In spite of that, in case if we have achieved the growth in AUM besides taking any credit on account of the average appreciation in the equity related portfolio that is quite impressive and once that gets factored in definitely will be much more than the target or the guidance which has been given by us. Is it clear Mr. Senthil?

Senthil Kumar: To achieve an AUM guidance of Rs.39,000 Crores, in the first half we have achieved Rs.35,843. So remaining balance amount of second half we have to achieve Rs.3,157 Crores of AUM. So, in this Rs.3,157 Crores, how much the proportionate mix between the two components as you said, new AUM inflow and market movement? The breakup between the two component, how much the management is expecting from this?

Feroze Azeez: See, like I told you, our internal target for this year is to bring Rs.500 Crores of new money every single month. Market movement can sometimes give you a fillip. Unlike the last quarter, market didn't give you a fillip because we ended, because AUM is a picture, photograph, right? But the new money you bring is like a movie. It's a continuous variable.

So to answer your pointed question, I told you our internal target in terms of the fresh money which need to come on a monthly basis. So, if that's 6 x 500, that's 3,000. That's our internal target to add new money.

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Now whatever is the differential, we have to hope and pray that the market movement or the value of the MLDs also go up, debt also goes up. So overall, client portfolios, if they grew by 6%, 7%, 8% also this financial year, we will be able to meet that number. And anyways, AUM, is the most fluid number. And as you look at a five-year investing, four-year investing, our AUMs are best poised because we are now in the non-bank B2C category, we are the largest equity mutual fund holder with some as of now. That's what CAMS data tells me.

Now we have a target of capturing in the next few years or even a decade, a 3% to 4% of the market share of the entire equity mutual funds in India, will we get it linearly? The answer is, no.

But today from whatever we have as a market share on the equity mutual fund, which is close to a 1%, we want to take that to 3 - 4% because that's what we want to master in, right? The equity mutual fund because we don't do PMS, we don't do AIFs, we don't do private equity, we don't do unlisted stock, we don't do REITs, we don't do InvITs because all those I don't buy myself. So, I don't give it to my clients.

So our focus on AUM addition is going to be paramount. And of course, the fluidity

because of

its mark-to-market nature is why I am not giving you a pointed answer, but I have definitely given you my internal target to achieve on the net mobilization.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: So sir on the switch which we have done in this quarter, so could you break it down between the Group Company issuances and the Edelweiss issuances, like how much would we have distributed?

Feroze Azeez: So let me tell you whenever we launch a product, we approved them in October, November last year. So in few months where we had the product, five, seven, eight months we have done, one or two months we have not done the ir issuance because there is a name change from Edelweiss to the PAG Entity and we were waiting for that whole thing to happen. We are very selective about which issuer we take, that's why for the last three, four years we had no issuer other than the internal one, sister company which is ARGFL.

So, the ratios were as much as one-third - two-third. Two-third internal, one-third external, that's the approximate weightage between the two issuers which we had. So, from zero external to one third external or even 40% in a few months, is what the conceptually the order of magnitude numbers were.

Lalit Deo: And so in last quarter you had highlighted that the employee expenses would typically range about 45% of the overall revenues. But however, in this quarter it has further improved to about 43%. So just wanted to understand from the trajectory from here on, so would we be see that this number could further improve or like what should be the outlook on the spent on the

employee expenses?

Jugal Mantri: We are working on a operating leverage ratio of about 1.8. Okay, so wherever you see that the revenue goes up, the cost will have the positive impact on the cost. So, this number was -- but the broad range will remain say, between 42% to 45% that would be the employee cost range.

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In case, if we have the similar quantum jump in the revenue, definitely there could be some improvement on that cost front, but that would be very, very marginal.

Moderator: Thank you. The next question is from the line of Pallavi Deshpande, an Individual Investor. As there is no response from the participants, we'll move to the next question which is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: In terms of new flows that we had got, what proportion of that was coming from new clients that were acquired during the quarter?

Feroze Azeez: Sure, I can tell you the approximate number. When we acquired close to 150 clients a month, the average ticket size which people start with is Rs.80 lakhs to Rs.90 lakhs. So I'm just telling you approximate numbers. So maybe one-third from new clients and two-third from existing ones. Does that answer your question?

Moderator: Thank you. As there are no further questions. I would now like to hand the conference over to Mr. Jugal Mantri, Group CFO for closing comments.

Jugal Mantri: Thanks Rutuja and all the participants for your active participation. I will take this opportunity to thank everyone for joining the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with our IR Head, Mr. Vishal San ghavi or our CFO, Mr. Rajesh Bhutara or Strategic Growth Advisors our Investor Relations Advisor. Lastly, on behalf of the management, I would like to wish everyone a very Happy Diwali and a prosperous new samvat year to each one of you in advance. Thank you very much.

Feroze Azeez: Thanks Jugalji, Rajeshji, Vishalji. Chetan. Bye.

Moderator: Thank you. On behalf of Anand Rathi Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

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Ref No: 80/2022-23

Dated: January 18, 2023

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai -400 001

Scrip Code: 543415

Scrip ID: ANANDRATHI National Stock Exchange of India Limited

Listing Department

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Trading Symbol: ANANDRATHI

Subject: Q3 and 9M FY23 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q3 and 9M FY 23 earnings conference call dated 13th January, 2023. The transcript is also available on the Company's website at <https://anandrathiwealth.in/Investorrelations.phg>

This is for your information and record.

Thanking You

Yours faithfully

For Anand Rathi Wealth Limited

Nitesh Tanwar

Company Secretary and Compli

M. No. FCS-10181

Enclosed: as above

ANAND RATHI WEALTH LIMITED

(Formerly known as 'Anand Rathi Wealth Services limited)

Private Wealth. uncomplicated

AMFI-Registered Mutual Fund Distributor

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■ MR. FEROZE AZEEZ - DEPUTY CHIEF EXECUTIVE OFFICER - ANAND RATHI WEALTH LIMITED

■ MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER – ANAND RATHI GROUP

■ MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER – ANAND RATHI WEALTH LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Q3 and Nine Months FY '23 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Feroze Azeez. Thank you, and over to you, sir.

Feroze Azeez: Thank you so much. Good afternoon, everyone. Thanks for joining us for the conference call of earnings of the third quarter and the first nine months of this financial year. Along with me, I have Mr. Rakesh Rawal, who is our CEO, Mr. Jugal Mantri, who is our Group CFO, Rajesh Bhutara, who is our CFO, Mr. Chethan Shenoy, who is our Head of Product and Research, and I am also joined by Vishal Sanghavi, who is our Head of IR (Investor Relations) and also the SGA team, who is our Investor Relations Advisors.

To begin from the quarter perspective, we have delivered a strong performance in the third quarter on all three businesses: The Private Wealth business, the Omni Financial Advisors channel business and also the Digital Wealth business. Our consolidated AUM has risen to INR 38,517 crores, which is a 20% growth year-on-year and a 7% quarter-on-quarter. This, of course, is a testimony to our emphasis on providing uncomplicated, holistic and standardized solutions to our clients, which deliver the most efficient risk-reward portfolios.

Our flagship Private Wealth business has grown its AUM by 20% year-on-year and 7% quarter-on-quarter to INR 37,500 crores. Though on an industry level, the net flows in equity mutual funds de-grew by 55% in the quarter 3, we have grown by about 74% instead of the de-growth, which is what you've seen on the net flows on equity mutual funds. And our overall net flows have grown by 94% for the said period of nine months and that stood at about INR 3,715 crores.

Indian HNIs, of course, have started moving money from physical assets to financial assets, and we have tried to capitalize this process by using mathematics to express the differential performance between physical and financial assets. And in the last nine months, we've added clients that is about 1,151 clients, as against 801 clients in the same period. That's a good 25% growth and above on the client addition rate. And also one very-very important thing for a business like ours, which we are very pleased to announce, that we have had zero-regret attrition for this quarter three. Regret attrition, any RM greater than INR 40 crores we classify as a regret attrition, has been zero, astonishingly so.

Now coming to the Digital Wealth business. I would like to highlight that our Digital Wealth business AUM has grown by about 24% year-on-year and has moved up above the INR 1,000 crores mark to INR 1,017 crores, in terms of AUM. The client set has grown by about 15%,

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which is 4,076 clients now. That's on the Digital Wealth piece. OFA business, which is a SaaS platform, has added about 600 IFAs, give or take. And the assets under reporting has almost touched a INR 1 lakh crores.

Before I hand it over to Mr. Mantri, I would also like to highlight that our long-term commitment of growing the assets under management by 20% - 25% remains intact and we are very positive that this number indicated from a

long-term year-on-year perspective is a conservative number, given the fact that by the virtue of time and client portfolios' growth of 10% - 12%, we should be able to deliver the differential 13% - 14% by effort.

And now, I hand it over to Jugal sir. Jugal sir, can you take it forward from here?

Jugal Mantri: Thank you very much, Feroze bhai. Let me begin with extending New Year wishes to all the participants, that may 2023 brings tons of joy, happiness and prosperity to each one of you.

Now coming to the company's performance. Despite the short-term volatility, the mid- and long-term outlook for the Indian capital market seems highly promising. We have delivered strong performance across all three verticals. Our consolidated revenue for the quarter ended 31st

December 2022 stood at INR 140 crores as against INR 109 crores in Q3 FY '22, registering a growth of 29% Y-o-Y, while revenue for nine months FY '23 stood at INR 412 crores as against INR 311 crores in nine months ended FY '22, registering a growth of 32% year-on-year.

Our profit before tax for the quarter stood at INR 58 crores, registering a growth of 36% Y-o-Y,

whereas profit before tax for the nine months stood at INR 169 crores, registering a growth of 37% Y-o-Y. Profit before tax margin is slightly better at 42% in Q3 FY '23 and 41% nine months FY '23. Our profit after tax for the quarter stood at a healthy INR 43 crores, registering a growth of 35% Y-o-Y as compared to INR 32 crores in Q3 FY '22.

Profit after tax for nine months FY '23 registered a growth of 37% Y-o-Y, which stood at INR 126 crores. Profit after tax margin is quite healthy at 31% in Q3 FY '23, which is the same for the nine months ended FY '22. Earnings per share for the quarter 3 FY '23, stood at INR 10.4 per share and for the nine months, stood at INR 30.2 per share.

For nine months FY '23, our flagship Private Wealth vertical's revenue grew by 33% year-on-year, which stood at INR 397 crores while trail revenue grew by 27% Y-o-Y, which is stood at INR 135 crores. Profit before tax for nine months FY '23 on a standalone basis was at INR 168 crores, registering a growth of 37% Y-o-Y, while PBT margin stood at 42%. Profit after tax for nine months FY '23 stood at INR 125 crores, registering a growth of 37% Y-o-Y, while PAT margin stood at 32%. The return on equity of our flagship Private Wealth vertical as on 31st December 2022 stood at healthy at 40%. Given the favorable long-term macroeconomic climate for India and the rise of local millionaires and billionaires, we believe there is significant untapped market for the wealth solution providers like us.

With this, we will now open the floor for question-and-answer. Thank you.

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Moderator: We have our first question from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: Congrats on a good set of numbers. Sir, if you could share what kind of gross inflows in 3Q and if we can split the net inflows of INR 1,240 crores into between equity MF, debt MF and MLD?

Feroze Azeez: Sorry, Rohan, you wanted net flows? Feroze here.

Rohan Mandora: Yes. Net inflows of INR 1,240 crores that was in 3Q. It was split between equity, debt MF and MLDs?

Feroze Azeez: Correct. So, you want a split of the INR 3,715 or crores or the quarter 3 number?

Rohan Mandora: The quarter 3 number.

Feroze Azeez: Rajesh ji, did you have that number?

Jugal Mantri: Yes. The equity mutual fund and debt, which was put together, it was INR 818 crores; for MLD, INR 165 crores and INR 258 crores in other products. That sums up to INR 1,241 crores.

Rohan Mandora: And sir, what is the quantum of MLDs that are expected to mature in FY '24? Any number that you have handy?

Jugal Mantri: Right now, it is not handy, but we can provide you, Rohan.

Feroze Azeez: Rohan, approximately, it is INR 2,700 crores.

Rohan Mandora: And sir, just trying to understand o

n the trajectory on the employee expenses. If you look at employee by total revenues, employee to total revenues, that thing has come down from around 46% to around 43% - 44% in the last two quarters. So how should we look at it for the full year? Will there be an uptick there? And also, what were the quantum of RMs, which have not broken even on cost right now?

Feroze Azeez: So Rohan, when it comes to compensation for RMs, it works on a total comp concept. So the provisions of bonuses are larger, which is about INR 55 crores for the first nine months, which is about INR 8 crores greater than the same period last year. So we work on a total comp concept, which has not been modified from 2007, so provisions on the bonus side are higher, which are not reflected in the statement you made. Does that answer, Rohan?

Rohan Mandora: No. So actually, the employee expense per total revenue has been coming down in the last two quarters. So are we...

Jugal Mantri: Feroze bhai, I'll just add, see the advantage, what Feroze bhai has explained to you is the compensation for the RM fraternity. But besides RM fraternity, there is a team which is like operation, product, monitoring and the finance accounts team. And that is where you get the advantage of operating leverage because that cost more or less remained flat. So that is why when you see the revenue goes up, you will see in percentage term that the employee cost will come down because that cost, which is the non-operating or non-variable costs, that remain more

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or less flat. There is a slight increase, and that is where you'll see that the employee cost as % will keep on coming down when the revenue grows.

Rohan Mandora: Just the second part of this question on how many RMs are yet to break even on cost?

Feroze Azeez: So if you, we can give you that precise number, Rohan. If you look at breakeven, as just the

physical cost, I think it should be less than 10% - 12%. Because a breakeven of with infrastructure costs, all loaded, it could be different, but we'll give you the precise number.

Rohan Mandora: And just one more thing, how has been the MLD issuances from Nuvama this quarter? Has there been any dip on the issuances on that side or a change?

Feroze Azeez: The requirement of capital was lesser. So Jugal sir, can give you the precise numbers if we have them handy.

Jugal Mantri: So, in case, if you look at it, Rohan, now the ratio is tilting towards the outside or external agencies. As of now, when we talk around 13% of MLD outstanding, that is from the external agencies. So, the ratio, which used to be 100% from the same group entity,. So, in this year, almost about 20% of the MLDs are is sued by the external entities.

Moderator: We have a question from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: Just following up on the previous question about the RMs. We have seen a lower addition in this quarter. Is that anything to do with the market conditions or how should we look at the RM addition going ahead? And just put in my second question also, with regards to the market share, you mentioned in the previous call, about 1% equity inflows, taking that up to 3%. So, what would be the timeline on that?

Feroze Azeez: Yes. So let me answer the first one, which is the RMs strength. The RMs strength, generally, it happens by training and promoting AMs. So, we have gone a little slow because we have to make sure that the person who is becoming an RM from the AM, the probability of successes have to be immense. So that's why you see a little slower addition. It's got not too much to do with the market potential in terms of market sentiment. But the good news is we have the next 30 40 already slated who have spent about 2. 5 years as an AM and as an apprentice under seasoned private bankers already. So that number should see a large uptick soon. And wh

at was

your next question? Sorry, I missed that.

Pallavi Deshpande: Yes. It was with regard to the market share. So , we've spoken about our equity market share at 1%, and taking that up to 2% to 3%. So, any time lines you can share on that, sir?

Feroze Azeez: Yes. So, we are looking at the market share in crease. Like you might have heard me just a few minutes back, that the net flows have reduced by 55% on equity mutual fund and ours have gone up by 74%, which is a large dispersion to what the industry has got. It's because we are looking at numerically establishing our credibility in mu tual fund recommendation. And I will come to the time line, which is your pointed question.

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So in the last quarter, we analyzed 109 equity mutual fund portfolios worth INR 1,000 crores outside with other distributors, transaction-by-transaction. And we realized that Anand Rathi's recommendation has been more profitable. And now that we have started being very numerical about our value-add. Comi ng to your point of question, I thin k getting to a 3% market share will take about four - five years, because as the ma rket also will increase, and that's the target.

Pallavi Deshpande: You mentioned, just to get this right, 109 mutual funds were analyzed that were outside the current universe, is that right?

Feroze Azeez: No. Let me explain that a little more in detail. Now if there's a prospective client we meet, we take the transaction-wise information and try and see whether the person externally has beaten Nifty or our model portfolio. The 109 is not mutual funds. Those are 109 unique HNI investors' external mutual fund portfolios, which we analyze and see whether we have beaten those portfolios, which were managed by other distributors.

It has been heartening for us to see that 95 out of the 109 portfolios analyzed last quarter, our model portfolio would have kept them richer. And with this piece of audited information, the propensity for a client to give us a change of broker for mutual fund has gone up reasonably.

Does that answer?

Pallavi Deshpande: Yes, sir. Just another one, if I may. On the capex side, like we have seen a little uptick in depreciation. And any distinct guidance on that side?

Feroze Azeez: Jugal, sir, will be very well equipped to answer that. Jugal bhai, can I request you take that one?

Jugal Mantri: Yes, there is no capex item on the P&L where you have...

Pallavi Deshpande: No, I am talking about the uptick in depreciation that you have seen, slight uptick in depreciation?

Jugal Mantri: So that is because of the Ind AS 115 that, otherwise, there is no capex expenditure. Our is capex-light company in the industry.

Pallavi Deshpande: Sir, lastly, if I could just have, would it be possible to share a breakup between -- on the income side between the mutual fund and the MLD, the other segment?

Jugal Mantri: That is already there in the presentation.

Pallavi Deshpande: Not the AUM. I meant the revenue?

Jugal Mantri: Even the revenue breakup is also there. If you I ook at the Page 29 of the presentation, you will

find the breakup. But I'll just repeat for you, for Q3, the mutual fund revenue was INR 50 crores as against INR 42.5 crores in the corresponding Q3 last year. And the distribution of financial products is INR 86 crores, and other IT-enabled and other services was about INR 3.4 crores.

Pallavi Deshpande: No, sir, that's what I meant. Within this distribution, if you could have how much was the MLD and how much was mutual fund?

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Jugal Mantri: Largely, it is MLD only.

Feroze Azeez: But, let me just add one point to Jugal sir's comment. The long-term target of trail income to total income is 50%, and we are headed there. If you see the last one year, Nifty from December to December has hardly moved 1% -, 2%. And you still see a tr

ail revenue increase of 27%.

Once the tailwind of the market movement comes, you will see a substantive change in these proportions because markets have to deliver at some point in time, not in this year. In spite of that we have had a 27% increase.

Pallavi Deshpande: So the 50% target, like you said, would be probably matching with your three to five year term for that?

Feroze Azeez: Yes. Ma'am. Yes, absolutely.

Moderator: We have a question from the line of Dhaval from IIFL.

Dhaval: Sir, just one question from my side. Can you please provide the quantum of gross inflows in the MLD during the third quarter? And also the split between the primary and the secondary?

Feroze Azeez: Yes. Sure. INR 1,151 crores gross in primary and INR 277 in secondary.

Dhaval: INR 277 crores in the secondary, right?

Feroze Azeez: Yes.

Moderator: We have a question from the line of Aditya Shrimankar from Ishti Advisors.

Aditya Shrimankar: I wanted to ask, what is the average yield on MLDs during this quarter? And how it has fared year-over-year?

Feroze Azeez: Aditya, yield by virtue of that nomenclature implies the per annum yield. First, let me tell you what is the yield of all the matured products. In an MLD, if you look at the yield per annum, we have made 1.17% in products which have matured. One is because yield is per annum on market value. When it comes to mutual funds, on the model portfolio of mutual funds, we make 1.11%. On the matured products, which you can backward calculate, the yield has been 1.17%. Having made that point that the yields on both these instruments per annum on market value are identical, if not equal, almost.

Now coming to what you make. We recognize this revenue upfront. So on a three year basis, we make about 5.5%. On a five-year basis, we make about 7% to 8%. Because in mutual funds, the trail income comes on market value, but this is recognized on face value. And all upfront, that's trading income.

Moderator: We have a question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just a couple of questions. Firstly, on the expense side, other expenses, they have been trending higher in a right, the run rate used to be around INR 11 crores, reach INR 17 crores. So what I've been on one of the questions that are alluded that a large portion of the expenses are fixed

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in nature beyond the expenses of, beyond the salaries or bonuses of RMs. So, then what is this increase pertaining to? That is question number one.

Secondly, on the mutual fund book, what would be, do we have any SIPs? And if so, what would be the shares of SIPs in our mutual fund and AUM?

Feroze Azeez: So, let me take the second one, and I will toss the first one to Jugal ji. The SIP book is about INR 32 crores - INR 33 crores per month...

Prayesh Jain: This is monthly, or is it total AUM in the?

Feroze Azeez: This is monthly. Monthly, because we deal with HNIs. HNI savings come in lumpier chunks.

So, because if somebody saved about INR 10 lakhs - INR 15 lakhs - INR 20 lakhs, in a quarter, he gives you that money at INR 40 lakhs - INR 50 lakhs. That's the general trend. But still having said which, the SIP number is marginally higher than INR 30 crores per month.

And for the first question, other expenses, of course, when we spoke of the expenses, it was pre-COVID levels. So, I will ask Jugal ji to give you some color to the other expenses.

Jugal Mantri: See, largely if you may recall that because of the COVID, there was no physical off-site visits which we used to have on a quarterly basis, the strategy meets and all that. So this year onwards, all these activities have started, and these expenses pertain to the off-sites, business strategy

meet as well as the traveling expenses, which were lower in FY '22, more particularly when you are comparing with the December quarter last year, vis-à-vis the current

December quarter. The expenses are on account of, increased expenses are on account of traveling, off-sites and strategy meet.

Prayesh Jain: Just one more on the, you mentioned that 20% of the MLD sourced in the current year are outside agency. So, what is the commission you made on those?

Jugal Mantri: Same.

Feroze Azeez: Marginally higher. Marginally higher from Nuvama. So 1st April, if there is a sourcing of about INR 616 crores, for the same period kind of an MLD, it's marginally higher.

Moderator: We have our next question from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Three questions from my side. One is a follow-up to the question asked by the previous participant. In terms of the SIP flows, could you give some color on the redemptions you are seeing in the portfolio or any quantitative number on gross-to-net ratio?

My second question is on the distribution yields that your debt of incremental flows that are going into the existing yields of mutual funds and whether the incremental distribution yields have changed YTD or Y-o-Y, if you can give some color on that?

And lastly, we have seen a list of NFOs happening during the current quarter or even the current year. So just wanted to get some color on how was the yield shaping up between FY '22 and

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FY'23 or YTD '23? And also, are you able to lock in the yield on the NFOs flows for one year, or is it like -- is it for a longer period of two or three years? So, those are my questions.

Feroze Azeez: Mr. Ghosh, your audio wasn't so clear. If you can again go one-by-one, it will be helpful.

Because I could barely hear you in terms of -- it was a little muffled.

Dipanjan Ghosh: So, is it fine now?

Feroze Azeez: Yes, if you can pick up your headphone, if you're not using it, do something. Yes. So if you can again go with your first question, SIP number, you were saying something?

Dipanjan Ghosh: I just wanted to get some color on the SIP redemption trend? And any color on the gross-to-net ratio in SIPs?

Feroze Azeez: Gross-to-net ratio, if you're looking at SIP redemptions or SIP stoppages, I don't think there have been too many stoppages. Because HNI is not so. So to answer your pointed question, it should be negligible. I don't have a precise number to that currently.

Dipanjan Ghosh: My second question was on the incremental distribution yields that you are getting on fresh flows into equity schemes of mutual fund players. And how that has changed. Let's say, between March and December or an incremental flow into existing schemes of actively managed equity mutual funds?

Feroze Azeez: So, when we recommend mutual funds, we recommend a very pointed portfolio for most of our clients. And over a period of time, money moves there. So like I told you, it has been 1.11% yield on the 11 schemes, weighted average as per our recommendation. It has gone up by about 2 paise, same period December. December end last year, we were at 1.09%, now it is 1.11% for this 11 schemes. And we have our suppliers, which are mutual funds, competing with the others for our market share. So we don't see any stress on any reductions there.

Dipanjan Ghosh: My last question was on the NFO side, and over the last six to eight months and even prior to that in FY 2022, we have seen there has been significant amount of flows in NFO and also the NFO payouts to distributors have been quite strong. Just wanted to get some color on incremental trends during the quarter and also YTD. And are you able to lock in the NFO yields for, let's say, more than one year?

Feroze Azeez: No. We don't do any such advancement of yields, because we don't recommend NFOs. Since I don't buy an NFO, so I don't recommend it to my client. So zero NFOs have been sold over the last 8 - 9 years. So because if there is 570 equity mutual funds, out of which active ones are about 250 - 280, and the be

st and the worst one have a 44% difference and there is a lot of constituents, which are already there and there is an established fund manager. With a philosophy and from a client-centric organization standpoint, selling an NFO, I don't see any merit to hurry into buying an NFO, if it does not have a three-year track record.

So, any equity open-ended fund, it requires a basic three - years for us to be able to analyze behaviors of fund managers and its right-to-wrong ratios and stuff. So, no NFOs sold and that's

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been the philosophy. Unless there is some NFO, which addresses a gap in the future, we will be agile enough to adapt if it is something which makes merit from a client's risk-reward standpoint. Moderator: Thank you. We have our next question from the line of Varship Shah from Envision Capital. Please go ahead.

Varshit Shah: So, I was just wondering like what kind of reaction are you getting from the clients with regards to the whole active versus passive investing? Are any of your HNI or UHNI clients questioning you about an advisory versus distribution model or why active or passive and -- entire the value-add that we do in the process? And is there any slowdown also in our client addition? Because I also see in this quarter, your client addition has slightly slowed down?

Feroze Azeez: Got it. So let me answer this question in two parts. One is, Varship, the active vis-à-vis passive debate. Ironically, in the industry is happening without numerical measurements of their own portfolios. So, what we do is if the client is debating in active and passive, he needs to or she needs to first compute transaction-wise alpha or underperformance to a benchmark, which is missing.

So what we do is we calculate transaction-wise alpha. People generally go by perceptions and with narratives. Now there is one client, let me give you an illustration on a little more casual note on a serious call. I met a client who wanted to move his INR 22 crores to an ETF. Then I said, okay, you can't read newspapers and decide that. Why don't you first check transaction by transaction, what is the alpha you've generated over the last five years? 966 purchases, 36 exits. If you take Nifty transaction by transaction, he himself had beaten Nifty by 2.7% per annum.

So if somebody is not able to make alpha, it doesn't mean that you are not making alpha, but get your own number. Mathematics measurement is the first step of management and that doesn't seem to be happening. Most people who debate that they don't even have their transaction-wise alpha on their direct equity, on their mutual fund, on their PMS.

So that's point one. So we don't see any risk on ETF. And the model portfolio, which we have used all regression in all Nobel Prize winning formulas for the last 9.5 years from 1st June 2013, has generated 3.17% extra over Nifty after all costs.

So if these numbers are there and they are mathematically accurately measured, people are guided not by narratives, but by actuals. For them, one size fits all doesn't work in wealth management, is our opinion and a strong one.

Varshit Shah: And on the client addition, is there any slowdown in...

Feroze Azeez: Client addition is not a slowdown. What happens is we measure clients not all of them. We measure them if they have more than INR 50 lakhs with us. Mark-to-market brings some of them in the bucket, some of them outside the bucket because there's no point counting at 10 lakh clients. We count 50 lakhs plus who has INR 4 crores INR 5 crores as total assets.

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Now coming to the -- so there will be some volatility in quarterly numbers of client addition and subtraction because there's also subtraction possible. If somebody came back and took away INR 5 lakhs from INR 52 lakhs, he will no more be in this client list. Because

it is only fair to account

for clients who have, at a point in time, greater than INR 50 lakhs with me.

That's why you see a larger number last quarter. But to eliminate this volatility, you have to look at nine months to nine months. Nine months last year was 801. Nine months this year is 1,120 which is 320 more clients in the same nine-month period. So there is a client addition rate being increased, point one.

And the second is we also try and measure the quality of client acquisition in terms of the first cheque. The first cheque average has gone up by about 70% to 80%. So after listing, which is a very credible thing for a business which requires some degree of branding from -- because people are parting with their money, has resulted in people trusting us at the beginning with more money than they used to, before we were listed last December. Does it answer?

Varshit Shah: Yes. Sorry, please go ahead

Feroze Azeez: Does it answered, or you want some more clarification for it?

Varshit Shah: Yes. So have you seen more initial ticket sizes go up?

Feroze Azeez: Yes, we have. And some clients have given us outrageous starting values as well, which is a great indication of what is -- what lies ahead for a listed wealth management output.

Moderator: Thank you. We have our next question from the line of Sagar Jethwani from PhillipCapital. Please go ahead.

Sagar Jethwani: So I just, have one question. Do we plan to expand into B30 cities? And what are the typical ROI / ROC in long term if you expand the branches there? This is my only question. Thank you.

Feroze Azeez: Thank you for your question, Sagar. Our strategy to expand into the full Bharat has been planted a few years back. So our hiring patterns of our current RMs, our top 100 RMs. There are about 27 - 28 of the 100 RMs who belong to unique B30 towns, smaller towns, Tier 2 - Tier 3. Because

we have a very strong principle of client centricity and a culture, which Rakesh Sir has built over the last 15 years. To protect that, starting a peripheral unit by itself is something which may not be the most advisable.

So these 27 - 28 people may choose to go back to their cities, which they belong, where their parents live, where they are brought up, they know the regional language, they are able to relate to the fraternity there. So that is our strategy. So in that process, we have started a Coimbatore unit. We have Visakhapatnam. We have Indore. We have now started Ahmedabad.

These are smaller units, which may not be called units but those are supposed to be built brick by brick with one - two people who understand and who are our top RMs who go back to set up a business there. And they are already breaking even from day one when they reach their home

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location. And that has a lower cost of building a unit and would be infrastructure cost in every city in India. In fact, I would say all Tier 2 cities, for sure, have at least 100 - 200 - 300 HNIs. And to go there, you can't send an English-speaking, golf-playing guy and expect the people will be able to relate to him. So that's the answer, Sagar, from a strategy standpoint. And I am sure Rakesh sir can add a lot on this account because all of it is brainchild.

Sagar Jethwani: Yes. On the...

Feroze Azeez: I'll just ask for a comment from Rakesh sir.

Rakesh Rawal: You covered this beautifully. I think the idea is to sow a seed, which we are doing in a lot of cities and will continue to do so. And we know that how it sort of grows. So like in Vizag, we have one RM, and now we are - she has already trained a second person over there, and therefore, soon, we will have two RMs over there. So in smaller cities, you have to organically sort of grow and we have plans to grow it in a lot of smaller cities in the future.

Sagar Jethwani: But then last -- I mean, if you -- what are the typical ROI / ROC in, suppose

, say, four - five

years once you set up the branch? Just trying to understand that because the penetration is relatively slower in B30 cities. So that's what -- that's where I was coming from?

Rakesh Rawal: No, I don't think that is true. I think that, for example, the AUM in Vizag that this lady is handling is about INR 120-odd crores. She has taken about three - four or five years to get there. In the big cities also, a fresh RM takes four - five years to get to INR 120 crores. So I don't see that being any different. You have the advantage of not too much of competition there. You also have a little bit of disadvantage that not too many rich people are floating around. So it balances up.

So, I don't think that the narrative that ROIs are going to be lower is very valid. The costs pertaining to office, electricity are very - very marginal compared to the rest of it. So, for example, with INR 100 crores, you will have a revenue of INR 1.2 crores - INR 1.3 crores. What kind of cost do you think will be there for having a small office? Mostly a thousand, INR 20,000 - INR 30,000 - INR 40,000 per month. So I don't believe that your margins are going to be significantly different in smaller towns.

Moderator: Thank you. We have our next question from the line of Abhijeet from Kotak. Please go ahead.

Abhijeet: Hi, good afternoon. So, I am not sure if I am reading the numbers right, but it looks like you don't sell much of other alternate products like PMS or AIF. So any thoughts if that has the right reading. And a related question would be any thoughts also on getting into investment management as well?

Feroze Azeez: Abhijeet, I will take this question. The last part I missed, but let me answer your first part. We don't sell -- currently, we don't sell PMSs and AIFs because the standard deviations of PMSs are significantly more. We have analyzed several PMS portfolios, which have six - seven - eight PMSs, but our model portfolio on the mutual fund side, transaction by transaction, has beaten

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them. So currently, we don't sell PMSs and for the last seven - eight years as well, almost 10 years now.

Why? Because there is tax inefficiency and several other reasons. We have a seven filter process to have a product line approved. And without that, our client objective of 11% to 14% is being met. If you look at the daily standard deviations of most PMSs operate at about 50% - 60% more than the corresponding mutual fund peers. That's one of the reasons because our objectives for the client are not just return-based. They are also risks, which we measure. A 3-year standard deviation of generally norm -- which should not be double-digit. So infusing PMSs results in increase in the standard deviation.

Secondly, AIFs also have long-only AIFs. We believe that alternate investment fund should be truly used for alternate as an instrument. Equity common stock is the most oldest financial instrument that being housed in an AIF is something which we disagree with. And we have an AIF license. We will use it appropriately when you are actually doing something which cannot be housed in a mutual fund or a PMS platform regulatory. Does that answer the first part, Abhijeet?

Abhijeet: Yes, it does. Look, I think it also answers the second one, which was around getting into doing these businesses in-house as an investment management firm. I think your strategy or your thoughts on that, anyways, answers the second question as well. Thank you.

Feroze Azeez: Yes. So, in fact, an MLD can be always housed in an AIF. We will explore that in the future.

Moderator: Thank you. We have a next question from the line of Sadanand Shetty from True Equity Advisors. Please go ahead.

Sadanand Shetty: My question has been asked. Thank you.

Moderator: Thank you. We have a follow-up question from the line of Senthilkumar from Joindre Capital Services Li

mitted.

Senthilkumar: Hi, good afternoon. Am I audible?

Moderator: Yes, please go ahead.

Senthilkumar: So firstly, congratulations for a good set of numbers, especially for the revised AUM guidance. And my question pertains to the correlation between net client addition and the Private Wealth AUM growth. Actually, I see 40% -- nearly 40% degrowth in net client addition and sequential basis. But as we have reported a 10 to 11 percentage growth in Private Wealth AUM. And how should we read this, sir? Your color on this, please?

Feroze Azeez: Senthilkumar, thank you so much for your wishes. And thanks for the question as well. Firstly, AUM, so client addition has not reduced. If you see 450 for the quarter 2 and 270-odd for this quarter, which is quarter 3, it will look like a reduction. It is not that the clients -- some clients get added or subtracted because of movements in market or small redemptions which come
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through. So, whenever you look at client additions, you have to look at a longer period because mark-to-market can move some clients up or down.

Does that answer, Senthil, first part? Yes, you have to look at 801 and compare it with 1,120. So in nine months, I have added 320 more clients than what I added in the first nine months. Is that clear, Senthil?

Senthilkumar: Yes, clear.

Feroze Azeez: Okay. So, it is not a reduction in the pace at which clients are being added. So that's a wrong conclusion. That second part is AUM. AUM is like a photograph. It is on a specific date, okay?

So like June end -- sorry, September end, the Nifty was not at great levels. So net addition of inflows and outflows will give you a better picture of how much money we are getting from marketplace. The last nine months have not been great sentiment. In spite, of that, we got INR 3,715-odd crores from clients, new clients and existing clients giving us more money. When times are bad, we look better to several of our clients because in good times, everyone is making money.

So, when, in bad times, clients give you more references and more AUM and they consolidate their portfolios with us, it is because a relative comparison. People don't do when everything is doing very well. People will buy a PMS and double their money, then they will not be so worried.

But when they underperform elsewhere is when they start referring their friends. So INR 3,715 crores of net mobilization is a better number to look at in terms of new money which came in, which was 94% greater than the previous year, same nine months. Senthil, you had another part also to the question. Sorry, I missed it.

Moderator: Thank you. We have our last question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Just following up on that, like you said, in the rough times, we look even better. So, what would be outlook given the rough time, which is continuing?

Moderator: Sorry. Can you use your handset, please?

Pallavi Deshpande: Yes. So, I just continue on the previous question when you said that in the tough times, we look better. So given the current environment, tough times seem to be continuing. So, can we assume still we will outperform going forward? And yes -- on the net inflow side?

Feroze Azeez: Thanks, Pallavi, for your other questions. So, I will make one comment and give the last word to Rakesh, sir. So will -- are we doing enough and more to make sure that at our long-term guidance of 20% - 25% holds? 2023 in our hope, is going to be better than 2022. So irrespective, growing at 20% - 25%, we think is a conservative guidance clearly. And for 2023, we are definitely attempting to beat that. And Rakesh, sir, if you can give an elaborate answer to Pallavi madam's

question, if you can please.

Rakesh Rawal: I think you have given the direction. Our belief is that 2023 would be far better than 2022. An

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you are already starting to see the results of companies that are coming on. And our belief is

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that, say, companies do well, then the markets will catch up, sooner or later. And similarly, companies do well when the opportunities increase. The GDP grows at 5% - 6% - 7%. There is opportunities for companies to grow. And therefore, I am not a believer of many of the people who say, massive recessions are coming, etc. etc. So having said that, I think that there will be good quality growth in terms of the AUM per se aided by market.

The second part is net flows, yes. Net flows is a function of client additions and penetration.

There is so much that we are doing to increase penetration of existing clients as well as acquisitions. I think Feroze mentioned the entire audit program that we have started, that when you audit the assets lying outside and show to the client mathematically that those assets are not very efficiently placed, there is a large tendency of the client to bring those assets for the better and more efficient management with us.

So I think exercises like this, whether it is audit of mutual funds, audit of insurance policies, audit of real estate and so on so forth, which gives them clarity that say what they are making there and what they can make here. So, this exercise brings in depth of penetration. So we believe that these exercises will lead to the net flows having a very robust momentum next year.

Yes, that's what I wanted to say. Does that answer, young lady?

Pallavi Deshpande: Yes, sir. Thank you so much, sir.

Feroze Azeez: Thank you, Rakesh, sir, for that answer. Pallavi, if we look at this business has got a vintage advantage. As you progress, RM vintage and client vintage helps. If you look at the client vintage segment-wise on a year-on-year basis, if you look at the 5-year plus clients, have on average AUM which is 4x more than 1 to 2 years. So, if I just extrapolate time passage and the average is remaining identical, then we are looking at growth greater than what has been indicated without client addition as well.

Pallavi Deshpande: If I may just squeeze in one last one on the MLD side. You could have some -- you have some quite a few bunching of MLD maturing during June 2023, if would that cause any volatility in MLD flows for FY23?

Feroze Azeez: Sorry, which FY? You are speaking of FY '23 or '24?

Pallavi Deshpande: The June '23 MLDs, those maturing in June 2023, will that cause volatility for FY '24 inflows of MLD?

Feroze Azeez: No. We have extrapolated our maturities, and that is a reasonably smooth curve. I can tell you that. And I don't know why you are specifically asking June 2023. Is there a particular reason,

Pallavi, in asking June 2023?

Pallavi Deshpande: MLDs, some of them are bunched up 3 years?

Feroze Azeez: So, we have a very well-placed maturity profile and for reasonable periods of time. And our rates of reinvestments are driven by the client allocation decision. And when the reinvestment comes, there is hardly any conversation because there are gaps in the allocation. They

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automatically get reallocated. So, for a reinvestment of INR 100, there -- in most cases, we don't even have to discuss more than 5 to 10 minutes with the client because there is an allocation already decided. So, reinvestment, just like the mutual fund industry, used to have an FMP as a product. FMP used to mature they used to get rolled over. That's the kind of principle.

So, to answer your pointed question, Pallavi, there is no -- it's a reasonable smooth curve of maturity, an 80% - 85% reinvestment, which is decided by the allocation and not by individual conversations that maturity is the nature of the business.

Moderator: We have a question from the line of Sunil Shah from Turtle Star.

Sunil Shah: Thank you so

much for the opportunity. Feroze and team, we really need to appreciate the culture that you cultivated in this organization. I guess we are strictly at now four different products of 11% - 12% - 13% - 14% return for the client. And it is really good that long-term compounding is actually what will roll out for the organization because of the stickiness of the client. So my point is the uniqueness that we do is the MLD product, which does not work easily from the

wealth management side available unless focused on what we want to do.

So, would MLD involve any amount of risk at maturity for any client? Because now we are

going to almost 20% from outside of our organizational concern. So, I just wanted to make sure about the risk in the MLD part. Could you just give me confidence actually?

Feroze Azeez: Yes, Mr. Shah. As you rightly pointed out that we are very possessive about our culture and the client centricity. We ofcourse, the organization aspires that, and so do we, and we are very possessive about that. And the culture built has a lot of inspiration from Rakesh sir's HUL experience for about 10 - 12 years.

Now coming to your pointed question, MLD, the reason why we used to have 100% of MLD in an entity, which was other group entity, is because we stopped selling Edelweiss and Reliance Capital MLD, which we used to sell previously. We have a team in the research, which identifies credit risk and is reasonably ahead of the curve. That's why Reliance Capital, which was a AAA-rated NBFC, which issued MLDs, we quit Reliance Capital 2 years before default. Some of the mutual fund companies didn't quit till default.

Now coming back to -- unless we are very comfortable, we don't give away credit risk management to any other company. Nuvama, of course, we have got the comfort with a 54% holding by Nuvama. That is why you see close to INR 600 crores have gone there. But MLDs,

as long as the money, like the group entity also, Jugalji is the best person to tell you, and I think my NBFC is also overlooked by our group CFO, who has been with the group from since '93 - '94. The kind of management stability there and the money allocated and very prudently deployed unlike most NBFCs. We are liability-backed NBFC than an asset-backed NBFC.

So probably, we can take this question off-line, and I can give you more information for the lack of time since we have gone over five minutes already.

Sunil Shah: No issue. I get the point. Thank you so much. Thank you.

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Feroze Azeez: Jugal sir, do you want to add something?

Jugal Mantri: As you rightly said, we can have off-line discussion.

Moderator: We have our last question from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: Just wanted to touch base on the, client addition discussion again. So because in this quarter, the explanation that you are giving that if the AUM is going below a certain threshold, we are not counting them in the number of client count. So would it be fair to assume that most of these are due to redemptions in this quarter? Because MTM, it may not be there this quarter. And if so, like what would be the quantum of clients who would have completely exited the relationship?

Feroze Azeez: What -- Rohan, right? What happens is Q2 number might have been inflated because of Q1 number. Because June quarter was very depressed. The rate of addition in gross, there's something called upgrade - downgrade of clients and net additions. If I look at net addition, that has marginally gone up. I will give you precise numbers. Redemption as a trend is not influencing this much. The client attrition number is very low. And if your RM attrition is very low, client attrition further goes down. But you will have to allow us some time to give you precise numbers. Your question is very valid. We will give you that data, for sure.

Moderator: I would now like

to hand the conference over to management team for closing comments. Over to you.

Feroze Azeez: Jugal, sir?

Jugal Mantri: Yes. Thanks, friends. I take this opportunity to thank everyone for joining on the call. I hope we have been able to address all your queries. And on two points where we have suggested off-line discussion, I will request Mr. Vishal Sanghavi and our SGA team to have the meeting or call arranged and the queries addressed. In case if you have any further information, requirement or any further query, kindly get in touch with our IR Head, Mr. Vishal Sanghavi; our CFO, Mr.

Rajesh Bhutara or our Strategic Growth Advisors, our Investor Relations Advisor. Thank you very much.

Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2023

ANANDRATHI

Private Wealth, .u11Complicated

Ref No: 14/2023-24

Dated: April 19, 2023

BSE Limited

Department of Corporate Services

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai-400 001

Scrip Code: 543415

Scrip ID: ANANDRATHI National Stock Exchange of India Limited

Listing Department

Exchange Plaza, C-1, Block G, Bandra Kurla

Complex, Bandra (East), Mumbai -400 051

Trading Symbol: ANANDRATHI

Subject: Q4 FY23 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q4 FY 23 earnings conference call dated 13th April, 2023. The transcript is also available on the Company's website at <https://anandrathiwealth.in/Investorrelations.php>

This is for your information and record.

Thanking You

Yours faithfully

For Anand Rathi Wealth Limited

Nitesh Tanwar

Company Secretary and Compliance Officer

M.No. FCS-10181

Enclosed: as above

ANAND RATHI WEALTH LIMITED

(Formerly known as 'Anand Rathi Wealth Services Limited)

AMFI-Registered Mutual Fund Distributor

GIN No.: L67120MH1995PLC086696 Registered Office : Floor No 10, A Wing, Express Zone, Western Express Highway, Goregaon (E), Mumbai -400 063

Board line No: 022 6281 7000 | Website: anandrathiwealth.in

Corporate Office : Floor No 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai -400013 | Board line No: 022 69815400/69815401 Website: anandrathiwealth.in

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Q4 & FY '23 Earnings Conference Call"

April 13, 2023

MANAGEMENT : MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER

MR. RAKESH RAWAL – CHIEF EXECUTIVE OFFICER

MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER

MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER

MR. CHETHAN SHENOY – DIRECTOR AND HEAD OF PRODUCT AND RESEARCH

MR. VISHAL SANGHAVI – HEAD IR

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Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Q4 and FY '23 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Feroze Azeez, Deputy CEO, Anand Rathi Wealth Limited. Thank you, and over to you, sir.

Feroze Azeez: Thank you so much, madam. Good afternoon, and thank you, everyone, for joining the earnings conference call for the quarter and year ended 31 March, 2023. Along with me, I have Mr.

Rakesh Rawal, the CEO, Mr. Jugal Mantri, the Group CFO, Mr. Rajesh Bhutara, the CFO, Mr. Chethan Shenoy, Director and Head of Product and Research, Mr. Vishal Sanghavi, Head IR, and SGA, our investor relations advisors.

Amidst geopolitical tensions, higher inflation and higher interest rate environment, we have delivered a strong performance across all our business verticals. In FY '23, our revenue grew by 31% to Rs. 558 crores, and the profit after tax grew by 33%, to Rs. 169 crores. Our holistic approach has also aided us in achieving a strong AUM growth of 18% year-on-year and reached a number of Rs. 38,993 crores.

During the last year we've added 1,270 client families, a new record and ARWL. This clearly demonstrates the trust and confidence our clients have in our services. Our total client families as on 31 March 2023, stood at 8,352. On the relationship manager side, we have added 22 RMs on a net basis for the full year. Over the years, Anand Rath Wealth Limited has believed in providing uncomplicated, holistic, standardized solutions to our clients that have helped us consistently deliver robust performance at Anand Rath Wealth.

For our flagship business, the Private Wealth vertical, AUM grew at 18% year-on-year. Despite the challenging environment, we have delivered strong performance across verticals. Our net flows for FY '23 stood at Rs. 4,896 crores, a growth of 78%. And the net flows of quarter 4 FY '23 stood at Rs. 1,180 crores, growth of 40% from the same period last year. This speaks of value which we have added to our client. This growth also reflects the effectiveness of developing uncomplicated wealth solutions for our clients, as well as our competency of our teams.

Our Digital Wealth vertical is a fintech extension of the company's proposition for the mass affluent segment, also registered a growth in the AUM of 23% year-on-year to Rs. 1,151 crores
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(The number was incorrectly spoken as Rs. 1,151 crores however the actual number is Rs. 1,051 crores), while the number of clients grew by 9% year-on-year to end that 4,249.

Now I will request Chethan Shenoy to take us through the Omni Financial Advisor business updates. Chethan, can you step in, please?

Chethan Shenoy: Thank you, Feroze. OFA business is a strategic extension for capturing wealth management landscape to service retail clients through mutual fund distributors by using our technology platform. As on 31 March, 2023; OFA has 5,677 mutual fund distributors associated and has assets under administration on this platform of Rs. 92,174 crores. The Board of Directors have declared a final dividend of Rs. 7 per equity share of face value of Rs. 5 each of the company. That is 140% of face value.

To

tal dividend for financial year 2023 stood at Rs. 12 per equity share. This includes an interim dividend of Rs. 5 per equity share paid in October '22. In the last one year, post listing, the company has outperformed its own expectations. And we anticipate our long-term commitment to offer the most efficient wealth solutions to our clientele will enable us to achieve 20% to 25% growth in the years ahead.

Thank you. And now I request Jugal Mantri ji, our Group CFO, to take you all through the financial performance of the company.

Jugal Mantri: Good afternoon. Thank you, Feroze bhai and Chethan. Friends, despite short-term volatility, the mid and long-term outlook for the Indian equity market seems highly promising. We have delivered strong financial performance across all three verticals. Our consolidated revenue for the quarter ended 31 March 2023, stood at Rs. 147 crores, as against Rs. 115 crores, in Q4 FY '22, registering a growth of 28% Y-o-Y.

While revenue for financial year 2023 stood at Rs. 558 crores, as compared to Rs. 425 crores in FY '22, registering a growth of 31% Y-o-Y. Our profit before tax for the quarter stood at Rs. 59 crores, registering a growth of 35% Y-o-Y, whereas profit before tax for FY '23 stood at Rs. 228 crores, registering a growth of 36% year-on-year. Profit before tax margin stood at 40.4% in Q4 FY '23 and 40.8% in FY '23.

Our profit after tax for the quarter stood at a healthy Rs. 43 crores, registering a growth of 23% Y-o-Y, as compared to Rs. 35 crores in Q4 FY '22. Profit after tax for financial year '23 registered a growth of 33% Y-o-Y and stood at Rs. 169 crores. Our PAT margin stood at 29.1% in Q4 FY '23 and 30.2% in FY '23.

Earning per share for Q4 FY '23 stood at Rs. 10.3 per share, and for financial year 2023 it stood at Rs. 40.5 per share. Out of EPS of Rs. 40.5 per share for FY '23, the company has proposed to pay 30% as total dividend that is Rs. 12 per share.

Coming to the Private Wealth vertical for FY '23, our flagship Private Wealth verticals revenue grew by 31% year-on-year, which stood at Rs. 538 crores. While sales revenue grew by 23% Y-
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o-Y, which stood at Rs. 182 crores. Profit before tax for FY '23 stood at Rs. 226 crores, registering a growth of 36% Y-o-Y, while profit before tax margin stood at 42.1%.

Profit after tax for FY '23 stood at Rs. 168 crores, registering a growth of 34% year-on-year, while profit after tax margin stood at 31.3%. Return on equity of our flagship Private Wealth vertical as on 31 March 2023, stood at a healthy 38%.

With this, we will now open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer-session. We have a first question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Hi, good afternoon sir. Thanks for the opportunity. The first question was on the revenue side.

So, within the revenue, we see that the revenue has been driven from the distribution of our MLD products. So just wanted to know that during the quarter, what kind of the gross issuance we did in this quarter, like both primary as well as secondary on the MLD side?

Feroze Azeez: Lalit, before I hand over to Jugalji to give the precise numbers, since the market in the last quarter, for example, started on 1st, January from 18,100 to 17,300 and since the markets have been flat for the full year is why you may want to say that the revenues have come from the MLD distribution. But if you look at it, our net mobilization on the equity mutual fund side, which is what will give us the trail revenues, was Rs. 900 crores (The number was incorrectly spoken as Rs. 900 crores however the actual number is Rs. 1,004 crores) in equity mutual funds approximately.

In the full year, we collected Rs. 2,400 crores - Rs. 2,500 crores (The number was incorrectly spoken however the actual n

umber is Rs. 3,000 crores) in equity mutual funds, whereas the

industry lost Rs. 15,000 crores other than the SIP collections. So our net mobilization share in the trail generating business has been significantly more focused than the MLD distribution. But since the markets have been subdued, the revenues seem to be more skewed towards MLD business. But my gross mobilizations and net mobilization have been extremely skewed towards the trail-generating business, so as to fulfill the commitment or an indicative commitment over the next few years to have 50-50 as the ratio between upfront and trail.

Jugalji, if I can request you to give some more color to this.

Jugal Mantri: Yes. Mr. Lalit, see in Q4 FY '23, the gross issuance of non-principal protected structured product was Rs. 1,000 crores, compared to Rs. 984 crores in Q3 FY '23 (The number was incorrectly spoken as Rs. 984 crores for Q3 FY23 however the actual number is Rs. 1,151 crores). But if you look at the net number, in fact the redemptions were more for because of the maturities, the net number was minus Rs. 407 crores in non-principal protected structure products for Q4 FY '23. And for the mutual fund, equity mutual fund, the net mobilization was Rs. 1,004 crores. For debt mutual fund, it was Rs. 213 crores and other products Rs. 370 crores. So overall, for all the products, the net mobilization was Rs. 1,180 crores in Q4 FY '23.

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Lalit Deo: Sure, sir. So, sir, just like as you mentioned this Rs. 1,000 crores, this includes both primary issuance as well as the secondary issuance or this is just the primary issuance?

Jugal Mantri: No, this is, Rs. 1,000 crores is primary. The secondary number is Rs. 287 crores.

Lalit Deo: Sure. And sir, second question was on the -- so like during the quarter, there have been several regulations which are then announced and like basically the taxation on MLD part. Then the second one was on the taxation on the debt mutual fund as well. So with all these regulations coming up, coming in during the quarter, how has been the customer behavior towards these products? And what are the initial signs that we are reading from the market right now?

Feroze Azeez: Lalit, there are quite a few questions intertwined into one. One is client behavior, tax change, regulatory changes which are there for the quarter. So, first is client behavior has been very - very positive towards Anand Rathi Wealth because we predicted this, clearly predicted this on pieces of paper and sent notes saying that the tax advantage for principal protected MLDs will cease to exist. Not even may cease to exist, we had said will cease to exist in the next few budgets.

So that really helped. Clients did not buy even a single principal-protected 10% taxation MLD. The problem was MLDs, a few of those MLDs which got listed because of their principal-protected nature were being taxed at 10%, whereas all the other debt instruments were being taxed at 20%. So we never issued any principal-protected debt-like MLDs. All our MLDs, 1,200 which matured, 1,700 which are expected to mature - 1,600 which are expected to mature, all of them are equity-like, non-principal protected equity-like. So clients could see the merit of -- for us. For the years we have counseled them not to go for tax advantage as a prime purpose of an instrument purchase.

So that helped. Client behavior has become far more positive, and we have no more having to answer the same mundane question we have been answering for years, why we don't do listed,

rated, principal protected MLDs. Now, that question has suddenly vaporized, which was the most commonly asked impediment.

Then comes tax efficiency. Again, debt funds have come into the gambit of Section 50AA. They have come under the gambit And again and again reiterates our stance that if you are taking the risk, there is no problem. So 35% plus equity

y allocations in any fund will not be covered under

50AA. So that doesn't change too much because our strategy on the debt side because our clients have intergenerational wealth. We have collected a homogeneous group of clients is why we have 8,400 not 80,000 clients. We have collected homogeneous groups of clients who have intergenerational wealth. And debt has very small role to play in intergenerational wealth. It's a shock absorber for short-term volatility.

So we have very small amounts in debt and where we have a low cost, no credit risk, no interest rate risk strategy. So that doesn't get impacted. Regulatory changes have not impacted Anand Rathi Wealth. And there are a few more regulatory changes which have come, which would have gone unnoticed. There is a PMS regulation change which has come in 2022 - December

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16. That's one regulation which has come. AIF regulation, which has just come two - three days back. All these don't impact us because we -- and there's one more regulation which came during the year, during the quarter, was the B30 commission going away. So all these don't impact us because we have not used any upfront commissions of AIF or PMSs or the B30 provisions to build a revenue stream. Does it answer, Lalit bhai?

Lalit Deo: Yes, yes, sir, it does answer. Actually last question was that like, since you mentioned in that these days the market has become a little uncertain and like, so in that equity schemes which you generally share with your investors, so like have you changed any kind of strategy over there or like that? Like we have a policy of only giving out 11 equities schemes. So have you made any changes in those schemes?

Feroze Azeez : Yes, we have made some changes in the scheme. We do this exercise, a very thorough exercise between January, February and March every year to see the validity of the schemes we recommend. There are 380 active schemes, out of which we had 11 schemes only. Our purpose of buying an equity scheme is to make sure on an aggregate 11-scheme level we are able to beat NIFTY by 2 to 3% or NSE 500 by 2 to 3%. So it requires an immense amount of vigilance. Yes, there are some changes. Now we have launched our new model portfolio, which has 14 schemes instead of 11.

We have increased the number of schemes because we did -- we analyzed client portfolios transaction-wise, external portfolios, which are with competitors. And we realize that we win over 90% of the external portfolios. But there are some portfolios which beat us. They had more number of schemes. So we have increased the number of schemes to 14.

Moderator: Thank you. We have our next question from the line of Madhusudan Kela from MK Ventures. Please go ahead.

Madhusudan Kela: Yes. Hi, Rakesh, Feroze. It's Madhu Kela here. Both my colleague, Sumit is also along with me.

Sir, congratulations in this environment. I think over the last one year amid all this volatility you guys have declared fantastic results. I have two - three points to make. One, in this overall tax environment, what has happened to debt mutual fund in terms of taxation, what has happened to MLD guidelines in terms of taxation, how do you see this business shaping up over the next 12 months and maybe over the next two - three year period also? Has it lost some steam compared to past because of slightly unattractive taxation? I am saying asset class as a whole.

Feroze Azeez: Debt as an asset class, sir? Is that what you asked Madhu Sir?

Madhusudan Kela: Yes, MLD, basically?

Feroze Azeez: Sir, MLD, now they have defined MLD as those which have principal protection. So the answer is yes, the Rs. 1.5 lakh crores industry, which ARWL had zero share in that will become absolutely non-lucrative for HNIs. Okay, we didn't have a share. We were always in the non-principal protected unlisted, unrated MLDs because they give an equity-like return, b

ut lot of

MLDs were only debt with a small little clause. So they were practically a bond with some

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outrageous clause saying that if NIFTY went to zero, I will not give you a return. So those were MLDs for the name sake. Those will definitely have an impact. That was almost, if I am right, if my memory serves me right, it's about Rs. 1,35,000 crores, Rs. 1,40,000 crores industry, sir.

Madhusudan Kela: Sir, do you see that you gaining market share, at least that money which was going in all those

MLDs, will this mean that part of that could come to companies like yours, who are being selling unlisted MLDs?

Feroze Azeez: Yes, Madhu, sir, that we are seeing because this was one thing which was competing with us. That competition has gone away. Out of our 8,400 families, by taking them through logic we used to convince them that what we are saying is mathematical and logical. So most of our existing clients might not have too much intersection with that 1,35,000 crores, but there are a few. They might be 10%, 15% of our clients who would have had listed MLDs, they are seeking our tax advice also sometimes. So, you are right, we might have some collateral benefit of that industry losing its steam.

Madhusudan Kela: My other question is of course what we are hearing, that the entire expense ratio is being discussed at the regulator, that it will come down meaningfully for the AMC, right? Whether now it will happen or not happen-- hello!

Feroze Azeez: Yes, sir, very intently hearing you, sir.

Madhusudan Kela: Give me one minute. Whether it will happen or not happen, we don't know. But supposing it's something like what is being proposed had to happen, how will it impact our business in terms of growth, margin, everything because what is being discussed is pretty sharp.

Feroze Azeez: Yes, Madhu sir. There are about six to seven points in the discussion paper which was floated as informed by my friends in the industry are concerned. So one of them, which has got implemented is B-30 being abolished. First let me give you a context of how we look at it. We have not used any of the extra benefits, so it doesn't impact us. Why I had like to say is, one thing which was the B-30, we have not used. We have not sold one NFO in spite of knowing several of our companions in the industry sold and collected 3% in the first year as trail. We said no, we will not do an NFO because it doesn't make sense for the client too. In-spite of having 380 old funds, buying a new fund didn't make sense to us. So we did not use B-30, we have not used NFOs.

Now we have not used smaller schemes just to increase our AUM. The 11-scheme model portfolio last year, the average scheme size was Rs. 15,000 crores. In the circular, which SEBI has sent to AMFI and in turn to asset managers, they have said that let's have an AMC-based expense ratio. Even if that gets implemented, then my trail comes down by 2 paisa, which I simulated. Out of my trail commission today in the equity mutual fund is 1.11%, that could come down to 1.09% if I look at all AMCs of the same scheme having the same expense ratio was the biggest hardest heating item out of the seven items written in that discussion paper, sir.

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Madhusudan Kela: And Feroze, how will it impact our future business if these guidelines were to be implemented? One is the trail commission coming down. How will it impact the future earnings?

Feroze Azeez: Madhu Sir, since, look sir, because we have a model portfolio which only earns me 1.11%, if I use all -- if I would have used all these provisions, I would be earning 1.4% trail. Because it is not in my client interest, so I am currently voluntarily earning lesser because I have not used any of the provisions which are there. To come back to your pointed question, Madhu Sir, what will be

the impact on the trail commissions in the future, I think minimalistic 2% to 3% if all of them get implemented because I have not got that 2 paisa advantage, is why it is not going away. So there will be several distributors who used to use those advantages, they will have an impact, for sure. So it's an important point for a distribution fraternity because I have not used them in spite of having known of them, is why the impact could be lesser. In fact, it will improve active funds performance, which will impact us positively because if it makes alpha then because I am the third largest distributor, other than aggregators, other than Indian banks, I am the largest equity mutual fund distributor. It will impact me positively because performance will also be raised by 0.20 paisa to 0.30 paisa. Alpha what I very.

Madhusudan Kela: Is there any particular reason why you have either not looked at international markets yet in terms of sourcing clients or even distributing products for, let's say, Indian investors into international markets.

Feroze Azeez: Madhu sir to have your perspective. To be very honest if even after employing 83 research people won't understand India a lot. So, we thought that, brother if you do anything which is a little more beyond, because we like to have 20 - 30 people doing research in the international market, if not more. So and relationships get a little dampened if you make mistakes. So we try and have a kid glove kind of an approach to our relationship. But Rakesh Sir would be the best poised to answer this question, sir. Rakesh Sir, can I ask you? I know you have a sore throat that's why I have been doing the talking.

Rakesh Rawal: Madhu, basically the whole thing is objective that let to make a return of 12% to 14%. Hello?

Madhusudan Kela: Yes, sir I am with you. I'm with you.

Rakesh Rawal: Yes. And we have to get to 12% to 14% in the simplest way possible. Right? So if the simplest way possible means a certain proportion to Indian equities through the simplest mechanism,

which is mutual funds. And structured products and a little bit of debt, then that becomes the least distance path, right? Anything more, complicates it. So if I add foreign funds or if I add foreign markets, it's complicated when it doesn't serve the purpose. So complication, which does not serve the purpose, we avoid. And that's been our strategy right from the beginning. So that's the reason why we don't look at it. Plus, I think also Feroze said, that anything that we do, we want to do deep researching and then take to the customers. And if I were to take US or to take China or any other market, I just don't want to just do a fund just for the sake of it. I want to do it if there is going to be deep research, which means a lot of resources have to be put into Anand Rathi Wealth Limited

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it. A lot of resources putting, not serving a purpose didn't make business sense to us. That's why we didn't do it.

Madhusudan Kela: My other part of the question, Rakesh, was obviously NRIs and the people residing abroad is also a large community for Indian markets. I am assuming that Anand Rathi doesn't have a significant international presence. Any particular reason why we have not looked at it?

Rakesh Rawal: No, no. See we have an office in Dubai. And we've got that now for the last six - seven years, we have got great traction there. So, what we are doing with them is that we were saying, hey, bifurcate your money into two parts. The ones that you want to invest in India and the one that you want to invest abroad. For the ones that you want to invest in India, we are masters, instead of being jack of trades for all markets, we are master of one issue. And there is a lot of attraction to India over the last several years. The image of India has changed and a lot of NRIs are showing interest in investing in India.

So for that portion of the portfolio,

which is significant, we have the full value of their money.

And that's growing very handsomely in Dubai. And we will have, without having offices in the US, several US clients. And I manage a few whose 90% of those, they are being managed by us.

So we have about 10% of our book, which is NRIs. So we are not ignoring NRIs but yes, you have a point that, yes, maybe we could be a little more aggressive there.

Madhusudan Kela: Thank you so much. And the best.

Rakesh Rawal: Thank you Madhu. Thank you for joining us.

Moderator: We have a next question from the line of Samyak Shah from Sameeksha Capital. Please go ahead.

Samyak Shah: Hello. Congratulations for this good set of numbers. Am I audible?

Feroze Azeez: Yes, Samyak. You are.

Samyak Shah: Yes. So there is significant amount of increase in other financial assets, as we can see from cash flow. So is it like FDs which is collateral against bank overdraft. And if so, then for what purpose such high amount of cash has been restricted?

Feroze Azeez: Jugal Sir, if you can.

Jugal Mantri: Yes, Mr. Samyak. See, what has happened is that if you recall in the month of February and March, the FD's interest rates have shot up. And what we have done is that we have made fixed deposits of more than one year in the month of February and March. So as per the balance sheet classification, in case if we are holding fixed deposit in excess of one year, then it has to be shown in other financial assets, which was earlier part of cash and cash equivalent. So actually, there is just movement of fixed deposit from cash and cash equivalent to other financial assets.

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Samyak Shah: Okay, got it. And my other question is that can we get to know bifurcation of net inflows as to how much is from existing clients and how much from new clients, so new families which we have added?

Feroze Azeeze: Jugal sir, would you want to take that one?

Jugal Mantri: So Mr. Samyak, can you repeat the question?

Samyak Shah: Yes, sure. Sir can I know the bifurcation of net inflows as to how much net inflows from existing clients and how much is from our new clients?

Jugal Mantri: So I think this sort of classification we do not have about the AUM mobilization from the new clients as well as old clients. Reason being that our existing clients also they keep on like moving from one bucket to another bucket in case if their AUM fall below 50 lakhs, then they get excluded from my active number of clients. But it still will work out and give it to you Mr. Samyak.

Samyak.

Samyak Shah: Okay. Thank you.

Moderator: Okay, thank you. We have our next question from the line of Mayank Agarwal from Incred Capital. Please go ahead.

Mayank Agarwal: Yes, thanks for the opportunity and congrats for good set of numbers. My first question is on

RM addition. We have added 16 RM. Now we have 292 RM (correct no is 293). So how many of the new addition is from outside and how much is from you know the promotion of the AMs to the RMs? My first question.

Feroze Azeeze: Yes, one. I will just give you the split. The net addition is 22, right? Yes, sir. For the full year, the net addition is 22. Okay, and you would be also happy to note that last quarter when we declared our result, our regret attrition was zero. This quarter it is one, that is 0.35% for this quarter. For some personal reasons, some RMs might leave. But we have been able to maintain a very, very low regret attrition number. Regret attrition defined as a person who has got more than 40 crores of AUM.

After having come to 40 crores a year, if somebody left off, it would be called a regret attrition, and that was only one person in the quarter. And coming back to your question, lateral hires from the industry are 40% internal and 60% external. That is lateral hired. For the last quarter, right?

Mayank Agarwal: Yes, sir. So, there would be also some client

addition because of that outside hiring also, if I am right?

Feroze Azeeze: Sorry?

Mayank Agarwal: The 40% hiring we have done outside, they would also have bring some clients out of the newly added clients, if I am right. Is that the issue we should look at?

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Feroze Azeeze: Yes, there will be issues. When a client, new RM comes, he adds about 10 – 12 - 14 clients. It is not very easy to move all the clients from the erstwhile organization. So, it will be very difficult to bifurcate that when he joins in, in the first 3 months, 4 months, how many does he get? So, over a period, he tries to re-establish, connect with his erstwhile organization's client. Yes, you are right.

Mayank Agarwal: And I want your perspective on equity inflows. So, the industry is witnessing, you know, kind of a neutral inflow for last 4-6 months. It could be higher interest rate or you know, the neutral performance of the market. When you expect equity inflows to return to the market?

Feroze Azeeze: See, the fact that equity inflows are not there may not be the best judgment. What happens is HNIs use different vehicles. Right? Mutual fund has had very low inflows from HNIs. PMSs have had inflows, AIFs have had inflows. Now, AIF also is going to be starting a direct alternative, direct option. So, then again, the mix between MF, PMS and AIF in most wealth management outputs is going to change. So, coming back to this year, the total net outflow of HNIs is 15,500 crores negative. If you remove the SIP collections for the full year.

So and Anand Rathi's number is till February was 2,400, somewhere there about. So, we are positive, the industry is negative. To come back to your question, pointed question Mayank, when will this become better? To my mind, it will become better because you have already gone through a one and half year time correction.

You have gone through a thousand points of price correction. In the same period from October 21, markets have not moved anywhere. They have added 900 rupees of earnings to their books, minus the dividend of course. So, I think there has to be the light at the end of the tunnel. That's point one. But you would be happy to note how a wealth management output can influence a trend in its own set of smaller subset of 8,400 clients. You would see that the last quarter, Nifty was very bad. But our sourcing was the maximum in equity mutual funds.

It is one thing to have academic faith that market will be down, we will buy. There is a, it's all together a different thing to actually do that in action. So, you would see that in quarters where Nifty averages lower levels, our net mobilization is increased. And that's when client performance comes. Right? So, that's something which we take pride in like Jugalji said, the 1,000 crores of our total sourcing for the last quarter came in equity mutual funds.

Mayank Agarwal: Right, thanks that was really useful and best of luck.

Moderator: Thank you. We have our next question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, good afternoon. Hope I am audible.

Moderator: Yes you are.

Feroze Azeeze: Yes, Mr. Ghosh, you are.

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Dipanjan Ghosh: So, just a few questions from my side. First, you know, a lot of the private banks and the boutique wealth managers have been guiding on expanding their presence in the 1 to 10 crores or 1 to 20 crores segment. So, both from let's say a medium term, maybe a 5 to 7 year perspective, how do you see the competitive intensity increasing in the segment? Obviously, there is a high expansion

in terms of client penetration or new client acquisition, but also there is an aspect of competition increasing from some of these players?

Second, I think from the cost perspective, obviously over the last few years, you have seen some

improvement. If you can give some color on what sort of buffer or headroom do you see on the cost side from a medium-term perspective, where you can see some improvement out there. And also, if you can split your overall expenses between variable and fixed, be it on the employee or over on the side?

And lastly, one data giving question, if you can quantify the ESOP expense for the quarter and for the year?

Feroze Azeeze: Yes, that's a lot of questions, Mr. Ghosh. So, I might just miss any of them. You can pull me back into those ones. The first one, you said about just the competitive intensity, right?

Dipanjan Ghosh: Yes.

Feroze Azeeze: See, the competitive intensity is not just about the number of players in the space. It's about number of similar players in the space. What we stand for is being mathematical, not product pushing, right? We have a strategy, we do it very uncomplicated. There is no wealth management outfit which would be able to survive without doing an NFO, without doing a PMS, without doing an AIF for 10-10 years. So, we have acclimatized our clients to expect no entertainment, uncomplicated advice. Not something new every quarter, right?

So, when you look at it, the industry does direct equity. Clients may not even know their IRR, forget their alpha, right? PMSs they do, they don't know their post-cost, post-expense alpha and IRR. Quite a few clients don't know. So, we want to be guiding our clients on the basis of mathematics. So, and all other peripheral services, right? A guy does regular mutual funds with us, not just to remunerate me on mutual funds.

He wants to remunerate me for the trust I created, for the tax opinions I gave or help them source. He wants to give me a regular scheme because I have made his will, I have registered his will, I am making codicil to his will. So, there are several peripheral services. So, for wealth management outfits to offer these services and do mathematically just a 1% equity mutual fund business, I don't see that will change too much.

Because as of now it's just there are so many players. But not the real private bankers want to start in the ultra-HNI segment. But we have the Rs. 5 crores to Rs. 50 crores segment which Rakesh sir chose way back in 2007 as his preferred segment because the DNA of those people is mathematical, professional. They don't like product pushers. They like somebody who can
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give them professional service. So and we will traverse that as the industry evolves. And that's all. What was the next question Ghosh sir?

Dipanjan Ghosh: Second was on the cost part, whether you see some headroom from improvement and what is the quantum and also if you can split between variable and fixed.

Feroze Azeeze: Yes, yes, Jugal Sir.

Jugal Mantri: Yes, Mr. Dipanjan, if you look at the overall cost structure which we have, out of Rs. 100 revenue which we earned, see our PBT margin is about, say, 42.5%, okay? So rest, about 57.5% that constitutes my total cost. And out of that, if you split it, that the operating cost, including employee cost, that is, say, about 46% - 47% and remaining 10% is other incidental costs, which is other operating business promotion, rental and all these things. And even in case of employees, the split is between the revenue-generating employee as well as the product, operation or non-revenue-generating employee set up is, say, between 2/3 and 1/3.

So what we can say as far as concerned with the increase in the volume of business, that the 1/3 cost, we are still capacitized to handle, say, another 50% volume of what we have been doing right now. And that will be a semi-variable cost. And the revenue-generating employee, which constitute that is directly variable cost. So if we overall, as long as we achieved, say, 42.5% to say, 43% or 44% of the gross margin or the PBT margin, I think that we are very close to the optima

I listing margin level. And the further scope of improving it is limited. That will be less driven by the volume and the commensurate increase in the cost. Does this answer your question, Mr. Dipanjan?

Dipanjan Ghosh: Yes, sure. And if you can just quantify the ESOP expense number?

Jugal Mantri: That is very insignificant. I think in this quarter, it was about Rs. 1.5 crores, that was the ESOP expenses. There are no other ESOPs which are outstanding. So in fact that expenditure will also go away going forward.

Dipanjan Ghosh: And if I can just follow up on one of the points you mentioned in a previous answer. You mentioned that if the industry were to move to a company-level TER from a scheme-level TER, then the impact will be around 2 bps going down to 1.09% from 1.11%. So if you can give some color on how you kind of arrived at this calculation. Or what are those inputs that you kind of

baked in?

Feroze Azeez: Yes. So what we did was, see, every asset management company, we had 9 asset management companies, 11 schemes, okay? If every asset management company's average AUM of each of the schemes became their actual TER fixation number. For example, if I take the largest AMC, the biggest scheme could be Rs. 30,000 crores, right? If all of them were pegged to Rs. 30,000 crores, what would be the actual expense chargeable on the scheme which I am selling, right? I am selling, for example -- okay, let me not give you examples of asset management companies. But if I would be selling a Rs. 10,000 crores scheme in our asset management company, which average AUM is Rs. 20,000 crores, will I get impacted there in that asset management company, Anand Rath Wealth Limited

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I will get impacted. Now I sell a very, very large scheme also in my 11 schemes, which you would have heard of, me speaking on TV or somewhere where you would have Rs. 50,000 crores - Rs. 40,000 crores in that scheme.

In that AMC, I will not get impact. So we went AMC-by-AMC, trying to re-peg the TER permissible as per SEBI's slabs on the average and the highest scheme of that corresponding asset management company, then did the math. Then the drop was 3% - 4%. Then if you made some modifications to the model portfolio, the new model portfolio said 2% - 3%. That's all.

Dipanjana Ghosh: And when you say average AUM, basically overall sum of AUMs divided by number of schemes, right?

Feroze Azeez: See, one of the interpretation says that that's not the case. So I have also simulated into the largest schemes. If all the smaller schemes of an asset management company now gets charged only on the basis of the larger scheme. So there is some degree of interpretation there. Average may not be the right because it is not become a rule, and I think that's put at bay, in my opinion so far.

So, when it happens, you have to try and navigate that.

And I don't think if my model portfolio was so designed to get a 1.3% trail, which I could have very easily, the average AUM of my 11 schemes is 15,000 because I am a client-centric organization. I will choose a scheme not because of the 2,000 crores scheme could give me more commission. The average scheme size being 15,000 itself implies that I didn't use the smaller schemes to bring my revenues up. If I would have done that, I would have been at a 1.4% trail, then would I come back after this regulatory change to 1.1%. So I could have enjoyed that 0.2%, 0.3% more for some period of time, very well knowing it will go away. So I have not used that.

Does it answer?

Dipanjana Ghosh: Yes, sure it does. Thanks for the clarifications and all the best.

Feroze Azeez: Thank you sir, for your questions.

Moderator: Thank you. We have our next question from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: So one question, just a broad question on how we operate. So just some perspectives on what's been the level of acceptance or what are your

broad thoughts around moving towards an advisory-based or a fee-based model in terms of advising our client base?

Feroze Azeez: For fee-based model, 2013 is when advisory regulation was introduced. There are about 10 circulars which have been published after that, circulars and discussion papers. We have not had to change our business model. We have chosen distribution. We will remain distribution till advisory, all products need to be on direct. Now after 10 years of mutual fund going on direct, 2 days back or 3 days back, you read that AIFs are also going to have a direct option because a client portfolio has several products, insurance, AIFs, PMSs mutual funds. Only mutual fund had a direct option. PMSs didn't have a direct option.

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So that's why we chose a distribution model. 5 years from now, 10 years from well, now if all financial instruments could come on direct is when somebody can choose to go the advisory model or the distribution model and then give unbiased advice, right? So that's the reason. And anyway, the advisory licenses have been surrendered by all wealth management outlets in October 2020. This is something. And now PMS platforms get used for charging a fee. Most of our companions in the industry surrendered their advisory license. If you google that, you will find it. Does it answer, sir?

Abhijeet Sakhare: Yes got it. Thanks a lot.

Moderator: Thank you. We have our next question from the line of Varun Pattani from Quant Mutual Fund. Please go ahead.

Varun Pattani: Congratulations on a great set of numbers. So my question was on selection of mutual fund schemes. You mentioned you have 11 schemes and you might increase a few more schemes now. So what sort of criteria apart from maybe AUM size or something else? What criteria do

you look at? Because most of the industry practice is looking at historical numbers like returns or Sharpe ratios or something like that. So as a customer or as a client, how do you explain it to them why you have gone for a particular mutual fund scheme?

Feroze Azeez: So, Varun, I can sometimes offline take you through the presentation from a client standpoint, but we -- I just tell you in a nutshell. Firstly, we tell the client that don't evaluate each scheme independently, you have to evaluate the full portfolio. I don't take a mandate to get you the best 11 schemes. So the portfolio, you will always have 2 - 3 or 1 - 2 - 3 of those schemes out of the 11 - 12, you choose which will not do well. That's an expectation setting. Otherwise, the client is always going to get into individual schemes and it will be, rest assured, there will be 2 - 3 of them which will under-perform and he will miss the woods for the trees, point one.

Point two, how do we choose it? We ran a regression model on 104 variables to check the correlation with -- as a lead indicator and then we identified some 11 variables which have a significant correlation between the past variable and the future performance. So what are those 104, it's a laundry list of them, not those conventional sharp variables only. There are several other variables. We check the correlations of them and then we use regression to fit the coefficients of those differential equations. That is the statistical method. The second is we try and get into the schemes, stocks in each of those portfolios, and we use our research to find out the overall basket's future potential. Just like most analysts give a target price for a stock, a basket of stocks also we try and put rigorous efforts to find out which is the portfolio which has the maximum headroom for growth and internal price movement. That's the second.

Third we do is, we try and see, we rank our fund managers, 152 fund managers are ranked in the chronological order of their decision-making capability, which we numerically measure using a proprietary formula. So I don't wa

nt to give that all on a call. But yes, these are the three steps.

And then doing all this, just to make sure that we are able to beat Nifty by 2% to 3%. 9 and half years, we have run a model portfolio. Ever since direct came, we said we will have to generate

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Alpha and create our relevance. That's when we will be able to sustain a regular business for years to come or if not decades.

So in the 9 and half years, the audited performance of our model portfolio of 38 exits and 36 entries in the portfolio has resulted in 2.23% Alpha over Nifty compounded for the last 9.5 years is the outcome of our statistical evolving mathematical model for a choice.

Sorry for the monologue. Varun, does it answer, at least conceptually?

Varun Pattani: Yes. It does, thank you.

Moderator: Thank you. We have our next question from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Hi, thanks for the chance. Sir, just one question that from the current revenues in the PPT, the way you report it, out of your 141, 47 is trails, that's clear. So the balance 95, how much of it comes from the up fronting of the MLDs? Could you quantify that? That's just a query I have.

And the second one, actually, if you could quantify this, if it's possible?

Feroze Azeez: Yes, it's certainly possible. Jugal sir, if you can say that. So a reasonable portion of that will be MLD, primary, secondary and some broking income, some things which are generally there.

Jugal Mantri: Yes. So out of that, like 91% or 91.5% is from the MLD and rest is from other products.

Aejas Lakhani: Perfect. And sir, you mentioned a couple of times that your growth is, in the MF has been Rs. 2,000 crores ballpark and the industry has had minus Rs. 15,000 crores. So could you just tell me what is exactly driving that? And what do you think are the growth drivers for that in FY '24 and FY '25?

Feroze Azeez: So measurement is driving that. Now if a client came to me or if we went to a client, we try and find out transaction-wise Alpha's of his over Nifty. Most distributors don't give this number. On a specific day, now let's assume a few days back I just met a large client who had done 426 entries into mutual funds and about 121 exits into mutual funds over the last four years. So I take the transaction information, put that on an Excel sheet, compute if you bought and sold Nifty on those specific dates, would you be richer or poorer.

If he is poorer, he has underperformed Nifty and he doesn't even know. Most people have -- don't even have the exact transaction-wise Alpha. So we analyzed last five months, we analyzed 239 external portfolios, transaction-wise, no approximation, because Nifty moves 1% every day. If you have to measure Alpha, you have to measure it on the same days if I bought and sold Nifty. Out of the 239, about 170 of them didn't outperform Nifty in spite of being an active funds through other distributors. 219 of them couldn't beat my model portfolio. 20 of them have beaten my model portfolio.

So I learned from the people who beat me. The 219 clients who underperformed my model portfolio on a transaction-by-transaction basis, that's the crux. Then I go to them and say, sir,

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you may go direct, you might think that you've saved some cost, but your revenue has dropped far more than your cost. That's why you have underperformed Nifty by 3% in spite of saving 0.5% or 1% on cost. Then I am able to move even a direct client, large direct clients are moving to regular.

So measurement, which we started lately, mathematically exact same precise measurement is helping up, establish that we are great distributors rather than in english but in number.

Moderator: Thank you. I request you to come back in the queue for further questions. We have our next question from the line of Vars

hip Shah from Envision capital. Please go ahead.

Varship Shah: Thank you for taking my question. Just from a reporting perspective, would it be better if you could report between average AUM for the quarter. It would make easier for us to calculate yields, and I'm surely, internally, we do that exercise, as a class?

Feroze Azeez: Great suggestion sir.

Varship Shah: Okay. And on the MLDs, so we are completely unimpacted by any regulation taxation change, the regime, because we are non-principle protected?

Feroze Azeez: In our belief, we are positively impacted by that change because that's what we called out, saying this will happen. So from a taxation standpoint, the answer is yes, we don't get impacted. And that belief gets solidified because debt funds with 35% equity also don't get impacted. So the Section 50AA basically says if you're taking the risk, no problem. If you're not taking the risk, please don't take indexation and long-term capital gain tax. That's why debt funds with more than 35% in equity are exempt from 50AA. Does it answer?

Varship Shah: Yes, thank you.

Feroze Azeez: And all our products are risk. They can also lose full capital if Nifty becomes zero. So we have -- there are more equity-like.

Varship Shah: Thank you.

Moderator: Thank you. We have our next question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Hi, sir. Thank you for taking my question. So, I just a small one here on the NBFC that's backing the structured products, which is I understand it's into G-Sec, derivatives and a small amount of loans. I just want to understand what's the yield on the loan book then?

Feroze Azeez: Jugalji, you may be equipped to answer this one, the yield on the loan book.

Jugal Mantri: So that is a question related to NBFC, but I'm sure that on the NBFC front, whatever lending which has been done, the average yield which they are earning is about 11.5% for the loan against shares portfolio. And for mortgage and construction finance book, the average yield is in excess of 13%.

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Pallavi Deshpande: One-three?

Jugal Mantri: Yes.

Pallavi Deshpande: Okay. Sir, second question would be on what would be the average age of the clients, that's 8,500 clients, what would be the average age, sir?

Feroze Azeez: Pallavi, sorry, average age of?

Pallavi Deshpande: Of the client, yes, of your client?

Feroze Azeez: See, average age, I can't tell you, but I'll tell you one number, 63% of the clients are finished more than three years, 37% are less than three years. Okay, now, when a person goes through one cycle of three years, then he is a mature relationship with us.

Pallavi Deshpande: Yes, Just I was asking about the higher...

Feroze Azeez: Okay. You're not speaking of the vintage with us, you are speaking about the age. Okay, we've not measured that Pallavi...

Pallavi Deshpande: Age of the client, 50 years, 20 years, yes.

Feroze Azeez: No, sorry, 50 years, 60 years. The actual age, right? That's what you asking?

Pallavi Deshpande: Actual age, yes.

Feroze Azeez: Okay. I'm so sorry. I misunderstood you. I thought the vintage with us is what you were looking for. I just tell you...

Pallavi Deshpande: If you could tell me how many of them would be higher than 60 years old?

Feroze Azeez: Okay. Rakesh sir, you want to take that to break the monotony of my voice, and your...

Rakesh Rawal: On a precise number that my experience is that it would be close to about 40%, would be higher than 50 - 55.

Pallavi Deshpande: All right. Sir, that's why I was just relating this to the debt funds that are going to be becoming more unattractive in the whole scheme of things, do you see money then shifting? Would you be looking at within your allocation, shifting more clients to equity and or, yes?

Rakesh Rawal: Yes, see, what have found is that people with 50 – 55 - 60 years have the same aspiration to do well and earn 12% - 14% return as maybe with a guy of 30 years of age. This is a misnomer that when you have 60 years relegated to old age, near death bucket. There's a lot of life still left at 60. So we are very comfortable with equity, unlike the perception. I see a lot of young people put money in deposits. Hello?
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Pallavi Deshpande: Yes, but money shifting to FDs, just like you have put your money into an FD, the company has that so that is a good thing that is a shift expected from debt funds.

Feroze Azeeze: Pallavi...

Rakesh Rawal: I am just saying -- sorry, Feroze carry on.

Feroze Azeeze: Sorry, sir. You were speaking, I didn't hear you. I am sorry. Please go ahead, sir.

Rakesh Rawal: No sir I am basically saying that if a person has a 12% to 14% aspiration any client whether 60, 65, 50, 80 then there is a mechanism to do that which involves a certain degree of equity so it is not about the age it is about what objective that person has and the point I was raising was that it does not make sense to have a 6% - 7% kind of objective and you have an ambition of 5 - 6%. So that is why most people many people have chosen 12% to 14% which is and they get comfortable with it you know over time in equity so age profile at least in my experience hasn't doesn't have a correlation to what kind of equity exposures they have. I don't know if that answers it, but at least my experience tells me that it doesn't have a correlation. Feroze you can add to that.

Pallavi Deshpande: Right. That was very insightful.

Feroze Azeeze: I would like to add to that Pallavi what happens is with age earning potential reduces. A person who has - who is not financial free see the present value of all the HNI goals is less than his current net-worth then he is attained financial freedom. If he has attained financial freedom then he has intergenerational money.

So if I am 80 and I am not going to be using 35 crores for example it is going to be dependent on who is the Karta I might be that if I am elected you my 80 years and this money is in the trust of a benefit of my three grandchildren who are 18 years age will my risk appetite be dictating the allocation of the 18 year olds who are actually the beneficiary of this money what do you think Pallavi?

Pallavi Deshpande: Yes, I got my answer.

Feroze Azeeze: Right so when we look at this perception it is coming because 99% of India is living hand to mouth they are not able to fulfill the goals of their lifetime but we have collected a homogeneous group of those guys who if they want to achieve all their goals there will still be left money that's why Rakesh sir is only implying return objective not retirement objective. He is saying 12% to 14% he is not saying, for children's studies, he is not saying retirement.

Pallavi Deshpande: Right.

Feroze Azeeze: You understand, what is the difference between ARWL and 99% of India is operating with the same mentality which you said because in old age the ability to earn decreases.

Pallavi Deshpande: Right. I got it. Thank you so much sir.

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Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes hi. Firstly, a question on the client addition trajectory that we have seen it is kind of on the weaker side when we compare it what we have been doing in the past so is there and also I see that generally whatever numbers reported numbers we have even in last year Q4 that number used to be on the lower side so first of all is there a in terms of client acquisition trajectory where you come up getting to some slowdown or that's them.

Feroze Azeeze: No Prayeshji, if you look at, see, when you look at client addition the number which you will be looking at is net. What happens is if a c

lient market value falls below a certain threshold we stop counting. Another, client when the market fall we have some degree of outflow not that the client has gone away. Right.

Clients, mark to market has brought him beyond the threshold which we like to see. If you look at gross addition it will give you a true picture let me give you the gross addition in the first half of the last financial year we had 1,230 gross addition and in the second half we had marginally lower 1,070 gross addition. Because the market in March 31st closed significantly lower, then the December number of 18,100 some of them would have slipped lower.

Now the beauty is of course there is a 5% - 10% lower in the second half than the first half. But the quality of addition, the client who started in the first half gave us 91 lakhs average to begin with. The client who gave us money in the second half started with 1.45 crores as an average. So, as we have become a listed entity we are getting popular we are becoming more trustworthy, because there is a perception attached to a listed company of governance and transparency. So we start ready to cut bigger and bigger cheques as we progress so if the quality of acquisition is improved marginally you are right in the second half there was a marginal drift relative to the previous half. But if you compare it with the previous year we have had a gross addition increase significantly.

Prayesh Jain: Okay. And just a question on the employee cost you know you mentioned -- so when you how do you account for the variable cost on a quarterly basis you forecast for the full year and then approximate during the year, you accounted in one particular quarter, how do you do that?

Feroze Azeeze: Jugalji, if you can understand the problem.

Jugal Mantri: See the incentive, the larger portion of the incentive is accounted on a quarterly basis, okay. But there are certain incentives which are like add-on incentive linked to the achievement of certain threshold limits, okay, that we come to know in the last quarter only that whether any individual RM who has crossed a particular threshold and because of this there is some incremental incentive which is getting accrual to him over and above the incentive which has been provided for. So that is why when we are finalizing the annual account that the assessment of the incremental approval to any employee on account of incentive that gets computed in the last

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quarter. And that is why you will see that in fact the employee cost for the Q4 is higher by say about Rs. 5 crores and Rs. 5.5 crores in Q4 that is on account of that incremental incentive.

But you can say that largely about 90% to 95% of the incentive that gets computed and accounted in respective quarter and the remaining 5% to 10% of the incentive which is add-on that gets computed and accounted in the final quarter.

Moderator: Thank you. I would now like to hand the conference over to management for closing comments, over to you.

Feroze Azeeze: Jugal ji.

Jugal Mantri: Yes please. So, I take this opportunity to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information or clarification, kindly get in touch with our IR head Mr. Vishal Sanghavi or CFO, Mr. Rajesh Bhutara or Strategic Growth Advisor or Investor Relation Advisors. Thank you very much.

Moderator: Thank you. On behalf of Anand Rathi Wealth Limited that concludes this conference Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

ANANDRATHI
The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai -400 001.
Tel no.: 22721233 Ref No: 41/2023-24
Dated: July 19, 2023

The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai -400 051. Tel No.: 2659 8235
Fax No.: 26598237 | 26598238
Trading Symbol: ANANDRATHI Fax No.: 2272371 9 | 22723121 | 22722037
Scrip Code: 543415

Subject: Q1 FY24 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q1 FY 24 earnings conference call dated 13th July, 2023. The transcript is also available on the Company's website at <https://anandrathiwealth.in/investorrelations.php>

This is for your information and record.

Thanking You

Yours faithfully

For Anand Rathi Wealth Limited

MUM

V ■

■t., *Nitesh Tanwar --... _

Company Secretary and Compliance Officer

M.No. FCS-10181

Enclosed: as above

ANAND RATHI WEALTH LIMITED

(Formerly known as Anand Rathi Wealth Services Limited} Registered Office : Floor No. 10, A Wing, Express Zone, Western Express Highway, Goregaon (E), Mumbai -400 063

Board Line No.: 022 6281 7000 | Website: anandrathiwealth.in

Corporate Office : Floor No. 2 & 3, Block 8 & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg, •

AMFI-Registered Mutual Fund Distributor

GIN No.: L67120MH 1995PLC086696 Lower Panel, Mumbai -400013 | Board Line No.: 022 69815400/69815401 | Website: anandrathiwealth.in

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"Anand Rathi Wealth Limited

Q1 FY'24 Earnings Conference Call"

July 13, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 13, 2023 will prevail

Management

1. Mr. Feroze Azeez – Deputy Chief Executive Officer – Anand Rathi Wealth Limited
2. Mr. Jugal Mantri – Group Chief Financial Officer – Anand Rathi Wealth Limited
3. Mr. Rajesh Bhutara – Chief Financial Officer – Anand Rathi Wealth Limited
4. Mr. Chethan Shenoy – Director And Head, Product & Research – Anand Rathi Wealth Limited
5. Mr. Vishal Sanghavi – Head, Investor Relations – Anand Rathi Wealth Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Anand Rathi Wealth Limited Q1 FY24 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Feroze Azeez, Deputy CEO. Thank you and over to you, sir.

Feroze Azeez: Thank you, sir. Good afternoon, everyone, and thank you for joining the earnings call for the quarter ended 30

th June 2023. Along with me, I have Mr. Jugal Mantri, the Group CFO, Mr. Rajesh Bhutara, the CFO of the company, Mr. Chethan Shenoy, the Director and Head of Product & Research, Vishal Sanghavi, the Head of Investor Relations, and SGA, which is our Investor Relations Advisors. During the Q1 FY24, our total revenue grew by about 34% year-on-year to an amount of INR178 crores, and the PAT also grew by about 34% to about INR 53 crores. Our strong performance was further fueled by the robust growth in the assets under management, which w

itnessed 32% year-on-year increase and reached a number of INR 43,413 crores. This growth was, of course, driven by the cumulative part of every constituent of our team. Our flagship private wealth business, AUM, grew by about 31% year-on-year, which stood at INR 42,246 crores. Additionally, we continue to expand our client base, adding 395 client families during the quarter. We have now reached 8,700+ satisfied client families, out of which 62% are with us for more than three years and account for 80% of our AUM.

In Anand Rathi Wealth, our co-belief has always been centered around offering uncomplicated, standardized and well-researched wealth solutions to our clients. This philosophy has not only enabled us to consistently achieve the desired risk-adjusted return, but also enhance our client retention capabilities. Our client attrition is less than 1% in terms of AUM lost for Q1 FY24, which speaks of value which we add to our clients. In terms of relationship managers, we have successfully added about 37 new relationship managers on a net basis in the last 12 months. Our total RMs, as on 30th June 2023, stood at 308. With this brief overview, I will now request

Chethan to take us through digital wealth and the OFA vertical to give you a brief update.

Chethan Shenoy: Thanks. Our digital wealth vertical is a fintech extension of the company's proposition for the mass affluent segment. It registered a growth in AUM of 43% year-on-year to INR 1,167 crores, while the number of clients grew by 7% year-on-year to 4,305 clients. OFA business is a strategic extension of capturing wealth management landscape to service retail clients through mutual fund distributors by using our technology platform. As on 30

th June 2023, OFA has 5,688 mutual fund distributors associated and has assets under management on the platform of INR 1 lakh crore plus. ANANDRATHI

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We firmly believe that the wealth management sector holds immense potential, and this motivates us to remain committed to our vision of providing high-quality solutions that fulfill our clients' objectives. Thank you very much, and now I hand it over to our group CFO, Jugal ji, to take you all through the financial performance of the company.

Jugal Mantri: Thanks Chethan and Feroze bhai. Good afternoon, everyone. It is my pleasure to present you all with the key financial numbers. Our consolidated revenue for the quarter ended 30th June 2023

stood at INR178 crores, as against INR134 crores during the same period last year, registering a growth of 34% Y-o-Y. Our profit before tax for the quarter stood at INR 71 crores, as against INR 53 crores during the same period last year, registering a growth of 34% Y-o-Y. Profit before tax margin stood at 39.7% in

Q1 FY24. PAT for the quarter stood at a healthy INR 53 crores, as against INR 40 crores during the same period last year, registering a growth of 34% Y-o-Y.

Annualized return on equity for Q1 FY24, which is ROE, stood healthy at 43.2%, and earnings per share for Q1 FY24 stood at INR12.8 per share. Coming to the private wealth vertical, for Q1 FY24, our flagship private wealth vertical revenue grew by 32% Y-o-Y, which stood at INR171 crores, while trail revenue grew by 17% year-on-year, which stood at INR50 crores. Profit before tax for Q1 FY24 stood at INR70 crores, registering a growth of 33% year-on-year, while PBT margin stood at 40.9%. PAT for Q1 FY24 stood at INR52 crores, registering a growth of 33% year-on-year, while PAT margin stood at 30.7%.

I would like to emphasize that as the Indian economy continues to expand and progress, coupled with a growing number of millionaires and billionaires in the country, we believe there will be an immense opportunity for professional wealth solution providers in the country and we at Anand Rathi are poised to grab this opportunity. With this, we will

now open the floor for questions and answers. Thank you.

Moderator: Our first question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Yes, hi sir. Good afternoon, congratulations on a good set of numbers. So the first question would be, so from the revenue side, we have seen a sharp increase in the MLD revenues. So could you just give us the primary issuance and the secondary issuance that we have done during the quarter, as well as how much is from the third party as well?

Feroze Azeez: Jugalji, can you give us the split?

Jugal Mantri: Thanks, Lalit. See, the gross issuance of the MLD for the Q1 was INR 1,396 crores. Out of that, about INR 143 crores was from third party. But what is important to note here is that the net issuance, see that as of now, we are at a situation every year because of the past issuances in MLD, our MLD portfolio that is standard healthy INR 12,000 crores. And as you know that the average tenure of the MLD, which is about four years, what we will see is that say INR 3,000 crores to INR 4,000 crores will be getting redeemed along with the accrual on those MLDs.

And as we know that about 70% to 80% of the same gets redeployed. So now this will become a regular phenomena that there will be gross issuances, which will be around INR1,000 crores to INR 1,500 crores every quarter. But if you look at the net issuance, that was still INR 358 ANANDRATHI

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crores only, which is compared with INR 239 crores in Q1 FY23. And as far as concerned with the MLD breakup, as I said that 10% of the gross issuance is going to the external agencies. But if I compare with the net issuances, that will be like INR 143 crores goes to the external and the remaining of INR 358 crores minus INR 143 crores. So that is about INR 215 crores will be to our sister concern.

Lalit Deo: So like this INR1,400 crores is primary issuance or it includes both primary as well as secondary?

Jugal Mantri: It's a primary issuance.

Lalit Deo: So like what will be the secondary issuance during the quarter?

Jugal Mantri: See, secondary issuance is not issuance. Secondary is basically there is a trading volume. Okay. That was like about INR 254 crores, which was the secondary transaction, which compared with the INR 359 crores in Q1 FY23.

Lalit Deo: So just wanted to ask some more questions, like last quarter, we did about INR1,000 crores of primary issuance and then there was this budget announcement. So like now we have seen a sharp jump during this quarter, like about 40% increase. So is it like a one time impact or like do you see a structural change in the investors where like people are coming, investors are coming from the listed MLD space to the unlisted MLD space?

Jugal Mantri: Lalit, if you recall, I have like while answering the question, I said that we have got an AUM of about INR12,000 crores in structured products. Okay. And say about INR3,000 crores of the face value, along with the accrual component, which varies from 40% to 60%, that gets redeemed, that is going to be redeemed every year. And whatever redemption which is taking place, even without putting any extra efforts, about 80% of that money that flows back into the structured products. Okay.

So this sort of issuance which has happened in the Q1, that is more or less guaranteed. In fact, it marginally it will go up, reason being that the AUM, which is growing because of the market impact and the accrual, in fact, the redemption as well as the renovation of these maturities, in terms of amount, it will marginally go up. But in terms of proportion to the overall AUM, it will slightly fall.

Lalit Deo: Sure, sir. One more question was like, so during the quarter, we have seen like the revenue increase was great. Similar to that, employee expenses, which are mostly related to revenues, have also i

ncreased. But like, any reason why we have seen a sharp increase in our other operating expenses also?
 Jugal Mantri: See, other operating expenses are like, directly, there are two things. One thing is that in Q1 FY23, there was definitely the COVID impact, all the traveling, conveyances, and those were restricted. And but now, gradually, in FY 2022-23, you might have seen that there is an increase in traveling, business promotion, networking, as well as on the conveyance expenses. So these are directly incommensurate with the increased activity and physical movement on the ground. And that is why, you have seen that the non-operating expenses have moved up. ANANDRATHI Private Wealth. uncomplicated
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Lalit Deo: Sure, sir. Thank you, sir. I will come back in the queue for any questions.
 Jugal Mantri: Okay. Thanks, Lalit.
 Moderator: Thank you. Our next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
 Pallavi Deshpande: Yes, sir. On the regulatory side, the changes that are, on the total expense side, that we are expected to see, what would be the steps you would be taking here? And, what would be the kind of impact you expect on the commission side?
 Feroze Azeez: Pallavi, in the last earnings call, we discussed this. So firstly, as you would be aware, Anand Rathi Wealth Limited has not used any of the generosities on the commission front, be it the B30, be it the NFO, or liberalness because of the AUM not getting established. Since, and the smaller schemes giving you more commission, like the 11 Scheme model portfolio, we had at an average assets of INR 13,000 crores – INR 15,000 crores was the average assets. I very well knew as a company that, if I take 11 Schemes with INR 7,000 crores of average AUM, then I will get INR 0.30 more. So point one, I am making is the impact of any client-centric circular would have minimal effects on somebody, who has already been client-centric. And you would be very happy to know that Anand Rathi Wealth, has not sell any product, which is an NFO for the last 11 years, we have not even approved one of them. That's point one.
 So as far as our understanding goes, the regulatory circular will go through huge amendments in the next form and fashion if you heard the regulator say that. So the impact of 3%-4% of revenue, which I was speaking about the last time around, doesn't seem to exist anymore.
 Pallavi Deshpande: Right, sir. And so what would be the average? You mentioned about the average AUM size being 13K to 15K, but we have introduced some more new schemes, I understand. So what would be the average AUM size now?
 Feroze Azeez: Yes, it should be about INR 11,000 - 12,000 crores. We are always going to be running the business as per client objective. If INR 500 crores scheme, if at all, to magnify the example, helps me to meet my client objective, it will be a part. If INR 50,000 crores scheme helps me meet my client objective, it will be. So revenues are never going to take precedence over our actions, irrespective of whatever pressures we may ever have.
 Pallavi Deshpande: Right. And sir, my second question would be on the net inflows, if we could have the break-up between what would have come from the existing clients and what would have been from the new clients?
 Feroze Azeez: We look at net flows, Jugal ji may have this number. So net flows, we focus on – if you look at it from a perspective of new clients, I would say about 30% comes from the new clients, 70% comes from existing clients. We, as a wealth outfit, have this clear display of confidence in action by not forcing a client to start big with us. ANANDRATHI Private Wealth. uncomplicated
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In spite of our segment, which is very dear to us, which is a million USD plus, we don't force the client to start with half a million USD.
 We say, if you have INR 50 lakhs, start with us and merits will help us penetrate into your wallet. So the share of new money from clients, when they begin is not going to be big because I don't put pressure on them saying that start with INR 5 crores. Why? You start with INR 50 lakhs. If I am not doing lip service, then it is obvious that you would give me the money, which I deserve. So that's why a 70%- 30% ratio.
 But the clients, who come in every single month are my potential clients, which is one million USD plus kind of balance sheets other than the homes they live in. So that's where comes the snowballing effect of this business, after it reaches an inflection point. So these 8,700 families are filtered on the basis of their segment and if there is some short-term investor or investor, who doesn't fit the segment in terms of size, we don't even on-board them.
 Pallavi Deshpande: Right, sir. Thank you so much, sir. I'll come back in queue.
 Feroze Azeez: Thank you, Pallavi, for your question.
 Moderator: Thank you. Our next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Hey, congratulations on a wonderful set of numbers. Sir, I just wanted to understand, how are we trying to push this business from sales perspective? And how many Relationship managers would we be looking to add every year over the period of the next five years?

Feroze Azeez: Very valid and a good question, sir. Firstly, what we look at is client - RM addition is one of the verticals, which people can extrapolate on an excel sheet reasonably easily by hiring and putting in some capital behind that strategy. So, we expand on our RM fraternity on the confidence of the preparedness of the leadership bandwidth. All my INR 100 crores plus RMs are qualified potential leader. So, to answer your pointed question, today we have 135- 140 RMs, who have the capacity to mentor three to four people. So, that's the leadership capacity given. So, that means, 140 people mentoring three to four people, which is a span of control, implies close to about 500 relationship managers in the constraint of leadership. So, leadership is no more a constraint any further.

Second is how many people have a cultural fit into the organization of client centricity. So, that's why we internally currently train 296 apprentices, who are called account managers who get promoted. So, these are the two important fuels to my RM force. So, having said which, where could we head? We are going to always expand in a calibrated fashion because we have to make sure that, the brand promise of uncomplicated and client centricity is actually delivered. So, 308 RM, I wouldn't be surprised it gets to those 500 RM kind of numbers over the next couple of years or three years to be more realistic.

Bhavin Pande: Okay. And like the given phenomenal number of families we have, so our emphasis would be more on increasing wallet share of existing customers? As you mentioned that you plan to start with a figure of INR 5 million and wants to go up to let's say INR50 million, would be a balanced approach between adding more families and increasing the wallet share? ANANDRATHI

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Feroze Azeez: See, all the four growth engines have immense mutually exclusive potential to contribute to our long term, very, very dear to heart objective of 20%-25% flat growth for years and decades to come. So, having said which, I don't think, we are at some phenomenal numbers in terms of client families. We may be happy at 8,700, but we are still, any report will tell you, there are 8 lakh to 10 lakh HNI families. So, we are just 1% . So, we are scratching the surface. So, we don't pat ourselves too much on the back in terms of covered the HNI fraternity currently, but I am sure, there is an exponential potential possible.

So, if I have 308 private rela

tionship managers, who are at least 80% of them are not at full capacity. I am not very pleased if I don't - in the next one year - one and a half years, acquire 200 families on a net basis. Because 0.6 per relationship manager is our internal target. So, to answer your pointed question, we are nowhere close to having quenched our thirst in terms of new client acquisition. Because the universe is so large and every 8,500 families have at least 5 HNI, 10 HNI friends, who deserve to be our clients and we deserve to be their distributors. And as we build credibility with these 8,700 and credibility doesn't come without time. Time is one very - very important credibility builder, be it as a listed company, and be it as an advisor or a distributor. The good part is, we have, 67% - 70% of our clients having finished three years. That means, they would have seen us for three years. So, that's a very important mutually exclusive variable and our aspiration is to get to 200 net client families added per month, month on month in the near future.

Coming to the net mobilization from the wallet share penetration, I think that anytime a client finishes three years and we have delivered him a risk adjusted return of 12% - 13% on Beta of 0.5 on Nifty, we go and have this conversation with him. Sir, I didn't force you to start with INR 5 crores, but you have INR 5 crores. You are at two. I have done my bit. Can you please be generous to do your bit? And those conversations are very positive conversations because you have already shown him three years of risk adjusted return, which is best in class. Does that answer, sir?

Bhavin Pande: Yes, definitely. Perfect. Thank you so much and all the best for quarters and years ahead. I will just get it back in the queue.

Moderator: Thank you. Our next question is from the line of Naysar Parikh from Native Capital. Please go ahead.

Naysar Parikh: Hi, thank you for taking the question. A couple of questions. The first one is on the structured products / MLDs that is like 29% of AUM. Out of that, what percentage is to our sister entity?

And, you know, so to that extent, does that pose any risk for any of that sort, just in terms of it being the sister entity?

Feroze Azeez: Mr. Parikh, right, sir?

Naysar Parikh: Yes. ANANDRATHI

Feroze Azeez: Mr. Parikh, the optical, of course, a reasonable portion of that is by a sister entity. Whatever be the ratios, I'm sure Jugal ji will be very equipped to answer a second decimal in terms of proportions. The risk which you see optically itself is the risk mitigant. Okay, so when I don't have another entity, which I am very comfortable with, even if there's a gun on my head, I am not going to distribute that product for the revenue. So we were the first few to eliminate two structure product issuers, which were a part of our recommendation in 2016, 2017, 2018, much before they ran into trouble and because of our credit risk evaluation team, where they see very mathematically which ones are at risk, we were able to pull the plug much - much before several portfolios were able to sell their bonds as well.

So, to answer your pointed question, a large portion of that is in the sister concern. Of course, we have Nuvama because we were comfortable after the ownership change, and that's another offering which we have, but the larger portion is in the sister concern, and the pricings which we get from Nuvama are better than the sister concern. Okay, the same product gives me more revenues if issued by Nuvama, and that's the great part to put evidence to the transfer pricing or arm's length pricing, which I am sure some of you may be wondering if that's true.

Naysar Parikh: I understand, if I could follow-up, right, when customers 30% of the AUM in MLD is that significant. So, like, are customers asking you to maybe diversify more

? Is this more of a pull

thing or is this a push thing when you allocate 30% to MLD?

Feroze Azeez: I can tell you, I have met a few thousand clients because all of us are relationship managers first, so I manage about eight - nine clients myself. My biggest trouble is, he says, why not 40%? Okay, because there is understanding of what we do, so we do only things which we really understand second decimal.

So, to answer your question, is it a push or a pull? It is a push from the client for, why it is not 40%? That's the current status, and that's how it has been for the first few years, of course, when we started issuance in December 2012. Now, we have credibility in terms of having matured.

1,300 ISINs have matured, and 15.3% is the IRR of those 1,300 ISINs with a standard deviation of 4.3% on the outcome. That means a Three-sigma event also keeps them in the positive on a three to five-year basis.

Okay, so after having built that kind of credibility with 1,500 ISINs still to mature and 1,300

ISINs having matured, because every Tuesday we have a trade of the same product thousandth time. So, we have two - three products. We don't innovate till the client needs it. We don't

innovate just to make sure that we have interesting conversations with clients. So, it is very surprising to other friends in the industry saying that, how are you able to sell the same product thousandth time and keep the interest alive? That's because if our jobs are not to make wealth management interesting, our job is to make the wealth.

Naysar Parikh: Got it. And sir, last question on this, the sister entity that you have is basically an NBFC, right?

It's driven to lending, right, if I am understanding it correctly? ANANDRATHI

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Feroze Azeez: Correct. It is a mix of, and I am sure if you download the balance sheet, it will give you a second decimal allocation. It is lending, not such aggressive lending and a lot of money is in debt instruments to make sure that the money is safe.

Naysar Parikh: And the second part of the question was on digital, how are we using digital and is digital, at all do you think in the wealth management space, a direct digital or a digital app can be a significant channel? And how are we using digital to kind of tap into some of the young professional salary people who might reach or are reaching the million dollar milestone?

Feroze Azeez: See, if you look at India, of course, wealth is household savings. We have just done a study, its INR 670 lakh crores. Of course, please read this with some degree of 10% - 15% tolerance, because we have taken RBI data and all that data to see that we have INR 670 lakh crore household saving 10 years back, it was only INR 270 lakhs crore. So Indians are saving phenomenally, but they are investing wrongly. We also computed India's return for the last 10 years, of course, back of the envelope, it is sub 7%.

So having said which, of course, if the savings rates are so good, the young professionals will have more money than they can actually spend. So digitally delivering that is the only way to give ethical advice to those guys, because you can't afford to make an RM reach there and still not sell him an insurance policy. Because if I have a human interaction, then my revenues can't

be 1%. If my revenue is 1% on 10 lakhs, it's INR10,000. I'm sure that's a 15 day salary of my client's driver.

So I can't do ethical advice without a digital reach. So we are at the stage of experimenting. And today, there is proof of concept, there is no cash burn, a value unlocking will take its time. So and but do we see this as a huge potential and a peripheral, important business? Yes. And it also helps us keep our ears and eyes on the ground on the paradigm shift, which technology brings about every couple of years. Having said which, it's a chicken and egg story, the ma

ss affluent or the affluent does not get

great distribution, till he is HNI. And if you get great distribution, it becomes an HNI. So it's a chicken and egg story we are trying to solve. So at this stage, we don't count the eggs before they are hatched. So we think that it has a huge potential of value unlocking for our business. And proof of concept and no cash burn is evidence to that.

Naysar Parikh: Got it. Thank you so much. Thank you. And all the best.

Moderator: Thank you. Our next question is from the line of Harsh Kothari from Kothari Investments. Please go ahead.

Harsh Kothari: Hi, actually, my question is on the MF equity and debt revenue and the employee cost, slide number 29. So when we see those numbers, as a company, it's a third largest distributor of mutual funds. But if I look at the cost of distributing mutual funds and the employee cost, the employee cost exceeds the revenue from MF distribution. So do you intend to make ultimately MF at a standalone level as a business profitable, including if there was some regulatory risk pertaining to the structured products? ANANDRATHI

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Feroze Azeez: Hello, Mr. Harsh, right? If I got your name, right?

Harsh Kothari: Yes.

Feroze Azeez: See, its apples and oranges if you compare the cost and the revenue. Why I tell you so, because the costs have a provision of the bonus or the remuneration of the structured product sale as well.

So if you say that the RM does not do structured product sale, what would his bonuses be? My provision will come down. So if I was just in the business of mutual fund distribution, would I still be making profit? The answer is a big yes.

Because you're seeing the cost as a proportion of mutual fund revenues, which is on single day, I make INR 58 lakhs - INR60 lakhs, which is my trail revenue. Even when there is Independence Day, I am going to get my INR 60 lakhs (INR58 lakhs - INR60 lakhs), which is my trail. I am just giving you rough numbers. But my cost has the cost as a proportion of a bonus or the share of the RM for the structured product business. Did I articulate it well enough?

Harsh Kothari: Yes. And do you see yourself moving to the RIA model going forward?

Feroze Azeez: We are very clear from day one 2013 is when RIA came into existence. RIA is to our mind, not practically possible in India. That's our take. Because all products, wealth management portfolios do not just have mutual funds, they have private equity, they have alternate funds, they have insurance policies, none of them have a direct, and several of them don't have the direct option.

So if I have to go RIA, I have to say to the client that only mutual funds I will give advice or distribution on. So how do we do RIA? If there is no direct option in private equity, so I am going to earn from that supplier, meaning the manufacturer, right? So we are not in the business of RIA, we have stuck to distribution. There have been five changes in my competitors business models over the last 10 years, we have not had any change.

Why don't we have this change? Because we look at what is the regulator need? We don't look at the print, we look at the essence of the regulations. As the essence of the regulation in 2017, when they removed or 2018, they removed upfront commission, we did that in February 2016. We wrote to all our AMC partners saying that we don't want upfront because it was writing on the wall that it is one year, two year, three year, three year later, the regulator will tell you this. Because if you look at the essence of what they want from a regulatory standpoint, regulatory changes will help you. Like the MLD taxation change helped us. Why? Because we already knew, in June, 2022 we released a paper saying that at this MLD taxation of listed is no motivation for somebody to buy. Don't buy it, it will change in the next few budgets

. We gave that in writing

because it was very clear. So point I am trying to make is, our regulatory strategy is not to look at what comes as a circular. Read between the lines of what does the regulator want? Regulator does not want miss-selling. So no NFOs. It does not want people to change their addresses and take a B30 commission, which some of them would have done. So that is our strategy.

Regulatory strategy, regulations will always give us a push on the positive side because hand on ANANDRATHI Private Wealth. uncomplicated

heart, I also want to be as client-centric or a little more client-centric than the regulator wants me to be.

Harsh Kothari: And the product, these MLDs remain tax-free or they are not tax-free? but they are still taxed at 10% the new issuances or they are now taxed at income slab?

Feroze Azeez: See, firstly, MLD didn't have a clear definition. Now, whatever products we are issuing are not qualified to be called MLDs, because MLDs are debt securities. Debt securities need to be capital protected. Okay. It was reiterated in the latest media interaction of the regulator. Debt securities have to be capital protected. Fortunately, for our foresight, not even one out of 2,700 products was a capital protected listed, rated instrument.

So if you are not capital protected, we can't use the word MLD. So we are not in the distribution of MLD whatsoever. Now that there is a definition to MLD, which is two conditions. It needs to be a debt security. It needs to have market linkage. Debt securities definition in four different circulars, SEBI has very categorically said it, the latest being 13 August 2021, circular, which says very clearly that if you don't have principal promised in full at maturity, you are not a debt security.

So I am not into MLD distribution. With this new definition, I have never been. Nuvama, which is another entity we procure structured products from, has a rated paper which is MLD, but we have not procured one from other company supplier as well.

Moderator: Our next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Thank you for taking my question. So just going back to the earlier what we were discussing on is the regulator rethinking this expense ratio. So I think you already mentioned that the change one would see -- you don't see any impact at all when the changes come through with the new regulations. Just wanted your thoughts on do you see coming down by 50% or how do you see it playing out?

Feroze Azeez: So if you look at it, our trail commission of a most active mutual fund is about 1.1 or 1.15% post GST, okay?

The circular had seven points. In fact, I had done a call way back in February with a few analysts, and I am sure some of you would have got an invite, to take you through all these six - seven points.

The regulator now understands that India's saving account and current account balances, don't hold me to this statement, but yes, are greater than the equity mutual fund AUM of INR 21 lakh crores. So if INR 670 lakh crores is the household saving and equity mutual fund is INR 21 lakh crores, which is close to 4% or little over that or little somewhere thereabouts of 3% to 4%, we have a long - long way to go in terms of mutual funds getting its space in one's portfolio to the extent of 20%, 30%, 40%.

So I don't think the regulator wants to squeeze it below 1% because there is also an alternative of direct to a client where he can save that 50 - 70 paisa by bypassing the distributor. So I don't think 1% is at a challenge.

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If I used all the generosities available and brought my trail commissions to 1.4 - 1.5%, if I have not got something, what can be taken away. That's why a B30 has not had any impact

on me.

NFO also paying on a certain way is also not impacting me because I didn't do anything.

I didn't do small schemes for the reason of commission. So if you look at those seven points and read that first discussion paper which came in October - November to the industry and the latest circular, which was given as a draft paper, now, of course, that has been deferred from the draft paper. I personally believe from what I have read between the lines, the impact is negligible.

Even if you look at how this business will run, as a professional, we can only assure you that we will apply full might to handle adversities. As a professional, we can never tell you there will be no adversities, but you have to judge for yourselves that the last ten adversities, the last five adversities, how has the company dealt with them.

In a positive fashion with an open mind and using all the intellect and energy so I will tell you that I can only assure you as a professional representing the rest of the group, of course, not I as in Feroze, that we will do our professional best to handle adversities.

Adversities will come. The quantum of adversities we have seen in the past have proved that we know how to handle adversities to a certain extent, and we will still do our professional best.

Does that answer, madam.

Pallavi Deshpande: Yes, sir. That was very helpful. Just a nice refresher. Thank you so much.

Feroze Azeez: Thank you ma'am.

Moderator: Our next question is from the line of Sudip Dugar, who is an investor. Please go ahead.

Sudip Dugar: Thanks for giving me the opportunity. Actually I am relatively new to the business, so I have a couple of questions. The first is that could you please explain the reason as in why our average yields are going up? And the connected question to it is that, if I understand correctly, MLDs have higher yields as compared to mutual funds. But in the past we have had this strategy that going forward, the proportion of mutual funds will be increasing. So some idea as to what are the yields on these two products and how are the yields going up?

Feroze Azeez: Thank you, Sudip. First, I will answer these. And if I miss out any of your points, please highlight again, because you have had very interesting questions. There is something called perception and there is something called reality. So let me put some numbers on the table.

Yield, as a word, has to always be per annum, right? So post facto, when we looked at our 1,300 maturities, on a like-to-like basis of computation of mutual fund, the structured product, my yield was INR0.03 more per annum for the structured product issuances. ANANDRATHI

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So in the order of magnitude, both these products give me the same yield. Do I account it sooner or later is an accounting issue for the energy of my RM. My RM needs enthusiasm to work every day.

So if I go a full trail model, my RM's energy drops, which drops my revenue. So to answer your pointed question, Sudip sir, the yield -- in the order of magnitude, yields are computed on market value per annum in a mutual fund.

If I do the same method of computation if as an RM, Feroze allocated INR100 of his client in mutual funds, INR100 in a structured product, and at maturity computed how much did I earn more as a Feroze for his revenue under his belt, you would see hardly any difference. So 1,300 products matured have had, in the order of magnitude, equal yield to mutual fund. That's point one.

Point two is that going forward these proportions will not change my revenue mix because the proportion changes are bottom up. If the client has a 14% strategy need, we have a model portfolio which is 14%, 13%, 12% and 11%. We try and fit all our clients into these four.

Even if they like the uniqueness, we tell them, four are there sir, we can't have 8,700 best portfolios. That's an oxym

oron. You can't have 8,700 best portfolios. You tell me the risk-return

objective, I will make one portfolio statistically tested enough, back-tested, front-tested, using a simulator like Monte Carlo and give him one portfolio.

So to answer your pointed question, the yields in the order of magnitude are identical 1,300 products is a reasonable sample set out of the 2,700. Statistically 30 products itself is called a significant sample and 1,300 is significantly more than that. Does it answer, Sudip sir? Or I missed out answering something?

Sudip Dugar: Yes, sir. That was very helpful.

Moderator: Thank you. That was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Feroze Azeez: Thank you all for joining the call. We hope we have addressed all your queries. If any further information is required, please feel free to reach out to our CFO, Mr. Rajesh Bhutara; Investor Relations Head, Vishal Sanghavi, or our Investor Relations Advisors which is SGA. And we will try answering all your questions to our best ability and thank you to support as shareholders, whoever are. Thank you. Have a wonderful week. Thank you, Jugalji.

Jugal Mantri: Thank you. Thanks, Feroze bhai, thanks Chethan

Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. ANANDRATHI

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Call: Oct 2023

ANANDRATHI

Ref No: 67 /2023-24

Dated: October 19, 2023

To,

The Manager,

Listing Department,

The National Stock Exchange of India Ltd.,

Exchange Plaza, 5th Floor, Plot C/1, G Block,

Bandra -Kurla Complex, Bandra (E),

Mumbai -400 051. Tel No.: 2659 8235

Fax No.: 26598237 / 26598238

Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,

Listing Department ,

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street, Mumbai • 400 001.

Tel no.: 22721233

Fax No.: 22723719/ 22723121/ 22722037

Scrip Code: 543415

Subject: Q2 & H1 FY2024 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q2 & H1 FY2024 earnings conference call dated 13th October, 2023. The transcript is also available on the Company's website at <https://anandrathiwealth.in/Investorrelations.php>

This is for your information and record.

Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Nitesh Tanwar

Company Secretary and Compliance Officer

M. No. FCS-10181

Enclosed: as above

ANAND RATHI WEALTH LIMITED

(Formerly known as 'Anand Rathi Wealth Services Limited)

AMFI-Registered Mutual Fund Distributor

CIN No.: L67120MH1995PLC086696 Registered Office: Floor No. 10, A Wing, Express Zone, Western Express Highway, Goregaon (E). Mumbai• 400 063

Board Line No.: 022 6281 7000 | Website: anandrathiwealth.in

Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai. 400013 | Board Line No.: 022 69815400 /69815401 | Website: anandrathiwealth.in

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"Anand Rathi Wealth Limited

Q2 & H1 FY2024 Earnings Conference Call"

October 13, 2023

Disclaimer: E&OE - This transcript is edited for f actual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 13, 2023 will prevail

MANAGEMENT :

1. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER – ANAND RATHI WEALTH LIMITED
2. MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER – ANAND RATHI GROUP
3. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER – ANAND RATHI WEALTH LIMITED
4. MR. CHETHAN SHENOY – EXECUTIVE DIRECTOR AND HEAD ■ PRODUCT AND RESEARCH – ANAND RATHI WEALTH LIMITED
5. MR. VISHAL SANGHAVI – HEAD INVESTOR RELATIONS – ANAND RATHI WEALTH LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Q2 and H1 FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over to Mr. Feroze Azeez, Deputy CEO for Anand Rathi Wealth. Thank you, and over to you, Mr. Azeez.

Feroze Azeez: Thank you so much. Good afternoon, and thank you, everyone, for joining the earnings conference call for the quarter and half year ended 30th September 2023. With me, I have Mr. Jugal Mantri, the Group CFO; Mr. Rajesh Bhutara, CFO of the company; Mr. Chethan Shenoy, Executive Director and Head, Product and Research; Mr. Vishal Sanghavi, Head, Investor Relations; and our Investor Relations Advisor, SGA Group.

India's position as one of the world's fastest-growing economy continues to attract investment

s

in equity markets. At Anand Rathi, we have placed a strong emphasis on providing comprehensive, well-researched, data-backed wealth solutions to our clients. This approach has been a key factor in our achievement of several milestones over the years, and we look forward to building on this success in the future as well.

In H1 FY '24, our revenue grew by about 35% year-on-year to INR 368 crores, while our profit after tax increased by 34% year-on-year to INR 111 crores. We have also revised our guidance upwards for the full financial year 2024. Revenue guidance is revised to INR 720 crores from the earlier guidance of INR 661 crores. The profit after tax guidance is revised as well to INR 220 crores from the earlier guidance of INR 205 crores.

Our success can be attributed to our uncomplicated holistic approach, which has resulted in an impressive 34% year-on-year growth in the AUM as well, and hence, the AUM stands at INR 47,957 crores at September end 2023.

Furthermore, we have expanded our client base to 9,212 families as of September 2023 end, cementing our reputation as a high-quality wealth management solution provider. We have added 40 new relationship managers on a net basis over the past 12 months. A reflection of our

entrepreneurial work culture is we have had zero regret attrition in this quarter as well. Our client-centric approach has been a driving force behind our success so far, and we are confident that it will continue to fuel our growth trajectory in the future, too.

Now moving on, I would like to share our flagship Private Wealth vertical's performance for the second quarter and the half year ending FY '24. Our flagship Private Wealth vertical AUM grew by about 33% year-on-year and stood at INR 46,571 crores. Our equity mutual fund net flows

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grew by 14% year-on-year. This highlights and solidifies the value we add to our client families by offering holistic and uncomplicated wealth solutions.

In the first half of the year, excluding SIP flows, the industry approximately witnessed an outflow of INR 30,000 crores, while Anand Rathi Wealth saw inflows of more than INR 1,600 crores during the same period. The Private Wealth vertical has consistently delivered year-on-year growth, and we at Anand Rathi continue to see larger growth opportunities going forward. I will now request Chethan take us through the Digital Wealth and the OFA vertical to give you a brief highlight. Mr. Shenoy, over to you.

Chethan Shenoy: Thank you, Feroze. The company's Digital Wealth segment, an extension of its offering for mass-affluent segment, also experienced steady growth. The AUM in this business increased by

46% year-on-year, reaching INR 1,387 crores. Revenues from this business grew by 94% year-

on-year, reaching INR 12 crores.

The OFA business is a strategic extension for capturing the wealth management landscape to several retail clients through mutual fund distributors using our technology platform. As of September 30, 2023, OFA has 5,880 mutual fund distributors and has assets under administration on this platform over INR 1,18,000 crores.

Thank you very much. And now I hand over the call to Jugal ji to take you all through the financial performance of the company. Jugal ji, over to you.

Jugal Mantri: Thanks, Chethan. Thanks, Feroze bhai. Good afternoon, everyone. India's economy is on an upward trajectory, displaying strong performance in recent quarters. With robust growth in key sectors, increased investment and a promising business environment, the nation's economic outlook is bright, reflecting a positive and resilient trend.

Let me start with consolidated financial performance of the company. Our consolidated revenue for the quarter ended September 30, 2023 stood at INR 189 crores, compared to INR 138 crores in Q2 FY '23, registering a growth of 37% year-on-year.

Profit before tax for the quarter stood at INR 78 crores, registering a 35% year-on-year growth. The PBT margin stood at 41.1% in Q2

FY '24. Our profit after tax for the quarter stood at a healthy INR 58 crores, registering a 34% year-on-year growth, compared to INR 43 crores in Q2 FY '23. The PAT margin stood at 30.5% in Q2 FY '24, and earnings per share for Q2 FY '24 was at INR 13.8 compared to INR 10.31 last year.

The revenue for H1 FY '24 stood at INR 368 crores, compared to INR 272 crores in H1 FY '23, registering a 35% year-on-year growth. Profit before tax for H1 FY '24 stood at INR 149 crores, registering 35% Y-o-Y growth. The PBT margin was 40.4% in H1 FY '24. Profit after tax for H1 FY '24 registered a 34% year-on-year growth, standing at INR 111 crores versus INR 83 crores in H1 FY '23. The PAT margin stood at 30.2% in H1 FY '24. And earnings per share for H1 FY '24 was INR 26.6 per share compared to INR 19.85 in the first half of previous year. Return on equity on an annualized basis stood at 42.4% for H1 FY '24. ANANDRATHI

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Coming to the Private Wealth business financial performance. For Q2 FY '24, our revenue grew by 36% year-on-year to INR 181 crores. For the quarter end, trail revenue grew by 32% to INR 60 crores. Profit before tax for Q2 FY '24 was INR 76 crores, a growth of 34% year-on-year. The PBT margin for the quarter ended stood at 42.1%. Profit after tax for Q2 FY '24 was INR 57 crores, registering a growth of 33% year-on-year. The PAT margin for Q2 FY '24 was 31.2%. For H1 FY '24, our flagship Private Wealth vertical's revenue grew by 34% year-on-year to INR 352 crores. Trail revenue for the first half grew by 25% year-on-year to INR 109 crores. Profit before tax for H1 FY '24 stood at INR 146 crores, a growth of 33% year-on-year. The PBT margin for the first half stood at 41.5%. PAT for H1 FY '24 stood at INR 109 crores, a growth of 33% Y-o-Y. The PAT margin for H1 FY '24 stood healthy at 31%.

Now we open the floor for question-and-answers. Thank you. Over to Mr. Enjo (moderator).

Moderator: So the first question is from the line of Rohan Mandora from Equirus Securities. Please go ahead, sir.

Rohan Mandora: Congrats on a good set of numbers. Sir, if you can share what were the issuances on the structured products for MLDs for the primary and secondary issuances for the quarter? And second one, on the net flows of INR 1,226 crores, how is it split between equity, debt, mutual funds, and market-linked debentures?

Feroze Azeez: Jugal ji, can you take this one?

Jugal Mantri: Yes, sure. See, for the MLD in Q2, the gross issuances were INR 1,367 crores, compared to INR 1,396 crores in Q1 FY '24 and INR 1,121 crores in Q2 of the last FY '22-FY '23. And when you do the breakup, the secondary issuances were INR 278 crores in Q2 FY '24 compared to INR 254 crores in Q1 FY '24. Did that answer your question?

Rohan Mandora: Yes, sir. And sir, on net flows of INR 1,226 crores, what was the break-up for the quarter, how much was equity MF, debt MF, and structured -- MLDs?

Jugal Mantri: You're talking about the net inflow?

Rohan Mandora: Yes.

Jugal Mantri: See, the net inflow...

Feroze Azeez: Jugal ji, I have the numbers.

Jugal Mantri: Yes, yes. Okay.

Feroze Azeez: INR 1,507 crores of equity mutual fund net flow, minus INR 406 crores of debt and liquid. Total mutual fund of INR 1,101 crores. Non-principal protected SPs, minus INR 57 crores. Other products, INR 182 crores. So INR 1,226 crores is the total. So equity mutual funds, to answer your pointed question, is INR 1,507 crores. ANANDRATHI

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Rohan Mandora: Sure. Second was, in terms of the MLD originations that we are doing right now, is there any change in mix in terms of the tenor, three-year, five-year kind of products? Or is it b

roadly the

same that we have been issuing in the recent months / recent quarters?

Feroze Azeez: So Rohan, our principle has been to optimally innovate. And five-years was something which we statistically found was a better risk reward for our client and so we continue with the five-years. There's no change whatsoever.

Rohan Mandora: Sure. And in terms of the originations, what was the mix from the non-group entities on the MLDs for this quarter?

Feroze Azeez: 90:10. 90 favoring internal.

Rohan Mandora: Okay. And lastly, in terms of the primary issuance run rate, which is around INR 1,300-odd, INR 1,400-odd crores quarterly, what is the peak rate that we can issue? Are there any constraints may be from a regulatory perspective which can cap that run rate? Just trying to understand from

a growth perspective from FY '25 / '26 perspective, what kind of an origination run rate can we see at the peak level?

Feroze Azeez: So there is largely no limiting factor, at least for the next 5 - 7 years whatsoever.

Jugal Mantri: And on top of it, Rohan, as of now, like we are limiting it to one external vendor and one group entity. The market is very wide. We can always explore and keep on adding the issuers. So there is no limitation whatsoever even in any near as well as the far future.

Moderator: The next question is from the line of Ms. Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Yes, sir. Thank you for taking my question. Just wanted to understand in terms of the sequential revenue growth is a little slower. Would this primarily be explained by this decline in the MLD book?

Feroze Azeez: Sequential growth is lower? I just don't think that's the case at all. So year-on-year growth is 36% in revenue. And sequential, from the first quarter, there is still a growth of about 20% -- no, the revenue growth...

Jugal Mantri: Revenue growth is 6% on Q-on-Q.

Feroze Azeez: Correct.

Jugal Mantri: So that is quite a healthy number when you look at the Q-o-Q growth. In case if you are comparing it with the quantum leap, which has been achieved in the AUM growth, and that is

what makes you feel that the revenue growth is smaller compared to the AUM growth, so there the main thing is that, see, the sizable growth which has come in the mutual fund AUM, there it is largely the trail income.

And trail income accrual will happen over a period of time. So it never happens for the full

quarter, as and when we keep on adding AUM. So even for some AUM, the revenue might be ANANDRATHI

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for a few days only in the whole quarter. So that is why it looks smaller when you compare it to the AUM percentage, but going forward, it will get normalized and you will see the similar kind of growth. Is that right, Ferroze bhai?

Feroze Azeez: Yes, absolutely, Jugal sir. If you normalize the 6% revenue growth in a quarter, that implies 25% for the year -- 24% to be precise. And like you said, the trail revenues come in gradually, and

they don't come upfront. And if you look at the structured product issuance, which is also exactly or almost equal to what it was, because the structured product issuance is an outcome of a portfolio design. And if the portfolio design has a certain percentage, there will be allocation opportunities in structured products or in mutual funds when there is a rebalancing.

Let's say, there is a 30% allocation a client actually has desired to have in structured products.

If mutual funds run up, there will be movement from mutual fund to structured product and vice

versa. So the revenues are an outcome of client action derived out of a portfolio construct predetermined. So that the process is driving and revenue is an outcome. Clients' return is the

primary requisite and the desired portfolios which are agreed with the client makes the repeated sale practically a few minutes' job.

b.

Pallavi Deshpande: Right. Sir, second, I just wanted to understand, I think you did mention before that there is no capacity constraint for the non-principal protected structured product. Would there be any -- I understand, long-term there's no capacity constraint, but in the near term, do you see an

overheating in the credit markets and due to which you may be wanting to go slow there?

Feroze Azeez: Not at all, Pallavi. The reason being, when we look at -- when we give our long-term guidance of 20% to 25%, we have methods where we simulate at least the next 8 quarters, if not more, okay? So there is no constraint. From a credit market heating up, will we have difficulty in further issuances? The answer is no.

And this is something which we have been doing for the last 11 years. And when you plan -- and it is the same two products -- or three products, which have been repeated may be 1,000 times each. So we believe in doing the same thing over and over again and perfecting it rather than waiting to get our revenues in the bank.

Pallavi Deshpande: All right, sir. I will come back in the queue.

Moderator: Thank you. Our next question is from the line of Sunil Shah from SRE PMS. Mr. Shah. Please ask your question.

Sunil Shah: Thank you, Feroze, thank you everyone in the team, my question is more towards the next three years to five years. Now if I run with an assumption of, let's say, 25% compounded growth, maybe 12% for us can come because of the market appreciation, because we are selling such products, wherein our AUM will be either 11%, 12%, 13%, 14%.

So if I take a 12% growth over that period, and the residual 13% growth can come in from, let's say, incremental AUM from existing clients plus introduction of new clients because of your increase in the RM. So this 25% kind of a growth number for the next three years to five years

is the broader assumption with which I am moving forward. Is there any risk to my assumption, ANANDRATHI

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which is internal to the organization? External in terms of market is something which I can understand. But is there anything that I am missing out on this assumption that I am going ahead with?

Feroze Azeez: Sunil sir, thanks for your question. Firstly, like we have given the guidance of 20% to 25%. Of course, the 25% compounded growth, not just for five years, for 10 years, 15 years, and we firmly believe it's par for the course. Like you rightly said, if the client portfolios grow by about 12%, then the other 13% needs to come from the three other cylinders of growth: new client addition, penetration into existing clients and new RM addition. Let me throw some color for you to be able to comprehend the potential of all these four verticals or four cylinders. We did an analysis -- we continually do this analysis. But the latest numbers of all our 10-year plus clients, the top 200, the return compounded for their portfolios is 13.97%, give or take, because this is still not audited, it is in the audit stage. So 13.97% is the compounded return of our 10-year-plus clients with a beta of about 0.57%.

In the same period transaction-by-transaction, Nifty has delivered about 12%. So having said which, like you rightly provisioned for the future, like 12%, I would say, to be on the safer side, 10% - 11% is what we provision from the automatic growth as time progresses, if we do justice to people's hard earned money.

Then coming to the second part, penetration of our existing families, which is 9,212, you will also be very happy to know, our top clients who contribute to 20% of the AUM, approximately, INR 50 crores plus, all of them, barring none, were acquired at an average value of INR 12 crores. So this can give you a sense of the potential of the large number of acquisitions which are happening.

With time, we are able to build credibility of reasona

ble distributors who don't overstate and

underdeliver. And once a client realizes that this is some place where he can trust, there is risk management, numerical risk management. And everything which is given to them is what the relationship manager buys for himself, then penetration becomes simpler.

So point I am trying to make is, all our top clients, we have penetrated their wallet reasonably over long periods of time. And we have thousands of clients waiting, and in the process of the credibility build, the potential is humongous on the second cylinder, which is penetration.

When it comes to new client addition, the engine of new clients, as we become more and more visible is becoming relatively simpler. And in the next one years, two years, the pull strategy of marketing seems to be currently showing green shoots. Most of our clients today take pride in referring their friends. There are several clients who want to bring 30 - 40 of their friends to make us do events for them. So that whole inflection point, is around the corner in terms of client acquisition, so that we can get to 0.75 - 1 client per RM per month, which is our aspiration.

Fourth engine, which is new RM addition. We have 330-odd account managers, which are our apprentice, being trained by the 300-odd RMs on a one-on-one relationship. And most of our RM promotions come from -- or RM additions, reasonable number, come from this set of those sharp people who emerge themselves as capable of carrying the brand and its ethos in the ANANDRATHI

marketplace. So to answer your pointed question, sorry, a long answer, Sunil sir, I think your assumption is very, very fair. To provision for external risk is, why there is a range of 20% to 25%.

Sunil Shah: Right. Thank you, Feroze, for making me understand this much better. Yes, clearly, Anand Rathi for us is one of the only companies in this financial world in India, which has carved out a process for the RM side, the client side, the product side, which is not visible in any other company. Appreciate that a lot. Again, I will just dwell back on the question, which is the risk part. This is beautiful, what you are doing. But anything that you think can be that minus three Sigma kind of an event, which we cannot think about internally is what I am trying to understand. Is there anything or if it isn't, just maybe I had be happy to hear that. But at this point in time, we do not foresee. But just, not on the MLD parts, the relationship that we have with our sister concern. Anything on those is what I am talking about.

Feroze Azeez: Sunil sir, like you rightly said, there could be three Sigma event, four Sigma or six Sigma events, and that's which are not seen. But if you look at how the group has behaved, like Rakesh sir is one of the longest-standing CEOs, I am saying one of the because I don't know all of them, but 17 years. And we have travelled several challenges reasonably well.

There is risks which we mitigate. Now if you look at the regulatory side, the tax side, the supply side, like there was an MLD tax change and we had predicted that a year before that. And that's why we were not doing listed MLDs. And this was in public domain given as this is writing on the wall it will happen. So regulatory.

Now if there is any change in trail commissions, for example, I am again taking you out of MLD for a moment. I will come back to that topic. We know that it is going to be an advantage. Even if there is a yield compression, it's going to be an advantage for us. Why will a yield compression be an advantage? Well, it looks like -- sounds like an oxymoron. So the third largest distributor, nonbanking distributor, and yield compression could be an advantage, because it helps me have the same level of interest where my competitors are losing interest.

The evidence of that is, the

lumpsum flow in equity mutual funds is minus INR 30,000 crores in the same half year, where we are speaking of INR 1,600 cores - INR1,800 crores of addition. If you remove the SIP number of INR 90,000 crores, the total inflow is only INR 60,000 net, which implies lump sum money has gone out.

So from a regulatory standpoint, from a taxation standpoint, from a supply standpoint, now I am sure you are very interested in the MLD piece, or now MLD has a definition, so we call it non-principal protected structure products, which is what it is. We have looked at all the four constraints, and we have examined these constraints very, very extensively.

Constraints could be supply in terms of borrowing needs of the NBFCs, supply of the hedging needs of the derivative market, for example, so on and so forth. There are four constraints. All those four constraints have been examined to an AUM of INR 1 lakh crores in structured products alone. ANANDRATHI

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So we like to simulate that, we have a written down strategy for each of that. So probably we can give you a reply -- Vishalji, we can also do some other one-on-one meetings to explain a simulator. In fact, we have also made a simulator, a very interesting one. Because Sunil sir, you spoke about process. The process has been laid down, because in our company, everybody is a relationship manager; me, Rakesh sir, Chethan Shenoy, even our erstwhile HR Head used to manage clients. So there is a lot of experience when you go to the marketplace, and Chethan Shenoy could be my tenth largest RM, or even -- so it is not just for a tick box, we are serious relationship managers who understand what's happening in the marketplace. So putting a process -- keeping in mind the RM difficulty, the client need, and the delivery of performance for the client, those processes are being defined and always being strengthened as we learn, as we go along.

Sunil Shah: Sure. Thanks for the detailed information. Thank you so much.

Moderator: Thank you. So the next question is from Rusmik Oza from 9 Rays EquiResearch. Thank you.

Mr. Oza, you can go ahead.

Rusmik Oza: Sorry for the disturbance. My question to both Feroze and Chethan was just to understand the

strategy of the Digital Wealth space. Because in the last one year, number of customers have gone up only by 10%, because it's a platform business much more fast scalable. And in terms of AUM, it is around 3% of our assets as of today. What's your strategy for this in the next three to five years? And in terms of profitability, how does it compare now and maybe five years down the line, once it is fully scalable, how could it build up?

Feroze Azeez: Mr. Oza, the thought process here is to see if we can give HNI kind of advice to mass-affluent digitally and still continue our huge cultural principle of giving ethical advice. Because currently, the mass-affluent buys investment-based insurance plans largely by several other banks and distributors. So that's the thought process. Now coming to your pointed question, what do we see as the future? We have always had this principle of first evolve and then scale. So we are in the evolution stage to understand where we are right, what's wrong, what's right. So these are profit-making entities. And we are still in the process of getting the trial and error to make sure that, it becomes a scalable business. So I would not want to comment on its scalability at this stage.

Like you would see in the Private Wealth business, now we are, for the last two years, three years, putting the pressure on the accelerator, because a company which deals in people's money needs to evolve and not scale so soon. That's why I would not have projections or any guidance to give on those businesses. It will be like counting the chickens before they hatch. And we would not want to do that. But yes,

the core principle is, can we give mass-affluent a similar advice where still there is a relationship manager who can manage 100 to 200 clients using the technology platform? Because we have realized that technology standalone does not handhold the client during bad times. Investing is both heart and the mind from an investor standpoint, if you think. ANANDRATHI Private Wealth. uncomplicated
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We were the only or one of the few wealth managers who had a positive equity mutual fund inflow during the COVID year, whereas the industry lost a few lakh crores between PMS and mutual fund. That's because handholding is the most important thing when adversities happen. That's when a person is able to realize the long-term benefit which he sees on paper. So technology standalone is not our thought process. It should help augment an RM to manage 200 clients as against 50, which is what we have as private wealth number of clients. So that's the key fundamental thought process, I thought I will throw some color on it around the expected numbers. It would be a little premature for me to even create a guidance on that and raise hopes.

Rusmik Oza: Thanks for the elaborate answer. That was very helpful. My second question is, since our business is actually more driven with manpower, and that cost doesn't go up so much. But as earlier Sunil was asking, if you have got 10% - 11% AUM growth and another additional growth coming from various other aspects. And if you grow at 20% - 25% per annum for the next couple of years, then is there any scope for the net margins, we make around 30% right now, to inch up further going forward? Or we feel that this 30% is something which could stay for the couple of years?

Feroze Azeez: Mr. Oza, can it go up? The answer is yes. Like you rightly pointed out, several costs are variable and the fixed cost gets amortized over a larger revenue, that could definitely give us operating leverage. Having said which, we believe that investing in the business for future growth being ensured, or at least the probability of future growth becoming higher and higher. We are currently investing in several other verticals like strengthening our marketing, strengthening our compliance, strengthening our product division, strengthening several other divisions, which require to be made as professional as any company on the street, so that we can ensure the growth.

Having said which, we have an LCM kind of a number in our mind when we discuss internally, 40% for PBT and 30% for PAT. In the order of magnitude, we always would like to protect this under most controlled circumstances. But it's also very important to strengthen. Let me give you an illustration of how we have strengthened the front-end product team. We have several research people, who currently, because of the digital transformation after COVID, do joint meetings with RMs for effective communication and conviction transmission to the client.

And you would be very happy to know, if you are already a shareholder, that we do 25,000 to 30,000 joint meetings by these 50 product research people who are front-end, and their calendars have four- five six - meetings every single day on a working day and even on holidays. So that's why, you would see revenue jumps not resulting in operating leverage currently, because we would want to invest in the business for the enhancement of the probability of the guidance which we have given, so that we can continue the ethos of under-commit and over-deliver.

Rusmik Oza: Thanks and my last question is on the regulatory side. We've seen the regulator such as SEBI

has been very aggressive in the last couple of quarters on trying to introduce a best practices and other things. Do you see any threat on the regulatory side? And if so, are there any solutions which we have? ANANDRATHI Private Wealth. uncomplicated
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Feroze Azeez: Mr. Oza, for us, we have seen regulator as – regulation as an opportunity. Why? Because we have tried to always read between the lines of each regulation, not read the lines, but get the essence of it. I can give you several examples. But for the lack of time, I will just tell you that we look at regulatory changes as opportunities. Why does this become? Because we have interacted with regulators in different informal forums largely, where the regulator wants you to be client-centric. If the expectation of the regulator is mean client centricity, we want to be the three sigma more than mean in terms of client centricity. That's our aspiration. We don't want to be told to be client-centric. We want to be three sigma more than the average expectation of a regulator. That's why any change has resulted in some degree of fillip for us. And I can list down the seven changes which I have in mind when I am making the statement.

Having said that again, let me tell you that regulatory changes could be on commissions, which I think the regulator had spoken about. And we had already done a certain conference call also in terms of -- I think Vishalji, we would have made one, where we were trying to decipher that none of the regulatory comments were applicable to us. We were not using B30, we were not using smaller schemes to get more commission. We were not doing NFOs, not even one NFO approved. Forget selling, not even one approved for the last 11 years. We very well knew our neighbour could make 3% as a competitor upfront commission. We were still very happy making the 1.09% trail commission because we think that an NFO doesn't have data enough for me to analyze.

So we stuck our ground. So, we didn't take the advantages of the generousities on the regulatory front. So when the generousities get curtailed, we are not hampered. Lastly, if you look at the study which we did, India has INR 670 lakh crores of household savings, which was only INR 270 lakh crores in 2013. Large part of this data comes from RBI's website. Out of this INR 670 lakh crores, for all industry participants, it may be surprising to know that there is only 4% of Indian household savings in equity mutual funds. And we have, as a country, more money in the form of currency than equity mutual funds.

This tells us what kind of role as part of the industry, we have as a duty to make sure that if there are 18 crores people in crypto and 4 crores in equity mutual fund, we have a long way to go as an industry to spread awareness of this platform, which is the most transparent. So I think regulator also understands what is ahead and what kind of distribution infrastructure will be needed. And I think there will be a balance because there is rationality in all our regulators.

Rusmik Oza: Thanks, thanks for the detailed answer. I appreciate the kind of work you all are doing, because I have spent 11 years in the wealth management division historically, so I can relate and understand the kind of quality work you are doing. Best of luck to the entire team. Thanks a ton.

Feroze Azeez: Thank you for your generous words, sir.

Moderator: Thank you. So the next question is from the line of Pallavi Deshpande from Sameeksha Capital. Over to you ma'am.

Pallavi Deshpande: Yes. Thank you for taking my question again. Just wanted to understand, this is something from an industry perspective, that the small cap funds are now facing a challenge given their size in ANANDRATHI Private Wealth. uncomplicated
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terms of their choice for investments getting limited. How do you see this play out for the industry?

Feroze Azeez: Yes. Pallavi madam, now that you've spoken of small cap, with full humility, let me take some credit for the company. On 2nd January 2023, which was much before all this outperformance, in public domain we had s

aid small cap has to go up, because of some data and analytics which we back tested and front tested. Point one. So we increased in our model portfolio, small caps, which was just 5% in the fund level to almost about 24% much before this rally. So Pallavi madam, can you hear me now?

Pallavi Deshpande: Yes sir.

Feroze Azeez: So, like you rightly said, small cap as an industry has become larger. The assets which have come into small

cap in the month of August was about INR 4,340 crores, came into small cap as a category. Last month, INR 2,638 crores in the month of September. Small cap as a name has remained the same over the last five years, and the next five years, we will keep still call the subsequent 250, other than the first 250 as small cap. The English description would remain as small cap. But you will also be happy to know that the top stock of the small cap index, which is the NSE small cap 250, which is what is the concern for a mutual fund investor, as per SEBI, the largest stock is a INR 36,000 crores market cap, which is Suzlon. So if you look at the average of the top 10 stocks in the NSE small cap 250 Index, the smallest one is INR 20,000 crores in the top 10 weights. So, I think five years back, the largest small cap stock was INR 8,000 crores. Today, again, it is called a small cap, but the largest small cap is INR 36,000 crores. Unfortunately, English hides more than speaks. So we like to look at the mathematics of it. That's point one. Point two, nothing to say that these two funds, which are really large, like Nippon Small Cap and the SBI Small Cap, which have reached more than INR 25,000 crores. Like Nippon Small Cap had some 160 stocks in the portfolio. But again, SBI Small Cap, which is equally large, had only about 60 stocks in the portfolio. So, every fund manager is able to apply his judgment to what he can manage because the universe has become larger. The number of stocks which we call non Micro-Cap, which is greater than INR 3,000 crores market cap, has expanded significantly by about 80% in the last five years. For a country this large, which India has the largest number of listed stocks in the world, do we think that supply will come? To my mind, yes. But from a mutual fund distributor standpoint, if the person is ahead of the curve in terms of not looking at the rearview mirror to decipher the returns and his actions, we are able to generate the alpha. So, the model portfolio which we ran from 1st January 2013 after Direct was introduced, we knew that this is one risk so we will have to put in a lot of effort to add value to be a relevant distributor. So, we started a model portfolio on 1st June 2013. 1st Jan 2013 is when Direct was introduced. Just past performance advice or distribution would not work, we knew then. So, after 10 years, I am very happy to disclose that all the buying and selling, which our model portfolio ANANDRATHI Private Wealth. uncomplicated
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recommended, if done, would have generated an alpha of 3.97% over Nifty over a 10 year period compounded. So if one were to invest INR 10 crores as per Anand Rathi model portfolio and agreed on all decisions taken, he would have had INR 41 crores instead of INR 30 crores in Nifty. So INR 11 crores of alpha has been added because 25 people spend day and night only to understand out of the 384 active funds, which one will be the 14 which will form a part of my portfolio and the intense and rigorous mathematics in terms of solving differential equation using regression, using holiday NAV, using target NAV, all these are concepts which we are working on, even have copyright on, and a patent if possible, as a process, should give us the 3% alpha on Nifty. So point is, for a distributor, everything is open. For industry as such, I think small cap has been redefined, not in English, though, but in mathematics.
Pallavi Deshpande: G

reat to know about the alpha. In second part of this would be that what's the view on the small caps now? Feroze Azeez: I don't think it is the right forum. For whatever it's worth, we think that small caps have potential. But there's a lot of liquidity which has chased the stocks. So we try and see the intersection between so we – I will tell you what we did. Because the exuberance in small caps, which is apparent from the dispersion and Nifty returns to the small cap returns, especially for this financial year, when we moved into small cap, it is so large that we wanted to see whether it is time to book profits out of them. We realized that we first made a list of the negative stocks of 25, and then we tried to see the intersection in our model portfolio on an implied exposure basis that was very less. So what is our thought is that out of the 250 small cap stocks, being very, very selective is the name of the game, in our humble opinion, which might be completely wrong. But yes, I am just telling you what we feel, especially in a year where there is an election. And this is one thing from an industry participant out of our digressing from our results. We did an analysis of the last five general elections. Elections generally are perceived by an investor to be an adversity. But all five years, if somebody were to invest just six months before election - general election and exited six months after general election, all five times you would have made a positive return. That was a surprise to me. Even a one year investor plus or minus six months with a general election in the middle has always made positive return, and 10% is the minimum return and 16% is the average. So we tell the client that elections might seem like an adversity, so don't change your risk and calibrate it too much, unlike what the perception with the decibel of the news going up on this is going to happen. That's what we want to counsel our 9,212, so they don't behave equal to the rest of the four crores.

Pallavi Deshpande: Right sir. Thank you so much sir. This is very useful.

Feroze Azeez: Thank you Pallavi madam.

Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to Mr. Feroze Azeez, Deputy CEO of Anand Rathi Wealth Limited, for closing comments.

Over to you, sir. ANANDRATHI

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Feroze Azeez: I had like to thank everyone for being a part of this call. We hope we have tried to answer your questions. If you need more information, please feel free to contact Mr. Vishal Sanghavi, our Investor Relations Head; Rajesh Bhutara, our CFO; Strategic Growth Adviser, our Investor Relations Advisers. Appreciate your time, and I would like to extend my heartfelt wishes for the upcoming festive season and may you have a great weekend. Thank you for your time and patience.

Moderator: On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining, and you may now disconnect your lines. ANANDRATHI

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Call: Jan 2024

ANAND-RATHI

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Ref No: 85/2023-24

Dated: January 19, 2024

To,

The Manager,

Listing Department,

The National Stock Exchange of India Ltd.,

Exchange Plaza, 5th Floor, Plot C/1, G Block,

Bandra -Kurla Complex, Bandra (E),

Mumbai -400 051. Tel No.: 2659 8235

Fax No.: 26598237 / 26598238

Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,

Listing Department,

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street, Mumbai -400 001.

Tel no.: 22721233

Fax No.: 22723719/ 22723121/ 22722037

Scrip Code: 543415

Subject: Q3 FY2024 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q3 FY2024 earnings

conference call dated 15th January, 2024. The transcript is also available on the

Company's website at <https://anandrathiwealth.in/Investorrelations.php>

This is for your information and record.

Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

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:-y

Nitesh Tanwar ~

Company Secretary and Compliance Officer

M. No. FCS-10181

Enclosed: as above

ANAND RATHI WEALTH LIMITED

(Formerly known as Anand Rathi Wealth Services Limited)

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AMFI-Registered Mutual Fund Distributor

GIN No.: L67120MH1995PLC086696 Registered Office: Floor No. 10, A Wing, Express Zone, Western Express Highway.

Goregaon (E), Mumbai -400 063

Board Line No.: 022 6281 7000 | Website: anandrathiwealth.in

Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg,

Lower Parel, Mumbai -400013 | Board Line No.: 022 69815400/69815401 | Website: anandrathiwealth.in

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"Anand Rathi Wealth Limited

Q3 FY '24 Earnings Conference Call"

January 15, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the

audio recordings uploaded on the stock exchange on January 15, 2024 will prevail

Management:

1. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER – ANAND RATHI WEALTH LIMITED

2. MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER – ANAND RATHI GROUP

3. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER – ANAND RATHI WEALTH LIMITED

4. MR. CHETHAN SHENOY – EXECUTIVE DIRECTOR AND HEAD ■ PRODUCT AND RESEARCH – ANAND RATHI WEALTH LIMITED

5. MR. VISHAL SANGHAVI – HEAD INVESTOR RELATIONS – ANAND RATHI WEALTH LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Q3 FY '24 Earnings Conference Call.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in

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the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Feroze Azeez, Deputy CEO.

Thank you, and over to you, sir.

Feroze Azeez: Thank you so much. Good afternoon, friends, and thank you for joining the Earnings Conference Call for the third quarter and the 9 months ended 31st December 2023. With me, we have Mr. Jugal Mantri, the Group CFO; Mr. Rajesh Bhutara, the CFO; Mr. Chethan Shenoy, Executive Director and Head of Product and Research; Mr. Vishal Sanghavi, Head, Investor Relations; and SGA, our Investor Relations advisors.

Indian economy has shown robust growth, and our markets remain resilient despite global uncertainty. With the expanding investment opportunity and a thriving market, wealth management firms are likely to attract more clients seeking professional guidance. During the last quarter, we have added the highest number of HNI families, and our client base is now at 9,641 families, and our assets under management have grown to INR 55,057 crores, a 43% growth on a year-on-year basis. In the first 9 months of FY '24, our consolidated revenues increased from -- by 35% year-on-year to INR 555 crores, and consolidated profit after tax grew by 34% year-on-year to INR 169 crores. The consolidated net flows grew by 41% year-on-year to INR 5,411 crores. Equity mutual fund net flow saw a remarkable 85% year-on-year increase to INR 3,854 crores despite the industry experiencing net flows of minus INR 29,000 crores in equity and growth-oriented scheme net of the SIP inflow of INR 1,41,000 crores approximately.

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This growth highlights our client families' trust in us and our deep understanding of our client requirement, backed by meticulous research to gain insight into the risk associated with achieving their financial growth. Our trail revenue for 9 months of FY '24 stood at INR 186 crores, which grew by 32% on a year-on-year basis. The role of our team of relationship managers has been a key to our consistent growth.

Relationship managers, which increased by 45 in number on a net basis over the past 12 months, bring the total number of relationship managers to 322.

Importantly, this quarter also we saw zero-regret attrition, showcasing the strength of our workplace culture. Our superior client retention capabilities have helped us to manage our client attrition rate below 1% in terms of AUM lost for the first nine months of this financial year. We remain confident that the private wealth management space in India has massive growth potential and the HNI space still being a highly underserved market.

I will now request Chethan Shenoy to take us through the digital wealth and the OFA businesses, which are our subsidiary. Chethan, over to you, sir.

Chethan Shenoy: Thank you, Feroze. The company's Digital Wealth is an extension of our

Private Wealth offerings to mass affluent segment. This segment aims to deliver a comprehensive and scalable wealth management solution through technology, featuring real-time portfolio restructuring, access to high-quality private wealth product research, simple customer education and a 360-degree digital delivery model. The AUM in this segment increased by 47% year-on-year reaching INR 1,491 crores. Revenues from this segment grew by 79% year-on-year, reaching INR 18 crores. Now moving to the Omni Financial Advisors (OFA) business. The OFA business is a strategic extension for capturing the wealth management landscape to service-related clients through mutual fund distributors using our technology platform. This is a s

ubscription-led business model
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where our proprietary technology is used to solve the common pain points of a mutual fund distributor. As of December 31, 2023, OFA has 5,932 mutual fund distributors and has assets under administration on its platform of INR1,24,410 crores. Total revenue from this segment grew by 15% and stood at INR5 crores.

Now I hand over the call to Mr. Jugal Mantri, Group CFO, to take you all through the financial performance of the company. Thank you, over to you, Jugal, sir.

Jugal Mantri: Thank you very much, Chethan and Feroze bhai. Wish you all a very Happy Makar Sankranti. Now coming to our financial synopsis, our consolidated revenue for the quarter ended December 31, 2023, stood at INR 187 crores compared to INR 140 crores in Q3 FY '23, registering a growth of 34% Y-o-Y. The revenue for 9 months of FY '24 stood at INR 555 crores compared to INR 412 crores in 9 months of FY '23, registering a 35% year-on-year growth.

Trail revenue for Q3 FY '24 stood at INR 72 crores, which grew by 43% year-on-year. And for the nine months ended, trail revenue stood at INR186 crores, witnessing a growth of 32% Y-o-Y. Profit before tax for the quarter stood at INR 78 crores , registering a 34% year-on-year growth, whereas profit before tax for 9 months of FY '24 stood at INR 226 crores, registering similar growth of 34% Y-o-Y. Our profit after tax for the quarter stood at INR 58 crores, registering a 34% Y-o-Y growth compared to INR 43 crores in quarter three of FY '23. Profit after tax for nine months of FY '24 registered a growth of 34% year-on-year at INR 169 crores as compared to INR 126 crores for nine months of FY '23. The PAT margin stood at 31% in Q3 FY '24 and 30.5% in nine months of FY '24.

Earnings per share for Q3 FY '24 stood at INR 13.9 per share, and for nine months of financial year FY2023-24, it stood at INR 40.5 per share.

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The return on equity on an annualized basis stood at 42% for nine months of FY '24.

Coming to the Private Wealth verticals. For nine months of FY '24, our flagship Private Wealth vertical revenue grew by 34% year-on-year to INR 531 crores, and profit after tax grew by 33% year-on-year to INR 166 crores.

With this, we can now open the floor for question and answer. Thank you, Mr. Dorwin.

Moderator: Thank you. The first question is from the line of Samyak Shah from Sameeksha Capital. Please go ahead.

Samyak Shah: So, congratulations on a good set of numbers. Thank you for giving me opportunity. So, I just wanted to know that what will be the alpha generated by us on 9-month basis?

Feroze Azeez: Sorry, I couldn't hear you. If you could just repeat the question, Mr. Shah.

Samyak Shah: Yes. Am I audible now?

Feroze Azeez: Yes, a little. So -- but yes, we will try -- I will do an attempt to hear you better this time.

Samyak Shah: Yes. So, what would be the alpha generated by us on mutual funds this time?

Feroze Azeez: Okay. Alpha generated by us. On the model portfolio, we run a 14-scheme model portfolio currently. The alpha generated as of yesterday, I can tell you. I don't know the 31st December number, but those 14 schemes are in the public domain. It is 14.23% from 1st April absolute.

Samyak Shah: Okay. And other products have increased from 12% to 15% this year.

So, which are the products offered in this segment? And what will be the average yield on those products?

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Feroze Azeez: Sorry, I couldn't get you again.

Samyak Shah: Yes. Other product -- like other product share has increased from 12% to 15%.

Feroze Azeez: Correct.

Jugal Mantri: So, I think he is talking about the AUM, which we classify under other products.

Feroze Azeez: Yes. I understood. I understood, Jugalji now.

Jugal Mantri: Work in progress which has

gone up.

Feroze Azeez: See, when we get assets, that's our raw material for the subsequent quarters. So, when you look at other products, when a client we analyze, we generally don't onboard him generally just with a cheque. We sometimes take his stocks in our Demat account, which will, over a period of time, get realigned. So first, we show him our strategy or show her the strategy, whoever the client is. The person we say that there's a lot of tax implication, exit load implications to what you currently are doing. So, we take that in our custody and that's work in progress.

And we are very, very happy to see that number, 12-13% becoming 15%. It implies that you have more money to align for the subsequent quarters. And that's where that's 13% to 15%. Other product could be a tax-free bond, could be a stock, could be a PMS, which may get on an annual for a change. So, realignment happens post the custody moves to us.

Samyak Shah: Okay. And had we launched any new offering in non-principal protected structured products?

Feroze Azeez: No. We personally believe in just doing the same thing over and over if it works. So, the structured products we currently design require two macroeconomic variables, which is high interest rates and reasonable Vols. And that continues. So, this design has not changed --from

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February 1, 2013 which was the first issuance. So, the design has remained similar because the external environment has been similar, too.

So, we might be doing the same product 1,300 times. So, no innovation. Innovation is in the optimal extent only when the clients stop making money or are projected to stop making money is when the design changes.

Samyak Shah: Okay. And when seeing product-wise AUM mix, share of those products have reduced from 29% to 24%. So, what is our target AUM mix?

Feroze Azeez: See, that's again alignment opportunity next quarter or the subsequent quarters. When the mark-to-market gains in structured products are going to be lower than a year where markets - NIFTY, I think, started this year on the 1st April of about 17,400 and, I think, has moved up about 18%, 16%, 17% as of December end. So the change in proportion is because of the mark-to-market gain in one of the primary products being higher than the other, which implies that when I take a portfolio to the marketplace and realign because the

strategic allocation for a client. Let's say, one of my clients who I am an RM has 65-35, 65 equity mutual fund, 35 non principal protected structured products. If that was the desired allocation on 1st April and that was allocation on 1st of April, there is a realignment need of 5% - 6% because of the differential mark-to-market. So that proportion will be restored back to 30%. That's the hope and that's our opportunity.

Samyak Shah: Yes. And what will be gross and net issuance of MLDs, these non-principal structured products?

Feroze Azeez: Yes. So gross and net, I will request Jugalji to give you precise numbers. Yes, but the net has gone up significantly. Jugalji, can I request you to give those numbers, 9 months gross and net?

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Jugal Mantri: Yes, please. See, the gross mobilization in case of 9 months is INR 3,994 crores. And the net mobilization in non-PPSP is about INR 3,000 crores. (please don't consider this data, actual net mobilization is given subsequently)

Feroze Azeez: No, 9 -- Jugalji...

Jugal Mantri: In the 9 -- first 9 months.

Feroze Azeez: That's equity mutual funds, right? Non-principal protected structured product...

Jugal Mantri: Gross mobilizations is INR 3,994 crores in the first in the 9 months.

Feroze Azeez: Gross mobilization is INR 3,994 crores. And net number is INR 915 crores.

Samyak Shah: Okay. Yes, that's really helpful. All the very best.

Feroze Azeez: Thank you so much sir, for your

our questions.

Moderator: Thank you. We have the next question from the line of Dhaval Parekh from IIFL. Please go ahead.

Dhaval Parekh: Thank you so much for the opportunity, sir. Am I audible?

Feroze Azeez: Yes, absolutely.

Dhaval Parekh: So, sir, I had a few questions on the MLD part. So just wanted to know within the gross or the primary issuances that we do, what proportion of it could be a self-product and, I think, from the Nuvama Wealth product?

And secondly, on the duration of the product, what is the current duration of the MLD products that we sell to the clients? And has it significantly changed post the change in the regulations last year? Thank you. That will be my question.

Feroze Azeez: Second question was what, sorry, Mr. Parekh?

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Dhaval Parekh: Second question was the duration of the MLD products that we sell. Is it a 3-year product - 5-year product? And has it significantly changed post the tax regulation change last year?

Feroze Azeez: No. So, on the first one, what are the proportions, the proportions I can give you precise numbers. But Jugalji, have a proportion number and he will give you...

Jugal Mantri: Yes, yes. For the gross mobilization in the first 9 months, as I said, it is INR 3,994 crores. Out of this, INR 3,590 crores is issued by the group company and remaining INR 404 crores has been issued by the third party, which is Nuvama.

Dhaval Parekh: Okay. Thank you.

Feroze Azeez: Yes. And the second part of the question, is there any change? In August 2020, I think we went from 3 years to 5 years. That was one of our learnings from COVID. It has been largely 5 years post that.

And there has been some regulatory change on some MLD or structured product – non-principal protected structured product issuances because of that Nuvama's sourcing could be lower in this quarter. There is some regulatory change on certain issuers. Anybody who has issued a

principal-protected structure product had some changes in regulation. I am just trying to bring it to your notice now that we are on the topic. Since Anand Rathi Global Finance has never issued a listed product ever like we had also during the MLD tax change highlighted that we don't believe in taking market share and things which we don't believe in. So, we never did. Not even one listed structured product now called MLD has ever been done. So, there is no change in regulation for ARGFL, but there has been a change in regulation for anyone who have issued both of them in the past.

Dhaval Parekh: Okay, sir. Thank you, sir. And, sir, last one point on this. What is the yield that we make on this product, sir, currently?

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Feroze Azeez: The yields we make are 1.17% on all matured products approximately per annum. Yields are always per annum on average market value. If a product began at INR 100, matured at INR 180, the average capital is considered as INR 140. And the yield is 1.17% for about 1,200 products when we last computed after maturity.

Dhaval Parekh: Okay. Thank you so much, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Bhavin Pandey from Athina Investment Fund. Please go ahead.

Bhavin Pandey: Hi, team. Congratulations on great set of numbers. First question would be on the increase in AUM we have seen. Some could be attributed to MTM gains. And whatever inflows we had, could we get a breakup of how much is from the increased wallet share and how much is from new customer additions?

Feroze Azeez: Sure, sir. I will have to ask Jugalji for that number, which is there in front of me. And Mr. Vishal is going to give it to my notice. Jugalji, do you want to take that, if you have that handy?

Jugal Mantri: Yes, yes, it is available. The new money which has come to us is about INR 5,620 crores, and M-to-M gain is about INR 10,26

0 crores. And

there is an AUM attritional adjustment that is about INR 260 crores.

Feroze Azeez: And the proportion between existing and new clients is about 70% from existing clients, to be precise, 73% and the residual from new clients.

Bhavin Pandey: Okay, okay. And Feroze, when we look at equity markets, especially in the Indian market. We have seen sort of a dream rally. And we can see that SIP numbers and everything has gone up in general. But when we look at the scenario where we could see a down cycle, so how do we make ourselves immune to a situation like that?

Feroze Azeez: So, we are already immune. Let me tell you there's one which is a perception and the other is the reality. Perception is that a lot of money

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has come into mutual funds, which is correct. But if you look at the nine-months number, if you look at this number, this was mind-boggling to me. So I thought I will try to bring to attention, INR 1,41,000 crores has come in the form of SIPs in the first 9 months. Still, the net addition in terms of flows is about INR 1,12,000 crores, which implies if you remove -- if SIPs were zero, the amount which is there would have been

INR 29,000 crores negative.

In the same period of 9 months, the corresponding net of SIP numbers

for Anand Rathi stands at INR 3,557 crores. In a period of 9 months,

when if SIPs were to be zero hypothetically, you would have had a minus INR 29,000 crores outflow. In that period, Anand Rathi Wealth

Limited has a INR 3,557 crores of inflow.

So, like in the past couple of calls, I would have said that our dream is

to be a 3% - 4% market share in equity mutual funds. This is a green

shoot of the same. Last year, full year, if SIPs were not there, the total net flow of equity mutual funds would have been minus INR 9,000

crores.

In the same period, if I remember the number, for Anand Rathi Wealth, net of SIP, the number was close to INR 2,500 crores positive. You have gained market share on three counts. One is better funds chosen. You get better mark-to-market. Second is you get better market share in net

flows. Then your market share on AUM goes up. So, when we have a dream of 3% to 4%, we are backing it with effort and energy to make sure that, that dream has a larger chance of getting fulfilled.

So, to come back to your question, are we agnostic to the direction of how the market is behaving in terms of their affinity to buy mutual funds. I would like to believe, yes, because our SIP total inflow has just been INR 250 crores (correct number is INR 295 crores). We are also now focusing on SIP. In the next year or 2, you will be very pleased with us as a shareholder of what kind of SIP numbers we will mobilize from the HNI fraternity.

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Bhavin Pandey: Wonderful, wonderful, Feroze. Seems pretty much clear. And just one last thing before signing off, do you see a sort of a reversal in the trend in the debt MF space and we are anticipating a string of rate cuts in the year ahead?

Feroze Azeez: I don't see that because if you look at the cumulative rate cuts expected in the country, in the world, our estimate is about 155 rate cuts by central banks are going to happen in the world. But India is not going to see huge mark-to-market gains on the debt side because we didn't see mark-to-market losses.

If you look at our 10-year G-SEC is at 7% in June 2022 when the rate cut cycle happened. We were somewhere thereabout, about 50 - 60 bps more is what we have seen. So, we've not seen the long end of the yield curve in India move up dramatically.

So, if that's the case, the repo rate changes have not transpired into the long end of the yield curve, so expecting to make mark-to-market gains when the short end of the yield gets lower may not be real because in India, we have always operated an upward sloping yield

d curve. But the

short end of the yield curve has now gone up.

So we have a flattish kind of a yield curve. Hence, I don't expect huge mark-to-market gains on the debt side even if interest rates on the lower end, repos and reverse repos are reversed. We didn't lose money, so you are not entitled to make as much is the key.

Bhavin Pandey: Superb. Thanks Feroze, and congratulations again.

Feroze Azeez: Thank you so much for your wishes.

Moderator: Thank you. The next question is from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

Gaurav Nigam: Thank you, sir, for taking my question. Sir, I have one question on the OFA business. I have not followed up, I think you may have mentioned

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this earlier, but can you help explain what is the business model of this OFA business and how it is different from the other national MF distributors?

Feroze Azeez: Sure. Sure, Gaurav bhai. Let me try and attempt doing that. OFA business, which is an abbreviation to Omni Financial Advisors, is a SaaS platform. It is a reporting platform which are on a subscription model basis. We provide to IFAs, close to about 5,600 IFAs, okay, give or take. And the assets which use the platform for reporting is close to about INR 1,20,000 crores of assets gets reported. They are not in our broker code or based in another sub-broker model. Unlike other B2B businesses where there is sub-broker models also being utilized. This is just a pure SaaS platform for a fee.

The reason why this business exists in a wealth management firm is because there are multiple avenues of monetizing this. Huge consolidation of IFAs on the reporting platform given the fact that the advisory capability (under the auspices of Chethan Shenoy have 122 research people) which an IFA may not be able to procure himself because of the cost constraints.

So, to answer your pointed question, it's a SaaS-platform, where a subscription fee is paid on an annual basis and 5,600 of them use it for their clients to report upwards of IN R 1,00,000 crores of assets which are not in our distribution whatsoever.

Gaurav Nigam: Understood, sir. Thank you.

Feroze Azeez: You understand, Mr. Nigam?

Gaurav Nigam: Yes, yes, yes. Sir, just a follow-up on this, if, let's say, those IFAs end up scaling up, let's say, INR 120,000 crores become like INR 240,000 crores, is there a possibility of our fees going up? Is it like in any way

related to the AUM growth?

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Feroze Azeez: Not currently, because you are wanting to build scale and then try and monetize.

Gaurav Nigam: Understood. But going forward, what are the avenues for monetization, sir, if you can help explain it? If it is possible?

Feroze Azeez: Mr. Gaurav, our principle always has been to under-commit, over-deliver. So, I don't even want to tell you stuff which is on paper. We generally test. Now if you remember, we are one of the few IPO period participants who would have vocally told that, please, value our profit-making digital businesses at zero. We said that because we like to under-commit and over-deliver.

So, there are several methods of monetizing it. Are we very confident that we have cracked the code? The answer is no. So, I would not create hope unless I am very sure that it is doable because, of course, I can rattle out those 4 - 5 methods of monetizing, which are there in my mind.

But I think it would be unfair for me to create expectations on trial and error because we try to like -- I would have also, on the Private Wealth business, said, we spent 10 - 15 years -- Rakesh Sir, who is our professional group, joined on 1

st April 2007. After 15 years, we said

that we know exactly how to scale this business now. We have done our mistakes on smaller basis. Now you will see us grow at a larger pace.

So, in the primary business, if there w

as 8 - 10 years of trial and error

and trying to be very confident. We love the statement which SEBI made

to AMCs, become better before you become bigger. So, we always want to be better. And then, I think, on the Private Wealth stage, we have got

to that stage where we can say now we are trying to become bigger. We have not got anywhere close to on those digital businesses to make that statement.

Gaurav Nigam: Understood, sir. So we will track it and wait to hear from you more on this. Thank you for answering.

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Feroze Azeez: Sorry, Gaurav bhai. I almost didn't give you an answer because I don't want to give an answer on this in the public domain as of now.

Gaurav Nigam: Sure sir. Thank you.

Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus. Please go ahead.

Rohan Mandora: Good Afternoon sir. Thanks for the opportunity and congrats for good set of numbers. Sir, I missed the number on net MLD issuance. Was it INR 915 crores for nine months? I just want to reconfirm.

Feroze Azeez: Yes, it was INR 915 crores.

Rohan Mandora: And sir, what was the secondary issuances for the quarter, for 3Q?

Feroze Azeez: Jugalji, can you look at that number?

Jugal Mantri: Yes, INR 427 crores.

Rohan Mandora: INR 427 crores, okay. And sir, in one of the earlier participants' question, you indicated there is some regulatory change because of which the other sourcing partner may have a slower contribution incrementally. So, what is that regulatory change? Is it something other than the budget announcement? Just wanted to understand that.

Feroze Azeez: Yes, you can read up on the circular. It says that basically, there is a regulatory change which came as lately as a few months back, 2-3 months back. Any company which has is sued a listed structured product, that's whom that regulation is applic able. So, I think I can send you that regulation. Rohan, of course, you understand our business, one of the best. So, I am sure you have tracked us much before. And I have, I think, Vishalji and our SGA team will send you that circular. Chethan, if you could get this sent, please?

Rohan Mandora: And sir, just one more thing was that for FY '25, what would be the total MLDs that will mature?

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Feroze Azeez: FY '25, we will have about, if I am not wrong, don't go precise numbers,

I think we will have INR 800 crores-900 crores of full maturity. We will have a reasonable portion which has got into the long-term category.

About INR 4,000 crores - INR 5,000 crores would have got into the long-term category from a taxation standpoint and about INR 800 crores - 900 crores of maturity.

If your question is stemming from your worry whether we will have enough net sale in structured product, if you want to understand that bit in conjunction of our asset proporti ons when there is going to be

realignment opportunity. We will be able to project the kind of revenue I will be able to do in FY '25.

So basically, we have a very simple business model. Rohan, of course,

you understand this. Whatever assets we get, like if there is INR 2,900 crores which came new to Anand Rathi Wealth in the quarter, we are

going to earn 1.25% yield at least per annum. That's our business model. If there is a client who gives me short-term money, I don't even take it.

If there's a client who wants 20% IRR, we don't -- we filter our clients and assets at the gate of entry.

So if you want, if we got to almost INR 950 crores of net mobilization

in the last quarter average INR 933 crores. You should try and see on a monthly basis. If I collect this amount, which is my run rate now for this

quarter and see what will be my AUM, what will be the AUM on account

of client portfolios growth, okay? Our clients' portfolios' growth over the last 8 - 10 years on an overall basis has bee

n 12% to 14% return.

Clients have made 12% to 14% retu rn. That's one assumption. Next 10

years, will they make 12% return with our strategy? In our belief, with

the kind of environment India is in, they will make 12%. So that's the automatic growth.

The second variable is, how much money new will I bring on a monthly

basis? Third variable is, what is the yield I will make? The fourth

variable is on the revenue, how much PAT do I make? If you project this

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for the next five years, that's the business model I look for as a professional. And that will give yo u a sense of where this business is headed.

Structured product sourcing is an outcome of alignment. Now if our structured product proportions have come down, given 1st April, if I go to a client and say, now it's time for me to realign, I will have to sell some mutual funds and bring it back to 30% if that is the agreed allocation. If it is 35%, I will bring to 35%. So, the kind of money alignment, which is needed in client portfolios, is enormous.

So, to answer your pointed question, not too much maturity next year. Point one, INR 800 crores to INR 900 crores of market value. The long-term category 4-year plus, 4.5-year plus, which are almost close to maturity which can be sold in secondary to people, is about INR 4,000 crores - INR5,000 crores plus the alignment opportunity you can compute from mutual funds to structured because you have to realign like asset allocation gets realigned. If equity does very well, people reallocate between equity and debt, right, realignment. Similarly, we realign between equity mutual funds and structured products. So that change -- the reduction in the structured product AUM as a mark-to-market AUM value will help you ascertain what kind of alignment opportunities our business has in FY '25. And that's mind-boggling.

Rohan Mandora: Sure, sir, sure. And sir, in terms of the payouts to RMs, is there a difference in the proportion that is paid out for revenues from MLDs and from mutual funds? I am asking this because the employee expenses have declined Q-on-Q, whereas the revenues were broadly flatish. So, I just want to understand that, please.

Feroze Azeez: No. We have the -- now that you have brought me to this topic, Rohan bhai, which people don't get enough -- because you have to read between the lines. Why is our attrition is zero? That's a shocking number for a financial services firm because everybody would want to hire your

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people, but people don't leave. Our formula has been constant. Our remuneration formula, which is on the basis of total comp fixed plus variable of two people generating the same revenue, will always be equal. In spite of somebody negotiating a better fixed, he will get a lesser variable. If somebody is not a negotiator of a best fixed, when he enters, he will get a larger variable. So, the total comp concept was introduced in June 2007. And even their Excel sheet password has not changed. There is very few in this country or the world as wealth management outfits who can say this, that we have not changed the bonus of the remuneration formula for the RM fraternity for 16 big years.

—I have worked for some -- a couple of them in the past. I have spoken to at least hundreds of them. Everybody is mesmerized that how can you have a bonus formula, which is constant. Now coming to your pointed question, sir, saying that there is there a differential payout? The answer is no. Why is there a difference in employee cost? There could be bonus provisions, which are...

Jugal Mantri: Feroze bhai, if you recall, see, in Q2 FY '24, we had an unfortunate incident where we lost Mr. Rohit Rajgopal, and there were one-time payment -- ex-gratia payment because of his sudden death. And that is why that additional cost of about INR 2 crores is there in Q2 FY '24.

And that is why the personnel cost is slightly higher in Q2 compared to Q3. That is the reason, Rohan. There is an addition over there in Q2 FY '24. And otherwise, there is no reason for this manpower cost to be lower in Q3 in FY '24.

Rohan Mandora: Sure, sir. Thanks. And just lastly, so in the new sourcing that we are doing between RMs and AMs, where are we typically recruiting them from currently in the last one, two quarters? Just trying to understand the landscape.

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Feroze Azeez: Sure. I will tell you, our strategy. Our strategy has been hiring best people from smaller brands, okay? We have tested this hypothesis. I have, of course, done about 400 - 500 interviews between '15 and '17, 2015 and '17. And I tested several hypotheses of what has got the best odds of success. We realized that best people from a smaller brand will -- hit the ground running. So, you will see a large portion of our team was hired from a smaller wealth management outfit in those periods because when a client moves

from a sticky bank platform, if the technology is the hook in the previous adviser, then we don't hire. So where do you hire from? Stand-alone wealth management outfits, anybody who has spent more than 5 years, 6 years, 10 years who has proved credibility that he doesn't move on a drop of a hat are the only people we hire. So, we don't hire anybody who has not spent more than four years in the previous organization. That's an embargo in our company.

And the longer the period, longer the propensity for him to bring in clients and if he is from not a very big brand, it becomes easier for him to get assets. Otherwise, we have these internal people whom we are training. 340 people being trained internally is a lot. So, every time you see the sharpest ones who have shown capability of intellect, intent, value system and communication, irrespective of language, gets promoted on a periodic basis.

So just like a college has fewer seats, right, and IIM today does not hire 10,000 people to educate. So we try and make sure that we promote as many as we can teach to be able to take the legacy forward without diluting our brand in the marketplace. That's the principle.

Sorry, your question was very pointed, where you hire from, but I think it's more important for a prospective shareholder or a shareholder to understand principles because that's where the business ascends life, not in the numbers.

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Jugal Mantri: Thank you, Rohan bhai.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi. Good afternoon, everyone. So just one-bit longer-term question as to how do you see your mix between MLDs and mutual funds evolving, say, in the next three years' timeframe, what is the kind of diversification that you would like to bring apart from these two products as well? If you could throw some light on this.

Feroze Azeez: So, diversification can't be the cause of any product being approved.

That's why, there are 21 product lines in wealth management: unlisted stocks, PMSs, AIFs, perpetual bonds, the insurance, so on and so forth.

The reason why we do two is not that the service providers or product providers in the category don't want to tie up with ARWL, right? Anybody would want to tie up with us, right, PMS an AIF. Because my client doesn't need it currently, we like to operate as an uncomplicated fashion of LCM. If I can get to my return objective of 12% to 14% without having the 10

th product. I have just noticed another portfolio, which I analyzed of triple -digit crores of a person for 10 years has bought 84 unique products across 14 different product lines, and the IRR for the last 10 years is 10.68%, and the beta is 1.1. So, if I can achieve a better beta and a b

etter return with fewer products, so to answer your pointed question, the business needs diversification will never be the cause of the third product.

My client needs the third product, then the outcome is going to be diversification from your perspective. We do products in a very controlled environment, a laboratory environment, right? That's why there are two products, not that tomorrow I can't. So, if there is evidence that this is going to help me better my risk-adjusted return, that product will come. The third will come. The fourth will come. Even the 10th will

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come. But we have done enough research to figure out that I don't need any more at the moment.

So, some day after two years, I might go hammer and tongs on the fourth product more than equity mutual funds maybe as long as

mathematically, it's right. And how do we test mathematics? We use Monte Carlo simulation. We use Markowitz. We do all the statistics which is there in those big fat finance books and apply them to manage these thousands of crores.

Prayesh Jain: Sir, but in the sense that you know your customers, how many of your customers would be kind of subscribing to the other 20 other 19 products that you spoke of 21 products earlier, the 19 line of items? They will be subscribing elsewhere with other kind of wealth managers. And are we kind of missing out on that AUM?

Feroze Azeez: I would love to miss out on the AUM. That's been the strategy, okay? When you do what is right to the client, you just have to show him the logic of why you're not doing something.

Prayesh Jain: Okay.

Feroze Azeez: For everything I don't do, I have a strong logic, non-refutable logic, in my opinion, mathematically. On perception, of course, it's a refutable logic. So, clients appreciate the fact that you're telling him why you don't do something, okay? That way, he is buying real estate. I can become a builder, right?

So then I show him that I have analyzed close to 2,400 properties. The IRR of these properties is 8.82% after 11.42 years of holding period. If you bought nifty, these families, which was 700 families, would be richer by INR 2,000 crores. Now tell me, sir, why should I tie up with a builder to provide you an under-construction apartment with this data, right? So, what I am saying is two people come on the same page if there

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is evidence, mathematical evidence of doing something or not doing something, okay?

So, like the Anand Rath Global Finance structured product model portfolio, which started on 1st of February, if somebody would have invested in that, his money would have been INR 5.5 crores in 10.66 years. But if he invested in NIFTY, it would have been INR 3.3 crores, which is hard-fact. So, mathematics helps decision-making. And that's why you see so much consolidation, right? Why is there 15% in other products? Because there's logic presented to them, and somebody has to be my client to understand the exact nature because of the lack of time, I am not able to articulate what depth of mathematics we use.

Prayesh Jain: No, I appreciate that. And just on these MLDs, probably you would have answered this, but just from a clarity perspective, how much of the AUM that you have today is -- does Anand Rath manufactured MLDs or it's completely outsourced?

Feroze Azeez: Anand Rath Global Finance is the largest issuer for Anand Rath Wealth Limited.

Prayesh Jain: Okay.

Feroze Azeez: Because that's one NBFC which, in our opinion, is the safest NBFC in the country from an asset standpoint. They have the largest investment portfolio.

Prayesh Jain: Okay. And what would be the share of this entity in your total AUM today?

Jugal Mantri: So out of INR 55,057 crores total AUM, about the non-principal protected structured product has got total allocation of around INR 13,300

crores. And out of that, around 80% - 85% is with Anand Rath Global Finance, and the rest is with the third parties.

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Prayesh Jain: And that's what you mentioned, that incrementally, it will be more Anand Rath rather the third party.

Jugal Mantri: We already see around 80% 85% is with Anand Rath. It will continue in the same ratio.

Prayesh Jain: Okay. Got it, got it.

Feroze Azeez: People will also around with the regulation, right? All the other issuers are not going to stop issuance. That's why I said for this quarter. And what you may see as risk is what I see as good night's sleep. I am telling you this.

Prayesh Jain: Got it, got it. Thank you so much and a wish you all the best.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Good afternoon, everyone. First question is on mutual fund sales. So any broad industry-level observations that you can share in terms of how do you see commission payouts been trending for the past. Let's say, six to 12 months in terms of it's a large, mid-, smaller AMCs, NFOs versus older funds? Any broad sense that you can share will be very helpful.

Feroze Azeez: Yes, sir. Sure. For whatever it's worth, 'I will give you my opinion. I think commissions on the regular side don't have too much scope for compression. That's why the –discussion paper which was issued by

SEBI, was held back more or less. So, from a commission standpoint, of course, NFOs have taken a hit. Anand Rath Private Wealth Limited never did one NFO. B30 commissions might get restricted again. we don't have any stake there. Smaller schemes get larger commissions. I think economies of scale, the regulator rightly wants that to be passed on to the consumer economies of scale. I think our average model portfolio scheme size is upwards of five-digit crores. So, we have not

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used that lever. So, these are the three - four which you rightly pointed out, could have some compression.

As a business, we have had a sense of that because I have not done any of those so far. So, commissions might have a headroom of 10 paisa 12 paisa compression at best. Currently, if I am not wrong, the model portfolio schemes give us post GST about 1.09. I think for Anand Rath Private Wealth, the compression is going to be lower because we have not used any of those levers. So, if you have not earned from it, you don't lose it. But from an industry standpoint, a 10 paisa, 12 paisa -13 paisa compression over the next three, four years is possible.

Abhijeet Sakhare: This compression is more of a pass-through, right? Like not really AMC is trying to increase their share of the overall TER. How are you seeing it?

Feroze Azeez: It is basically pass-through, sir, like the GST component. For example, AMCs were passing on their share of fees, GST was being charged to the client. But the distributor's GST, the distributor was paying. So to answer your pointed question, I would see it as a pass-through, and the illustration to exhibit that is like the GST bit.

Abhijeet Sakhare: Understood. Very clear. Second is on structuring of MLDs, just for better understanding's sake, like how does the transaction get executed? Do the investments have to sit on your balance sheet for a few days or weeks before it gets sold to the clients? Or it's like a pure agency transaction? If you could just explain.

Feroze Azeez: The period would be a few days at best, three - four. But yes, you buy and down sell them.

Abhijeet Sakhare: You buy them down sell then. Okay.

Feroze Azeez: And the weighted average TAT of the entire volume would not exceed three to five days.

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Abhijeet Sakhare: Understood. Got it. Thanks a lot.

Feroze Azeez: Weighted av

erage TAT, rupee value TAT.

Abhijeet Sakhare: Yes. Got it. And sorry, can I just squeeze in one more? In terms of the transactions on the MLD side, there's no explicit regulation that governs it, right? Like I mean, I understand the accounting sense and how you

make revenues in the overall transaction. But there's no explicit regulations like what you have on the mutual fund side that guides these sorts of transactions just from a risk point of view?

Feroze Azeez: No, because this is just a bond, okay? Like a bond trader, this is a bond buy and sell. So the answer is no. But this is no different than I buying a bond on my prop book and giving it away. Just that the return is variable, and a normal bond return is a constant.

Abhijeet Sakhare: Note that. Thank you.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Feroze Azeez: I would like to thank everyone for being a part of this call. We hope we have tried to answer your questions to our best ability. If you need more information, please feel free to contact Mr. Vishal Sanghavi, our Investor Relations Head, or Rajeshji, our CFO, or Strategic Growth Advisors, our Investor Relations advisers. Have a wonderful week and thank you so much for spending your time with us.

Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2024

Ref No : 18/2024-25

Dated : January 20 , 2024

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q4 FY2024 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q4 FY2024 earnings conference call dated 15th April , 2024. The transcript is also available on the Company's website at <https://anandrathiwealth.in/Investorrelations.php>
This is for your information and record.
Thanking You,

Yours faithfully,
For Anand Rathi Wealth Limited

Jaee Sarwankar
Company Secretary and Compliance Officer
M. No. ACS -38080
Enclosed: as above

ANAND RATHI WEALTH LIMITED
(Formerly known as Anand Rathi Wealth Services Limited)
Private. uncomplicated
AMFI-Registered Mutual Fund Distributor
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Goregaon (E), Mumbai -400 063
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"Anand Rathi Wealth Limited
Q4 FY '24 Earnings Conference Call "
April 15, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on April 15, 2024 will prevail

MANAGEMENT :

1. MR. RAKESH RAWAL – CHIEF EXECUTIVE OFFICER
2. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
3. MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
4. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
5. MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Q4 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen- only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Feroze Azeez, Deputy Chief Executive Officer from Anand Rathi Wealth Limited. Thank you, and over to you, sir.

Feroze Azeez : Thanks, Zico. Good afternoon, everyone, and thank you for joining us on the Earnings Conference Call for the fourth quarter and the full year ending 31st March 2024. I am joined by ANANDRATHI

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our CEO, Mr. Rakesh Rawal; Mr. Jugal Mantri, who is our Group CFO; Mr. Rajesh Bhutara, the CFO, and Mr. Vishal Sanghavi, the Head of Investor Relations.

Amidst a fluctuating global economic environment, the Indian economy has emerged as a pillar of stability and hope. India's GDP growth for FY '24 revised from 7.3% to 7.6%. This growth is expected to attract more HNI client than ultra-HNI client seeking professional wealth management

services. This is also noticeable in the shift towards investments in financial assets and specifically equity -related asset classes like equity mutual funds. With India's high savings rate and this changing asset allocation trend, the wealth management industry is poised for a strong growth ahead. Our strategy to provide uncomplicated and standardized solution to clients backed by meticulous, data- driven research sets up apart in the wealth management landscape. This is evident in our consolidated assets under management growth of 52% year -on-y ear and which now stands at Rs. 59 ,351 crores as of 31st March 2024.

For the financial year 2024, we are pleased to report a remarkable 35% year -on-year increase in revenue to Rs. 752 crores and 34% surge in profit after tax to Rs. 226 crores surpassing our guidance.

In terms of our net flows during the FY '24, it was a significant 41% year -on-year growth on the net flows, and that stood at Rs. 7,182 crores. Equity mutual fund net flows grew by 47% to Rs. 4,628 crores. Despite one of the small- cap equity mutual fund schemes, which was taken out on the model portfolio from mid- March and the funds were in transit . In spite of that Rs. 4,627 crores which is 47% growth in the equity mutual funds net m obilization year -on-year. In line with our commitment to rewarding shareholders, the Board has recommended a final dividend of Rs. 9 per equity share, total dividends for the FY '24 stood at Rs. 14 per equity share, including interim dividend of Rs. 5 per equity share.

In addition to the dividend, the Board has also approved the proposal to buy back 3.7 lakh equity shares of the company at Rs. 4,450 per share for an aggregate amount not exceeding Rs. 164.65 crores that represents 0.88% of the total paid up equity share capital.

Now turning to the flagship Private Wealth business performance highlights. AUM grew 52% year-on-year to Rs. 57,807 crores. On a net basis, we have added 39 new relationship managers in the last 12 months, bringing our total RM count to 332. Again, for the third consecutive quarter, we have had zero regret RM attrition. Number of active client families increased by 19% y ear-on-year and stood at 9,911.

Our client attrition rate in terms of AUM lost was 1.02% for FY '24 as compared to 1.1% last year, reflecting our client- centric approach and a strong research- backed solution.

Now let me take you all to Digital Wealth and OFA business. Our Digital Wealth business is an extension of our private wealth offering to the mass affluent segment. This segment aims to deliver a comprehensive and scalable wealth management solution through technology, featuring real- time portfolio restructuring, access to high -quality private wealth products, research, simpler customer education, and so on. ANANDRATHI

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The AUM in the segment increased by 47% year -on-year and stood at Rs. 1,545 crores.

Revenues from this segment grew by 64%, reaching Rs. 25 crores.

Now moving to the OFA model. The OFA business is a strategic extension for capturing the wealth management landscape to service retail clients through mutual fund distributor using our

technology platform. This is a subscription- led business model where our proprietary technology is used to solve the common pain points for a mutual fund distributor.

As of 31st March 2024, OFA had 5,994 mutual fund distributors associated and had assets under management administration on this platform of Rs. 132,900 plus crores. The total revenue from this segment grew by about 17% and stood at Rs. 7 crores. Before I hand over the call to Mr.

Jugal Mantri, I would like to emphasize that these two promising segments present considerable growth prospect and Anand Rathi Wealth is actually positioned to leverage them in the times

ahead.

Thank you. Over to you, Jugal Sir .

Jugal Mantri: Thank you very much, Feroze bhai. Good afternoon, everyone. Despite the challenges posed by geopolitical tensions, the resilience of our Indian equity capital market has been noteworthy, contributing significantly to wealth generation and the robust growth of the wealth management sector.

Coming to our financial performance for Q4 and FY 2024. First, I will talk about Q4 FY '24 consolidated financial performance.

\ Our consolidated revenue for the quarter ended March 31, 2024 stood at Rs. 197 crores compared

to Rs. 147 crores in Q4 FY '23, registering a growth of 34% year -on-year. Trail revenue for Q4

FY '24 stood at Rs. 80 crores, which grew by a hefty 65% year -on-year. Our profit after tax for

the quarter ended March 2024 stood at Rs. 57 crores, registering a 33% year -on-year growth

compared to Rs. 43 crores in Q4 FY '23. Profit after tax margin for Q4 FY '24 stood at 28.8%.

Now speaking about full year 2024 consolidated financial performance. The revenue for full financial year '24 stood at Rs. 752 crores compared to Rs. 559 crores in FY '23, registering a

35% year-on- year growth. For full year ended FY '24 trail revenue stood at Rs. 267 crores,

witnessing a strong growth of 40%. PAT for FY '24 registered a 34% year -on-year growth and

stood at Rs. 226 crores versus Rs. 169 crores in FY '23. Profit after tax margin for FY '24 stood

at 30% plus. Return on equity for FY '24 stood at 40%.

Coming to the Private Wealth vertical for FY '24, our flagship Private Wealth vertical's revenue grew by 34% year -on-year to Rs. 720 crores and profit after tax grew by 32% to Rs. 231 crores.

With this, we will now open the floor for question-and- answer. Thank you very much.

Moderator: Thank you. We will now begin the question -and- answer session. The first question is from the

line of Lalit Deo from Equirus Securities. Please go ahead. ANANDRATHI

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Lalit Deo: Sir, I just have three questions. So firstly, one data related question. So, could you give us the gross primary and secondary issuance in this quarter? And second, like we have seen significant like a material increase in the expenses during the quarter, so what is led to that? And what would be the outlook on the expenses side for the next couple of years? So like while we have guided for a revenue growth of 21% and 24% of earnings growth. So, like what would be the

outlook on the expenses? And thirdly, so like we have added like about 39 RMs during the year.

Now with the total base of about 330 RMs, like how many RMs would be add and like what are

mature in the system? And what are our target plans for the next 2 years on the RM additions?

Feroze Azeez: Lalit sir, too many questions from your side. It's quite intertwined. I will try and not dodge them

unintentionally. But yes, see, basically, primary and secondary split, which you wanted. Rs.

5,182 crores of gross sourcing of primary and Rs. 1,474 crores of secondary issuance. That's

your first question's answer.

Expense. See I can tell you what we look at internally and what I would request any shareholder

to look at. We are an evolving business. We are not a matured business, okay? Expenses in the employee head will change as the maturity changes. What we are very possessive about

internally is a 40% PBT margin, which we are very possessive about and we are very possessive about a 30% PAT margin.

Last year, same time, there were approximately 135 RMs (actual number was 137) who had

finished 5 years in the system. Now if we have 165 - 168 (actual number is 164) of them, that

means 30 (actual number is 27) of them in a single year move to a mature category of 5- year

plus, right. So whatever be the expense differentials, 40% PBT of the revenue and 30% PAT is

an internal possessive number is one thing, which I wanted to tell you about. And in the minute things, the bigger picture will get lost. This is why I am telling you what goes in our mind. And

your last question, I would like to take again because I didn't write it down, Mr. Lalit.

Lalit Deo: Yes, I was saying on the plans of addition of RMs over the next 2 years?

Feroze Azeez: Plans for addition of RMs is going to be driven by external and internal hires. I think a growth of the current nature, we have added about 40 RMs. I think, 40-50 RMs additions per year or

more is very, very likely. I don't want to give you a guidance on that because the filter is not

how many numbers I want. How many people can carry my proposition effectively to the

marketplace without diluting it. That's the limiting factor, right? Otherwise, you have 360 account managers approximately who are being trained. So we may be one of the few wealth management outfits who knows their next 100 RMs, at least 80

out of the next 100 RMs today,
and we are training them today because we don't believe in waking up and saying I need 20.
We have to work on them for 2- 3 years to get the same cultural fit, which is driven by what binds
us together is client centricity, not money. That's why there is 9 months of zero attrition, right?
Otherwise, anybody would pay twice the salary to pick a RM from ARWL, right? Why don't
people leave? Because what binds us together is what we have to do for our clients because that's
the person who puts food on our table. ANANDRATHI
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So the limiting factor for us is not how many people can we hire or how much capital I have to
hire them. Do I not dilute myself in the aspiration of number. So, to answer your pointed
question, it could be anywhere between 40 - 60- 70 for the next couple of years. And the limiting
factor will not be capital. It will not be number of people wanting to join us, it will be without diluting that becomes necessary, if
not a sufficient condition.

Lalit Deo: And last question on like this, like on the Structure products issuance, so like for the next couple of years, like what
kind of an outlook are we looking at it? Like as we remember, like last quarter,
we highlighted of the overall AUM mix, about 60% is now currently coming in the mutual fund.
There is share of structured products are right now at 24%. So, what would be the overall mix
of the AUM, which can be looked upon in the next 2 years?

Feroze Azeez: 30%- 35% is structures Products; 50%- 55% in equity mutual funds; 8% - 10% in debt and some
portion in others. Others is raw material for our alignment process. So, if today, it is 24%-25%
structure products because of the extensive mark-to-market last year on the equity mutual fund
side, it should get restored back to 30%. That's our aspiration, okay, and you will see that over
a period of next 1- 2 years, depending on what mark-to-market both these assets throw up in the
next 1 year - 2 years. Does that answer, sir?

Lalit Deo: Yes, sir.

Feroze Azeez: So, you can do a follow -up if I didn't.

Lalit Deo: Yes, sure.

Moderator: Thank you sir. Next question is from the line of Bhavin Pande from Athena Investments. Please
go ahead.

Bhavin Pande: Congratulations on surpassing the guidance. The first question was on the strategy that was taken out of the
model portfolio, so was it sort of valuation, if you could shed some light and also realignment towards the new strategy that
would be included for whatever Rs. 800 crores that
could not be included in the inflow?

Feroze Azeez: Sorry, I didn't clearly follow your question. I got a gist. Bhavin sir, if you can probably again
articulate it for me so that I don't give you incorrect answer.

Bhavin Pande: Yes. So, Feroze, this small- cap strategy that w

as taken out of the model portfolio in mid of

March and the funds are in transit right now, so what was the reason for taking out the strategy? And where are those funds
getting allocated now?

Feroze Azeez: Okay, super. Now I got it so clearly. Thank you so much to repeat yourself. So yes, so what was the reason for
removing a small cap fund. Because we went hammer and tongs last financial

year into small -caps because historical performances were bad. So we try and remove the
emotional aspect. Past performance doesn't drive our decision-making, unlike investors do. So as a wealth management
outfit, we have gone from one scheme of small cap to three schemes on 1st April 2024, and that call went reasonably right.

That's why our model portfolio's alphas ANANDRATHI

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over Nifty went up to 16- odd percent for the last financial year, so we wanted to take some
money off the table.

This was not from fear saying that small cap is overvalued because small cap is a very -very large
segment, 250 stocks in the small cap. In Morgan Stanley's index there are 460 stocks in the small
cap. Making a general statement that small cap is overvalued and acting on it may be very -very
macro for an index, which has got a stock with 10 P/E ratio and has a stock with 300 P/E ratio .

So, we don't paint all of it in the same brush.

So, it was not emanating from valuations. It was emanating from the fact that you had gone long.

Several wealth management outfits became negative on small cap in the September - October
last year, but the liquidity has always been there. And it's been in a country where there is Rs. 800 lakh crores of household
savings. Rs. 2.5 lakh crores, which is 0.3%- 0.4% in a small- cap
category is not a very large amount.

And I think we will not be limited by demand for small cap stocks, but the supply of small cap stocks and its free float. So, to
come back to your pointed question, why did we remove? Because
we had made money and we wanted to book some profits. Automatically, if you look at where

this money will go, this will depend on each client's specific gap sheet as we call it. If the client has a desire to have 55% in equity mutual funds, 35% in structured products, it will automatically go to those portions where there's a gap on the desired allocation.

So, we generally fix the desired allocation with most of our clients. And then whenever there is liquidity emanating from an exit or from the client it will be plugged into the gap as per the gap sheet so that the top-of-mind products are not sold, but the strategic way of managing money. So now to answer your pointed question, most clients have a gap in structured products because the proportions of structured products have become lower owing to the mark-to-market increase in the mutual fund side, both Nifty and the alphas we have been able to generate with our 14

schemes model. Does that answer, Bhavin sir?

Bhavin Pande: Perfect. Perfect. So, Feroze, following up on that, would you think it would be safe for us to assume that our blended yield would be much higher in the next 2 years because of the mix of structured products improving?

Feroze Azeez: Blended, see, I would say it is a function of several things. In our opinion, blended yield could go up, but if there is a mark-to-market downwards and then automatically the proportion of structured product get restored to 30%. If there's a market fall which is unlikely. I am speaking about 1% probabilities, 0.5% probabilities also.

So, it will not be right for me to guide a higher yield. Are you with me, sir? Like that 30 became 24 on account of mark-to-market. So, since it has a function so I would not guide a higher yield. We are looking at a long-term yield of 1.3% - 1.4%. That's something which we don't compromise on.

The yield is computed backwards on a structured product from a 5-year product on market value that's how the mutual funds compute. The yield is about 1.17% to 1.2%. Because of the ANANDRATHI Private Wealth. uncomplicated
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accounting function you might get 10 bps - 20 bps higher, mutual funds give us 1.1% post GST and we don't expect any shrinkage.

But there could be incidental higher yields and since there is another variable which is not in your control the restoration of 30 can happen if there's a mark-to-market differential is why I would not guide a higher yield, but expecting the yields which I just stated would be a fair thing to do.

Bhavin Pande: Thank so much and good luck ahead for 2025.

Feroze Azeez: Thank you, sir, for your kind questions and your comments.

Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha capital. Please go ahead.

Pallavi Deshpande: Sir, I just wanted to understand the others portion which was higher in December. So, you guided that it takes time to deploy the money. So just wondering if it continues to be high, so just wanted some clarity on the same.

Feroze Azeez: Great. So, it continues to be high because the influx is also reasonable. And when you are transferring a PMS to yourself and that you are supposed to be aligning to a mutual fund the mark-to-market of a PMS could be similar to a mutual fund. Are you with me, Pallavi madam?

Pallavi Deshpande: Yes, yes.

Feroze Azeez: Right. So that's your raw material, okay? If the raw material is more, I am happy. If the proportion would have increased with a decrease in AUM, I would be worried. You have to see it in conjunction, right? If my AUM guidance was Rs. 55,000 crores revised from Rs. 47,000 crores to Rs. 55,000 crores and then ended at Rs. 59,000 crores.

If it was the other way around, if I faltered on my AUM guidance and other proportions went up that as a combo is a more speaking variable. It speaks more. So, since the AUMs have been exceeded AUM guidance and we have ended at about Rs. 59,000 crores as against Rs. 55,000 crores as lately as December. So, I would say that it's something which internally we feel happy that we have more in others currently which means that there's huge potential for the future. Of course, internally we will be happy. If shareholders might want to take it with a pinch of salt, but yes, that's their choice.

Pallavi Deshpande: Since you mentioned about the RM not being the limiting factor to dilute performance. I mean, I understood that correctly, right?

Feroze Azeez: Pallavi ma'am, you're muffled so I could barely hear you. If you can please repeat yourself.

Pallavi Deshpande: Right. Yes, I will just repeat these are two questions in one. So, what could be our target for new family additions this year? And like I think you mentioned on the RM side, that is not the target you said that it's not how many people can carry forward your position and not diluting itself, on that side... ANANDRATHI

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Moderator: Ma'am, sorry to interrupt you. May I request you to use your handset, ma'am. Your audio is not very clear.

Pallavi Deshpande: Yes, I will just make it short. What would be the family addition target for this year?

Feroze Azeez: On these, I will rather call these not as targets, as aspiration, internal aspirations on both of those questions which you had. We have this longstanding aspiration we have not met of having 1 RM per client -- per RM per month (1 client per RM per Month). That makes it 332 (per month) till we get to full capacity.

And RMs capacity is 50 clients per RM. Of course, some of them are above that. So, excluding them, if I look at it, our internal aspiration, aspiration is also a stronger word, dream. Okay, let me put it a milder word.

Our dream is 1 client per RM per month till he gets to his 50 or she gets

to her 50. Now looking at the next year the kind of client love we have seen and affection we are seeing and the reference avalanche which may happen and there are some green shoots of it for the next year our internal target, not a guidance again will be 200 per month.

Pallavi Deshpande: Thank you. That's all from my side.

Feroze Azeez: And on the number of RM additions, of course, we are into the new financial year. So there again not a guidance, only an aspiration, I think, we should get closer to 380-390.

Pallavi Deshpande: And just continuing that on the RM side the more than 12 less than 5 years, that shift that happens, does that impact the compensation?

Feroze Azeez: See, it is a function of time. If you write the equation, it's a function of time that most of our people, if there is no leaking bucket, if your clients are not leaking, why are the clients not leaking because RMs are not leaking. Why are RMs not leaking - because what binds them together is not selfish motive. So, coming to your pointed question how many RMs will we have above 5 years? It's just a function of time because you've had 9 months of zero regret attrition.

And I think that should continue. So, over a period of time, the number of people between 3 years and 5 years is how many? I think you will see, like last year we saw 138 (actual 137) going to 168 (actual 164) above 5 years. After 5 years the RM has built a book which is intergenerational from his perspective not even in his lifetime, right? So, since it is a function of

time. So, you have 36 people who are above 3 years, below 5 years. In the next 1.5 years, we should become 5-year plus. So automatically that should take it to -- because the average time these 36 would have spent if they don't leave Anand Rath Wealth Limited then they automatically as a function of time will take this number to 200 in 1 year, 1.5 years depending on the average time they spent. Does that answer Pallavi ma'am?

Pallavi Deshpande: Yes.

Moderator: Thank you. The next question is from the line of Ritika Dua from Bandhan MF. Please go ahead.

Ritika Dua: Thank you sir and congratulations on a good set of results. So, two questions which have been asked already. I just wanted some follow-ups on the same. Sir, first is on the structure product bit. So, you said that it could go back to 30. I am not holding that as a guidance. I am just saying ANANDRATHI Private Wealth. uncomplicated

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maybe directionally it will go up from the current mix. So are we building new capacity for this or we think that maybe in a time where the markets are doing very well, maybe mutual funds take over a little bit more versus structure product and maybe in the next two years, obviously,

I mean, markets do stabilize and that's how the structure product come back into flavor. So just wanted to understand the reason for the 30%- 35% improvement. What are the vectors for the

same? And the second question is that, obviously, you have given a very good guidance for FY '25, but do you think that it is a little conservative because in the previous question you said that the number of RMs could actually reach 380. So that's about a 14% growth. And then obviously, you would have your -- some of your older RMs continuing to actually move higher up. Last year -- this year also you had some 20% actually growth in your RMs, which are more than 5 years which actually yield to a very high productivity.

So, if you could just kindly delve a little more into your guidance of 24% PAT growth and a 21% AUM growth. So, these are the two questions. Thank you.

Feroze Azeez: Is

that Ritika, you said, your name madam, so that I can address you with this name?

Moderator: Yes, sir. Ritika Dua.

Feroze Azeez: Ritika Dua. Okay. So, your first question, which was on flavor, whether it's structure products or mutual funds. See, we don't go by flavor trends because if you are dealing with 9,911 families,

you are expected to meet them 12 times a year. You will dictate the trend in this subset. If I was a retail business of 10 lakh people, I will go by trends. Here, you will influence their thought process. That is what the relationship business is all about. So, I am not going to go by flavor.

In fact, we find the most important cognitive bias, which is called recency bias. A client will be tempted to buy what performed very well last one year. And that's exactly my job role to counter that and not let him get carried away with rear-view mirror analysis, right? Of course, the

propensity of a client to buy a mutual fund today will be higher. Last year, the same client was telling me, why structured product is not 40%? Same client is saying, okay, structure product

we will do 30%. That's called the recency bias. That's the cognitive bias we fight by showing numbers. That's where the gap

sheet, which I just alluded to in the previous question, comes into picture. So you don't go by what is your top of mind flavor. You go by where is the gap as per your strategic decision, which is not swayed by what happened in the last 3- 4- 5 months or even 1 year or 2 years. So recency bias is what we fight. So we will not go by flavor, we will go by gaps. If a client disagrees, then we counsel it. That's where that 3- 4 years is needed. New clients are not seen as revenue machines. There is something you have to work on. You have to build that relationship for 3- 4 years with data, data and data to eliminate the heart aspect as much as possible and bring more mathematics, which is the mind aspect of wealth management business. So coming to the second part, again, when RMs again get added, we are not in a hurry of how much revenue they will bring. Again, they are not my revenue machine. They are people. Again, you build a relationship with an RM, build his capability, her capability, bring the same social fabric. It takes years to build that. But the third part will be, we always believe and give you a conservative guidance, that's going to be our DNA for sure. Does it mean that I will beat the guidance is what I am saying? No, because God also has a lot to do in the ANANDRATHI Private Wealth. uncomplicated
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next 12 months. But 280 in our belief currently is something which we can put on the table and deep down, we know we are not exaggerating.
Ritika Dua: And sir, just on the first question that I had, if you could just elaborate a little bit more. So I understand that obviously having mature and understood that our process on suggesting a particular product is obviously very scientific. So just wanted to understand a little bit more on the structure product. So when you say rather if not guide that the share of Structure products would improve, what I was trying to check is that do you look that the capacities in this particular segment will move up. That's how it is a 30%-35% kind of a mix from the current. If I am not on 25%? Or is it that some of the investors do not have structure products, which if they look to add to their portfolio, that's how the mix would move up? Or thirdly, does it naturally happen that, if at all, we assume that markets are not going to be the way they have been buoyant in the last 1 year, naturally, the share of structure products move up. So I just wanted to understand that when you say 30%- 35%, what are the points that you look to highlight, if assume for us that it should move 30%- 35% because this will obviously

take your yields also higher. So that's the last thing. Thank you.

Feroze Azeez: So yes, madam, so it's not market driven like it may not be buoyant. So the 30% number, which I just said as not a guidance. As a number which was in my heart, it stems from the fact that we do a lot of realignment yearly. Or every 15 months, our model portfolio also goes through some rejig depending on if we had cash in our bank account, will I buy the same 13 schemes. The answer may come no. So I look at doing a full zero -based exercise of what I want in mutual fund. When you actually do that exercise, if your proportions are not as per the decided allocation. Let's assume I am a client, which I am, of course, a happy one. If my proportion decided an equity mutual fund was 55% and 35% in structure products and 10% hypothetically, or 65% in mutual funds and 35% in structured products with zero debt. If this was my proportion on the beginning of the year, at the end of the year, because the 65% grew at 40%- 45% last year, the mark-to-market brings me to 72% in equity mutual funds and 28% in structured. From May - June, if my equity mutual funds are being re- evaluated, if there is one fund which I exit, I would not buy back equity mutual funds, the Rs. 7 may get reallocated to structure product funds. Are you with me? So we do a one full -fledged exercise every 15 months of equity mutual. In that, if I redeem 3 funds, I may not buy 3 funds back. I will bring it back to 65%- 35%. And all clients will do it at different points in time. So that's the reason whereby I said, 30%. And this will be the large reason of realignment, which is a yearly exercise, which we do.

Ritika Dua: Very useful, sir. Thank you so much. I am done.

Moderator: Thank you. The next question is from the line of Yash Gandhi from Stallion. Please go ahead.

Yash Gandhi: My questions are answered. Thank you.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Sir, just a question on your guidance. So if I look at your net margin that you are disclosing that is also similar to what you have reported in FY'24. And even if I look at your realizations of the ANANDRATHI Private Wealth. uncomplicated
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yield, both that also looks flattish. Now given that you have given a guidance that structure products could go up or not a guidance or indicative trend. I would have assumed that these would have gone up. And secondly, given the scale advantage that the business has, why aren't your net margins kind of improving next year?

Feroze Azeez: Sir, net margins are not improving next year because this is a guidance, point one. Point two, the

business has to be understood a little more macro than the real small numbers. That's how I look at it, Rakesh sir looks at it, Jugal sir looks at it, so I am just telling. The business is all about making 1.2 %-1.3% yield on a long -term basis, could be a 5 bps- 10 bps here or there . Don't hold me to that. And what is the net flow I am adding? You have to project what is the revenue, what will be my AUM in 2029 March? That's my internal target. March '29, what will be my AUM? On account of mark-to-market in the clients' portfolios, on account of how much new money I bring per month, on account of how much growth in net mobilization will I have, you have to first project what will be my expected AUM in 2029 March? That's what I do. It is your choice whether you do it or not. Then you multiply that with 1.2- 1.3 1.4 or 1.1 depending on your assumptions on what is the revenue I will have. 40% of that, which should be PBT and 30% should be my PAT. This is how we look at our business. Okay. And in that interim formative years, our business is not even a teen . It is in its formative year. If I have to compare with hu

man

life, it is a 10- year-old child, not an 80-year -old child. So, there will be numbers which will take us away from the macro picture. I am just trying to bring you to the model, which I look at as a professional being a part of this company for the last 12 years. Now coming to how we look at it is, we are very possessive about consistency. We don't like to have very great numbers some days for our clients, we like to bring in consistency because it's not about possibilities in life, it's about probabilities. So, you would see that we are so possessive about our consistency that we would be one of the few companies in the country who would have calculated the mean result, the median result, the standard deviation of our results. And the worst year-on- year growth we have given was March 2023, 23.6% (actual is 23.4%) growth, and the mean is 33.8% (actual is 33.6%), don't hold me to second decimal or first decimal, median is 34% (actual is 34.2%). And standard deviation of our results, leaving the COVID ones, which had a base effect, so for fairness sake, I am leaving those. Last 8 results, standard deviation of our yearly growth is 4.8%.

That is how numerical we want to be with our shareholders. So I am not going to project a yield increase on variables, which are out of our control, then under commit over deliver will be very difficult to hold to.

Prayesh Jain: So if I just, while you really spoke about a long -term target or long -term view of the company, But from, say, if I look at it from an FY '25 -FY '26 perspective, now is it fair to assume that the costs you would be incurring would be in line with your revenue growth? And I would like to understand as to what elements of cost that are getting added? What are the segments you are investing in for you to kind of extrapolate the growth in expenses to be in line with the growth in revenues? That will be one bit. And second bit, is it in spite of the rising mix of structure products, we will still see a flattish yield. Is that what you're guiding for? That is a fair assumption, right?

Feroze Azeez: No, I am not guiding for. I know what is the word you're looking for, operating leverage. We didn't want to use this word because we like to have it unfold because we have given you a ANANDRATHI Private Wealth. uncomplicated

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guidance and we have told you that this is under commit over deliver. I don't want to promise an operating leverage because we are very possessive about on what we guide about. That's why I am not speaking of operating leverage. Do I deep down believe there is some operating leverage? Yes, it is. Now that you're putting me in a corner to answer that, which I was conveniently not wanting to comment because that's what keeps us up. If we overcommit, it disturbs us as professionals. That is why you don't want a new variable which you are going to be asked on. We have already given you our aspiration of trail to upfront 50-50. Now that is something, which runs in our mind and in our actions on a daily basis. That's where you see trail has come up from 35% to 37%. When I already have an extra variable, which I have spoken about, not guided, but we like to deliver what we speak. So that's why I don't want to comment on operational efficiency aspect . And for an external party, upfront income could be something, which is not predictable in inverted commas. For us internally, it's as predictable as trail or at least 80% as predictable as trail because money get reinvested after -tax money , because I know I have met clients. I am an RM myself. I know what maturities will come and will it get reinvested on the basis of the behaviour of clients. And I meet three clients a day. So I know that upfront revenue for me is predictable. Of course, some external party will take it as a pinch of salt sa

ying that it is not predictable, right? So we believe it's predictable, upfront revenues. And we believe and we don't expect you to do.

Prayesh Jain: And lastly, on your dividend payout, what are the thoughts in terms of overall future? How should we look at it? Should this level of payout be maintained? Or is there any scope to increase it further? How do we see this?

Feroze Azeez: Our dividend policy stays 30% to 50%. I think we will stay in that range.

Prayesh Jain: Got it. Thank you so much and wish you all the best.

Feroze Azeez: And I actually, sorry, by mistake dodged one of the questions. Rakesh sir beautifully answer's that and that's where he is given -- Rakesh sir.

Rakesh Rawal: Hello?

Feroze Azeez: Hello, sir. Sir, where are our areas of reinvestment you generally give us a lot of guidance there.

So actually, there was a question saying that -- which are the areas of reinvesting money and not worrying about operational efficiency today.

Rakesh Rawal: Yes. you see like Feroze has mentioned that we are a strong growth company and with a 20%-25% compounding, the size of the company over the next few years, five years will become very large. And therefore, we have to make sure that we build strong pillars, which can hold this large

organization together. So therefore, for example, marketing. For example, the whole

introduction of the platinum segmentation, which is Rs. 50 crores plus kind of plan, yes? So,

several of these areas are there where we have to invest money. What we are trying to do is to

maintain that 40% margin and whatever operating leverage we get, we reinvest into the business

in some of these verticals. We will strengthen our HR far more than what it is today. Despite

having zero attrition, does our HR needs strengthening? Yes, it does. And we are in the process

of doing that. So internally, there are several areas that we need to strengthen, so that we can ANANDRATHI

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have sustainable growth. So that's why, to the market, we are saying, "Hey, don't have an expectation, more than 40%".

Prayesh Jain: Got that. Thank you. That's helpful. Wish you all the best.

Feroze Azeez: Thank you, sir.

Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: Thanks for the opportunity. Congratulations Feroze and the entire team at Anand Rathi for this

super performance. Yes, Feroze, this is about the 2029, five years down the line and you just

stated the simplest way to look at it is -- I am audible, I hope.

Feroze Azeez: Yes, Sunil sir.

Sunil Shah: Yes. Okay. So Feroze, you just stated the best way to look at it five years down the line would

be that we are having a growth of roughly 33% at a mean level. Am I getting that number correct

in terms of the AUM growth?

Feroze Azeez: No, no. Yes, sir, last 10 years could be that. What I meant when I spoke those 33% in the context

of last nine (actual eight) results, our mean annual growth is 33% and the median annual growth is 34%. Because we like to have consistency for a shareholder as well, just like a client. That's

the context in which I said. It was not a forward-looking statement. It was actually a backward-

looking statements of the last -- we have been -- we got listed in December '21. So I think it's

our 11th result (actual 12

th).

Sunil Shah: Yes. Okay. So if I think our -- as you stated, you have been there in the organization for like 12

years and I believe a lot of people would also be amongst your RMs would be there for a good period of time. Now maybe all that you have invested in the organization to make it very -very

robust and evolve over time, so the next five -year journey could be even better in that sense. So

I am just trying to say that if the market is compounding like

say 15% and if you are increasing

your manpower strength by similar number then still sustaining the 30% growth rate will

probably not be a challenge given that the mean growth has been at that rate? That's number one.

Second is, if I extrapolate this Rs. 59,000 crores of AUM and look at in 2029, my AUM number

comes to something around Rs. 2, 50,000 crores. I am just looking at a directional thought

process, which I have. Is my thinking significantly in a wrong direction or if you could help me to understand where I can still improve on my thought process.

Feroze Azeez: No sir, I think you are very close to our thought process. Not numerically, but since we have this

principle of count that asset, which is yielding, okay? So it becomes very easy for our

shareholders. See, I worked for a previous company where anything and everything can be

counted as AUM. So how does a shareholder decide whether this will give me 1.3% yield. In

Anand Rathi, we are a gatekeeper. We bring those clients and those assets, which marry our

thought process. If somebody like, if my cousin said, I have sold my business. I am giving you

Rs. 800 crores of arbitrage fund. I would say, "I don't want this brother". So, we are a gatekeeper

of bringing long-term assets. So the thought process is "jo assets hain uspe aap yield kamayege.

Jaha aapka haq nahin banta waha nahin kamayege and jaha haq banta hain waha nahin chodege". ANANDRATHI

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This is our mantra with our clients also, right? We don't give discount on a mutual fund to lure

somebody to start. So, coming back, yes, you should project an AUM. I think you should project an AUM conservatively. So, the number, which you had in mind was larger than my number because it's always good because your good times don't need preparation, right? So you should always have a little conservative approach on that and then multiplying it with revenue, then with PAT -- PBT and PAT. I think that's all. And like you rightly said, I have finished 12 years, but I am the most junior most representative on this call. Rakesh sir has finished 17 years on 1st April. 2007 is when he joined. He's one of the longest standing CEOs and change in management was the reason why this is my third job, unfortunately. It could have been my first job. I left the company because the promoters changed, ABN AMRO was sold. So point I am trying to make is, I am still the junior most. Jugalji has spent 30 years in this brand, and I have spent 12. Of course, Vishalji makes me look pretty by having only spent five years because he is a young man. Sunil Shah: More importantly, I think the way in which the culture is getting built up in terms of the new RMs, which will then carry on the legacy for even a longer period of time. So that's really a great thing to do. I think coming back to the number bit, which I was talking about, so once the AUM number is arrived at five years down the line, the simplest way to do it is 1.2% of the AUM as my top line revenue estimates and arrive at a 30% bottom line estimate of your top line, which I arrive at, that could be the way to go about, right? Feroze Azeez: You're almost cornering me. Similar, I would say. Sunil Shah: Whatever the AUM number is, whether it's Rs. 2, 00,000 crores or Rs. 250,000 crores, for me to just have some number in my mind, the best way to look at it is 1.2% even if it's not 1.3% as the current number is, 1.2% can -- will be my top line and 30% of that will be my bottom line. That's directionally the right way to think? Feroze Azeez: Yes. You are in the right direction, sir. And that's what -- how I would look at it as well, if I were supposed to be looking at it. And when Rakesh sir has said and since he is the head of the pack, and we are foot soldiers. When he says 20%- 25% growth fo

r decades. Now you have to see, he would not say it if he doesn't mean it. And I think after 23 years in the industry after having worked in FMCG, he understands the industry enough. And when he says 20%- 25% long-term guidance compounded, will there be years more than that? There will be years more than that. And that's how the last 2 years have panned out. And you are building a business which is market agnostic, unlike most people's belief. They think financial services will run on the momentum of the market. What all happened in the last 11 quarters? The war in Ukraine nifty went to 15,200, HDFC merger nifty went to 18,000, then there was an inflation scare in June and nifty went to 15,200. In all this, how did the quarterly results come out reasonably consistent? That's the point to ponder upon for analysts, which they will just paint everything in the same brush. Financial services market is unpredictable. One guy said this to me. I said 2 years, please see market has touched 18,000 - 4 times and 15,000 4 times. But look at the quarterly result, last quarter was not the great market sentiment. After December, things changed, but my net mobilization was good. So we are trying to build a market agnostic logical finance company and sales is an outcome. This is what is our internal aspiration. ANANDRATHI Private Wealth. uncomplicated Anand Rathi Wealth Limited Page 15 of 15

Sunil Shah: So market will do what it has to do, which is unfortunately or fortunately not in either one of us hands. The important thing would be to build a team of RMs, which will be completely in your hands and create that culture. So we are looking at growing our RM base by at least 10%. 10% kind of a thing on a sustainable basis year-on-year for the next 5 years. Because 15% is what market will give me, for my 25% growth. The 10% RM push has to be there. So that's a conservative thing to look at 10% growth in RM base year-on-year for the next 5 years? Feroze Azeez: There's -- actually how we look at it is, there are 4 mutually exclusive variables of growth. We said this in the first result. Of course, there is now some degree of credibility. Rakesh sir, you want to speak of those 4 legs of growth Rakesh Rawal: Well, so as Feroze mentioned that the first leg of growth is the portfolio is giving return, which is market dependent, but there are other factors as well as alpha and so on and so forth. So that we expect long term, 5 years, 12%-13%- 14% kind of growth coming from that variable. Then we have our existing clients who are not fully with us. There are several clients, where part of the book is with us and, therefore, by showing them performance and with building the relationship, we have been drawing their assets from other wherever they are kept, including real estate into financial assets as well as from other advisers through a series of processes of audit and so on and so forth. That will continue. That will add to my growth, which is existing client, money is outside. Then we have new clients coming in with their starting with whatever they are starting. That will be a third vertical of growth. And the fourth vertical of growth is adding new RMs to the kitty. So as you said in the beginning, there is market growth plus RMs bringing in money. But there are 2 additional factors which also bring in business and that will add to. So when you add all this, is it likely to be more than 20%-25%. Well, we think it is likely to be. Is it something which is an opportunity for 1 year or 2 years? No, I believe there's an opportunity for several multiple

years. And that's why we are saying that there is a very high probability of this business growing at 20%- 25% for a very long period of time. That's the way at least we look at it.

Sunil Shah: Thank s, sir. Thanks for this wonderful explanation. Thanks, Feroze. Thanks th
e entire team.

Please continue the great work. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question of the question-and-ans wer session. I would now like to hand the conference over to the management for closing comments.

Feroze Azeez: I would like to thank everyone for being a part of this call. We hope we have tried to answer your questions. If you need more information, please feel free to contact Vishal Sanghavi, our Investor Relations Head, or Rajesh Bhutara ji, our CFO. Thank you so much for your time and patience. Thank you, Rakesh sir, Jugal ji, Rajesh sir. Thank you.

Rakesh Rawal: Thank you, everyone. Thank you, Feroze. Thank you, Jugal ji.

Moderator: Thank you. On behalf of Anand Rath i Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. ANANDRATHI
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Call: Jul 2024

Ref No : 52/2024-25

Dated : July 18, 2024

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q1 FY2025 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q1 FY2025 earnings conference call dated 12th July, 2024. The transcript is also available on the Company's website at <https://anandrathiwealth.in/Investor-relations.php>
This is for your information and record.
Thanking You,

Yours faithfully,
For Anand Rathi Wealth Limited

Jaee Sarwankar
Company Secretary and Compliance Officer
M. No. ACS -38080
Enclosed: as above

ANAND RATHI WEALTH LIMITED
(Formerly known as Anand Rathi Wealth Services Limited)
Private. uncomplicated
AMFI-Registered Mutual Fund Distributor
GIN No.: L67120MH1995PLC086696 Registered Office: Floor No. 10, A Wing, Express Zone, Western Express Highway,
Goregaon (E), Mumbai -400 063
Board Line No.: 022 6281 7000 | Website: anandrathiwealth.in
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Lower Parel, Mumbai -400013 | Board Line No.: 022 69815400 /69815401 | Website: anandrathiwealth.in
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"Anand Rathi Wealth Limited
Q1 FY '25 Earnings Conference Call"
July 12, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 12, 2024 will prevail

MANAGEMENT :
1. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
2. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
3. MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

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Anand Rathi Wealth Limited
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Moderator: Ladies and gentlemen, good day and welcome to Anand Rathi Wealth Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Feroze Azeez, Deputy CEO, Anand Rathi. Thank you, and over to you, sir.

Feroze Azeez : Good afternoon. I thank you for joining us for the Earnings Call for the first quarter of the Financial Year 2025. I am joined by our CFO, Mr. Rajesh Bhutara; and Head, Investor Relations, Mr. Vishal Sanghavi.

Our consolidated total revenues for Q1 FY '25 stood at about Rs 245 crores compared to Rs 178 crores Q1 FY '24, registered a growth of 38%. Trail revenues was Rs 89 crores and grew by about 70% year -on-year. Profit after tax was Rs 73 crores, registering a growth again of 38% compared to Rs 53 crores same quarter last year.

The PAT margin was 29.9% as compared to 29.8% for Q1 FY '24. The annualized return on equity for Q1 FY '25 stands at 42.8%. Total AUM grew by about 59% year -on-year to Rs 69,018 crores as on 30th June 2024, as compared to Rs 42,413 crores as on June 30, 2023.

The total net inflows during the Q1 FY25 grew by 173% year -on-year to Rs 3,364 crores for the quarter. Net inflows in equity mutual funds jumped 462% to Rs 2,091 crores, and all our assets are under regular plan, whereas the industry is witnessing increased share of direct plan. This is a testimony for the deep trust and confiden

ce our clients place in our value proposition.

Our systematic and data- driven approach, along with the realistic understanding of client needs and risks has been instrumental in achieving these numbers. Number of active client families increased by 19% year -on-year and crossed the milestone of the 5 digits, 10,000 client families.

We have crossed that number. Our client attrition rate in terms of AUM lost was 0.1% for Q1 FY '25 as compared to 0.2% last year, reflecting our client- centric approach and a strong research -backed solution.

On a net basis, we have added 52 relationship managers in the last 12 months, bringing our total count to 360. We have successfully maintained our zero attrition of relationship managers for the straight fourth quarter, which is significantly because of the culture created in the organization and the transparency between the company and its constituents.

And you would also note that in these 4 quarters, zero regret attrition signifies one of the first few times in the financial services industry , a company of this size of relationship managers who have reported zero regret attrition for 12 successive months.

I will hand this over to Vishalji now, who is our Investor Relationships Head so that I can break the monotony. And Vishalji, can you step in and take forward. ANANDRATHI

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Vishal Sanghavi: Thank you, Feroze bhai. Good afternoon, everyone. As a part of our endeavour to reward our shareholders, we successfully concluded the buyback program of Rs 164.65 crores, which is excluding any charges and taxes.

About Digital Wealth business, which is a B2B2C business, registered AUM growth of 48% year-on-year to Rs 1,727 crores and revenue of Rs 7 crores, a growth of 13% year -on-year.

OFA business, which is SaaS platform has 6,064 mutual fund distributors as subscribers at the end of the Q1 FY '25. OFA business reported revenue of Rs 1.84 crores, which is a growth of 18% year -on-year.

Indian economy is on a strong footprint with the GDP expected to grow at 7.2% for current year, making it the fastest -growing market globally. In this backdrop, Indian markets have witnessed

new all- time highs supported by strong performance of Indian companies. With this, we anticipate a noticeable increase in the number of high -net-worth individuals in the country and thus creating a huge growth potential for wealth business. With multiple growth drivers in place, we are confident that our company has a potential to grow by 20% to 25% in the long term.

Now I request operator to start with the Q&A session.

Moderator: Thank you very much. We will now begin the question -and- answer session. The first question

is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande : Congratulations on a great set of numbers. It's such incredible 6 - 7 quarters of this amount of growth is amazing. Congrats on that. And first question is on account of AUM mix, we could see that the debt MF mix has come to 7% if compared to 11% last year. Could we shed some light on that?

Feroze Azeez : Sure. Thank you, Bhavin sir, for your positive comment on our results. And I will take the opportunity to highlight that this is our 11

th result. And you would see that all our results have

been about 23% - 24% PAT growth year-on- year and the worst one was 24%. And the mean

PAT growth has been 33%, and the median PAT growth of these 11 quarters has been 34%.

So thank you so much to trust us as shareholders. Now coming to your pointed question. Why is the debt proportion lower?

There are two reasons for it. Because we only try and get that

money in, which is intergenerational wealth. More often than not, HNIs have intergenerational wealth. We do a very strong gatekeeping in terms of what assets we onboard to manage. So you would see very small debt proportions because I

am looking at in 10, 15, 20, 30 years kind of money .

If there's somebody who has short- term moneys, we are ripped as a wealth manager from it.

Why you would see Anand Rathi Wealth having smaller proportions in debt because in 10-year money, debt has very low relevance. Second point is the proportions -- the differentials, the

relative change between 11% and 7% is reasonably attributed towards the fact that there is mark-to-market more in equity and structured products. ANANDRATHI

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And we have been reasonably positive on equity markets from August 2020, and we were the only few wealth managers would have been positive for long- term money, still sensitizing clients of 10 - 12% corrections twice a year, which is the norm of the equity market.

So mark-to-market differentials is one reason why structured products have come down to 24% and debt mutual funds has come down to 7% from 11%. I hope that answers. And we are not very bullish on debt. Even if interest rates going down, the long end of the yield curve is not

elevated. So , we have the flat yield curve of Indian context is reasonably sustainable. And we don't see that debt will make too much capital appreciation, either, even if repo rates were to be brought down because the long end of the yield curve is still at 7%, spread between 10-year G - Sec and the repo rate is just about 0.5%.

So on the contrary to the Street's belief that there is a lot of capital gain to be made in debt, but we think that people have not lost money, is why they don't expect to make on the debt side even

if they go long end of the yield curve. Does it answer, sir?

Bhavin Pande: Yes. Perfect. It was pretty much concise. Secondly, Feroze, we could see AUM and clients per RM increasing. We have added 28 RMs in this quarter, and I think 52 on a Y-o- Y basis. But in this wealth business, it is specifically known that turnaround time and sort of gestation period for RMs is high and your opex goes up initially. So what do you think lead to this sort of productivity gains from per RMs basis?

Feroze Azeez : Bhavin sir, there is a lot of factors. We think a little dramatically different when it comes to number of RM counts, productivity, all that we have had rights around, but a different thought process. So one is productivity increase is on account of we don't lose RMs, right? So the number of RMs who finished 5 years increases.

So the average tenure of my RM group or my colleagues goes up. You would not see – It is seldom found that 4 quarters, no RM attrition. RM is what everybody bids for. My competitors who bid for my RMs, would want to give them twice the salary, but they won't leave. So productivity increase only happens if you don't have a leaking bucket at a client side or an RM side. So that's one thing which is the snowball effect.

Of course, initially, you don't see that productivity increase. As with times, the lower attrition or nil attrition adds up significantly in a hockey stick kind of a recovery in terms of productivity,

right? That's point one. Point two, what happens is when you're a listed company, the credibility in the client's mind itself is higher, right? So there is a flywheel effect. If you are listed, you get

business. If you get business, your company does well. So the flywheel effect in a business of trust is the second. As now you have been listed for 2.5 years as a company. For clients, a prospect you meet, it is relatively simpler because the brand building happens because of the listing status and vice versa. So that is second. So you are seeing that effect kick in.

Third is that we are using mathematics significantly more over the last three years to convince somebody. We are finding so many portfolios with different complex products, but the IRRs at 10%, 11% for the last 15 years. It is surprising the extent of complexity with

lower IRR. So if you mathematically establish that you are operating at significantly more complexity to get an ANANDRATHI Private Wealth. uncomplicated
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11% IRR, In the industry, you will find hundreds of portfolios, if not thousands and lakhs, where you would see complex products.

But if you take the transaction-wise IRR on an Excel sheet, you would see them sub 10 or 11 or 12%. So people are expecting uncomplicated lot more when you use mathematics. So that is why our net flows have gone up because mathematics most people can't deny.

And on English, people can debate till the cows come home, but mathematics has more pointed solutions. So the mix and transmission using mathematics is something which we learned about 2.5 years back, and that is actually adding up.

Bhavin Pande: Sure. Wonderful, Feroze. And just one last question is you mentioned mathematics and all the metrics we have. I think a few con -calls back, we had mentioned that for the structured product

to do well, you would require higher levels of interest rates and certain levels of volatility. And my apologies if I am incorrect in the technical, so if you could just shed some light on that?

Feroze Azeez: Certainly I am so impressed that you remember this. I am so happy and thank you that you wanting to understand my business trait there, which is great. So structured product requires high interest rates, at least the structured products we are currently design. You would see that we don't innovate every quarter.

So you have got Rs 3,360 crores without launching any NFO, without selling anything new, same mundane conversation gets you Rs 3,300 crores, then you have a business at autopilot. So for structured products of the current design, which we have been doing for the last 10 - 12 years require higher interest rates. Higher interest rates by which I mean not those double-digit interest rates but sister company, Anand Rathii Global Finance, has one of the lowest borrowing rates, but you need 7 - 8% kind of interest rates, which I think is sustainable.

Like you rightly pointed out, you need a certain degree of volatility. So the implied volatility of NIFTY in fact, has shot up marginally, especially because of the election period. But I think realizing a volatility of 16, 17 on a daily standard deviation is another mandate.

So if both these ingredients are not there in the next 10 years, 5 years, then you design the structure product exactly the opposite. So designing of structured products is like we simulate on different economic variables. What will be the product I will launch is already pre-decided. If 10 years later, if interest rates are at 4% and the volatility realized is 10%, I would be buying calls in the product rather than selling puts to express the bullishness.

So to answer your pointed question, these are the absolute two ingredients needed for the current design of the two products, which we primarily do for the last 10 years and done 1,500 times

each, both of these. If things were to change and if I get exactly opposite economic variables, like lower vols on NIFTY and lower interest rates, then you can actually become a buyer of the call because your forward rates will be lower and your volatility will be lower, so calls will

become inexpensive. So the product will have a call spread as a design. Sorry, it gets a little technical. But yes, I am sure you have picked it up the last call's content as well, sir. ANANDRATHI

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Bhavin Pande: Wonderful. Great, Feroze. Thank you so much for great concise answers and all the best for times ahead.

Feroze Azeez: Thanks for your time and your confidence in us.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Yeah, hi. Good afternoon sir,

and congratulations on a good set of numbers. So sir, like firstly, just a data keeping question. Like during the quarter, like what was the primary structured product issuance and the secondary issuances also?

Feroze Azeez: Sure, I can give you those numbers, but I will have to rely on my colleagues, Rajesh sir and Vishal. Can you give the precise number, Vishal bhai?

Vishal Sanghavi: Yeah. Hi, Lalit. For the Q1 FY'25, primary gross issuances was Rs 1,735 crores.

Lalit Deo: And secondary issuances?

Vishal Sanghavi: Secondary was near Rs 400 crores.

Lalit Deo: Okay. And like, sir, in the last quarter, we mentioned that we will be doing this portfolio allocation / reallocation of the clients where we would want to change the AUM mix from like

60% currently, let's say, to about 50 - 55%. But now again, with these strong markets currently,

our overall AUM mix has been again tilting towards the mutual fund. So how are we looking ahead for the next full year, sir, in

terms of the AUM mix?

Feroze Azeez: Yes. as you rightly identified, and I am glad you again remember the fact that I told that we will reallocate assets. And every year, we generally bring our new model portfolio of mutual funds, which had some changes, which is called zero-based bottom up. If I had cash in my bank amount so mutual fund allocations have some minor changes.

During the process of the minor change, we will also do the change between the asset allocation between structured products and equity mutual funds. So what can you expect? You can expect the movement of equity mutual funds to structured products over the next nine months. It is going to be one of the key areas of focus because it is always good to strategically reallocate between a plan A and a plan B, which is how we position both these products against each other because the standard deviation of a structured product is significantly lower than equity mutual funds.

So to answer your pointed question, you will see these proportions again attempt to change and there will be a reallocation done. So you could see 28-30% by the end of the year again. And I am sure people would -- and a lot of you as analysts and several of the industry colleagues would have asked that we have very low maturities this year. And in spite of that, you will see a very consistent growth is what the claim was, and I think the first quarter is a reasonable barometer for that concern to be assuaged. ANANDRATHI

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Lalit Deo: And sir, just lastly on this mutual fund AUM. So like this quarter, we have seen good growth on the equity mutual fund AUM. But in terms of the revenues, that is still not reflecting. So this would be based broadly on account of the period end changes, right? So could you give us more color on how the average AUM is shaping up in the mutual fund?

Feroze Azeez: I think there has been a 70% increase in the revenue, trail revenue.

Lalit Deo: Yes. But on sequential basis, I think the growth was lower, right, on that?

Feroze Azeez: See, don't ever judge. See, all I am saying is numbers are numbers. If you have to understand my business, you have to go beyond numbers. Point one, we are running a business which manages people's hard earned money. So quarter-on-quarter, seeing my numbers is not right according to me.

Of course, I can only submit to the group but the group will do what they have to do. But if I were you, I would never see this business on a quarter-on-quarter basis. If you are managing -- if I was selling iPhones or some phones, I am okay to be measured on a quarter-on-quarter basis. Here, it is hard earned money of people. So I don't see quarter-on-quarter, I request you not to do so. Point one.

Point two, what on a trail revenue basis, there are two indications I want to reiterate from my previous calls. We have told you that we

want to get to a 50-50 kind of a mix between trail and upfront, and that is our endeavor. When we put a not a commitment, put an indication in the public domain, we do our best to meet that. Otherwise, we don't sleep easy. So point one, what you can expect on this is a 50-50 ratio over a period of time, at least an honest full attempt of that. That's one thing which I would want to speak on the trail.

Now coming to equity mutual funds. Equity mutual funds, I think everybody should take note. Everybody always told me there is a risk of direct, regular, passive, active. You see a 460% growth in our equity net flows. And I don't give direct as an option to even one client if he offers us Rs 2,000 crores to manage. We said no, I will not do. I will not sell myself cheap. I will add value and earn my 1%.

In spite of that, you see 460% growth in equity mutual funds. How did that happen? And if you see the last full financial year equity mutual funds the net flow into equity mutual funds in the full year and it is a saddening number for me that the fact that if you remove the SIP purchase the net flow was negative in equity mutual funds last year. It is not that there is a huge influx of money from HNI into mutual funds.

Mutual funds are being directed towards more complex instruments. So to answer your pointed question, revenue will set in. The revenue is a trail revenue. Average assets, average per day asset is also something which is so volatile because markets keep moving up and down, but I am reiterating the fact that our aspiration because we have put it on the table, it is now our effort is behind getting it to 50-50 sooner than later and I am also told that we will get to 3% - 4% of equity mutual fund market share in India. And that's the effort and we shall do our best with the grace of God to make it happen. ANANDRATHI

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Lalit Deo: Thank you, sir.

Feroze Azeez: Thank you sir.

Moderator: Thank you very much. Next question is from the line of Vikram from Prodigy Investment Management. Please go ahead.

Vikram: Yes. So thank you for the opportunity. So I have a question regarding the AUM allocation. So you said that your goal is to increase the portfolio allocation of structured products. However, you also said that your long-term aspiration is to increase trail revenues to 50% of total revenues or get a 50- 50 split between trail and upfront. So from what I understand, this would entail increase in the allocation towards mutual funds.

So I was just curious how it is possible to increase the share of trail revenues while simultaneously increasing the allocation towards structured products?

Feroze Azeez: It is possible because the proportion of structured products and equity mutual fund is largely dependent on current assets which you own Rs 69,000 crores or which are assets under management. Trail revenue is also going to be driven by the net flows. Now, if Rs 3,300 crores - Rs 3,000 crores of net flows happened out of which Rs 2,100 crores has gone into equity. So the proportion is close to about 65% of the total net flow went into equity mutual fund. Are you with me, sir? So that's point one.

Point two, these proportions of 24% in Structured Product, 7 % in Debt and 54% in Equity Mutual fund on these three product classes are also subject to mark-to-market. If you have to understand our business, it is a very simple business because we don't bring assets which we don't earn 1% on. So if I collect Rs 1,000 crores per month give or take what will be my total assets is what you have to try and project and the revenue is going to be 1.2%, PAT is going to be 30% of that revenue. This is how a business we look at. So to change the proportion it is basically to make sure that the clients have reallocated and sold some mutual funds at market peaks, if at all. That's the science of se

lling high and buying low. So that's why this proportion could change, but the net flow is also another variable and mark-to-market is another variable. So it is certainly possible to get to 50- 50 over a period of time not surgically though like you rightly pointed.

Vikram: Okay. Thanks for that. And so my second question was I wanted some more clarity on what are all the factors that affect blended yield? So portfolio allocation is one, but what effects yield in mutual funds and structured products individually? I want to understand why yields have gone up over the last few years and what are the possible factors that can be an upward or downward force on yield going forward?

Feroze Azeez: Yields which you see as a proportion of the total AUM like Rs 69,000 crores is not the only barometer. Because if I have a yield divided by June 30th's AUM, that's only one day's assessment. So coming to what is the yield dependent on the primary products, equity mutual fund we earn about 1.1% post-GST. In structured products, if you work backwards and calculate ANANDRATHI

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the yield I made on all mature structured products you will see 1.16% - 1.17% is the yield we earned on matured products. So the yield of both these primary products are very close to each other. We make about 38 to 40 bps on debt funds and other assets we make little. That's raw material. So this is the yield composition of different asset classes or product classes which are there in the AUM. What does this yield depend on? The yield depends on the size of a fund in the mutual fund. In structured products, you are generally static at 1.15% to 1.2% yield. Yield is always calculated per annum on market value, average market value. So to answer your question yield pressures to my mind are very unlikely. 5 – 7 - 8 bps here or there can keep swinging, but that's our guess. Our yields have been retained for the last 5- 6 years.

Vikram: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Shivansh Sood from Desvelado Advisory Private Limited. Please go ahead.

Shivansh Sood: Hi, so congratulations on a great result. So I had a question and like the company's ROE has increased from 35.9% in the last quarter to 42.8%. So what are the specific factors that contributed to this significant improvement, and do you think this level is sustainable?

Feroze Azeez: Yes, so when you are making a PAT which is growing and if you are giving your dividends away, if you are doing a buyback and stuff. As a matter of practice our dividend policy permits us to give away the PAT we've made of 30% to 50%. Since your reserves don't shoot up so much because it's a cash-generating business and you don't want to hold up money because we don't intend to splurge money on buying businesses or buying relationship managers at obscene prices from competition. You have given away the denominator is kept in check and that is one reason. The PAT growth and the denominator in check, the numerator increasing and the denominator not increasing is

why the ROE is higher to be mathematically correct. Second, are these levels sustainable? Yes, in our belief definitely they are sustainable because you don't need capital as much. It is not a plant and machinery kind of a business. ROEs are possible to sustain at these levels or higher. Shivansh Sood: Okay. And are there any plans currently in the company to expand internationally beyond the Dubai office?

Feroze Azeez: Yes, we are looking at the opportunity in GIFT city which I think is a very transparent and a good opportunity. Also, two days back SEBI made some changes in the LRS limits to IFSC. So point one is, yes, not from a location standpoint the NRI business could be a very different ballgame over the next 5 years, 10 years and that's a huge opportunity for a wealth management outfit like

ours for sure which is India-centric.

And the kind of India popularity globally when I go meet some fund managers which I do every June for the last 6 - 7 years the kind of decibel for India has gone up dramatically. So to answer

your pointed question we have not thought of it geographically. From an opportunity standpoint

NRI business we are going to be focusing on it because the landscape and the kind of scale this ANANDRATHI

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can be built to is very different with the inclusion of GIFT city and the new very correct and liberal regulatory framework.

Shivansh Sood: Okay. And lastly I wanted to know like are there any initiatives being taken before to improve the revenue per client and AUM for RM metrics?

Feroze Azeez: Sorry, I couldn't hear you. If you could go again sorry.

Shivansh Sood: So are there any initiatives being taken to further improve the revenue per client and AUM per RM metrics?

Feroze Azeez: Revenue per client. So are there initiatives? everything we do is for both these. So if I wake up in the morning that's the initiative to do this precisely, but we don't see it as revenue per client.

We don't like to see it like that. We don't even like to state it like that. Because it is assets if I can manage 70%, 80% or 90% of one's asset as time grows our clients give us more wallet

because they realize that this is not lip service. So clients' wallet is something we want to capture,

not revenue. Revenue is an outcome. His money we take immense pride when a 10-year-old

client becomes a sole advisory client in spite of competition wanting to distract him with

discounts on mutual funds with the most complex products. If our large client puts all his 100%

of his money with us that's how we look at it, not revenue per client. Of course, there could be a

larger wallet resulting in larger revenue, but it's a perspective difference glass half full and half empty, but yes both are causes

and effect. Larger wallet implies larger revenue. So revenue is the cause. Asset is the effect which results in that cause. But

we don't see the effect. We see the

cause that's one.

Productivity per RM, that is a natural progression. See, we try and manage 50 clients per person. I am also a relationship

manager. So the most important thing, which I always try and highlight,

is all of us are relationship managers. So we are able to understand what is happening today. I

was not a relationship manager 10 years and then I teach somebody today. It's not contemporary.

So coming to the point of whether RM productivity will go up, yes, because 50 clients is what

an RM's capacity is to manage with one or two account managers who are apprentice attached

to him. So a group of three people or two people manage 50 clients.

If the client becomes big and his RM wants to improve efficiency, he gives away his smaller clients to his apprentice, makes

them relationship managers. So like when I promoted my account manager, I gave away some small clients to her. And then

she starts her life as a relationship manager.

So it's a win, win, win. What are small clients for me become bread and butter for her. So clients

get even better service. So the vicious cycle continues. Not a vicious cycle is a more negative

connotation, but the cycle of help continues. So coming back to your question, can RM

productivity go up with the same 50 clients? The answer is yes, because he gives away his

deadweight. My dead weight is wings for her when she starts her life. So that's how RM

productivity is. So there's no saturation. So if an RM gets to 50 clients with Rs 1,000 crores of

assets, he can still go to Rs 2,000 crores of assets with different 50 clients. I don't know whether

I answered your question, but I attempted to. ANANDRATHI

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Shivansh Sood: Thank you so much.

Moderator: Thank you. Next question is from the Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi good morning sir. So a few questions from my side. First if you can give some color on the flows that come into your business between existing clients versus new clients that we acquire.

And how has the trend been, let's say for the past 12 to 18 months compared to let's say, years prior to that or across different cycles where markets are good versus markets are, let's say, tepid.

So how does the old existing money to new existing money really change during market cycles?

Just wanted to get some color on that.

Second on your client acquisition strategy, if you can, shade some color on what will be an incremental client acquisition strategy in terms of, obviously, the competitive landscape tends to be shaping up quite aggressively. Most players are ramping up their engine, be it the foreign ones or even the domestic ones. Some of them plan to scale up.

So how do you really kind of want to position yourself? So I wanted to get some color on that.

Lastly, two data keeping questions. If you could give your total employee base for the quarter and maybe March 24. And I missed the data on MLD issuance. If you can kindly repeat that, that would be great. Thank you.

Feroze A zeez: That's a lot of questions. Try to remember them. So point one, what was your first question?

Sorry go again please. I remember the last one.

Dipanjan Ghosh: The first was on the old to new money?

Feroze Azeez: Got it. The old to new money, if Rs 3,300 odd crores came in, the clients who were not on the system on 1st of April, what proportions did those clients out of this Rs 3,300 crores of net flow,

how much did they give? You have to take this number with tolerance unless Vishalji can give you a precise number.

About 20%- 25% is from new clients. Because we don't force a client to start big. If the client has Rs 10 crores, he is my prospect. If he has Rs 4 crores, I don't want to go to him because I will only earn Rs 4 lakhs a year and then I can't give him ethical advice. I have to sell him insurance policies or some obscene upfront AIFs. So coming back to the point, 20% to 25% comes from new clients who didn't exist in that quarter beginning.

That's the proportion, okay? And because we tell the client, if you have Rs 10 crores, you start with a crore, I don't have a problem. You start with a crore, if I live up to what I am talking, you will give me more assets anyway because it's going to be in your interest.

Because in the wealth management industry, you can pick up so many portfolios of triple digit crores and measure their Sharpe ratios, which wealth management industry doesn't measure. 0.3

- 0.2 - 0.1, some people have negative Sharpe ratios also and they have Rs 50 crores invested.

So you just have to calculate the Sharpe ratio and show for them for the last five years and then it melts it. ANANDRATHI

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So coming back, 20 - 25% comes from new clients and 70 - 75% of net flows or 80% of net flows comes from existing clients who were new for the last quarter. May be because we don't force people to start big. Like so many wealth management outfits have a rule saying that if you have Rs 5 crores to start with, then I onboard you.

Dipanjan Ghosh: So sorry, if I can just follow up. So does this, I mean, has this ratio changed in your experience? I mean, you have been in the industry for so long. Or does this ratio remain similar to 20%, 25% across market cycles or equity market cycles?

Feroze Azeez: For a wealth management outfit like ours, it has remained largely static. If I was a broker, it would be very different. Because I am not going to those new guys who got money and they want to start. I am going to a guy who has got invested with somebody

else and he has a complex

life. I Am simplifying his life, right? Do you understand the business?

So if you look at the median age, you should see this NSE data, which just was released. I should just tell you, this is very interesting data, I am sure. When you are looking at the age, the age bracket in the Demat accounts has come down. The median has come down significantly. Now you have close to about, one second. I'll just tell you this.

I am just bringing your attention to this data. If I was a broker, it would be very useful information. The ratio would change. Less than 30 years of age, the number of broking accounts has moved up in the last six years from 22.9% to 40.1%. So younger people are starting business. So my proportions of new client ratios have remained same. In broking that will change, I would

like to assume, because the younger guys are coming in because it's a pull product.

Dipanjan Ghosh: So my second question was on the client acquisition strategy. Obviously, you have been ramping up your RM engine, as in apprentices getting promoted and so on. But in terms of new client acquisition, that is also going very strong. So what's the strategy out there? Because competitiveness will increase in this industry, is what I would expect over the next five years.

Feroze Azeez: Yes if you look at it see, because our total 360 RMs have 50 capacity, that means 18,000 clients.

That's my capacity with the current plant and machinery. Okay, and I have a capacity of 7,000 more with the same people, same colleagues of mine can handle 7,000 more families.

Forget that I have to acquire, I have to do branding, I have to do advertisements. I have to just go to these 10,000 guys and say can I meet five people in your society? Can I do an event for 10 people? Those we call homogeneous groups, whom we address.

So that's how it's been our acquisition strategy, rather than picking up the phone and disturbing people at odd hours, selling ourselves is one way of doing it. We are trying to reduce that proportion and go to a satisfied client. And now that there are so many clients above five years and they know that risk adjusted return, mathematically is great with Anand Rathi Wealth, we go and tell them, so if you go refer a restaurant or a movie to your friends, don't you think if something helped you in wealth management, should you not refer it to the five best friends? ANANDRATHI

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And I think clients are being far more positive today with some credibility behind us now. So that's the client acquisition strategy. And I think when you tell the clients that I don't want to make cold calls to random people, can you just have support and give me five names or organize a small little tea party or a high tea for your friends and I can come and talk, people are more welcoming than they used to about five years back.

Dipanjan Ghosh: So it would be fair to assume that basically the network referrals through your existing client machinery is the biggest sort of lead generation tool for you?

Feroze Azeez: Yes absolutely. And I think every financial services firm would have this aspiration, word of mouth. But if I told him that I made you 14% with 0.6 beta on NIFTY, now do I deserve a reference after 10 years of delivering you 2% alpha on NIFTY with 0.6 beta on NIFTY on your overall debt equity, then the client mathematically is forced to give me a reference. Not because

I want to go sell him an insurance policy.

Dipanjan Ghosh: So lastly, the two data keeping questions on the employee number for the quarter and March 24 and also the MLD data, which you mentioned earlier?

Feroze Azeez: Yes, Vishal

Vishal Sanghavi: So total employee count is 1,093 as on June 30, 2024. And total gross inflows for the non-principal protected structure product is Rs 1,735 crores.

Dipanjan Ghosh: Okay, can I get the em

ployee number for the last quarter, March 24?

Vishal Sanghavi: March 2024 - 1,016.

Dipanjan Ghosh: Thank you and all the best.

Feroze Azeez: Thank you sir, for your question.

Moderator: Thank you very much. Next question is from Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Good afternoon, sir. Thank you for taking my question. Some general questions around tech infrastructure. Could you talk about your strategy with respect to tech from a medium to long-term perspective? How are tech in terms of on boarding and client monitoring differs from the industry? And moreover some general sense what can be done with tech in this business in terms

of client productivity and to what extent this business is always going to be a high -touch business. Some general sense around tech in this business.

Feroze Azeez: Sir, I missed your name. So sorry.

Chinmay Nema: My name is Chinmay.

Feroze Azeez: Chinmay. Thank you, Chinmay. Sorry, my mistake. Yes. So how we see tech is, tech in this business can only augment an RM not replace an RM. That's our thought process or whatever is ANANDRATHI

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our understanding. It is not wishful thinking. Because this requires -- client requires handholding during bad days.

In good days, he can click a button and buy. But he sells it on the worst days if there is no RM.

So we see technology as augmenting the RM making him more powerful rather than replacing him. That's one very important thing, which we very passionately feel with the experience and client behavior, understanding client behavior that's point one. Point two, the technology in this

business - anybody who uses technology just for reporting and on-boarding, I would say it will be ironical. But the most important technological benefit Anand Rathi is reaping because 60% - 65% of our meetings still date are now on technology platforms. Before COVID, all the 100% of the meetings were physically done with clients. Now the clients I manage, I have not visited

their office for maybe 12 months but done very efficient meetings 12 times in the last 12 months. So, RM productivity goes up significantly if you force the system to use technology to deliver advice on Zooms and Teams and stuff but quite a few times clients push back and say I want a physical meeting. So, we have been very clear, we will at least have two-third of the meetings on Zoom and Teams unlike most of the wealth management outlets have gone to physical in HNI business.

If some system can retain it I think that will make it very powerful. And most of the numbers you see now have a large impact of the use of technology or the forceful use of technology not going back to the physical mode of delivering advice. So that is -- and of course, technology in terms of generating advice, which is not used so much. We have been testing a lot of models using several mathematical formulae which are there. There are 5 finance formulae which have won Nobel Prize, we are using technology to try and simulate those to get better risk-adjusted returns.

Moderator: Thank you. The next question is from the line of Sanidhya an individual investor. Please go ahead.

Sanidhya: First of all, great set of numbers. So I just wanted to understand how do we see the revenue potential going forward in terms of the AUM? So will it totally be dependent on how does the market performs and how much we can grow the AUM? Or are we looking for other opportunities in other sectors other than this ?

Feroze Azeez: Like I have told in the previous calls, we are trying to build our financial services business, which is reasonably market agnostic. For you to check this claim out of the 11 quarters where we have published results, you have to look at the worst 3 quarters from a market sentiment standpoint and then see the corresponding result of our business.

You wo

uld see stupendous growth when markets touch 15,300 and 15,400 twice or thrice in the last 2 years, which was the FY22 last quarter and FY23 second quarter or first quarter then Ukraine war had happened. So, the point I am trying to make is you would consistent revenue growth during bad market sentiments. That's the aspiration. So far, the God has been kind, we have been able to deliver that. Most people will take this with a pinch of salt but be it as it may, so that's point one.

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Point two, our business model like I always explained, it is reasonably simple. If I have Rs 69,000 crores today there is a growth embedded in it. If I deliver good return as a company for my client then 10% - 12% growth comes God's gift with virtue of time. These 3 other variables, which is new RMs, new clients from existing RMs can manage 8,000 - 7,000 more clients. That's my second lever of growth. The third lever of growth is existing clients giving me new money. With these 3 levers of growth plus the 10 - 12%, which is the growth in assets with the virtue of time and efforts. If these 4 engines are put together, 20 - 25% growth is part of course, for the next 10 - 15 years consistently. We are one of the few companies which have given a median growth of 33% for the 11 quarters (it is for last 9 quarters).

So, when we look at other revenue streams the answer is no. If my client needs more product in his portfolio because of his risk-adjusted return, if he we want to improve the alpha, if I want to improve the Sharpe ratio, if I need a PMS or AIF or whatever it be, if it helps my client meet a better objective then is when new revenue line will be added not because shareholders want new revenue lines or the company wants new revenue.

Sanidhya: Fair. Yes. Okay. So just to add on question here. So, do we see runway for new client additions within the range of Rs 5 crores to Rs 50 crores? Or do we see shifting it to different range, like say, Rs 10 crores to Rs 100 crores now looking at how markets are performing in the pipeline, how do we see the base shifting with years?

Feroze Azeez: Absolutely, sir. That's a very important and a good question, sir. Our segment has been Rs 5 crores to Rs 50 crores. When we on board a client, we check whether he has total wealth of Rs 5 crores to Rs 50 crores. That's first step. So if he start with Rs 1 crores but if you have Rs 20 crores, great you get him on board. That's the first step. Now with time, if you do well for the client, most of our clients now we had 280 clients, who have finished 10 years. And they had large monies then also. They automatically will go above Rs 50 crores. But if you don't -- if you don't give me 1 penny and if the money compounds at 15% in 6 years a Rs 10 crores client becomes more than Rs 50 crores.

So, we have been trying and we have also launched something called the Anand Rathi Platinum client base, which is growing rapidly because our existing clients are giving us more wallet. So, to answer your pointed question will we still stick to the segment of Rs 5 crores to Rs 50 crores? The answer is a big yes. For the last 17 years, it has been consistently the same on the Rs 5 crores to Rs 50 crores. Okay, way back from 1st April 2007, when Rakesh Rawal, who is the current

CEO and who was the CEO then has decided to keep that segment. So we will always have that as a segment. But we have to also being a wealth management outfit passionate about client returns. We have to learn the art of managing the adjacent higher segments. The adjacent higher segment is Rs 50 crores plus because if the Rs 20 crores guy gets to Rs 80 crores, I need to be able to do justice to that guy so that he can eternally stay with me and doesn't have to look outside. So does that answer, sir?

Sanidhya: Yes, that's what I had looking. So we are

doing efforts to maintain the level that the new clients

or the existing clients will grow up to that level. We are maintaining that. Yes. ANANDRATHI

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Feroze Azeez: Yes, absolutely. We have significantly larger clients than Rs 50 crores also. One client of mine who I manage has Rs 800 crores - Rs 1,000 crores also with us.

Sanidhya: That's great. Yes. Just a last question, it's a bookkeeping one. So you have Rs 8 crores as other income this quarter and Rs 13 crores in the last quarter. What is the source of income? And is it on a continuous basis we should see?

Feroze Azeez: Vishal ji, can you -- because I don't have these numbers on my screen. Rajesh ji, other income?

Vishal Sanghavi: Yes. Can you ask your question once again -- yes. Can you repeat the question, please?

Sanidhya: Yes. So we have Rs 8 crores in other income in this quarter and it was Rs 13 crores in the last quarter. What source of income is this? And do we see this as a continuous basis?

Vishal Sanghavi: Yes, I just give you that one, one second. So, the interest income is Rs 6.87 crores. And the small amount is the gain on sale of investments.

Moderator: Thank you. The next follow-up question is from the line of Bhavin Pande from Athena Investments.

Bhavin Pande: Just on account of corporate actions after the dividend in the bypass, could we expect some sort of split of bonus on cards?

Feroze Azeez: Bhavin, sir, yes, we will surely consider like our in our AGM also somebody asked our Chairman and he rightly said that we will consider corporate action because we like to reward our shareholders. I can't say more than this. But, yes, I think it is going to be considered by the Board.

Moderator: The next question is from the line of Bhuvan from Tiger Assets. Please go ahead.

Bhuvan: I would like to know how is the wealth distribution scenario in the country? How is the top...

Moderator: Sir, your voice is breaking.

Bhuvan: Yes. I would like to know about the wealth distribution scenario in the country? How the top of the pyramid is growing? And how would that be in the next 10 years?

Feroze Azeez: Yes. So in our opinion, the number of HNIs can very easily compound at 15 - 17% over the next 10 years, number of HNIs. And the wealth effect with the current HNIs, which is about 8 lakh - 9 lakh families, is also stupendously growing. So point one, I personally think that this number can quadruple in a decade, 8 lakh families can very easily become 32 lakh families, which are HNI, which is our segment, Rs 5 crores to Rs 50 crores or Rs 8 crores above.

So HNI is defined as that family which has more than \$1 million other than the home they live in. So, that could easily quadruple in a decade in India. Second, the current 8 lakh families' wealth can also compound at 20 - 25%. Because if they are well placed to grow 12% - 13% of

the current wealth at 12% - 13%, they are adding at least 7 - 8% to their wealth with their savings. ANANDRATHI

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The savings rate of an HNI has gone up dramatically, in our opinion. So, that's our experience.

When we captured the savings potential of our current HNIs in a group of about 350 - 400, which I saw the data of their savings potential grew at least 5 - 7% of their current net worth.

Bhuvan: And I would know like, how is the bottom of the pyramid growing and how their wealth would contribute to equity markets in coming years?

Feroze Azeez: See, there is a paradigm shift in the thought process of Indian favor today. So, to answer your pointed question, sorry, there was some little disturbance in the network. So, if you look at the wealth of Indian HNIs, there is a paradigm shift in how we are seeing assets. The receptiveness of equity has gone up dramatically, point one.

Point two,

there is the newer generation or the next generation, whenever there is an inheritance or a transmission of wealth from one generation to another, which you see in your client families,

the next generation's affinity towards physical assets is dramatically down. So I personally think this Rs 21,000 crores SIP number, which I had predicted about 5 years back, but this can be by March '25, it will be Rs 25,000 crores, that seems to be on the cards. That's point one.

Point two, the kind of influx the Indian capital market is going to see from domestic money, I wouldn't be surprised if that grows significantly. Today, it's almost like a proportion of 50:50.

The FII ownership could come down dramatically with -- individuals' participation. Currently, out of the Rs 800 lakh crores of savings, Rs 800 lakh crores of savings as per RBI data of Indian households, 51 - 52% is in financial assets.

And only about 6.7% is in equity or direct equity and equity mutual funds, only 6.7% is there. That number should become 15%, which implies a great influx over months and years to come. So out of the Rs 800 lakh crores, today, only about Rs 52 lakh crores is there in equity, both

individual ownership of stocks and equity mutual fund ownership.

Moderator: The next follow-up question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: So of course, the first question was on the bonus or any of the corporate actions that could be on cards. And secondly -- in this year's Annual Report, I think in the AGM, there is snippet on ring -

fencings of portfolio and intergenerational transfer of wealth, which, again, is an extension of wealth creation, which would come about the plan to make money and the call to be taken in terms of how the wealth is going, which again, is gone by taxes and government policies. So, if you could just shed some light on the, of course, economies of that business and the market that exists, it would be of great help.

Feroze Azeez: I couldn't understand that too much. Bhavin sir, you're speaking about transmission of wealth?

Bhavin Pande: Yes. First question, of course, on the bonus issue. I am sorry to sort of making you repeat that.

And secondly, the ring-fencing of portfolio and intergenerational wealth transfer as a service that we offer to our clients, right? ANANDRATHI

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Feroze Azeez: Yes, so like I already told, that I think bonus or splits could be seriously considered by our Board.

That's the only thing I can say. We did a buyback efficiently, finished that. Bonus, that board has to consider. But I think it will be considered on the merit basis. That's point one.

Point two, coming to your question of ring -fencing of portfolios. See most of HNIs have external potential liability on their personal wealth for some unforeseen events. So ring-fencing is very critical. And that, I think we have been propagating for the last 14 years - 15 years ever since 2009 - 2010.

So that business, we don't charge money for unlike most lawyers and wealth management outfits charge, but we don't charge for that because we think that that's a collateral minimum service you will give a client because we want his interest to be protected and his liabilities to be protected. So that's one.

The estate planning, we have done about 6,000 wills for families. We have tried to comprehensively make the learnings we have had in the last decade and try and extrapolate those learnings. Because India is a very complex game in terms of transmission of wealth. Some places

probably it is needed, some places probably it is not needed. The laws as per religion are different, as per geographies are different and as per asset is different.

So it's a 3-dimensional matrix to solve. So, wealth management outfit like ours takes all the learnings it has had and makes a checklist o

f 10, - 12 items, which each of us, in fact, all of us

on the call are mortal beings and we have a finite life. We try and do that for free as well because client's interest is paramount.

So, we don't charge for these services because that itself becomes a deterrent for a person to do it. We used to charge a decade back. And then we realized when you charge people for this service, they think you are wanting to do it just because you want the fee rather than the -- so we said we will not be charging.

So, this is that collateral service you give without being charged. So, will this keep happening? Yes, it happens. And we push it extensively in spite of it not impacting the revenues whatsoever directly. But the client's affection towards us expressed in the form of his wallet is very strong.

Bhavin Pande: Ferroze, that's really helpful. And just I appreciate the exhaustive back and forth on the call and for all the information that you have provided. Thank you and good luck again.

Feroze Azeez: Thank you for your questions, sir.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference back to Mr. Ferroze Azeez for closing comments.

Feroze Azeez: So thank you so much everyone, to patiently sit through 1 hour and 6 minutes of the call. Point two, I think if you have any further questions, please feel free to get in touch with Mr. Vishal Sanghavi, who is our Head Investor Relations, and we would love to answer them. And thank you. Have a wonderful week, the residual week, and thank you so much. ANANDRATHI

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Moderator: Thank you very much. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. ANANDRATHI
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Call: Oct 2024

Ref No : 73/2024- 25

Dated : 17th October , 2024

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238 Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
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Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q2 & H1 FY2025 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q2 & H1 FY2025 earnings conference call dated 11th October , 2024. The transcript is also available on the Company's website at <https://www.anandrathiwealth.in/financial.php> .
This is for your information and record.
Thanking You,

Yours faithfully,
For Anand Rathi Wealth Limited

Rajesh Bhutara
Chief Financial Officer

Enclosed: as above

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AMFI-Registered Mutual Fund Distributor
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Board Line No.: 022 6281 7000 | Website: anandrathiwealth.in
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Lower Parel, Mumbai -400013 | Board Line No.: 022 69815400 /69815401 | Website: anandrathiwealth.in

"Anand Rathi Wealth Limited
Q2 & H1 FY 25 Earnings Conference Call "
October 11, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 11, 2024 will prevail

MANAGEMENT :
1. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
2. MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
3. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER

4. MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

Anand Rathi Wealth Company Limited
October 11, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Earnings Conference Call for Q2 and H1 FY 25. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Feroze Azeez, Deputy CEO of Anand Rathi Wealth Limited. Thank you, and over to you, Mr. Feroze.

Feroze Azeez : Good afternoon. Thank you, Sejal, for giving me the opportunity to talk to the audience. Good afternoon, and thank you, everyone, for joining us for the Earnings Conference Call for the quarter and half year ended 30th September 2024. With me, I have our Group CFO, Mr. Jugal Mantri, our CFO; Mr. Rajesh Bhutara; and our Head of Investor Relations, Mr. Vishal Sanghavi. In H1 FY 25, our consolidated total revenues grew by about 35% year-on-year, to about INR 495 crores and profit after tax grew 35% to INR 150 crores. We have revised our revenue guidance to INR 980 crores from INR 910 crores, and we have revised our PAT guidance from INR 280 crores to INR 295 crores. The mutual fund revenue registered a stronger growth of about 70% year-on-year to INR 195 crores of the INR 495 crores in H1 FY 25. Total AUM grew by about 57% year-on-year to reaching about INR 75,084 crores. And since our guidance was INR 72,000 crores for the full year, and we have crossed that number. So, we are giving a new guidance of about INR 80,000 crores with God's grace.

During H1 FY25 our total net flows registered a remarkable year-on-year growth of about 128%, reaching INR 5,700 crores for a 6-month period. Equity mutual fund net inflows achieved a year-on-year growth of about 64% to INR 3,116 crores. Share of equity mutual funds in the AUM increased to 55% from 50% at the same time last year.

Return on equity on an annualized basis stood at about 44.4% for the first half year of FY 25. In alignment with our policy, rewarding share holders, we have declared an interim dividend of about INR 7 per equity share for FY 25.

Now in our flagship private wealth business in the first half of FY 25, we have added 1,066 new client families on net basis, bringing our total number of clients to of 10,977. Our client-centric approach has resulted in 0.28% client attrition rate for the first 6 months of this year. We have added 63 new relationship managers over the past 12 months from September last year, bringing the total count to 374. We have an immense pride in achieving zero regret RM attrition for the fifth consecutive quarter, which is about 15 months period, no regret RM attrition. Regret RM by which I mean any RM which has crossed INR40 crores of AUM has not let up in about a 15 month period.

Digital wealth businesses, which is a B2B2C business registered a growth of about 32% year-on-year in AUM and to reached INR 1,826 crores. The number of clients increased 22% to 5,454. The OFA business, which is an abbreviation to Omni Financial Adviser which is a SaaS platform has 6,188 subscribers with platform assets of about INR 1.55 lakh crores at the end of H1 FY 25.

Anand Rathi Wealth Company Limited
October 11, 2024

The mean of the year-on-year growth - very distinguished the data, the little differentiated data, so I want your attention. For the last 10 quarters, our profits have grown on a year-on-year basis the mean growth has been 33.9%. The median growth is 34.2%. The standard deviation of these 10 quarters, quarterly growth year-on-year is 4.5%. Our performance has been consistent and also market agnostic is the belief we have. How do we check market agnostic. If you look

at the

worst NIFTY performance after we have got listed was in the quarter 1 of FY23, where the NIFTY fell about 9.6%, which was April to June 2022. Our profit in that quarter on a year-on-year basis grew almost to the mean, which is 33.6%.

Now I will hand over the call to Mr. Jugal Mantri to take us through the financial performance of the company in more detail. Jugal, sir, over to you.

Jugal Mantri : Thank you, Feroze bhai. Thanks, Sejal. First, let me speak about Q2 FY 25 consolidated financial performance. Our consolidated total revenue for the Q2 FY 25 stood at INR 250 crores compared to INR 189 crores in Q2 FY 24, registering a 32% year-on-year growth. Total revenue was INR 106 crores registered a strong Y-o-Y growth of 69% from INR 62 crores in last year same quarter. Our profit after tax stood at INR 76 crores registering a 32% Y-o-Y growth compared to INR 58 crores in Q2 FY 24. Profit after tax margin for Q2 FY 25 was at 30.6% as compared to

30.5% for Q2 FY 24, which was slightly better.

Now I will take you all through first half of FY 25 financial result. The revenue for first half FY25 stood at INR 495 crores compared to INR 368 crores in H1 FY 24, registering a 35% healthy year-on-year growth. Trail revenue was at INR 195 crores, witnessing a strong growth of 70% year-on-year. Profit after tax also grew by 35% year-on-year to INR 150 crores for H1 FY25 compared to INR 111 crores for H1 FY 24, and profit after tax margin was 30.2% for H1 FY25.

So, this is all on the financial numbers. Over to you, Mr. Vishal or Sejal .

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sanidhya from Unicorn Asset . Please go ahead.

Sanidhya : Hi, good afternoon. Good set of numbers. My first question is, can you explain the different what are the yields on different product segments, like equity MF, debt MF , NSP and others?

Feroze Azeez : Sorry, your voice was a little muffled. Go again. I am so sorry.

Sanidhya : Okay. So could you explain on the yields of different products like equity MF, debt MF, NSP and others for us?

Feroze Azeez : Sure. The yields are on equity mutual funds about 1.08% or 1.09% post GST . On a yield basis, yields are always computed per annum. So if you look at the yields of all the mature structured products, which is greater than 1,500 over the last 12 years, the yield has been 1.17% calculated per annum on average assets, on structured products and then coming to debt MF, debt MF is about 0.43 post GST is the yield on the debt.

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Sanidhya : Okay. And what's the part that others include ?

Feroze Azeez : Others is practically raw material because we believe in these three instruments, largely equity mutual funds and structures, which is what intergenerational wealth is all about, debt is also in a smaller portion. Others are in custody now, as raw material for its alignment over a period of six months or one year. So others is something which we don't track the yield because that's not what we recommend, but those are broker code transfers of PMS and all products which are in pipeline to get aligned into the three products which I stated.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo : Congratulations on a good set of numbers. So sir, first question was broadly on the industry front. Like we have been hearing that a large AMC has tried to cut the distributor payouts on the back book of AUM . So have you received any such kind of intimation ? And just a follow up on this, like in such cases, like how should we see to it that our yields remain constant in this scenario?

Feroze Azeez : Yes, some AMCs might have tried to reduce the yields of the distributor where the TERs have come down because of mark-to-market. But since we are

the only wealth management outfit in

the country, for sure , which uses only equity mutual funds or long-only position , we have not sold PMS. We have not sold direct equity. We have not sold AIF long only. We stand apart in terms of only using mutual fund platform for long-only positions because we think that's far better Sharpe ratios than most other equity participation vehicles. So our bargaining power is significantly more because we have only one platform. And I think that's the reason why you would not see a dip, and that's why you see a 70% increase in trail in spite of this pressure, which does not impact us as much or not at all.

Lalit Deo : And secondly, sir, just like -- so while the net flows in the equity mutual fund have remained steady, but it has declined on a sequential basis, whereas on the -- in the industry front, like if we look at the equity flows in the equity mutual fund, so they have remained elevated, they have increased also like on a sequential basis. So like anything to look into it, like why has been there a decline in the net flows on a Q-on-Q basis, I would say.

Feroze Azeez : Absolutely. Very good question, Lalit sahib . But now that we've been listed for about 12 quarters , I'm trying to reiterate how you should look at our business, whoever wishes to keenly look at our business and seriously wants to understand this business, which I'm sure you do Lalit bhai. See , this business is about 1,977 portfolios. The clients' objective risk reward and whatever is the allocation is a culmination of an allocation, which is bottom up rather than topped down . What do I mean by that is if my total net sale is INR5,700 crores for the first half year, if markets run up, I am duty bound to realign on the portfolio towards structured products or vice versa, depending on which asset has a larger mark-to-market . For example, if you have 1st April 2023, if you look at our results, the structure d product proportions were 29%, if I'm not wrong. Now it might be 23% or 24%. Vishal ji, give me the correct number , proportionate?

Feroze Azeez : 24.66 % , Lalit sahib . Now what happens is, why is this proportion come down because there is more mark-to-market in equity mutual funds because our model portfolios outperformed Nifty

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by 16.8 8% last year . And it has outperformed as of yesterday by 66.09% on Nifty (though it was mistakenly spoken as 66.09% but as mentioned later in the document alpha over Nifty in current financial year till date is 7.34%). So when I reallocate money from equity mutual funds to structured product for a client who had agreed to have 65 -35, it might have changes in the allocation from a sequential quarter -on-quarter basis. So having said this, to answer your pointed question, what does this imply? This implies that there is some degree of realignment happening because of higher mark -to-market. So if you look at my net sales, which is what we were aspiring to have INR1,000 crores per month, did we get there? The answer is no. We got somewhere close to that 5,700. Ideally, I would like to see this at INR 6,000 crores . Does it answer , Lalit bhai?

Lalit Deo : Yes. But that would be on the overall front. I was more talking about from the equity segment itself like equity mutual fund scheme itself .

Feroze Azeez : Let me further elaborate for 30 more seconds. Now if I am at 24.6 6% of structured product, if the agreed allocation is 29% before the mark -to-market that implies that 4% to 5% needs to move back to structured product, right , if I have to restore the allocation of 1st April 2023 with a specific client. So it might mean that I might sell some mutual funds and buy structured products or vice versa depending on the mark -to-market is what I was trying to help you understand, and you should look at the overall asset perspective because it is both

bottom-up rather

than top -down. I don't sell mutual funds thinking we have to sell so many. I don't sell structured products thinking we have to sell so many . You're creating the portfolio and allocations are an outcome rather than an input.

Lalit Deo : Right. And sir, just last one data keeping question. Like in this quarter, what has been our primary and secondary issue on the structured product side?

Feroze Azeez : Jugal sir, would you want to take that ? Jugal sir, are you there or should I? This is for primary , right ? INR 3,283 crore is primary for six months full period and secondary INR 958 crore .

Lalit Deo : Sure, sir. And sorry, just last question , has there been any change like post the taxation rate change, what is the current tax rate which is there under MLDs?

Feroze Azeez : The tax rate change does not impact by structured product business because the Sharpe ratio of the structured product is 1.93 , okay. Out of the 16 products, which are there in wealth management . There are about 15,000 plus ISINs, which a client can cut a check too. If you look at arranging them in the descending order of sharpe ratios post tax or pre-tax, you will see structured products right on top, the ones which we made. So 1.93 is the sharpe ratio of structured products. The next best is mutual funds 0.78, PMS are at 0.3 or 0.4. So does it change our product allocation? The answer is no.

Second is that if you look at taxation , taxation is always at file level. And the great part of Section 50A is that it counts all the gains as short -term capital gains. And short -term capital gain gives you the provision to use Section 70 to Section 74 for any set offs which an equity loss can throw up. So having said which, the average taxation at a family level, which we believe is about 19% - 20% for the maturity, which have happened after the tax change .

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Lalit Deo : Okay. But in general, like if you talk about only the structured products, then I was just trying to refer ...

Feroze Azeez : No problem. Okay. Now let me elaborate further. Unfortunately, I am trying to compress an answer, which is an hour discussion with the client to about 30 - 50 seconds. But yes, having said which, with that limitation, let me give you one more data point. In India's new tax regime , even if you earn INR50 lakhs, the tax rate is 24% on a graded fashion if we put it on an excel sheet .

So if there is a gain of INR 50 lakhs, as per the new tax slabs, if I don't take any provisions of those section 80Cs and those small provisions of Section 80DD . If you put on a weighted average basis, even if there is a INR 50 lakh gain, INR 49 lakh gain, the weighted average tax was up to 24% and not 35%. And in a family of 5, you would always have a file, which is a major file, which does not have a clubbing provision under the Section 65.

So it's a longer story, Lalit. So as a stand -alone also, it's not something which can be at a product level . It's at a file level, including all provisions and family. That's the point I'm trying to make .

I can take this one-on-one in a meeting or something like that and help you understand what the Section 65 says, what does Section 94 subsection 8 say, what does section 70 to 74 say, Section 112 say and 111 say.

Moderator : Thank you. The next question is from the line of Krishna from ULK. Please go ahead.

Krishna: Great to see that the numbers are spiking year -on-year. My question is not so much around the numbers, but it is around people management, if I may say . I do see that for the last 5 to 6

quarters, there's been zero attrition in your organization. I don't think this is very intriguing for me to begin with. So because when my relationship manager calls me from my bank by the time I add him to my contacts, he has already switched shops. So I don't know whether this is business as usual

in Anand Rathi, but this -- I find this to be a little fascinating. So I would appreciate if you could give me some insights there?

Feroze Azeez : Sure, Mr. Krishna. Point 1, yes, but I would want to clarify, it's not zero attrition at a company level, we have 1,157 total colleagues at current point in time. The regret RM attrition is zero for 15 consecutive months. That's point 1. Point 2, we basically believe that RM is the easiest to retain. Because it is unless you do something wrong, RM does not need to start his life back from zero in a new platform. And be about 10 - 12 years back, Rakesh sir, I and some of our colleagues had discussed why we quit the previous company. And then we realize there are about 5 - 6 reasons why a person needs to change the job. Now this is my third job, unfortunately. My first job was ABN AMRO, spent 7 years and there was a reason why I left ABN AMRO because they told me to sell insurance and I was not okay with it. So if you can make sure that those 5 - 6 items are not done in a company, then people don't leave is our belief and that's the hypothesis, which is proof point 1. Because an RM needs to convince 50 clients, 30 clients to come along, which is a tough task, especially if you look at our client portfolio, the Sharpe ratios for the last 10 years of my 297 largest client is greater than the best Sharpe ratio of another competitor. Anand Rathi Wealth Company Limited

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Okay, mathematically provable. So Krishna sir what I am trying to say is this was RM regret attrition is zero, point 1. Point 2, RM find it very difficult to restart life. Unless the organization is being very unfair, there is no reason why Feroze as an RM should go to a new platform and re-build life from zero. And we just have identified those 5 things, which industry does wrongly. And that we don't do. That's about it. We don't do anything extra. We don't do contest. We don't give RMs more than what is said. We don't give them less than what is said. We give them exactly the same formula from 2007 when Rakesh sir set up the bonus formula or the remuneration formula that's remained constant for 18 years - 17 years, which has not happened in the industry. So that's one of the key reasons stability of remuneration is one of the 5 - 6 reasons. This is the way it is. And we want to be the Finland of the corporate world, which is the happiest country as they claim.

Mod erator : Thank you. The next question is from the line of Sam yak Shah from Sameeksha Capital. Please go ahead.

Samyak Shah: Congratulations on a good set of numbers. I just want to know about Alpha Generated on our model MF portfolio. So can you just throw some light on that?

Feroze Azeez : Yes. Alpha Generated on model portfolio. We like to compare ourselves to Nifty because that's the most familiar benchmark. If you look at Nifty, of course, some people might debate why not NSE 500, why not Nifty Smallcap 250. But Nifty 50 is what the Tier 2 benchmark most fund managers in India have chosen, and that's our benchmark as well. Then given the choice, most fund managers actually chose Nifty 50 surprisingly, even Smallcap fund managers have chosen Nifty 50 as the Tier 2 benchmark, Tier 1 is mandatory by SEBI.

Coming back to now the Alpha, first, I gave you some color on the benchmark because the benchmark has to be something which is familiar NSE 500, my clients don't even know the levels of it. Coming to Nifty last year, I think 16.88 % like I said, with the Alpha on Nifty of our model portfolio. We went Smallcap heavy. We were zero Smallcap schemes in December, in March 2020 to 2023. 1st first April 2023, we were suddenly 3 Smallcap funds. So we were zero Smallcap for 4 years with whatever God's grace and some degree of mathematics.

We have decided that we will be out of Smallcap just before or no, just after the ILFS crisis in September 20

18. So we stayed without any Smallcap for four years. Then we went straight to 3 Smallcap schemes. Now we have 2 Smallcap schemes, and that really resulted that whole broader market call with God's grace went, right? And that gave us some serious Alpha last year. And then this year, of course, the liquidity in the Smallcap space continues. And we track that on a daily basis and that's why there's a broader market badly continuing unlike most of these several institutions believing that it's broad-based rally is overdone till the liquidity tight turns, we believe that there is some more juice left. And so the Alpha this year, if I have to tell you the precise number, I tell you as of yesterday bear with me for a minute from here. I'll tell you precisely as of yesterday. It is 7.3%.

Samyak Shah: Okay, till date.

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Feroze Azeez : Yes. It is 7.34 till date for this financial year.

Samyak Shah: Okay decent . And my other question is like we have seen increase in finance cost this quarter. So is it like a one-off, item on account of buyback or anything else?

Feroze Azeez : Yes. Jugal, sir, best equipped to answer this.

Jugal Mantri : So actually see, if you recall that we have done the buyback, and the treasury got deployed. So now whatever this finance cost is there, it is -- there is no borrowing we have. In fact, we have got the other income and the fixed deposits are placed. So as when ever there is a treasury requirement , there is an overdraft on the FD line. So it is FD /OD used. And the cost is largely on account of that. We don't have any borrowing in the company , it is a debt-free company.

Samyak Shah : Thank you

Moderator: The next question is from the line of Aman Singh from Profit Gate Capital Services .

Aman Singh: Thank you for the opportunity and congratulations on a good set of numbers. Sir, I wanted to understand, as you rightly highlighted, Y-o-Y decline on equity net inflows for the quarter 2 is due to the realignment of portfolio towards structured products. So, can you give us the gross inflow numbers in equity , for a better comparison of how the book is growing and also for the market share that we have in the industry?

Feroze Azeez : In the meantime, while my colleague pulls out precise numbers let me tell you. If you look at our equity mutual fund sourcing for the first half year, I think it's about INR 3,300 crores . I'll tell you some industry numbers. Now here, I have it in my hand, H1 FY25, the net flow in the category as per Category 3 of AMC , as it is mentioned in the website, which is the active managed funds. The total net flow is INR 203,994 crores . SIP purchases for the same period of H1 FY25 is INR 1,33,925 crores. Net inflows minus the SIP purchase is INR 70,069 crores and Anand Rathi's number, is INR 3,116 crores . And our SIP purchase is INR 310 crores which implies that our net inflow in equity mutual funds for the same period of the first half year of 2025, FY is INR 2,805 crores , which makes it a 4% market share in lump-sum purchases and 1.5% market share, including SIP numbers because we have not focused on SIP being an HNI platform. I think we have missed that opportunity so far. We have woken up to that opportunity, and we will see SIP numbers going up. But if you look at lump sum purchases, INR 2,800 crores is what has come from ARWL on a total base of 70,000 for the industry .

Aman Singh: And sir, what would be the gross equity inflow market share, including SIP lump-sum for H1?

Feroze Azeez : For the industry or for us?

Aman Singh: For us compared to industrial market share.

Feroze Azeez : Yes, the market share is 1.5. ARWL Equity Net flow INR 3,116 crore on the Industry Net-flow INR 2,03,994.

Aman Singh: So it would be net inflow market share, right? I'm asking about gross inflow market share.

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Feroze Azeez : Gross inflow, we don't track it at all.

Jugal Mantri : Gross it is next to impossible to track because there are a lot of switches and the realignment even within the equity mutual portfolio. So it is next to impossible to track the gross numbers.

Besides the equity, what is important is that even the net inflow in the first half, which we have is INR 5,700 crores in the products which are being distributed compared to that, we had net inflow of INR 2,500 crores. So in fact, the net inflow in our products, which are being advised, has gone up by 127% in the first half of this financial year.

Aman Singh: Right. Yes. So, as you explained in quarter 2, there was some realignment from the equity mutual fund to structured products. So , was it across the categories in equity mutual fund or you made redemptions from a particular category, like you did in small cap a few quarters back?

Feroze Azeez : See, we release a new model portfolio every 15 months , then start the realignment . The model portfolio is a lump sum now . The same 14 schemes I own , the same 14 schemes my largest client as an RM own. So it is never going to be so transactional.

Aman Singh: Thank you so much and all the best.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi Group.

Dipanjan Ghosh : Just on the guidance part, when I look at it for the second half, you have built in almost a high single-digit sort of AUM growth . But when I look at the revenue numbers or even when I look at your PAT numbers, for the second half you are building in a lower than what you have achieved in H1. Now given the opex structure, when I subtract and get the opex number, this numbers seems to be broadly flattish what you're assuming between H1 and H2. Now just on the revenue part, why would you kind of assume a relatively lower revenue number for the second half compared to the first half, even when you are assuming AUM growth . That's my question number one.

The second question is now when I look at your flows that you're getting into your business, just if you could give some color between flows from, let's say, the new customers and from the

existing customers . What the breakup would be and if that has changed in the last year or quarter out there. And my last question is more from a structural perspective. I mean, in the segment that you're operating, do you see increased competition from some of the domestic boutiques. And if so, can that lead to some sort of maybe not immediate but maybe a near to medium -term pressure on the cost side?

Feroze Azeez : Thank you, Dipanjan, for your question. Firstly, I think if you would have heard us in the past, we always try to under -commit and over -deliver. That's our principle. And that's the principle any business which is supposed to be in the trust business. To clients also we try to under commit and try our best to overdeliver. We don't show Sensex 200,000 and then sell equity. We show Sensex can go down. every 8 months 10% and then sell equity. So 1 is the principal and the DNA, which Mr. Rakesh Rawal , who's the CEO of our company and incidentally also our professional guru has imbibed in us , is to under -commit over deliver. So any guidance numbers have to be seen with that color.

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And we also believe in God, so there could be surprises. That's why you will always have some conservatism and not look at sequential growth. Half year to half year growth are not supposed to be seen in this business . For the time and I am mentioning th at in my calls that it is a business of managing money and revenue is an outcome. I can't decide this is the revenue I want, and that's how I will manage them on and we have to respect the fact that we have collected INR75,000 crores of hard earned money , which on an aver

age, takes 15 to 20 years for every

family to accumulate. So revenue can't result in the allocations . Allocations have to result in drive. So that's on the guidance part right? Second, which was first question was existing v /s new client s. 65 old clients and 35 new clients, okay?

We believe that we are one of the wealth management outlets , we like to believe that we are more secure as a group of professionals saying that we don't push people to start big. We will start with whatever INR 1 crore s. But as long as you have INR 8 crores, INR 10 crores, INR15 crores as your investable surplus, I would allow somebody to start with INR 1 crore s earlier I used to allow them to start with INR 50 lakhs also.

And once I establish that my sharpe ratio is better than the best Sharpe ratio of somebody else. There is no reason why I will not be able to consolidate. That's why two-thirds comes from existing clients . And one-third comes from new clients.

Dipanjan Ghosh : Allocation of more on the competitive intensity, how the se things are shaping up?

Feroze Azeez : The competitive intensity -- our comp etition with anybody who has a sharpe ratio less than me, okay? There are two things -- how we see competition . Of-course, it might look too idealistic. There is a competitor to sales team. There is a competitor to research team . Now for example, if there is anybody better than us in terms of risk reward to a client, that is a competitor to my product team . Mr. Chethan Shenoy and 145 people - saying that why i s somebody delivering a better Sharpe ratio than me?

If som ebody is delivering worse off than me, then it's a competitor to my sales fraternity .

Because if the money is not g rowing well, why are you not bringing it in? If it 's going well, then Mr. Shenoy what is your research team doing? So that's how we see and we learned from our competitors. So to answer your question, competition will come , but there is enough and more money, which is not delivering the Sharpe ratios or even 0.5 . And people don't even measure risk-adjusted return of that portfolio. So if you measure and somebody is doing very well, better than us, we don't treat that as competition. We let that be. And so we have the courage to say no to some clients, which I don't think wealth management outfits at the client. Once I say no to those 5% people who are doing better than us and learn from them, I have the conviction to get the 95 % in, and that's been the principal sir. That's how we see competition. And there is so much underutilization on a risk -reward basis, you had be surprised, even INR 100 crore s clients have a Sharpe ratio of 0.3. So many of the m.

Dipanjan Ghosh : If I can come back on the first question , my question is not from a guidance perspective, more from the perspective that ba ring asset allocation . If I just look at your m utual fund distribution business, do you see any risk to the MF yield . I think one of the first questions was regarding to the that book re -pricing from one of the larger AMc . I mean, is that more of a trend that you

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expect on the other incumbents to follow? Or it's just more of a one -off even t from one of the larger players. I mean, a question more from a yield perspective, how you see that shaping up? Or is there any risk to the MF yield ?

Feroze Azeez : We personally think that we generally like to manage risk. Risks will be

there. I can give you a 100% that not just the risk which I have written on my notes in my phone . There will be some unknown risks and risks are practically the ones which you don't see coming, right? So I have total 17 - I call the green risks and higher likely risks are 10. So after having provision, that is why Rakesh Rawal gives the guidance of 20% -25% for the next 10 years. So to answer your third question, the yield compression, unlikely

. We were the only wealth management or one of the few wealth management outfits, which went all trail in 2016 when it was regulatorily mandated in 2018 . And we have not had to change our distribution and advisory model from 2013, 1st January when it has been released. Most of our industry participants had to be toying between advisory , distribution , PMS platform for the mutual fund business. I think if I am not wrong, at least three changes have happened in most wealth management outfits from 2013 in their business model. When we look at regulation, we look at regulation, not from what is written but between the lines. And probably on a one -on-one discussion , I can tell you what we read as a regulatory change. The yield compression is the least of our risk and even if there is 5 – 7 paise risk of having 1% only trail commission, we are very well poised to handle that. Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain : Congrats on a great set of numbers. Just a couple of questions. Firstly, when you were mentioning about your alpha generation, you mentioned your performance versus the NIFTY . But could you also give some color as to how many of your portfolio schemes would have outperformed their respective benchmarks. And what would be the average data over their respective benchmarks ?

Feroze Azeez : Yes, I can tell you that, but that's something which I don't track as much, but of course I track, but that's not a commitment I give because everybody has a Tier 1, Tier 2 benchmark, if you want to know what is the outperformance on the respective benchmarks, which I think is itself flawed - it's 2.91% for this year.

Prayesh Jain : 2.9% .Okay. Great. And the other thing is from a structural product , how do you see the share of your structured products, say, over the next three , five years, how do you see that kind of changing?

Feroze Azeez : I don't think there could be too much change. When we started in 2012, November, our first structured product issuance at Anand Rath. We had a 30% allocation as the maximum .

Allocation today is 35 % so we went in 12 years to 40 % came back to 30%. We are now at 35 % for most of the portfolios, we recommend this. So to answer your question, it's going to be a plan B in the portfolio. And that to my mind, would be one-third or close to that for the next 10 years.

Unless the macroeconomics change in the way delta, vega, gamma, theta, rho which are the first order Greeks of long -term options changed dramatically which I think is unlikely vega and beta which are the second order Greeks which we track to make a product unless they change to Anand Rath Wealth Company Limited

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over its heads , there is no reason why with the allocation would change or the same product which we have done 1,500 times each will change .

We don't believe in innovation. We believe in optimal innovation because innovation for the heck of it is something which is detrimental to the sharpe ratios of the portfolio. That's what our study shows.

Prayesh Jain : Yes. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead. Sorry to interrupt you sir, may I request you to use your handset.

Rohan Mandora: This is better?

Moderator: Yes sir. Please go ahead Mr. Rohan.

Rohan Mandora: Hello.

Moderator: Sir we are not able to hear you very clearly.

Rohan Mandora: Sorry, I'll join back the queue.

Feroze Azeez : Now we can hear you Rohan Bhai now. I could hear. Sejal I could hear Rohan .

Moderator: Sir he got disconnected.

Feroze Azeez: Okay.

Moderator: Due to no response from the current participant, we will take the next participant. The next question is from the line of Sunil Shah from SRE PMS. Please

go ahead.

Sunil Shah: Thanks for the opportunity. Congratulations Feroze and the entire team at Anand Rath , Jugalji and all. Sir I have been there in the company for like reasonable period of time and I'm really looking at being there for like another 5 years - 10 years . As you stated , Rawalji and all are targeting 20% to 25% growth over the next decade. That's the sense and we are clearly preparing our company in that direction , really appreciate the client acquisition to employee retention, to

the products, processes, everything. Sir the only point is this and I don't want to sound negative, but are we working or preparing for as creating a proxy of Feroze in the organization because Feroze has been there for a long period of time. And has all the firepower today. Also when I hear him speak, but my only that Six Sigma event or the Black Swan is Feroze kind of decides to move on or whatever, are we preparing any proxy? Just an outlier completely minus 3 sigma event, but are we working towards creating any such thing? This is just one thought because that's the only risk which I see in the company at this point of time. So just wanted to bounce this, just create some thoughts and just want to hear your thoughts as well Feroze?

Feroze Azeez : Thank you Sunil Shah for your question. Thank you to be our investor for so long in your PM S. So Sunil Shah I speak a lot and I appear a lot, but I think I'm not -- I'm just the postman. To be Anand Rathi Wealth Company Limited
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honest and I'm not being trying to sound modest. Rakesh sir who is a back bencher is the person who has actually put the strategy in place. Segment was chosen by Rakesh sir, the strategy mathematical approach was chosen by Rakesh sir and his experience is what I try and articulate. Today like you rightly said sir I joined in September 2012, so finished about 12 years. Now I speak like Rakesh sir, but he doesn't speak so much in the public is why it is misconstrued that it's my language, point one. Now I will give you a little more tangible answers. This was just a disclaimer. And in 2015 July I was chosen by Rakesh sir to be the Deputy CEO, not from a purpose of our transition because one of us can die to be honest Six Sigma event, not Six Sigma it's a certainty that one of us will die sooner unless we take the same flight and something happens. And so on a lighter note I had a very strong long chat. So Sunil bhai so what I'm saying is why I am a Deputy CEO from last 9 years. My media friends tell me that you are so bad that you don't get a promotion on a lighter note. I say I don't want any promotion. So we are two of us point one and not one. I might be doing the talking in the public domain. His brain is significantly more than mine in the business because of he joined in 2007. That's point one. Point two if you look at it our unit heads barring the last four - five hires have been there for more than 12 years - 14 years. My Hyderabad unit head is taken care by Protima who is 17 years. Our Delhi unit head is taken care by Manish Srivastava who is 17 years. A dil came with us again co head Delhi. So if you just went the second in line the average period the unit heads have spent is anything more than 11 years, 12 years, 13 years, 14 years. We've hired three people from Karvy who came in 2015, 2016, 2018 and 2019. So they would bring down the average because they spent some period. Then coming to the product head who heads this division of 145 people which is the brain in the anatomy. If I have to draw up analogy, Chetan Shenoy who is the Product Head has worked as a colleague of mine from the first day I started in the corporate world in 2004, when I joined ABN AMRO that was one of the first people I met. So we have worked together as a group for really long periods of time like Chetan Shenoy 20 years. My Product Dep

uty Head close to 14 years. So if you look at all the product top 10 people, I actually have 6 people plus 14 people. 6 people have worked as a colleague to me for at least 14 years - 15 years from 2010. And the next in line and the product 14 people have spent at least 8 years average. So the only way to prepare for somebody's absence in unfortunate event is to have near zero attrition both at product level and the RM level. That's what we've tried to do, but you really set us thinking Sunil bhai. We will try and see if there can be a more cogent plan and I will take this as a feedback.

Sunil Shah: No, really appreciate the detailed explanation that you shared with me and good to know the Tire 2 the people working. So thanks for all this. That really puts to rest all the doubts that I had in my mind. Thank you so much, Feroze a real long journey ahead in all aspects.

Moderator: Thank you. The next question is from the line of Viraj Mehta who is an Individual Investor. Please go ahead.

Viraj Mehta: Great set of numbers. Quality an up -up growth for the last 2 years, reaching almost 4,000 great achievement. I have only 1 question, which is any plan of corporate action going forward? There and split - bonus?

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Feroze Azeez: Like we said the last time also, the AGM, I quote my Chairman saying that we will surely consider corporate action actually, what was said. And that stands to today as well in the same manner, which was told in the past. But one very interesting data, we made a predictive model to see which the companies which give a bonus are. Maybe if you get in touch with Vishal ji, he can share with you predictive analytics of which are the companies which end up giving bonuses on NSE 500. We've done some interesting data and any company which has risen has a larger probability of giving bonuses in any company which has given larger bonuses have risen so vice

versa, which is at, I think we can give you.

So I'm giving you an abstract answer, but we have done some predictive analytics in terms of the NSE 500 companies in terms of bonus. Not specific to Anand Rath, but whatever I heard Mr. Rath hearing him in the AGM, I'm repeating the same thing, yes, we will consider, we believe in rewarding the shareholder.

Viraj Mehta: Well, thank you. And I get your details from the website, is it?

Feroze Azeez: Thank you, sir.

Moderator: Thank you. The next follow-up question is from the line of Sanidhya from Unicorn Asset. Please go ahead.

Sanidhya: Just to follow up that the number of clients in the H1 FY 25 or say, one full year if we compare from H1 FY24. What kind of client base that is like in terms of the AUM that they're bringing? In which category do you place and what percentages would you sand INR 50 lakh to INR 5 crores and 5 crore to 50 crore or more than?

Feroze Azeez: Sir, your name I missed again, sorry.

Sanidhya: Sanidhya.

Feroze Azeez: Sanidhya, see how we look at it is the first filter is we try and see whether the client is from our segment. What is our segment is INR 5 crores to INR 50 crores of investable surplus other than the office / home occupies. That's the first step we do. Let's assume Sanidhya balance sheet, apart from the home, he lives in picking across. Then I know the first stigma, but he has the potential to be my client segment. Then I will tell Sanidhya, sir listen to my story and start with INR 1 crores. So you can start with INR 1 crores. This is the same thing, 6-8 months ago we were starting with INR 50 lakhs, but I think they have come some distance unlike most private banks who say that you start with INR 5 crores, which we think is a little unfair.

So that most of the clients, would be most if not all will be investable surplus is greater than INR 5 crores - INR 7 crores. And below INR 50 crores. We don't like to go af

ter rich people who

have got into money just now, unlike most of our friends in the industry do they sold the business for INR 200 crores. They would go to it. We would not want to go to him because I don't want to fight a cost war. And we like to get intergenerational wells and INR 5 crores to INR 50 crores in that segment, starting with INR 1 crores. Does it answer, sir?

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Sanidhya: Yes, that definitely answers. And what do you hear from those people what are their aspiration in terms of returns what are they looking for really? Like INR 5 crores to INR 50 crores. I think the best segment in the entire industry, That's my view.

Feroze Azeez: Absolutely. That's a good segment provided I am building a business on the basis of MAT. So if you ask me, what do these clients have? They don't have clarity. Okay? That's why is tag line as uncomplicated. What is happening to INR 15 crores client, if I described. He is distributing a INR 5 crores, INR 7 crores in Real Estate. He's got INR 7 crores, INR 8 crores in financial assets distributed across 3 different financial advisers. One is surely going to be his bank. He is acting like a INR 2 crores client to 4 people.

And that is resulting in people selling him products, which may not suit this need. So what is their first requirement? They don't want it, but the need is clarity of objective. They want something fancy to start with. When we meet somebody, what's new with you? Is the first question. We say, we haven't come for entertainment, we don't have anything new. That same thing has been running for 12 years. Our aim is that your IRRs and your Beta is measured. Today, most of the advisers -- most of the clients at between INR 20 crores balance sheet will not even know th at Beat of their portfolio, right? So what do they want? They want new products, what do they need? They need clarity of objective. They need clarity of mathematics. They need services which are peripheral. We have done about 6,000 - 7,000 w ills, and most of the w ills which we audit are incorrect, even if they are a INR 500 crores will. So we have done 7,000 wills. We've listed down 11 most popular mistakes. They need it, but they don't want it. So we have to create the need before we address it.

So uncomplicated is only appealing to a person whose life is complicated and you open his eyes saying that is any complexity. As seen portfolios you'll be surprised, 100 ISIN s with a Sharpe ratio of 0.1. I've seen 92 ISIN with Sharpe ratio of minus, right? So what do they need? They need some mathematics. And since this segment is filled with professionals, professionals respect mathematics because they have to present to the board so they work with mathematics a little more than a promoter does, because promoter is lesser answerable than a professional. I as a professional and more answerable than my promote r. So that's why that segment is good, and we believe in mathematics. That's why our RMs being introverts, do a good job, because the straight come to the point to the mathematics and does not ask him what you wait last night or how was your golf game.

Sanidhya: Great. And do we do any insurance kind of product?

Feroze Azeez: Yes, sir.

Sanidhya: Do we sell any insurance kind of product?

Feroze Azeez: No.

Sanidhya: Great.

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Feroze Azeez: And investment based insurance. Would we have sold some term plans with general insurance to protective house? Answer is yes. Anything which is investment and insurance mix trying to do one or two insurance is not in finance. It's in the context.

Sanidhya: Yes, exactly. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Feroze Azeez for closing comments.

Feroze Azeez: I'd like

to thank everyone for being a part of this call. We hope we have tried our best to answer the questions to our ability. If you need any more information, please feel free to contact Mr. Vishal Sanghavi our Investor Relations Head, and Rajesh Bhutara, who is our CFO for decades. I would like to extend my good wishes for the upcoming festive season and may you have a great decent in and thank you for your time and patience.

Moderator: On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

Ref No: 108/202 4-25

Dated : 18th January, 2025

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The Manager,
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Scrip Code: 543415

Dear Sir/Madam,
Subject: Q3 & 9M FY2025 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q 3 & 9M FY2025 earnings conference call dated 14th January, 2025. The transcript is also available on the Company's website at <https://www.anandrathiwealth.in/financial.php>
This is for your information and record.

Thanking You,

Yours faithfully,
For Anand Rathi Wealth Limited

Rajesh Bhutara
Chief Financial Officer
Enclosed: As above

ANAND RATHI WEALTH LIMITED
(Formerly known as 'Anand Rathi Wealth Services Limited')
Private Wealth. uncomplained
AMFI-Registered Mutual Fund Distributor
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Q3 and 9M FY25 Earnings Conference Call "
January 14, 2025

MANAGEMENT :
• MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
• MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
• MR. CHETHAN SHENOY – HEAD, PRODUCT AND RESEARCH
• MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER

• MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 M FY25 Earnings Conference Call, hosted by Anand Rathi Wealth Limited. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Feroze Azeez, Deputy CEO of Anand Rathi Wealth Limited. Thank you and over to you, sir.

Feroze Azeez: Thank you, Sejal. Good afternoon, everyone, for joining us in the Earnings Conference Call for the quarter and 9M ended 31st December 2024. We are all joined with our Group CFO, Jugal Mantri, Product and Research Head, Mr. Chethan Shenoy, CFO, Rajesh Bhutara, Head Investor Relations, Mr. Vishal Sanghavi.

Let me give you a quick highlight of the company's performance. During the 9M FY25, our consolidated total revenues grew by about 33% year-on-year to INR 739 crores and our profit after tax increased by 34% year-on-year to INR 227 crores. We have achieved 75% of our revised revenue guidance as well of INR 980 crores on the revenue side and 77% of our revised PAT guidance of INR 295 crores in the first 9M FY25. Total AUM grew by about 39% year-on-year to INR 76,402 crores.

In alignment with our policy of rewarding shareholders, the company has declared a bonus share in the ratio of 1:1. We have recorded highest ever quarterly net flows during the last quarter in spite of sentiments not being the best. During 9M FY25, our total net flows registered a remarkable year-on-year growth of 69% reaching INR 9,145 crores. Equity Mutual Fund's net

flows achieved year-on-year growth of about 51% to INR 5,831 crores. Share of Equity Mutual Funds in AUM increased to 55% as of December 2024 as compared to 52% last December 2023. ANANDRATHI

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We believe that our company's performance is consistent and market agnostic and numbers say so. If you look at the worst Nifty performance after we got listed was Q1 FY23 where Nifty fell 9.6% and last quarter Nifty fell 8.4%. However, for both the quarters, our profit grew by more than 33% on a year-on-year basis. The mean of the year-on-year growth of our last 11 quarters has been 33.8%. That's the mean quarterly year-on-year growth we have shown. The median is 34%, which implies that we have almost produced a normal distributed curve and the standard deviation of the growth number which I'm sure is something very unique. Most companies don't compute this. We are very possessive about trying to keep consistency as one of the attributes for our shareholders' benefit. The standard deviation is as little as 4.3%. Our quarterly results growth on a year-on-year basis mean is 33.8%, median

is 34% and the standard deviation is 4.3%. I'm trying to emphasize this a little more because with the limited articulation skills I possess, I wanted to make sure that it gets registered in the listener's mind.

In our flagship private wealth business, the first 9 M FY25, we added 1,515 new client families on net basis, bringing our total number of client families to 11,426. Client attrition rate in terms of AUM lost for the 9 M period was as little as 0.28%. Ideally, this client attrition number, we would like to see it as zero because every human being should be satisfied with our services. That's an aspiration which we try to always aim for. But nevertheless, 0.28% is a smaller number relative to what industry sees.

We have added 61 new relationship managers on net basis over the past 12 months, bringing our total RM count to 383. In the last quarter, we have achieved near zero regret RM attrition. We have lost one RM who had an AUM greater than INR 40 crores, which we call regret attrition. So over the last six quarters, this is the first attrition. So 5 previous quarters, we had zero regret RM attrition. And the last quarter, we had one RM who left -- who had greater than 40 crores of assets, which we think is the threshold to cross the bridge of wealth management. ANANDRATHI Private Wealth. uncomplicated

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Digital wealth business, which is a B2B2C platform, registered an AUM growth of 23% year -on-year to Rs 1,827 crores. The number of clients increased 24% to 5,772. The OFA business, Omni Financial Advisor business, which is abbreviated as OFA, which is a SaaS platform, has 6,273 subscribers with platform assets of INR 1.4 lakh crores at the end of 9M FY25.

Now I would love to hand over the call to Jugal Sir, who's our group CFO, to take us through the financial performance. Jugal Sir, it will be great if the audience could hear you.

Jugal Mantri: Thank you very much, Feroze Bhai. Good afternoon to everyone. And wish you all the first festival of the new calendar year. Happy Makar Sankranti . Happy Pongal. Happy Lohri to all of you.

First, I will speak about Q3 FY25 consolidated financial performance.

Our consolidated total revenue for the Q3 FY25 stood at INR 244 crores compared to INR 187 crores in Q3 FY24, registering a healthy growth of 30% Y-o-Y. The trail revenue was INR 109 crores in Q3, registering a strong Y -o-Y growth of 52% from INR 72 crores in last year's same quarter. Our profit after tax stood at INR 77 crores, registering a 33% Y-o-Y growth compared to INR 58 crores in Q3 FY24. Profit after tax margin for Q3 FY25 was at 31.7% as compared to 31% for Q3 FY24.

Now I will take you a

ll through first 9M FY25 financial performance.

The revenue for 9M FY25 stood at INR 739 crores compared to INR 555 crores in 9M FY24, registering a 33% Y -o-Y growth. Mutual fund distribution revenue, which is the trail revenue, registered a strong growth of 63% Y -o-Y to INR 303 crores in 9M FY25. Profit after tax also grew by 34% Y -o-Y to INR 227 crores for 9M FY25 compared to INR 169 crores for 9M FY24. Profit after tax margin was 30.7% for 9M FY25, improved from 30.5% for 9M FY24. Return on equity on an annualized basis stood at 44.8% for 9M FY25.

This is all on the financial performance front. Over to you Sejal for the next session of question and answer. ANANDRATHI

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Moderator: Thank you very much. The first question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Congratulations, team, on a wonderful set of performance . Happy New Year and greetings of Makar Sankranti to our entire team at Anand Rathi . My first question was around operating margins. We can see that

at least for the past few quarters, our operating margins have been highest. So the term that we all were looking for a few quarters back, operating leverage, has it started kicking in somehow?

Feroze Azeez: Yes, Bhavin, good morning. Thank you for your question. See, of course, there's some degree of operating leverage which has kicked in. But we as a business believe that we have a target of 40 %-41% of PBT. If operating leverage kicks in, we are going to reinvest that to ensure that this kind of growth which we have shown for the last 13 quarters after getting listed, or for probably 14 years since we've started this business, continues for long periods of time. To answer your pointed question, as a shareholder, you expecting a larger operating leverage is not something I would like to create as an expectation for you, because we are still scratching the surface in this business, and we believe in a life cycle of a business.

In the initial part, you reinvest to make sure there's longevity to growth rather than efficiency in terms of operating margins. Does that answer, Bhavin. I'm very diplomatically trying to answer because I don't want you to create an expectation of our operating leverage, in spite of having seen it for the last 1 or 2 quarters.

Bhavin Pande: No, no, I was just trying to get a brief perspective. Second thing, Feroze , on the macro front, all the high -frequency indicators are sort of manifesting themselves into a delayed rate cut cycle, which brings me to our structured product, where one of the ideal scenarios is high interest rates, which, in my opinion, might prevail for a while. So how are we looking at that ?

Feroze Azeez: Okay, higher interest rates. Okay, perfect. So firstly, from a structured product standpoint, unfortunately, I have to get a little technical. See, ANANDRATHI Private Wealth. uncomplicated

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what happens is, in a structured product, firstly, the NBFC, which is our sister company, which is Anand Rathi Global Finance, does not borrow at aggressive rates at all. The implied costs of borrowing in those products are going to be very low because why am I calling it the implied cost? Because if there's optionality, a person can't just optically decipher what's the borrowing cost. The implied borrowing cost could be with a spread of not more than 1% with the G -Sec of the corresponding period. If that's the kind of low margins vis -a-vis G -Sec, NBFC borrows at, because the money has to be kept safe. So there's hardly any headroom for a reduction in interest rates. Having said which, when you actually embed a derivative, there is some degree of neutrality to interest rates. What happens is, the derivatives are priced as per the rho

of the

derivative, by which I mean the carry cost also comes down. So if interest rates come down in the structured product which we design, which are put spread sell, and that's how you express the long position in the derivative side, the cost of carry also comes down. In fact, if the repo rate comes down, the cost of carry, which is nothing but the roll cost of the futures or the synthetic futures market, reduces. So let's assume, if I have to try and make it a little more simpler, if there's an interest rate reduction of 1% on the NBFC side, if at all, which is hypothetical, then the rho, which is nothing but the 1% reduction of the carry cost also comes down. So there is a reasonable amount of neutrality between the row of the derivative and the interest rates of the NBFC, which are there in the product.

Bhavin Pande: Okay, I understood.

Feroze Azeez: Because your roll cost decreases just like the repo rate decreases . If repo is at 6.5% and it was 4.5% on 3rd April 2020, after COVID, it was brought down . From there on, roll cost would be higher because the repo is higher. So in fact, this is very good news if repos are brought down, 10-year G -Sec isn't going to move down. Because today, India has seen the flattest yield curve in the history of at least me being born. So the point I'm trying to get to is, a reduction in interest rate may not reduce the interest rate borrowing cost but can definitely reduce the roll cost. ANANDRATHI

Bhavin Pande: Okay, okay. And Feroze, so flows numbers, they have defied the odds to a larger extent. So how do we look at the contribution? Is it more of an increased wallet share from existing customers, or new families have also contributed equally?

Feroze Azeez: In fact, both, sir. If I have to answer your question, see, let me not answer it in the typical way an analyst is given an answer. I am just going to tell you, conceptually, what happens is bad markets make us look better. Because we run a model portfolio which has a beta of nothing greater than 0.6 - 0.65 with Nifty. Whereas people in good times also plant several aggressive strategies. When the tide turns, then the risk fructifies. So the point I'm trying to make is, bad quarters collection is generally given. When there is a headwind in the industry, I get a tailwind. Because somebody's win is somebody's loss. That's how you distinguish between a good and a bad advisor. And if you go to the first quarter of this financial year, nobody optically, if you showed him five statements, nobody would be able to decipher who was the best. But in a quarter like last quarter, risk adjusted return is apparent to naked eye. So bad quarters help us similarly to what happened about 4 or 5 quarters back when the markets were bad.

Now coming to, is this penetration on new clients. In fact, we tried to increase our threshold of onboarding a client. We were first okay to accept INR 50 lakhs, now we accept only INR 1 crore, at least for new clients whom we add. In spite of that, we started seeing that people are ready to give us larger money than we were hesitant to ask them. So that has created some degree of fillip. And I think wallet share increase and the mathematical way we are trying to establish. Now, for example, if someone were to come and tell me, why do I do mutual funds with you? I take his 10-year transactions and show him. If he just followed my model portfolio, which is audited by one of the Big Four's and also in the public domain, if he followed, how richer or how poor would he be? That's why in spite of giving no discounts, we've been able to collect INR 800 - INR 900 crores in equity mutual funds for the last quarter (monthly average). And that should continue. I'm sure that's what you ANANDRATHI Private Wealth. uncomplicated
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want to know. And I think it'll get forced. Meaning, it will increase, the rate at which it increases. So the acceleration will be higher, not just the velocity.

Bhavin Pande: That's great, Feroze and pretty much encouraging. Good luck and congrats again.

Moderator: Thank you. The next question is from the line of Nemin Doshi from Geojit PMS. Please go ahead.

Nemin Doshi: Hi, team, and congratulations on a great set of numbers. Firstly, I just wanted to get some idea as to how are we seeing our SIP flows increasing from a quarter-on-quarter basis? How has this trend been shaping for the current quarter as to are we seeing any redemption pressure or there have been an increasing volatility, as you mentioned? So how are we seeing trends over there? And secondly, with respect to our digital wealth platform, what are the various initiatives which would be driving this business ahead?

Feroze Azeez: So when it comes to trends, in our business we try to make sure that we are not trend dependent. Firstly, because you're speaking to the same 11,467 families, we first spend a couple of years for them to think like us. So we keep designing their mind to long-term, to prepare them to fall. See, if I try and prepare a person for a fall when the fall is happening, it will look like a justification. So we prepare them, and we take the cheque. That stands us apart.

When I am taking a check of INR 10 crores, I will tell him, Sir, remember, the market gives a 10% -15% drop every year. If you don't have the preparation in your mind, then please keep this cheque in your drawer. This is how we try and prepare them before the fall. So coming back to the most important question which you asked, how do we see this trend? We see this trend; we are putting in effort for a 30% - 40% growth in net mobilization rate. So if we have collected INR 3,500 crores this quarter, I am just simply rounding it off. I would like to see INR 4,500 crores - INR 5,000 crores for the same quarter next year at least. When I model my business to get to INR 2 lakh crores, I will ANANDRATHI Private Wealth. uncomplicated
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model only 10% to 12% increase in the net mobilisation . But am I preparing for a 50% increase in net mobilization every year for the next three years at least? The answer is yes. Will I achieve that? Only God knows. Will the effort be there? I am sure so.

Nemin Doshi: Perfect, perfect, perfect. Thanks.

Moderator: Thank you. The next question is from the line of Krishna Raghavan, who is an individual investor. Please go ahead.

Krishna Raghavan: Hi, thank you. Hi, Feroze . Feroze , we have a substantial investment in your stock, close to six digits. I don't mind holding it forever, but off late when I look at the valuations, it's significantly higher compared to an HDFC AMC, or a 360 One . So I am a little tempted to keep looking at it very often. So I am just trying to understand are these deep valuations justified?

Feroze Azeez: See, market gives you valuation. When it was at 13 P/E, some analysts told me that I am very expensive. Now, when I am 13 P/E, more than the next second best in terms of valuation, I am still expensive. Mr.

Krishna, let me answer this question, not as a part of the company, but as a shareholder. See, I personally think markets always discount future and not present. So there are 4 - 5 things which stand us apart. In fact, there was one report which came last week, which was comparing 12, 13 businesses across wealth management, asset management, in India and globally. One thing which I was happy to note on the two X and Y axis, Anand Rathi stood out. ROE was the highest out of those 12 - 14 businesses which were listed on that graph and PEG, PEG, which is P /E to the per unit of gr

owth, how much PE are you paying? It was 0.8 in that report. It was one of the reports. It is Ventura report if I am not wrong? So I don't know.

So what I am trying to get to is, Krishna, one is PE. If you look at PEG, I look at PEG as a shareholder. PEG is less than one, which I think is okay. But from a more business standpoint, there are 3 - 4 things which stand out. Attrition in a people's business being near zero is something so unique. So whatever P /E you want to attach, market wants to attach, ANANDRATHI Private Wealth. uncomplicated

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it is okay. But people say I am a people's business. So in a people's business, if people don't leave you, if somebody is tempting you with them with 100% rise, there must be some reason why they won't leave. Because the client gets the best risk -adjusted return, right? If you measure the Sharpe ratio of my client for the last 10 years, take the top 100, I would be reasonably confident with the significant levels of upwards of 90% that there would be very few Sharpe ratios on wealth management industry, which would beat my average of the top 100, vis -a-vis any other wealth managers top 100 class. So that's why attrition is low. That stands out, I'm just trying to highlight.

No new product launch, okay? We have not launched a new product. Like we've done the same old product, 1,000 times, 1,500 times, the same structure product. So no newness and business continuity is

something unique. Generally, even if somebody is manufacturing cars, he launches a new car and then the revenues go up. Maintain , same products, trying to put the business on autopilot stands unique. Does it deserve any incremental premium valuation? I don't know. Only market knows and you know.

The third is consistency. It's something which is so unique, I think, because I was looking at how results of other companies swing between plus 30 and minus 10 and plus 20. We have delivered mean, median of 33% and 34 % for 11 quarters, which if you did for the NSE 500 companies, which we are a part of, you'll be surprised. How many fingers would you need to count that kind of low volatility in growth numbers? That's one. Agnostic market results. Most people I speak to in the industry say, you are financial services. The market has gone, you have gone. The market will sit, you will also sit. So last quarter, the market sat a little, but you didn't sit. So we're giving agnostic, market agnostic results unique for a financial services business. That's why our stock has delivered a 0.42 beta because it's a little more market agnostic. These are some of the reasons which make me feel happy about. Does it justify any premium? Maybe discount? I don't know. But I can just tell ANANDRATHI Private Wealth. uncomplicated

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you as a shareholder what I see unique in this business. If I have added a few lakhs shares after it has got listed, this is what I saw.

Krishna Raghavan: Great. That's comforting. Thank you, Feroze.

Moderator: Thank you. The next question is from the line of Manan Ashar from Growth Sphere Ventures . Please go ahead.

Manan Ashar: Hi, sir. Congrats for a great set of numbers. Sir, I just had two questions. The first one was from the passive fund industry perspective. So when we see the passive fund as an industry, how is the industry trend currently basically shaping up? Because we are seeing a kind of efficient market in terms where everything is getting priced in and there's a lot of effort which is basically pushed from analysts' side. So how do you think the active versus passive fund industry will compete and how the industry will shape up in the future going forward from here? Basically in terms of competition against active mutual funds and active products that we provide to our H

NI families.

Feroze Azeez: So I personally think the trend from an industry standpoint is clear that the ratio of passive will go up. If you are speaking about smart beta strategies, some people will get wrapped on the knuckles for smart beta strategies. Because everybody has back -tested them. Nobody has used Monte Carlo simulation to front -test this. And I have tested some beta strategies, smart beta strategies using a simulator. So point is, will the industry gravitate towards passive? The answer is yes. Because most of my competitors believe in low -cost, low -value strategy. But let me now come to Anand Rathi Wealth Limited. We don't do anything which is trend -based. I have not sold an NFO. I have not sold any other product than mutual fund and structure product. That was not the trend. I have never touched an unlisted stock. You will not find one direct code client of mine. You will not find ETF more than 0.2% or 0.3%. It is different if someone has bought using my code. So Anand Rathi Wealth and industry may not match.

So as a shareholder, I am just giving you, my disclaimer. If you are trying to derive Anand Rathi Wealth - margin, business, strategy, ANANDRATHI Private Wealth. uncomplicated

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product offering, client benefit, from the market trend, history has proven that they may not be matching. So that's one thing. So industry will move towards passive because quite a few people don't want to spend energy in talking too much and taking what comes their way. I

personally think last two years, if you look at passive, 80% of the AUM is between Nifty and Sensex. Let's assume all the money in passive, which is about 200 odd funds, all of it belong to one human being. And all the money, which is there in 431 active funds, belong to one human being. Who did better? You'll be surprised. Active did better because AUMs of passives are not in NSE 500. NSE 500 is an academic index because the smallest stock will never be able to absorb all the INR 50 lakh crores of AUM, which will go into equity. So to answer your point of question, you will see more passive in the industry. You will see no passive in Anand Rath till data emerges that my client will be benefited either with a reduced risk or an increased return.

Mann Ashar: Sir, but from the industry standpoint, when we see US, basically bifurcation of active versus passive is approximately 60 %-40%. And in India, it's still 85 %-15%. So how do you see the numbers panning out going forward? Do you have any internal estimates? Or how do you see or how do you envisage the industry of active versus passive in terms of your products or in terms of industry as a whole?

Feroze Azeez: See, I personally think US has two things which are very unique. One is US throws up more standard deviation than India. I will tell you why in my opinion. But coming back, US has become a valuation agnostic market. Because if you go passive, passive respects momentum. That's how indices are created. The top five stocks of either NASDAQ, S&P or Dow Jones, you will see --because if there's index fund investing, there's more money coming in. If there's more money coming in, there's more valuation. If there's more valuation, there's more weightage. If there's more weightage, there's more money coming in. So it's like that doll with the key. You've tightened that. That's how it is. So valuation agnostic market is what US has turned out to become. So passive has this collateral damage to a capital market that valuation and business ANANDRATHI Private Wealth. uncomplicated

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models will have lesser respect momentum and price will have more respect. That's one thing which stands apart.

Second, if you ask me the ratio, India will get there. But it will be ironical, and I will be

saddened if India got to those ratios because a passive fund guy will buy whichever stock has the maximum weightage, irrespective of whether the price at a 100 P/E or 2 P/E, right? And I had been sad if we go to the US way in Indian equity markets.

Now coming to the point of why India is throwing up. People say India has more volatility. This is what I am crying about as a derivative person, that volatility in India is lower. If you go from 22nd March 2020, which is when NSE brought in a circular which limited shorting in India. I think because there are quite a few financial services professionals here. I am just trying to bring your attention to one of the most important circulars. After that, S&P 500 has thrown up 18.6 standard deviation on a daily basis and Nifty has thrown up 18% standard deviation. In spite of S&P 500 representing 50% of world's market cap, throwing up a more standard deviation than Nifty, which is 4% of world's market cap is because of that circular which ideally was one day before the lockdown. I am just trying to create curiosity for you to read that circular up. You can't short more than 500 crores in Indian market. So I am very positive about Indian markets because it's a more investor -friendly market than a speculator -friendly. When real estate you can't short, why should equity, which is another growth asset, have unlimited shorting capability? That's why if somebody today, any of us have INR 4 lakh s in our account and I want to buy a Thursday put option, the last one, which is INR 1, you will not be permitted to spend more than INR 2.5 lakhs of premium on buying that because you will beat the INR 500 crore s notional, Nifty being at 23,000.

So coming back to your pointed question, I see passive happening, but I think Indian markets are going to be very different. They're going to be different because of this circular becoming tightened from 1st of April.

And if the circular was supposed to be withdrawn, I won't bore the group ANANDRATHI Private Wealth. uncomplicated
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with that circular being highlighted, but on 1st of April, this will become an intraday circular from a day-end circular, which will make the markets more stable.

Manan Ashar: I got it. Sir, one of the discount-broking houses has recently entered into passive funds and are aggressively distributing as well. They have also basically got a significant AUM and are going towards AMC. How do you see the competition shaping up from that direction? Because those guys have already figured out the distribution side of the products.

Feroze Azeez: I am not too worried about competition because if it is good for my client, I will embrace it. And I know how to, as a business, add enough value in a business where the best and the worst equity fund has a performance difference. For last calendar, if I'm not wrong, 42%. If I want to earn 1% in such a dispersed universe, then I think even if I go passive, I will be able to charge that from the client. So it doesn't bother me, but competition definitely makes us become more mathematical and because if I have to say no to passive, I need to have a story of mathematics rather than English.

So if you see, why did INR 800 crore s get collected when passive is taking most of the share? Now if you see, sectoral funds took the maximum share last year. If you look at INR 15,000-INR 16,000 crores of sectoral inflows in the last month of December, AMFI number says. I am not doing sectoral, I didn't do NFOs, but I still sold something as mundane as the same 14 schemes to everybody and that to rich people who don't like standardization because it makes them feel that they're not as big as they are.

Manan Ashar: Got it, sir. Okay. It means, you are not very worried about the competition coming from that trend?

Feroze Azeez: I am waiting

so that I can get a little more mathematical than where I am today.

Manan Ashar: Okay, got it. That's it, sir. Thank you so much. All the very best, sir. ANANDRATHI Private Wealth. uncomplicated
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Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Yes, good afternoon, sir. Congrats for a good set of numbers. So, sir, just two - three questions. So one is data keeping. So mostly in this quarter, what were the flows, both primary and secondary, in our structure product? Second, given the market conditions, when the markets look weak, then how do we see mobilization on both fronts? Like while the flows in equity are not so great, how do you see the flows in the structured products in the next one year or so?

Feroze Azeez: So firstly, Jugal sir will be the best person to answer.

Jugal Mantri: So as far as concerned with the mobilization in the primary issuances, this quarter, there was INR 1,347 crore s were mobilized in non-principal protected structure product, which was like last year comparable. It was INR 1,231 crore s. And as far as concerned with the secondary structure product, it was INR 589 crores in Q3 FY25 compared to INR 427 crore s Y-o-Y. And if we look at the 9M FY25 number, then it was INR 4,630 crore s primary against about INR 4,000 crore s in 9M FY24. And secondary was about INR 1,546 crore s against INR 960 crore s.

Lalit Deo: And the second question was on the flow side in the structured products, like over the next 12 months, like how should we see given the markets, the behavior?

Feroze Azeez: Okay, shall I answer this Jugal sir or you want to take it?

Jugal Mantri: No, no, you can continue.

Feroze Azeez: So the flows will be good. Owing to the fact that quite a few analysts

were worried last year saying that this year there is no maturity. How will they survive? How will there be growth? So next year again, since we had moved from 3 year to 5 year in the year August 2020, if I am not wrong. So this was a lull year of maturity. So next year again, those maturities start happening. ANANDRATHI

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So if you look at my gross mobilization, which is maturity plus my new clients - new business and some degree of realignment, all three buckets can fire. Last year means the year which we are sitting in, which we have 9 months gone by. So I think next financial year I am more positive because all the three cylinders can fire. This year, the main cylinder was not there, but still God was very kind. So we have got some growth numbers, which we had projected and realigned.

Now come to the second part is that we are adding more clients with a larger size. See, when you add a new client with INR 50 lakhs, because INR 1 crore was the minimum for structure d -- is the minimum for structure d products, the new clients couldn't subscribe to structure d products, to their underlined portfolios. After we said that we want INR 1 crore, people have started giving us INR 2-INR 2.5 crores.

So new clients also now have the capability with our little push of minimum thresholds being higher, to begin with structure d products. So my three cylinders, new clients structure d product purchase, maturity and some degree of realignment, all have headroom. So I really pray to the Lord that whatever guidance we end up giving in the next quarter, we are able to again live up to that DNA, which we have under commit over them.

Jugal Mantri: And what, Feroze bhai, you said that we have been like, it is based on the advice, normally what happens that it is targeted that the client should hold between 25 % to 30% of their AUM into market link debentures. So as long as we are confident in the AUM growth,

this will

have the consequential, similar positive impact on the mobilization of MLD also.

Feroze Azeez: Absolutely. Thanks, Jugalji. This is the main point, actually. The sub point is what I spoke of.

Lalit Deo: Right. I just wanted to have some of that color on the equity and the flow. So like in this quarter, we have, like on a sequential basis, we have done very well. So just wanted to understand like, how should we look at this next flow in the equity mutual fund over the next 1 year as well. ANANDRATHI

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Feroze Azeez: Our net flows, so you would see some degree of staticness in our net flows. So in the sense, if we are collecting INR 800 crores, last quarter, how much did we collect equity flows?

Jugal Mantri : INR 2,700 crores.

Feroze Azeez: INR 2,700 crores. About INR 850 - INR 900 crores, right. So will that be the rate at which we will collect the money? Yes, because we have promised people, not promised, promised is a very strong word. We have indicated that our aspiration is to take our market share to 4% in the total AUM. For me to have a market share of 4%, there are two things which influence market share. I should collect at a rate greater than the industry's rate of collection. And my model portfolio should perform better than the average performance of equity mutual funds.

Correct? So if you see our model portfolio of 14 schemes has beaten Nifty by about 7.5% - 8% till day before yesterday in this financial year in absolute terms. So that gives me more market share in AUM. So to answer your pointed question, will the thrust continue? The answer is yes, because we have tried to have a desire to get to 4% market share in the next few years in Indian mutual fund category three as per AMFI .

Lalit Deo: Sure, thank you.

Moderator: Thank you. The next question is from the line of Srinath Sridhar from Infinite Financial Services . Please go ahead.

Srinath Sridhar: Hi, thanks for the opportunity. So when you mean by take your market share to 4%, so currently it's around INR 42,000 crores. So out of a 30-lakh crores equity mutual fund basket, so it's around 1.4%, right? So by when do you target to achieve a 4%?

Jugal Mantri: Mr. Sridhar, I think you have got the old number. Currently our mutual fund AUM is about INR 46,000 crores. To be precise, it is INR 45,875 crores. Out of this INR 41,738 crore is in equity mutual fund.

Srinath Sridhar: Right. So overall industry is around INR 30 lakh crores, right? ANANDRATHI Private Wealth. uncomplicated
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Feroze Azeez: Yes. Sir, we are speaking of the active. So category three, how many are there, Vishal? So irrespective, so whatever be the... Of course, it's a very uphill task because we are only 383 people and there are lakhs of people in the ARN, right? We just one ARN with 383 current representatives.

We are the private banking business. But I think what is happening is, people are, at least in our industry, are moving their monies to AI Fs, long only. But we are speaking to mutual funds.

As of now, our market share is 3.37. 1.37, sorry, 1.37. Beginning of the year, how much was it? It was 1.29 right? So it will be a sticky number. A couple of years back, it was 1%, 1.01 %. So I don't know, it might take a decade. It might take a decade and a half. It might take 5 years. But yes, that kind of periods, I don't know. But that's the aspiration.

So first, to get that, I at least need to have a - my market share in NetFlow is 4.8% without SIP. So before reaching the net share of AUM, I mean, in my net, if industry is collecting 100, should I at least start collecting 4-5? That's what we are... First step was that. So don't know, sir, 15 years, 10 years, but that's our aspiration.

Srinath Sridhar: Right. So my o

ther question is, on the M F trail, so you made around 0.74% last year, in the 9 months in the last year, and it's around 0.88% this year. Can you just explain that increase in MF trail in the current year? Is it just due to the increase in the market gone up, so AUM has gone up? Have we moved our model portfolio to smaller AMCs where the trail is higher?

Feroze Azeez: No, sir, we don't do anything. No, smaller AMCs or smaller schemes because it is at scheme level still. There was a circular last December, but that didn't get implemented. So AU trails are or expenses are scheme dependent, not even AMC dependent that is point one. Point two, you might be dividing... My model portfolio, 14 schemes, I can tell you as transparently as it could get, 1.09% post -GST is my trail. If I brought in a crore, I earn INR 1,09,000 post -GST in a year. If there was no market movement up or down. ANANDRATHI

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Now what you're maybe calculating my yield is on the basis of the year end or the quarter end number. And trails are calculated on average assets per AMC. That's our 1.09 is what is our trail. That's the stated trail. Of course, markets could move up and down and some degree of - - pardon me for a tolerance of 2 paise this way, that way.

Srinath Sridhar: All right, got it. Thank you.

Moderator: Thank you. The next question is from the line of Nihar Dave from IIFL Capital. Please go ahead.

Nihar Dave: Good afternoon, everyone. So my question and apologies if it's already been asked. My audio is a bit spotty, so I may have missed it. So what is the gross inflows into structured products for the 9 months and this quarter?

Jugal Mantri: The 9M we have shared with you, it was INR 4,630 crores in primary

compared to INR 3,994 crores last year. And for the quarter, it was INR 1,347 crores compared to INR 1,231 crores last year in primary.

Nihar Dave: All right. Thank you very much..

Moderator: Thank you. The next question is from the line of Arman from Blue Sky Capital. Please go ahead.

Arman: Good afternoon, everyone. Just a simple question to Feroze, sir . Something which you emphasize, I guess, never been answered or more color have never been put on , is that Standard Deviation part which you told which is quite exceptional. If I see just the 5-year standard deviation of Nifty itself is around 18 % to 19%.

And you said about their mean to standard deviation is just around 4.3%.

So what does make us so exceptionally outperforming in this kind of that we can give consistent return with such a low standard deviation?

What does make us that we consistently deliver quarter after quarter for 13 quarters in spite market volatility, despite Nifty moving here and there, we consistently deliver this kind of standard deviation. ANANDRATHI Private Wealth. uncomplicated

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Feroze Azeez: So let me clarify again. So I think, sir, I missed your name. Arman.

Arman, so when you look at any number, any variable, you can calculate the standard deviation for. Correct? Yes. Like Nifty has a standard deviation, like you rightly said, it has thrown up a daily standard deviation of 18. And client's portfolio standard deviation is a separate topic. That's not what I alluded to. If at all, I was misunderstood. If at all, I'm just saying .

Now coming to the quarterly results, which we have given. So the first two quarters were a COVID based. So we ignored those COVID bases and tried to see how much we have grown year on year for a quarters. And there you would see that we sometimes do 31%, sometimes 32 %, 33%. The worst one I could see was. I'll just try and explain it to you. So bear with me. So when I say that 4.3 is the standard deviation, it is the standard deviation of these numbers, which I

am now going to read out to you.

Q4 FY23, we grew by the worst after we got listed, which was 23.4% year on year growth for that quarter. Okay, like that, if I look at all the quarters, like Q1 FY24, we grew by 34%. Q2 FY24, we grew by 34.3 %. So if I look at all these quarterly growth, 11 data points are very few in a listed company's life. As time progresses, this will become more meaningful data. So we have grown 33% average, 33.8 %, median is 34%. And this 4.3 is nothing but the standard deviation of these 11 data points. Yes, right. I'm just trying to make sure that nobody misunderstands me. So does it answer? Why are we able to do that? Now, let me come to the actual question.

Arman : Yes, that was very clear. That's why I'm telling, because in this 11 quarter or 12 quarters or 13 quarters, which is the data which you are telling about, this is, if we see just Nifty or maybe any other listed companies in the same business, that will be, I'm sure a few of the companies I have read, they are more than 15%. So that's what makes us exceptional. So what we are doing exceptionally well in spite of doing the same work which everyone else is doing. ANANDRATHI Private Wealth. uncomplicated

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Feroze Azeez: Everybody has their uniqueness in their own right. Okay, right or wrong? Okay, I would so now , let me tell you why. There are two things. One is this business has a huge advantage , where I am speaking to the same 11,467 people quarter on quarter. If I was selling a commodity, which was hard, whether it was a physical commodity, phones, cars, I would be speaking to about 11,000 different customers every year, every quarter. So that's one huge benefit in this business. Now, do you

capitalize on that benefit is a separate story.

Second, if you adopt a portfolio approach, not a product approach, then like Jugal sir said, it's an allocation, right? I don't have to resell the same thing. If a person has decided to put 65% in equity mutual fund, 35% in structure, I don't have to again every month go and reinforce that, right? A client I have whom I am a relationship manager myself. I manage about 19 clients as a relationship manager apart from whatever else I do in the company. I don't have to even have a conversation with them.

There is a maturity, it gets reinvested.

So if I was going to build this business on new products, then I have to explain him an art fund sometime, I have to sell him a wine fund sometime, which I did in ABN AMRO unfortunately. So this business has been built on portfolio level management rather than product level innovation. So that is the key reason why same set of people, convince them on a portfolio allocation and then just manage it. You don't have to resell the same thing. So that's one of the key reasons or the only reason. And then you do n't have a leaking bucket, right?

You don't do RM attrition, then clients will not leave. Client attrition is 0.28, RM attrition in 1.5 years, 1 person that also is a cleansing. I will not get into that, but people have to fit into my culture. If they don't fit into my culture, then I would let them go irrespective as a company, not as Feroze . I may sound pompous; I would let them go. I mean ARWL whom I'm speaking for.

If there's no cultural fitment, commercial attractiveness doesn't lure us at all, right? So these are some of the reasons, no leaking bucket and ANANDRATHI Private Wealth. uncomplicated

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portfolio level management to the same set of people, you don't have to re-market. If am launching one structured product for the 2,000th time, do I have to again explain in the future? The collateral benefit of the marketing to the same person at the fourth maturity. Fourth maturity is 30 seconds. 30 seconds are spent on email. So I am try

ing to cascade the marketing benefit by not being overly innovative at the product level.

Arman : Got it. Thank you.

Feroze Azeez: I tried to capture the essence. I know longish kind of answer.

Arman : Yes. Thanks a lot.

Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: Thanks for the opportunity. Congratulations, Feroze and the entire team at Anand Rathi for such wonderful performance. Great, good to always hear you on a quarterly basis on the minimum side. Feroze, one data point that you shared, which was 4.3 standard deviation, which is about the profitability growth rate. That's really very, very impressive. And as my previous colleague also shared, so that's really very, very positive thing to know.

And we always want to ask for more. So perhaps we could also do a study on the net profit margin as well and the standard deviation around it. So that would also be one more important message to communicate that not only the growth rate is secured and positive , but also the margin is pretty intact. Lastly, from a shareholder's point of view, the ROE ratio as well. So if the return on equity is also having a very low volatility, that also would help. We can also do the calculation at our end. Perhaps an exercise from your side on a quarterly basis would help us immensely. So a soft request on that. That was one point.

Second is on the clients. We have almost close to 11,000 odd families or clients that we address to is what I understand. Is that correct?

Feroze Azeez: Yes, sir. ANANDRATHI

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Sunil Shah: So how about now tapping the global markets? India has arrived and we have done that. We have faced volatility, everything. The ticket size that we are now talking about INR 1 crore in the domestic market could be significantly higher in the global market. And we have a track record which is so phenomenal of generating wealth for clients. So any thoughts around that? Are we looking at that as a market for the next leg of growth? Anything that you could share with us?

Jugal Mantri: So Sunil bhai, we have got a very large presence in Dubai where we have got a full -fledged rep office. And in the board meeting concluded yesterday, it was proposed and decided that we are going to form a subsidiary in UK to kick start and explore the wealth management opportunities in UK.

So, though it is going to take 6 to 9 months to have the subsidiary come up and it gets incorporated, but there is a plan that having successfully settled and come to a stage at Dubai, let us go out in other market and explore the same. So the plans are already approved for the same.

Sunil Shah: Sure. So Jugal sir and also Feroze , now that the Gift City window is also opened up to serve the global clients and where we can also save on the tax side. So anything there where we can have a PMS or an AIF, which can then indirectly invest also in the mutual fund industry, meaning PMS or AIF, my guess is PMS can certainly do that to invest on behalf of the clients in the mutual fund industry, which will still further up our share of 1.15%, 1.2% , to slightly higher and save on taxes as well. So just a food for thought, just something to think upon or work on that direction or have we evaluated such an opportunity? Can I understand that better?

Feroze Azeez: Yes. Firstly, let me promise you that Vishalji has taken note of the analysis you needed and we will try and produce that on a quarterly basis or at least Vishal sir, you know Sunil sir, right? So we will send that to you. Second, I think just a comment on the positive comment you gave. I think we deserve to give, we are duty bound to try and be as consistent and predictable to a shareholder. That has always been our aspiration. ANANDRATHI Private Wealth. uncom

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So we're trying our best to keep this standard deviation low because I think equity investor should have a little bit of predictability. I agree that FD's return is 7% fixed, second decimal. Equity, we have tried really best and we promise, one thing which I want to assure you is with our effort to bring in consistency is going to always supersede super normal growth in a few years, right? You can grow 70% but it's okay, but you have to try and bring consistency. That is what Rakesh sir, who is our professional guru has always guided us saying that become a little predictable, that's where it comes from.

Coming to the ROE and margin bid. Margin, Rakesh sir says that he is not on the call. So let me articulate his mandate to me as one of his direct reports. He says, PBT should not be less than 40 % and PAT should not be less than 30%. There we are not too worried about the volatility, but we are very much worried about the benchmarks. It should not be less than this. Even if 44 becomes 42. But that's the key mandate which is given to me, and I try my best to not disappoint my boss, which is Rakesh sir. So that I thought I should highlight. Definitely this volatility numbers will be computed. Jugal sir has answered that about UK market .

Now coming to Gift City, we have this litmus test saying that, if someone else can do it for us, then do not do it. With that, so in the Gift City thing, I am talking to a couple of very - very good friends in the industry who run a couple of large asset management companies and if they have an AIF license already there, I will not try and be so possessive about having an Anand Rathi AIF license.

We have an AIF license, the normal AIF license, which we have so far not used it, but that's a backup product testing platform yet. So yes, sir. We are thinking ahead. Especially what you mentioned, the tax benefits at a subsidiary level, those are also being explored. But since you have

asked, we will work a little harder. To be honest, I did not work so hard, I just explored. ANANDRATHI Private Wealth. uncomplicated
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Sunil Shah: Sure, sure. Great to hear that. Just my two senses on what we can do as investors or you people running the company to be better. That was the only idea there. That's just food for thought.

Feroze Azeez: Very useful.

Sunil Shah: Sure. So thanks for the opportunity. And I am done. So operator can move to the next question.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.

Prayesh Jain: Just one question on if I divide your distribution of financial products revenue by the AUM of the non -PP SP AUM, right, the yield seems to be dropping consistently. OK, now, how do I look at this? And why has this decline d?

Feroze Azeez: Firstly, let's take the hypothesis whether my yield is declining consistently. That hypothesis might not be true if you divide it by the average assets. Not quarter end assets. Because market if it runs up, then AUM is a picture, means one click, right, at the end of the quarter. Profit is a movie, right? So movie will have to be compared to the movie. So my yield doesn't drop because we don't give discounts on yield. Even if the client gives INR 1000 crores, I don't give even one paise discount on mutual funds. You won't get a single application.

So yield of our structure products which have matured, if you calculate the yield, yield is always per annum. However, it's been recognized upfront, later, all that. If I look at the yield of structure products which have matured at market value, it is 1.16 -17 and our mutual funds is 1.09. Ok, sometimes what happens is you bring a lot of raw material that could definitely be the r

eason. Sorry, I didn't highlight that. Now what happens is a client tells you, these are my mutual funds, these are my stocks, take them all. So I will do a change of broker which will eat me nothing for the first 6 months. So my yields will drop on an overall AUM basis. Because I have brought in . If I do a good job of transferring assets and establishing that I am a better mutual fund distributor, that drops my ANANDRATHI Private Wealth. uncomplicated
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yield unless it gets realigned. Just because I want him in the 14-scheme basket, I will not book his taxes. I would want to wait till it gets into long term sometimes. I will never do surgical cut, right? If somebody says, this INR 5 crore s mutual fund and you do a change of broker code . So we will analyze it. If we its require change of Rs 1 crore then we will do only INR 1 Crore now. Because I will also have to look at his tax. and I will also have to see that the scheme is going well, s o why should I do it so soon?

So I will not earn anything on that asset. So better my business, sometimes yield will drop. I am just giving you an illustration. And that's the most practical illustration. Because quite a few clients of ours realize that we are one of the okay distributors in mutual funds and they transfer their broker codes, change of broker, as you call it. 6 months, you earn nothing. Does it answer, sir?

Prayesh Jain: I'll come back and probably discuss it with Vishal separately on this. Secondly, on the AUM bit of the structured products, how do you think about the growth there?

Feroze Azeez: It will be in the range of 25 % to 35% of my total AUM. If market drops, mutual fund drops, so it will show a larger number. Sometimes when market rise very sharply, it will show like a smaller number. Last year, means at the beginning of FY24, we had 29 %-30% in structured products. Now it is lesser because the extent of mark -to-market on the

long-only side is greater than in the structured product. So it will range between 25 % and 35 %, depending on how the market performs. But in a client's portfolio, it's generally in the range of 30 % to 35%.

Jugal Mantri: Feroze bhai, I will add to what you said on yield. Mr. Jain, as Feroze bhai has rightly said that as far as concerned with the yield on individual product, there is no change which has happened. So fact of the life is that the yield which I am earning, be it on equity mutual fund, or debt mutual fund, or on the market-linked debentures, the rates are -- in last 3 years, it has not moved more than say a few percentage points. But ANANDRATHI Private Wealth. uncomplicated
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what happens that when your proportion of one asset class in overall AUM changes, that impacts your overall average yield.

So if you'll see the equity mutual fund, the mutual fund proportion, which has gone up from say 52 % to 55%, okay, in the last 1 year, in my overall AUM, there you will find because of this, there is a slight drop. And on top of it, the second point which Feroze bhai has already added, that you will have to consider the daily average balances of the mutual fund AUM. And if you calculate the yield, that will give a clear picture instead of taking only the period-ended number. So anyway, you are more than welcome to have a detailed discussion with Vishal, on the yield computation front.

Prayesh Jain: Awesome. Just again on that AUM bit of the structured product. So you mentioned about mix, right? But given the interest rate trajectory and scenario, would you say that this is a product which could give better returns in the case that the interest rates would decline? And resultantly, you would possibly want to grow this business at a pace which could be better? It is unrelated to the mutual fund business.
Ju

Jugal Mantri: Mr. Jain, that is not the objective. To this versus that, the overall solution which as Feroze bhai has explained, I think, Feroze bhai, you can repeat the same about the asset allocation which we have been doing instead of focusing on a single product.

Feroze Azeez: Yes. Mr. Jain, how we look at it, like Jugalji said, we don't do anything which is top-down. If my client's objective is my only reason why I exist. If he has to deliver 14% return with 0.6 beta, whatever helps me achieve that is where I will be married to. Macroeconomic, if interest rates have dropped in some product and my commission is going up, I won't do that. Even I am dying. Now coming to the point of how this works is, if a person has a certain objective, 14% with least risk, 13% with the least standard deviation possible, if there is an allocation of 65 %-35%, that will be the allocation.

We will not take a single product and say, this product is being sold, let's sell it. So, we have counseled in fact, Rakesh sir has sacked a person ANANDRATHI Private Wealth. uncomplicated
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who had more allocation in his book for structured products. I am just telling you this. That's the cultural attribute. A few years back, he found an RM who was in the lure of upfront income, he was selling more proportions to his client of structured products. So, mutual funds or structured products not sold as a combination for a portfolio objective is frowned upon internally.

Prayesh Jain: Got that. That answers. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take this as the last question. I now hand the conference over to Mr. Feroze for closing comments.

Feroze Azeez: Thank you so much, everyone, to join us on this call and be patient with us. And we hope we tried to answer your questions. If you need more information, Vishal Sanghavi, sir, our Investor Relations, Head and Rajesh Bhutara, sir, our CFO are always there. And please reach out to

us. We are duty bound to answer them to our best ability.

Moderator: On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Jugal Mantri: Thank you, everyone. Wish you all a happy 2025. ANANDRATHI Private Wealth. uncomplicated

Call: Apr 2025

Ref No : 16/2025-26

Dated : 19th April, 2025

To,

The Manager,

Listing Department,

The National Stock Exchange of India Ltd.,

Exchange Plaza, 5th Floor, Plot C/1, G Block,

Bandra - Kurla Complex, Bandra (E),

Mumbai - 400 051. Tel No.: 2659 8235

Fax No.: 26598237/ 26598238

Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,

Listing Department,

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street, Mumbai - 400 001.

Tel no.: 22721233

Fax No.: 22723719/ 22723121/ 22722037

Scrip Code: 543415

Subject: Q4 & FY 2025 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q 4 & FY2025 earnings conference call dated 11th April , 2025 . The transcript is also available on the Company's website at <https://www.anandrathiwealth.in/financial.php> .

This is for your information and record.

Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Jaee Sarwankar

Company Secretary & Compliance Officer

Enclosed: as above

ANAND RATHI WEALTH LIMITED

(Formerly known as -Anand Rathi Wealth Services Limited)

Private Wealth. uncomplicated

AMFI-Registered Mutual Fund Distributor

CIN No.: L67120MH1995PLC086696 Registered Office: Floor No. 10, A Wing, Express Zone, Western Express Highway, Goregaon (E), Mumbai -400 063

Board Line No.: 022 6281 7000 | Website: anandrathiwealth.in

Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai -400013 | Board Line No.: 022 69815400/69815401 | Website: anandrathiwealth.in

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Anand Rathi Wealth Limited

Q4 & FY25 Earnings Conference Call

April 11, 2025

MANAGEMENT :

- MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
- MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
- MR. CHETHAN SHENOY – HEAD, PRODUCT AND RESEARCH
- MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
- MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Anand Rathi Wealth Limited Earnings Conference Call for Q4 and FY25. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Jugal Mantri, Group CFO of Anand Rathi Group. Thank you, and over to you, Mr. Jugal.

Jugal Mantri: Thanks, Sejal. Good afternoon, and thank you, everyone, for joining the Earnings Conference Call for the quarter and year ended 31st March 2025. With me, we have on this call, our Product and Research Head, Mr. Chethan Shenoy; CFO, Mr. Rajesh Bhutara; Investor Relationship Head, Mr. Vishal Sanghavi; and our Deputy CEO -- yes, before I forget, let me congratulate our Feroze Bhai for his elevation to Joint CEO from Deputy CEO in recognition of his outstanding leadership and transformative contribution. And we have Feroze Bhai with us.

And now I request Feroze Bhai to give business highlights for the quarter and year went by.

After him, I will give highlights of financial performance. Over to you, Feroze Bhai.

Feroze Azeez: Thank you so much, Jugal sir, for your wishes. It is the guidance of seniors like you in the company, which has helped me also contribute in small way. Thank you so much for your wishes and all the guidance you have provided over the last 30 years to me as an elder brother.

Now getting to the call, during FY 24 -25 our consolidated revenue grew by 30% year- on-year to INR 981 crores. Profit after tax also grew by 33% year- on-year and ended a

t INR 301 crores.

We started the year saying we will do INR 285 crores (actual number is INR 280 Crores), we revised it to INR 295 crores and we finally, with God's grace, ended at INR 301 crores.

The total AUM grew by about 30% year -on-year to INR 77,103 crores as on 31st March 2025. Share of equity mutual funds in AUM rose to 53% as of March 2025 compared to 51% in March 2024. We have emphasized in several public interactions, as you would have noticed, that we are expecting a PAT growth between 20% to 25% for several years to come, as you would have heard our CEO, Rakesh Rawal, also mentioned. And that's the consistency, we pray that we are able to deliver to our shareholders who deserve to see consistency in a business like ours. With God's grace, we have been able to do that for 14 quarters in sequence. We have done always in this range and above. Now there was a small study conducted, which we are very curious because consistency is something, which we aspire to deliver to our shareholders. We did a small study to find out of the top 1,000 companies as per market cap, how many have been able to deliver greater than 20% every quarter for a year -on-year growth of the same quarter last year. And, the number to our surprise, with 6 companies have been able to deliver for the same 14 quarters we have been listed. Only 6 companies could have delivered 20% growth Y -o-Y every single quarter. And we are fortunately one of them with your support as a shareholder and God's grace.

It is generally believed -- the second point which I want everyone's attention, if I can humbly request for it, it is generally believed that wealth management businesses, which is linked with capital markets have earnings volatility in line with market volatility. However, during the short Q4 & FY25 Earnings Conference Call Anand Rathi Wealth Limited

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period of 14 quarters, during the worst quarter of Nifty Performance and the best quarter of Nifty Performance in the 14 quarters, a small period of 14 quarters in the life of a company. If you look at the best quarters, 2 best quarters of Nifty and 2 worst quarters of Nifty, the growth of PAT was 30% - 33% (actually it is 33% - 34%) on all the 4 instances approximately.

So the second thing which we aspire for our shareholders is to give them market -agnostic results in our financial services business. These are our aspirations, not our commitments. We are very happy that in a short span of 14 quarters, we were able to deliver a result, which was agnostic to market sentiment. Like in June '22 quarter was one of the worst market sentiments.

Unfortunately, the last quarter which went by, which we are discussing just now, was also not the best in terms of market sentiment given the kind of broader market falls we saw from January to March. So the next point which I want everyone's attention on is that the best quarter with respect to net mobilization despite a challenging environment, we recorded INR 3,472 crores of net flow which took us to 76% year -on-year growth for FY25 net flow s which is INR 12,617 crores.

In our flagship business of private wealth, for the full financial year, we added 1,821 new client families on a net basis, bringing our total number of client families to 11,732 clients. Client attrition rate in terms of AUM lost for FY25 is 0.52%. It is for anyone to judge whether it is a larger number or a smaller one. Regret RM attrition for the second consecutive year remained

below 1% and only 2 RMs left us the previous year FY25 in the regret RM category. Digital Wealth business, which is a B2B2C business registered an AUM growth of 17%, which brought it to INR1,812 crores. And the number of clients increased by 25% to 6,087. The OFA business, which is an abbreviation to Omni Financial Advisers business, which is a SaaS platform has 6,447 subscribers with the platform assets of INR 143,000 crores at the end

of
FY25.

Now I would like to hand it back over to Jugal sir, to take us through the financial performance.

Thank you, sir. Jugal sir, back to you, sir.

Jugal Mantri: Thank you very much, Feroze Bhai. As everyone is aware that during last financial year, we completed a buyback of INR 165 crores, excluding transaction cost and taxes and issued bonus share in 1:1 ratio. In line with our commitment to shareholders' value, the Board has declared a final dividend of INR 7 per share. So in effect, the dividend even post bonus will be the same INR 14 per share as compared to INR 14 for the financial year 2024, subject to approval from the shareholders for the final dividend.

Let me take you all through FY 25 consolidated financial performance. During FY 24-25, our consolidated total revenue grew by 30% Y- o-Y to INR 981 crores, marginally up to our revised guidance of INR 980 crores and profit after tax increased by 33% year -on-year to INR 301 crores surpassing our revised guidance of INR 295 crores. Mutual fund distribution revenue registered a very strong growth of 52% Y- o-Y to INR 406 crores in FY 25. Profit after tax margin was 30.7% for FY25, improved from 30% for financial year FY24. Return on equity for financial year FY25 is 44.6%.

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Now I will take you all through Q4 FY25 financial results. Our consolidated total revenue for the Q4 FY25 stood at INR 241 crores compared to INR 197 crores in Q4 FY24, registering a 22% Y- o-Y growth. Trail revenue was INR 103 crores, registered a strong Y- o-Y growth of 28% from INR 80 crores during last year's same quarter. Our profit after tax stood at INR 74 crores, registering a 30% Y- o-Y growth compared to INR 57 crores in Q3 FY24. Profit after tax margin for Q4 FY25 was at 30.5%, which has improved from 28.8% for Q4 FY24. For FY 25- 26, we have given the revenue guidance of INR 1,175 crores and PAT guidance of INR 375 crores. Now let me transfer the call to Ms. Sejal and open the floor for questions and answers. Over to you, Ms. Sejal.

Moderator: The first question comes from the line of Bhavin Pande from Athena Investments.

Bhavin Pande: Feroze, congratulations on a well -deserved recognition. First question would be around how are we placing a structured product given the market scenario? Also, how is our strategy around mutual fund distribution being tweaked because the scenario so far looks weak from a market perspective, at least in the near term?

Second question was around incorporation of the U.K. subsidiary that happened in Feb 2025. So is it stepping stone towards expansion of the offshore business? And third would be a brief idea on RM team expansion? And also, we could see that metric in terms of AUM per RM and clients per RM are looking productively high. So how do we look at it on a sustainable basis?

Feroze Azeez: Thank you, Bhavin sir, and thank you for your wishes. Very kind of you. Now if you look at structured products, fortunately, in times like these, structured products become easier for a client to accept because of recency bias. When markets do very well, clients just want to buy mutual funds, that's how human emotion is designed with recency bias.

So structured product and all of people on the call and Bhavin sir, you will also be happy to note that all the 147 products, which matured last year, all of them delivered the maximum coupon

because they look at a modest Nifty requirement to deliver a capped return of 13%- 15%. So structured products relevance becomes easier for us to communicate to a client and keep them to 65, 35 and 20 allocations. So point is different market situations help both the products, Plan A and Plan B, which we count as mutual funds being the Plan A and structures being the Plan B, become easier to position to a client, point 1.

Point 2, we think that these kind of adverse times are best

times when people should buy. Of

course, there's uncertainty and that's the nature of the piece, which is market. We did a small study again for the last 24 years, if God were to tell us, which was the lowest level of Nifty, if one were to buy on that day for that specific financial year, what would be the return? One year from then, just out of curiosity, we checked, it was 44% average, worst was 11% and highest was 92%. And the last financial year's lowest level was 21,885 on the election day, counting date.

So we are very close to the lower levels of the last financial year. So buying at these times may not disappoint you, even with 2, 3- year timeframes is our belief. That's point 2. So we are trying that why you see our net

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flows in equity last year have grown by about 65% (actual 67%), Vishal sir?. You will see in a bad year, we try and make sure that equity is bought, not just on paper, but on actual bank account debits, which is a tougher thing to do, but that's the right thing to do. And maths helps us convince a person that he should not take decisions on emotions or past performance, but on future potential. Third, we strongly believe that Indian market is far more investor -friendly than trader-friendly. I am trying to bring the participants' attention to a very, very important circular, which I thanked the Lord for, which is called the net short circular, which was given on 22nd March 2020, which

was 1 day before the lockdown, which restricts the amount of short a person can do to INR 500 crores of notional, which is a very small amount in derivative segment. So that's why you see no fine morning does a person wake up and sell. That's why during this Trump tariffs wars, India has sustained lesser injury because of the net short circular.

So we believe that it's a more investor -friendly market, especially handling intergenerational wealth doesn't bother us at all. And that's why you see that our business has done okay. I don't want to say good given this last quarter's bad sentiment. And Bhavin sir, I missed your third question.

Jugal Mantri: I think Feroze Bhai, he was enquiring about the U.K. entity. So let me just brief that. We have already incorporated the entity in U.K. Now in the process of applying for the license to commence the wealth management business, but actually seeking and having license is going to take typically 4 to 6 months' time minimum. And once we will have that license in place, then only operationally we will be active in U.K.

And just to brief all the investors on the floor that during current Board meeting, we have also decided to open a rep office and make an application in Bahrain. So as all of you are aware that, we have one of the most active rep office in Dubai. And on the similar line, we would like to have an opening in Bahrain also. So these are the plans in the long run where we would like to spread our footprint on the global map. But, definitely the procedural time in every country, it is different. And once we have full-fledged license, then only the actual activity will start.

Bhavin Pande: But, Jugalji, these would be inbound investments, right, because most of our products are India centered?

Jugal Mantri: Of course, yes.

Bhavin Pande: Okay. And the last question was on the RM addition as well as productivity metric that we should look at.

Feroze Azeez: Yes. RM addition, we are looking at about 50- 60 RMs to be added this year. We have about 460 account managers. We have 460 account managers, which is our talent pool, which we are nurturing day in and out on a one-on-one basis. Like I, as a relationship manager, have 3 account managers who act as apprentice to me, helping me with the analytics to show mathematics to clients. Those guys have been trained. Now 2 of my account managers are slated to be promoted. So if I sum

it up, don't hold me to that number, about 60 is what transpires as the numbers.

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Jugal Mantri: Feroze bhai, you also brief on the AUM per RM as well as the number of clients the progression which has happened in number of clients.

Feroze Azeez: Yes, sir. absolutely. AUM per RM has gone up to INR 198 crores. and that is because longevity makes it because this is a snowball effect. This is a business rolling stone gathers no mass. The person who spent 5 years, 10 years gets a huge business. It's like a business after 4- 5 years of RM investing his time in one platform gets the hockey stick kind of a progression. So if you asked me, AUM per RM has gone INR 200 crores owing to the low attrition and the sensibility of an RM to not roll into different organizations and lose mass in the process.

The second is our active client families have gone up to 11,732, same time last year was 9,900. So we touched the 10,000 mark and have beaten it. The clients per RM, which tells us the kind

of capacity we still have with the existing RM. One is to increase the number of RMs from 382

(Everywhere in this document where number of RMs at the end of FY25 spoken as 382, the correct number is 380). The other is 382 itself can handle 6,000 more clients. That's the unutilized current capacity of the plant and machinery, which is going to see fruition very soon.

Second, in terms of technology, we are adding a lot of technology and I actually have been saying in some forums, I am trying to act like an acting CTO to try and make sure that we augment these RMs to be able to handle more clients, handle more assets, more effectively with lesser time. And there, I have spent a lot of time personally and I am very, very positive on the kind of scalability, not just in the existing unused capacity, which is 19 clients per RM is the Rakesh sir's limit – 50. We are already at 31. That implies 19 more clients can be handled by each RM multiplied by 382, tells you close to almost about 6,000- 7,000 clients can be managed without an RM addition, which is the kind of capacity which is unutilized. And if technology can take that to 60, then I have almost 10,000 clients I could add without one new RM. And then, of course, that doesn't imply that I will not add new RMs because there are 450 waiting in the queue to prove their merits.

So that's another mutually exclusive source of client management without having to dip into a

lateral pool from the industry, which is something which most industry participants are chasing . When you would see the kind of attrition, people are outbid. So you train them internally. If you buy them from one person, then somebody else buys them from you. So we try and make sure that you train them and bring people who have a social fabric, which is identical to your DNA. Bhavin, sir, sorry, that was a very longish answer because I used to open canvas to say whatever I wanted.

Bhavin Pande: No but I think it was very good Feroze and good luck for FY26.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir, I have two to three questions. Sir firstly, in this particular quarter, we have seen that the other income has increased materially. So what were the reasons for the same? Second, with respect to the guidance, which we have given for FY26. Now if you just calculate it, then what we find is that the -- to achieve the PAT guidance of about INR 375 crores, the EBITDA margin

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has to increase materially to 44% to 45%. So there has to be some operating leverage, which has to be taken. So can you explain those areas where we are looking to increase the operating leverage?

Feroze Azeez: Sure. Can I ask Jugal Ji to answer the first

part of the question? Jugal sir?

Jugal Mantri: Yes, Feroze Bhai. So Lalit, as you know that in case of other income, we have seen an increase, which is in commensurate with the growing amount of surplus, which is being deployed in the fixed deposit. The second thing is on account of change in fair value on the investments, which we are holding. So normally, the fair value change is being considered in the Q4 only because to give the effect instead of changing it in every quarter.

So even if you will compare the other income, which was INR19.4 crores in Q4FY 25, which was around INR 13 crores in Q4FY 24. So the broad breakup of the same is around INR 10.8 crores is on account of change in fair value of the investments, which are being held by the Anand Rathi Wealth Limited. And rest of the amount has accrued as an interest on the fixed deposits and other financial assets.

Lalit Deo: Sure sir. Just wanted to ask, sir, these investments are related to the investments in the equities as unlisted equity shares? Or is it more towards the derivatives that...

Jugal Mantri: No, no. These are like investments which we are holding as a long- term investment in our balance sheet. So these are like unlisted investments, which are being held in our balance sheet since a pretty long time.

Feroze Azeez: I will take the second part of the question. So Lalit sahab, your question was on operating leverage. We believe that we like to reinvest in this business. So however fancy an operating leverage word sounds to an analyst, I would not want you to expect too much operating leverage. Of course, the guidance implies there is an operating leverage. Our benchmark is 40% of PBT and 30% of PAT. Now there could be years where you have already reinvested on behalf of the subsequent year, so PBT moving from 41 - 42% to 43 - 44% in the order of magnitude. I would not call that huge operating leverage. But there are some efficiencies we have been working on, and that could add 1 - 2%, and that's why there is guidance of INR 1,175 crores for revenue and INR 375 crores for PAT, 20% growth on revenue and a 24% growth in PAT.

Now coming to where all there is scope, Rakesh sir has always told us that see if I am giving a guidance of 20% - 25% for 10 years , 15 years , 20 years, it can't happen, long- term consistency can't happen with short- term operating leverage. So we have to reinvest in areas where we believe that we can have larger scopes of improvement. Product team, we have invested for years. Technology, we have not invested as much and there is scope for improvement. In terms of operations, in terms of finance accounts, everything, HR practices, we would like to reinvest. So we don't expect a shareholder to believe that there will be operating leverage in the short term, what can't be achieved. And if there is scope for it, we will do it. Like for example, we are trying to redesign our offices just like a Starbucks has a very identical format.

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If all my 17 offices can be operating in maximum efficiency, another 600 employees strength may not need another office. We are doing experiments there. So something like that. So we look at efficiency. We are a cost- sensitive company, but also significantly more value- sensitive company rather than just the cost- sensitive.

Does it answer Lalit Bhai? I know I am tapering down your expectation on operational leverage.

Lalit Deo: Got it. Sir, just last one data keeping question. So like what was the primary and secondary structured products issuances in this particular quarter? And how much of these structured products are likely to get matured in FY '26?

Feroze Azeez: Yes. Vishal Ji would read out that number.

Vishal Sanghavi: So for the quarter, the primary issuances were INR1,392 crores. And for the secondary, it is near about INR 800 crores.

Jugal

Mantri: INR 847 crores.

Vishal Sanghavi: Yes.

Lalit Deo: Maturity for FY 26, sir?

Feroze Azeez: Maturity, I think about INR 3,500 crores, I can get you that number before the call is over. Yes, the maturities are reasonably healthy. Of course, quite a few analysts were asking us for maturities being low last financial year. I think because we moved from 3 to 5 years in 2020 August, so last year was relatively lull year. I think this year is going to be a reasonable maturity. And I will just tell you the precise number in a couple of minutes when I speak to the structured product head. Is that fine, Lalit Bhai?

Lalit Deo: Yes, sir.

Moderator: The next question is from the line of Amansingh from Profit Gate Capital Services. Please go ahead.

Amansingh: I have two questions. First is in this quarter and full financial year as well, our structured product AUM has increased by 50%, but the revenue that comes from it has increased by 15 - 17%. So is there any moderation in the yields of structured product? This is one. And second, your thoughts on how Anand Rathi Wealth as a company would be seeing the SIF as an opportunity for distribution? And what do you think how the industry is taking it as of now?

Feroze Azeez: Yes. So the answer is no, sir. AUM is a picture and yield is a movie, generally when it comes to mutual funds, for example, and structured products, if you -- yield is generally calculated per annum, however, it's accounted. So our structure product yield at maturity, if you backwards calculate what is the mutual fund equivalent, it generally comes to 1.18% per annum on market value -- average market value and that remains, and that has remained for really long periods of time, if not more than a decade. So does that answer, sir? So we don't see any compression there.

Amansingh: And on SIF?

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Feroze Azeez: Sorry, sir.

Amansingh: Yes, sir. And the second question on SIF?

Feroze Azeez: Sorry, you're not very audible. So that's why my second question, I couldn't pick it up as exactly as the first one. Can you go again with the second question, sir.

Amansingh: So the second question is the Specialized Investment Fund product that SEBI has launched recently. Your thoughts on that?

Feroze Azeez: My thoughts on that. I don't think it will take off. Very candid thought on it. So special, whatever they call it. They called it an asset class. It's a product class. See, when you are trying to curb the derivative volume, that's where it all started when the SEBI Chairperson said that people are dabbling in derivatives, why don't we give them a little more aggressive product in the mutual fund category. But the leverage permitted, there is 0.25. So if you really wanted some movement from the derivative space to something, which is active managed a little more liberty to the fund manager, I think you would have -- you shouldn't have tied it down to such low leverage level.

Of course, there are three different categories: equity debt and hybrid, a long shot and all that. But I personally think that somebody for me to be motivated from a INR 500 instrument to an INR 10 lakh minimum ticket size needs the fund manager -- needs the fund manager to have more flexibility than what is currently desired for that motivation to happen. But definitely, if people exhibit performance over the long periods of time, and that agility is transpired on paper can attract mass affluent for sure -- affluent for sure, if not HNI.

Amansingh: So are you not currently looking to allocate those funds when they are launched by AMCs to our existing clients?

Feroze Azeez: Not at all. See, what happens is even a new fund offer, I have not approved for the last 13 years because there is no 3-year track record. And few category of a license, I would look for data because if my client's objective

is 14% with 0.6 beta with Nifty, if I am able to achieve that for the last 11 years with a Jensen's alpha, which is what alpha implies in India, excess return is to be alpha. Alpha in the U.S. is always referred as Jensen's alpha, which is risk-adjusted alpha, delivered about 5% Jensen's alpha, which is a little over Berkshire Hathaway's Jensen's alpha Class A shares. Why would I look for something else unless my Jensen's alpha is not being met? So point is no, we will surely not look at a new platform being onboarded on the clients' portfolios just yet, because the client's objective is being met. Our promise to the client is we will always operate at least common multiple to get you that return at the risk desired, which is expressed in beta. Does it answer, sir?

Amansingh: Yes, this is helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

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Sunil Shah: Yes, thanks for the opportunity. Feroze and entire team, congratulations on the great, great numbers that you achieved. And Feroze, for the new responsibility and the new role as well. Just Feroze, one point and the entire team there. Sir, as I understand, as a company, we have got processes for everything, from client acquisition to relationship management, to product selling,

to even the promotions in the organization and the compensation that is given to the team. I just have one point here. We have those 12 -13 -14% kind of return expectations that are set for the client. And basis which we do allocation between mutual funds and structured products. Am I audible? I think there is some disturbance?

Feroze Azeez: Yes, yes, very much. I am very intently listening to you and your questions.

Sunil Shah: Okay. So we have those categories of allocation between mutual funds and structured products. Again, for mutual fund selection, we have a research team, which is identifying the products, which the RMs need to put it across to the client, etc. Feroze, the structured product part of it, every time whenever we interact with analysts or anybody, there is a big lack of understanding amongst people? Can we request you to spend one hour, do a Zoom call along with the product guy to explain to all of us how this structured product really works? That's just a request, it's not a question or anything. But if I want to understand the entire organization inside out completely, that is the missing link. And all analysts also believe because there is an inflow, outflow, etc, which is doing well. Just the y are always being in the market for long, the Unit 64 kind of a situation always haunts me and my investment in this company. So that's just a suggestion request if we could understand the structured product piece completely from your side on a Zoom Call, that would really help?

Feroze Azeez: Absolutely Sunil sir, yes, so firstly, thank you so much for your wishes to both businesses and me, in particular. I am very grateful for your wishes. Second, like you mentioned, that we have a process for everything. And I am glad that you have understood our business so much in detail and not just by call. That is because we also have a person who is designated as a Process Head whom I have been working for the last 18 years, and Chirag Muni is the Process Head, who is supposed to make sure that everything has a process.

Then coming to the third part, which is a suggestion, saying that can we have structured products explained to analysts. To my mind, we have been very transparent for structured products. Taken the suggestion, I can do one-hour Zoom call for 15 days as succession because I might just find some clients. Okay?

Because if I have been able to send this to 10,000 families, and HNI does not invest for long periods of time without understanding som

ething. So we have -- and I think that's where Rakesh

sir's intellect to uncomplicated things, even if they are optically complex, demystifying them, that's an art he possess. So will we be very inclined to do it for a person who genuinely wants to understand, I think it's a great suggestion, we will definitely do that.

And conceptually, let me answer it here. See it's a very, very simple thing. It's the Black- Scholes pricing model on which option is synthesized. So it's Black- Scholes has won a Noble prize and Q4 & FY25 Earnings Conference Call Anand Rathi Wealth Limited

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that's public information and I have been saying this for so long. There are five finance theories which have won Noble prize. We use three of them and that's where the Jensen's alpha come for. So a structured product operates on a Black -Scholes pricing model. For example, there is a debt instrument, there is a derivative instrument in a calibrated fashion. The derivative needs to be hedged precisely without the discretion of the trader exactly as per Black- Scholes. And the same -- if the volatility is high, you realize better profits. If volatility is low, you realize worse of profits. So I will explain this, but a great suggestion, sir. But I think analysts are very much capable of interpreting this because this industry has been there from 2006. We have a Section 50AA, which is specifically for MLD, which now -- so Citi has issued structures. So many international companies have issued structures in India and globally . How are they hedged. We also have -- we had Nuv ama as a structured product. So there is very - very good traders who have been doing this for long periods of time because it is difficult for a person who is long only to understand that how a derivative -automated Black- Scholes pricing model operating in future can generate a certain payoff, so that we will explain in second decimal. There's no issue at all. But Vishal Ji is taking a note of organizing this and inviting anybody who genuinely wants to understand this as an instrument. We will be very happy to know because there is no IP. It's Black- Scholes pricing model. It's not my IP at all.

Sunil Shah: Yes. Absolutely, yes. Just the comfort for the investors like me and many others to get this inside out and thoroughly understand it. That's the only suggestion that I have. Thanks everybody and all the best for the growth ahead.

Moderator: Thank you. The next question is from the line of Siddhant Gupta from RV Investments. Please go ahead.

Siddhant Gupta: Good afternoon sir and congratulations on a good set of numbers. So my question was regarding -- I was searching for the TAM of the -- like the TAM we operate in and I could not like generally get the number. So could you just address that for me like what is the TAM of our products?

Feroze Azeez: What is TAM in the sense of -- can you tell me what it is?

Siddhant Gupta: That is on the structured products?

Feroze Azeez: Sir, if you can paraphrase your question again. You want me to explain structured products?

Siddhant Gupta: So what will be the addressable market size regarding

Feroze Azeez: Okay. I am sorry I am not familiar with this lingo. So -- but yes, the total addressable market, I personally think here you don't take a market share, you create the market. So there is hardly any structured products, unlisted structure -- non- principal protected structured product selling is -- we would be as of now 70 - 80% of the market. We create the market. Anybody who has wealth, 35% of that money is -- if I have INR1 lakh crores of aspiration for this year end, INR 35,000 crores is the market size. Are you with me, sir?

Siddhant Gupta: Okay, sir.

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Feroze Azeez: Okay. That's how we have operated. 2013 is when the first issuance Anand Rathi Global Finance

did. And whatever money I collect, approximately 25 to 35% depending on the portfolio one chooses, needs to get into structured products. So if I collect INR10,000 crores -- like last year, if I collect INR 12,000 crores, I would ideally have INR 4,000 crores of net flow into structured products. That is if all clients agreed and all 382 were able to use mathematics to convince them to the right direction. Does that answer, sir?

Siddhant Gupta: Okay, sir. And my follow -up would be regarding the same. So what is the percentage share like all the different products like the equity and then mutual funds?

Feroze Azeez: That depends on the client. We have 11,700 clients. We don't run 11,700 different portfolios.

Because we promised everybody, we do our best. So it is an oxymoron to have 11,713 best. So coming back to your question, what proportions these four portfolios have? They have anywhere between 45% long- only equity to 65% long- only equity and different proportions of structured products depending on a person's life stage with us.

So it's not specific one product. So if you ask me one product, what I follow I can tell you. I pursue a 14% product with 65% in equity mutual funds and 35% in structured. That's what you will see in my NSDL statement other than Anand Rathi shares as well.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Yes, hi. Congratulations a good set of numbers. Sir, just one when you give your guidance, what is the kind of mark- to-market and flow assumptions that would have got built into your forecast?

Feroze Azeez: When it comes to guidance of revenue and PAT, we do it very differently. AUM guidance is generally an aspirational number. Revenue and PAT is always bottom- up. So Rakesh sir and I would have spent an hour with each RM over the last few days to understand their business plans. We go -- if there are 31 clients, the leader looks at some then he brings it to the unit head. It's always bottom- up targeting.

So that 's how we arrive at a guidance because if we say we have an entrepreneurial culture, then the target cannot be top- down. So we put some buffers as genuine management intellect and then give the guidance. So it's not on the basis of market. It's on bottom- up as much as we have clients sheets automated, which helps the person understand what is the maturity coming, what kind of new clients you will have, what kind of penetration you will have and that's how it bottom- up 382 numbers get added minus some degree of conservatism, which is again told to us by our elders we do that.

Prayesh Jain: Just trying to understand this, even when we are sitting with the RM to discuss his end of FY'26 aspiration of an AUM, he would have or he would want to see from you what is the kind of market returns we should build for his AUM numbers. And he would give you a flow number that he would be able to get from his existing customers or from the new customers.

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So that is what I was looking for as to -- that could be -- because the M2M number could be similar for all the 300- plus RMs that you have. So that should be similar, right?. Otherwise, everybody would assume their own set of mark- to-market and with the aspirational targets.

Feroze Azeez: Yes, definitely, sir. You are absolutely right. When it comes to mark- to-market, we look at a very conservative number of 8%.

Prayesh Jain: Okay. Got it. So that's what is built in. Thank you so much.

Feroze Azeez: That's what is built in, including the mutual fund alpha, ofcourse.

Prayesh Jain: Right. Got it. Thank you so much.

Moderator: Thank you. The next follow -up question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Hi. Thanks for the follow up.

So in terms of flows, what would be from the vintage customers and what would be from a new family?

Feroze Azeez: Yes. 63% from existing clients and 37% from new clients.

Bhavin Pande: Okay. And secondly, Feroze, just expanding on the structured product, so we said when there's a period of high volatility, we would look to sell options because of higher realization as compared to buying options depending on our view. So in this kind of an environment where

VIX could move capriciously, how do we sort of navigate our way through this kind of environment?

Feroze Azeez: So the first part of the question which was a hypothesis that you buy and sell puts is not right. So let me clarify how it works it.

Bhavin Pande: No, no. I got an option when you are bullish, you buy calls or you sell puts and the other way around.

Feroze Azeez: See, now if you design a product. Now if we have a product, which we have been designing the same thing for 1,300 times - 1,500 times, there you sell put spread. You sell -- hypothetically, you sell put spread of different expiries, but all those are not liquid. So you synthesize it using futures. So if futures have a larger volatility for an issuer, generally in the products we currently construct, be it Nuvama or Anand Rathi Global Finance, higher volatility implies high her futures buying and selling.

So coming back, once the product is issued, we have not changed the product for the last 10 years. We think we are in a high interest rate, high volatility environment for the last so many years, that's why put spread selling is what is embedded in a structured product. Does the first part -- am I clear in the first part, then I'll go to the second.

Bhavin Pande: Yes.

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Feroze Azeez: Yes. So the product that we have made since last 10 put spread sold in. Why do you sell put spread? Because, you high interest rate economy. You are a higher volatility. You are realizing greater Vols and you're realizing greater interest rates. If it was interest rates in Japan negligible, you buy call and not do spreads, because the calls are going to be so inexpensive because the forward rates of the same index is going to be very - very close to the spot rate.

Now that we have been designing a product in a certain way because of macroeconomic variables in India are designed that way. And it's 20 years from now, 5 years from now, 10 years from now, if that changes, then the construct of the product will change. Now that it has not changed for the decade plus. I have been doing structured products from 2006 when Merrill issued the first structured product. And ironically, it was in a PMS platform of an asset management company and the same asset management company's analyst is asking me, explain to me structured products. Ironically, it happened. I told him, you have only taught me in 2006. Go and see. So from 2006 mostly India has been a put sell or a put spread sell market for anybody who wants to go long, not unlimited long.

Now how does one hedge it. The issuer knows that all these options, which are embedded in the product may not have the liquidity or most likely will not have the liquidity. So he will hedge the books, delta, gamma, theta, vega, rho. This is what he will hedge.

So delta will be positive, gamma will be positive, vega will be negative -- sorry, gamma positive, vega negative, lower the vega, lower the realization and rho will be positive. So this is the dynamics of most of the issuers today. Delta positive, long gamma, short vega and long rho -- sorry, short rho.

Okay. This is the -- so because it's a technical concept, I'm just telling you that he will hedge a book. He will not hedge individual options. If you have issued 100 products, an issuer will issue 100 products, which might have 500 different options. He will put it on an excel

sheet all the

500 options with different expiries, run a Black-Scholes pricing model, and he will hedge the ultimate delta of that 500 options embedded in 100 different products.

So when he is hedging it, if market becomes and Trump Hub becomes generous, and it gives us a little more volatility, then the issuer will be able to hedge it a little more easily than he would be able to. That's what I meant, that volatility helps the issuer.

But as Sunil sir said, we will do a specific full-blown training session. We are not going to call it an explanation session. Any questions, no horns bar can be answered with excel sheets and mathematics.

Bhavin Pande: Yes, I think that will be really helpful Feroze, to do something like that.

Feroze Azeez: I promise you this will get done. Vishal Ji is a very - very sharp man, and he has written it down in his diary. And seldom things get dropped off his diary.

Bhavin Pande: That's it. Thank you a lot and good luck again.

Feroze Azeez: Thank you, sir. Lalit sir, in the meantime. Bhavin sir had asked that question?

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Feroze Azeez: Okay. No, no, I will just -- because Saumil give us that number. So the maturities are anywhere between 4,000 - 5,000 across internal and external issuers. Lalit sir had asked this question. I told -- I promised that I will circle back.

Moderator: Thank you. The next follow-up question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: Just one point. I have spoken about it earlier also in the last call. But out of this about 11,700 odd families that we have, how many of those would be NRIs or clients who are out of India?

Feroze Azeez: Sunil sir, I will just tell you. Sir, just give me a minute or two, I will tell you the precise number.
Sunil Shah: Yes. Sure. My point here is about GIFT City because the income that we earn from them would be tax-free for us. So if we can put up a subsidiary at GIFT City and serve those clients from that platform, the income earned in the subsidiary would be tax -free for us. Hence, we could generate some bit of more alpha, maybe it's a 10% number of our clients or 15% or whatever that number is, but that would help us. So we -- I think if we can evaluate that as an option to serve our NRI clients.

Feroze Azeez: Absolutely, sir. Sunil sir, it's a very, very good suggestion, and we have been examining that. But I don't want to commit today. And when it comes to NRIs, NRIs might in numbers could be a smaller proportion, values are larger than the numbers for sure. I will give you to precise numbers. But it's a great suggestion. Now that you are bringing it up, we will take this up a lot more seriously, and then we will move up the priority list. I will do that.

Sunil Shah: Sure, sir. I mean even if it is 10% or 15% of our AUM, it certainly helps us to save on those tax line. That's the only thing .

Feroze Azeez: Absolutely, and it also opens up a larger part of the balance sheet. And what I am very thrilled about is see, when we have a Dubai office, we did a survey to figure out how much of the total wallet do we have for an Indian client based in India and a Dubai client investing in India, the apprehensions of completely converting capital into rupee exists.

So this dollar denomination also brings in a certain larger penetration possibility depending on -- so yes, so taxation, larger penetration possibility. So we are working on it. But have we done adequate progress? I am sorry to say, no, but we will definitely move this up the priority list.

Sunil Shah: Thank you. All the best.

Feroze Azeez: Thank you, sir.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Feroze for closing comments.

Feroze Azeez: I like to thank everyone for being a part

of this call. We hope we have tried to answer your questions. If you need more information, please feel free to contact Mr. Vishal Sanghavi, our Investor Relations Head, and our CFO -- beloved CFO; Rajesh Sir. Thank you, everybody. And Sunil sir, I'll just tell you the number, it's about 10% to 12% is NRI clients' AUM. Thank you.

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Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

Ref No: 47/2025- 26

Dated :17th July, 2025

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited, Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q1 & FY2026 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q 1 & FY202 6 earnings conference call dated 11th July, 202 5. The transcript is also available on the Company's website at <https://www.anandrathiwealth.in/financial.php> .

This is for your information and record.

Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Jaee Sarwankar
Company Secretary & Compliance Officer

Enclosed: as above

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Anand Rathi Wealth Limited
Q1FY26 Earnings Conference Call
July 11 , 202 5

M
ANAGEMENT :
• MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
• MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
• MR. CHETHAN SHENOY – HEAD, PRODUCT AND RESEARCH
• MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
• MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

Anand Rathi Wealth Limited
July 11, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Anand Rath Wealth Limited Earnings Conference Call for Quarter One of Financial Year 2025-26.

As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note, that this call is being recorded.

I now hand the conference over to Mr. Feroze Azeez – Joint Chief Executive Officer from Anand Rath Wealth Limited. Thank you, and over to you, Mr. Feroze.

Feroze Azeez: Thank you so much, Zico. Good afternoon, everyone for joining the quarter ended 30th June, 2025.

We today have with us the Group CFO – Mr. Jugal Mantri , the Product and Research Head – Mr. Chethan Shenoy, CFO – Mr. Rajesh Bhutara; and Head (Investor Relation) – Mr. Vishal Sanghavi.

Let me give you a quick highlight of the Company ' s performance :

During Q1 FY '26, our profits grew by 28% year- on-year, and they have reached about Rs. 93.9 crores. The total AUM grew by about 27%, which takes us to Rs. 87,797 crores as of 30th June and the equity mutual fund share has moved up to 54% as of June 2025 and we are about 14% away from the Rs. 1 lakh crores on total AUM number.

This will help us get to the subtle ambition which we have shared in our previous calls of getting to 50-50, 50 trail income, we are inching closer to that with this quarter. And this, the next important highlight is that we have had a record net mobilization of Rs. 3,825 crores. Like we have also given a subtle expectation or a not a commitment indication that we will try and have our net mobilization agnostic to the market sentiment in a quarter where mutual fund net flows in equity, moved down from (Inaudible – peak of around Rs 42,000 crores in Oct 2024) to about Rs. 23,000 crores in June, we have , with God 's grace, achieved the highest ever net mobilization of Rs. 3,825 crores , as I just said .

In our flagship Private Wealth business for Q1 FY '26, we added around 600 new client families on a net basis, bringing our total number of client families which we serve as 12,330 . The client attrition rate, which is additional number continues to be that way. And for Quarter One FY26 is 0.11%, underscoring the strength of our client centric uncomplicated approach focusing on risk adjusted return not only either side of the table.

The Regret RM attrition was 2 for this quarter and in spite of that, we have had a client attrition number of 0.11 %. And when we are looking at RM attrition , we are also looking at some places where there is cultural misfits and these are mathematically regret attritions , but there are more considerations when we let go of a few of colleagues.

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Digital Wealth business , which is a B2B2C business, registered an AUM growth of 19% year-on-year and reached Rs. 2,055 crores. The number of clients increased to 23% to Rs. 6,284. The OFA business which is a SaaS platform has 6,627 subscribers with platform assets about Rs. 1.58 lakh crores at the end of Q1 FY '26.

Now I hand over the call to Mr. Jugal Mantri , who will take us with some more updates. Jugal sir, over to you, sir.

Jugal Mantri : Yes. Good afternoon, everyone. Thank you, Feroze bhai.

Friends, let me give you the financial highlights on consolidated numbers for the quarter went by:

During the June quarter of Financial Year 2025-26, our consolidated total revenue grew by 16% Y-o-Y to Rs. 284.3 crores and profit after tax increased by 28% Y -o-Y to Rs. 93.9 crores . We have achieved 25% of our PAT guidance of Rs. 375 crores and 24% of o

ur revenue guidance of

Rs. 1,175 crores in Q1 FY '26.

Mutual Fund distribution revenue registered strong growth of 27% Y -o-Y to Rs. 113.1 crores in Q1 FY '26. Profit after tax margin was 33% for Q1 FY '26 as compared to 29.9% for Q1 FY '25. Return on equity for Q1 FY '26 was 44.4% on annualized basis. So, these were the synopsis of the financial.

Now I would request Mr. Zico to invite our friends for a Q&A Session .

Moderator: Thank you, sir. We will now begin the question-and-answer session. Thank you. Our first question comes from the line of Niranj Kumar from Equirus . Please go ahead.

Niranj Kumar : Sir, first of all, congratulations on good set of results. So, can you please provide data on inflows during the quarter and mutual funds and structured products as well?

Feroze Azeez: Sure, Jugal sir, can you throw some light on these breakups of the numbers? You are asking for the top line numbers, right?

Niranj Kumar : I am asking about the inflows sir, net inflows .

Feroze Azeez: Net inflows , okay. So, the net inflows between these two were about Rs. 3,400 crores - Rs. 3,300 crores , Jugal sir, if you can give some precise numbers , it would be helpful.

Jugal Mantri: So, the net inflow was Rs. 3,825 crores , on equity mutual funds was Rs. 1,983 crores . Debt mutual fund it was Rs. 300 crores and on structure product it was Rs. 1063 crores and rest was in other item that was Rs. 480 crores .

Niranjan Kumar: Okay , sir. Thank you. That 's from my side.

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Moderator: Thank you. Our next question comes from the line of Aashaka Shah from Sameeksha Capital . Please go ahead.

Aashaka Shah : I had the same question. I am sorry, it is the same question as the previous one.

Moderator: Thank you, ma'am. We will move to the next question here. The next question comes from the line of Muskan Agarwal from Swan Investments . Please go ahead.

Bhavesh: Hi, this is Bhavesh here. The question I have in mind was related to OPEX growth. Historically , OPEX growth has been largely in simple , revenue growth. But this time down the divergences is quite significant. So , besides the human related, human resources related that you mentioned, is there any change in incentive structure or other cost cutting we might have resorted to , which is leading to this divergence between revenue growth and OPEX growth?

Feroze Azeez: Superb, let me answer. Yes, go ahead Jugal .

Jugal Mantri: See, as far as concerned in case of OPEX , it is more or less in line with what we have been achieving and what we have been incurring over the period of time , the only thing is now we have really started getting the advantage of number of RMs who have been maturing. So, if you will see that over a period of time like we have added number of RMs and what happens that when RM start his journey , we have our , first of all , all the incentive formula since 2007 there has been no change.

The only advantage is the new RM, when he comes till the time he reaches to the threshold of up to say about 4x of his RSR, he does not start earning incentive . So, the number of new RMs which have been added into the system in the last 1.5 year, 2 years they have started reaching to the threshold and started crossing 2 and 3 RSR level. So, the advantage is , they have started contributing on the revenue side and their fixed cost of salary is coming into the operating cost . But they have not yet reached to the incentive level , that is about the new RMs. And that is why you see the employee cost in percentage terms, it looks marginally lower, but it is in line with what we have been achieving historically.

Bhavesh: Okay. Related question sir was on the number of RMs added. So, practically for last three quarters the number is flat. What is the t

hought process here and if you plan to again resume expanding our RM base?

Feroze Azeez: So, firstly, I think it is last three quarters have been flat. We have added about 22 odd RMs in the last one year, point one. Point two, how we look at RM addition is unlike most of the wealth management outfits , who believe in lateral hiring, funding their 80% of their RM growth, we have 80% internal movements. So, what happens is , we have the threshold, which says that these are the number of RMs who can be in the non-mature d stage, below Rs. 40 crores . We try and keep a watch of what is the number. When that number drop is , when we promote more people. So, unlike another wealth management trait , when I do not add my RMs, it does not mean that I have not added . Some more training for the same RMs would be promoted in a subsequent

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quarter. So, the question we have is the next 100 RMs are already being trained . So, at what point in time do we promote them , it depends on their skill set and also depends on what is my capacity of (Inaudible) . So, will you see this number change? The answer is, yes and what will be the variables which will change it is not how much money can we spend to hire from outside. How many RMs do we have below Rs. 40 crores that number if I am not wrong, dropped from 93 to 54 crores in the quarter, which creates huge capacity for promotions and subsequent RMs who would go in the marketplace . Does it answer?

Bhavesh: Okay, thank you, thank you very much.

Feroze Azeez: Thank you, sir.

Moderator: Our next question comes from the line of Rohan Mandora with Equirus Securities . Please go ahead.

Rohan Mandora: Hi, good afternoon, sir. Congrats on good set of numbers. Sir, just continuing on the previous participant 's question on OPEX . Sir, the extension that was given that in the last two years, whatever RMs have been added, they are yet to reach that , they are just touching the ir breakeven level and so the operating efficiency is looking better. And if I look at employee expense as a

proportion of total revenues that was around 45% for most part of last year. And suddenly, in this quarter that has come down significantly.

So, is there a differential in the incentive that is paid out on the mutual fund versus Structured Products (we have corrected the terminology to Structured Products where MLD word is used)? Because revenue growth in mutual fund has been almost 27% year-on-year and 10%, sequentially. And on Structure Products, it is 36% Q-on-Q growth. So, is there a factor of that leading to a lower growth in employee expense this quarter vis-à-vis the revenue?

Feroze Azeez: No, no, Rohan, it is not so complex. We do not pay incentive. We pay bonuses only once a year. Rohan Mandora: Okay.

Feroze Azeez: Okay. Last time, it was 17.1% for the first quarter, 17.1% for the full year. This time, it is 16.9%. Quarter-to-quarter comparisons may not be right because it depends on who brought the revenue. For example, if this revenue is distributed amongst 382 RMs, evenly, my cost is lower. If the RM who has already reached a slab of 32.5%, which is my maximum slab, if he or she does the maximum revenue, my shares could be larger than a linear -- So, it is not just about the revenue. It is also about which RM did and it was in which slab. So, if there is an RM who crosses a certain slab and that is the person who brought 80% hypothetically of the quarter's revenue, then they also look larger.

But it is not a quarterly number. If you look at it early, you will see hardly any difference and other point which you asked, is there a payout differential between upfront hand pay, the answer is, no. Every rupee of revenue is treated equal for the last few years.

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Rohan Mandora: Sure, sure. So, does that mean that most of the, that the share of incremental business, incremental revenue from RMs having lower AUM was higher this quarter. That is where the benefit of working.

Feroze Azeez: So, yes. So, what happens is we provision as per the slabs on their targets also. So, it is also a function of, one, what they have done so far, what is the target they have given, and then you have a provision on a certain slab. So, the answer is, yes, last time around, if there are big ticket revenues from large top 50 RMs would cost me more.

Rohan Mandora: Sure. Got it.

Jugal Mantri: Just to add to what Feroze bhai has said, Rohan, what happens that if you just do the breakup of what the employee expenses which we have incurred. In the Q1 FY '25, my fixed cost on account of personnel was Rs. 60 crores, okay, This year that has gone up to Rs. 70 crores, but the incentive provision, which was Rs. 48 crores in Q1 FY '25 that has come down to Rs. 44 crores, okay. So, there is an increasing trend in, on the fixed expenses side. But he has rightly explained that, who is bringing the revenue and what percentage of amount he is earning as incentive, that depends on person to person and on his vintage as well as on existing book. So, that is why there is a differential on incentive provision.

Rohan Mandora: Sure. Sir, second was on the Regret RMs, the two RMs who left this quarter and one I think was a regret RM last quarter. So, what was the reason for them leaving? Because typically, you had a very good incentive structure and you had a very low regret RM. So, any specific reasons that you could point out for people leaving?

Feroze Azeez: Yes. Of course, one of two of them were cultural misfits. So, we had to weed one or two of them and one of two were voluntary exits. And the reason could be whatever different for different people. But largely, I do not want to touch too much on a public forum, but yes, it could be a cultural misfit which triggers that, and it is for one location, all three.

Jugal Mantri: But it hardly matters Rohan, out of 380 plus RMs, if one or two RM is leaving, that is inevitable.

Rohan Mandora: Right. That I agree, sir. But just that Anand Rathi was having another good incentive structure, so.

Jugal Mantri: That still remains. If 99.9% people are still continuing, that shows that.

Rohan Mandora: Right.

Feroze Azeez: So, Rohan and we also realized some degree of inefficiencies will have to be weeded out.

Rohan Mandora: Sure. Sure.

Feroze Azeez: In the future as well. So, that is a strategy which we try and learn. So, we are not always fixing it. One of you analyst only had asked me saying that, how come zero attrition? Are you saying

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everybody is as efficient commercially? So, there is no involuntary attrition where you are asking people to leave. So, we have been testing several hypotheses. Now point is that you had some attrition, some instigated internally or some not. But we are also trying to see if there are some inefficiencies. Will we look at it a little differently? The answer is yes, going forward. I will tell you how we discuss internally between Rakesh sir and I.

Rohan Mandora: Got it sir. Sir, third was on the net Debt MF AUM. It has increased by 9% Q-on-Q and it was declining for the past few quarters. So, is there any portfolio allocation strategy change is leading to that?

Feroze Azeez: I will tell you precisely the reason. There are a couple of clients who had, the large clients who were doing STPs.

Rohan Mandora: Okay.

Feroze Azeez: Those are not permanent liquid money. So, you are saying, if your question I heard right, was that debt

allocation has become larger. Is that what the question was?

Rohan Mandora: Yes, yes, yes.

Feroze Azeez: Some large clients have started first, whoever come in money after March are choosing to do it as a staggered equity. So, it is, it is momentary debt.

Rohan Mandora: Got it. Got it. And then lastly, yes, sorry...

Feroze Azeez: Don't hold me to the second decimal, largely I am saying. 83-80% of that is staggered entry into equity. Due to some degree of uncertainty in the market, 12-15 weeks installment.

Rohan Mandora: Got it. And sir lastly, on the issuances of Structure Products, last couple of years, if you look at the trend Q1 has been pretty high and then it has been sort of flattish to marginal decline. But if we look at it on a year-on-year basis, so Q-on-Q, it looks very good. But on a year-on-year basis, the revenues on Structure Products has grown by 8%. So, is there some constraints because of which the growth is falling here? Or like how should one look at the growth on the Structure Products for the full year and going ahead for the next one, two years?

Feroze Azeez: Rohan, again, like I have repeated in the past, every revenue item which you read out to me back again, is a resultant outcome of client allocations. We think it will start with the client, it will start with allocation, what are the highest chance of achieving those objectives. Now let us assume, if the market remains flat for one year. The structured product still because of its modest need of NIFTY growth will deliver a little positive return. So, sometimes what happens is if equity markets do not do too well, like they did, only 4%-5% NIFTY over the last 1 year in the last financial year, monies which mature from structured products would buy equity mutual funds.

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Equities do very well. Let us assume I have a client. I also manage clients, right? So, one client is there, if there is a structured product maturity, if equity mutual funds have not delivered 14% for the last year and structures have delivered 15% for the last year, when the maturity happens, I am not going to reinvest full thing into structured products. I will again divide the portfolio into 65% - 35%, which was the agreed allocation. So, if markets do badly, you will have some money moving to mutual funds. So, buy low, sell high is just in books otherwise. In books it is said buy in low, sell in high. Otherwise, most HNIs does the opposite. Like, you will see when the market is down, people are not putting in lump sum money. So, to remove that recency bias is why Feroze is governed by a formula, agreed on 65 - 35 then he has to do just that. And if that is what he follows religiously, it will mean that he will buy more equity when the markets are down, when the markets are up, he will be buying more structured products.

Rohan Mandora: Got it, got it. And then lastly, one data keeping question. What is the breakup of structured product issuances between primary and secondary in Q1?

Feroze Azeez: Yes. Jugal sir, will be able to answer this. Jugal bhai?

Jugal Mantri: 1,700 crores for primary and 700 crores for secondary. 750 crores to be precise, okay?

Rohan Mandora: Sure, sir. Thank you.

Feroze Azeez: Thank you for your question.

Moderator: Thank you, sir. Our next question comes from the line of Jaiprakash from Korman Capital. Please go ahead.

Jaiprakash: My question on (Inaudible) Sir, my question was on the (Inaudible) which was 16% whereas AUM growth was 57% so just wanted to understand the....

Feroze Azeez: I did not get your question at all, sorry.

Moderator: Sir, may we request you to use your handset, please, Mr. Jaiprakash.

Jaiprakash: Am I audible?

Moderator: No, sir. We are unable to hear you clearly, sir.

Jaiprakash: Okay, I

will join back.

Jaiprakash: Yes, sir. Please, thank you. Our next question comes from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: Yes. Thanks Feroze and the entire team for a wonderful achievement. Thanks for this actually.

First of all, let me thank Vishal and Kalpesh for the sessions that we had for all of us to make us

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understand the structured products. Thanks so much Feroze for organizing and Vishal for conducting along with Kalpesh, the entire sessions. Thank you so much.

So, my question is about this entire thing happening in the markets about the Jane Street episode and SEBI really trying to clamp down on the F&O volumes. So, given that the structured products for us which we act on, does this in any way impact us for the volumes that could get shrink going forward? That is my first question.

Feroze Azeez: Yes. Okay, you want me to first answer this? Perfect. Sunil sir, thank you for the feedback last time around. Very grateful for that feedback, because we always wanted to explain structured product as straight there. Of course, Kalpesh has done only three sessions. If the group of analysts want another 100 sessions, we are more than happy. Because if that produces more issuers, it is a great marketplace. So, thank you for that suggestion. And I think that was the best suggestion we got last quarter in the result.

Now coming to, of course, the Jane Street and the regulation in terms of option volumes. I think for the next Rs. 1.5 lakh - Rs. 2 lakh crores of our next AUM, we do not see any challenge with the current market. Of course, on one index what Jane Street hypothetically at least in the note did was made cash market losses to make, built put option positions or call option positions on expiry day and trigger stop losses to the rest of them. So, any large position on specific index could be something which somebody can do exactly what Jane Street did.

So, will we look at more diversification in terms of NIFTY, Sensex? The answer is, Yes. So, will it impact our next Rs. 1 lakh - Rs. 1.5 lakh - Rs. 2 lakh crores of AUM? The answer is, No, Sunil Ji. I do not want to give all the plans. There are about four step plan, Plan A, Plan B, Plan C and Plan D. I will probably, we can do another session where I will elaborate.

Sunil Shah: Okay.

Feroze Azeez: Sunil, sir, can I add one more thing? The one thing which I am amazed as a professional is the kind of intellect SEBI has used to move our options market from notional contract volumes to delta volumes. It is one of the most right thing to do, because the Re. 1 option had the same notional value and at -the money option almost have the same notional value, which was creating those Rs. 500 crores of short limits, I have spoken about in the previous earnings calls were getting breached with just 2 lakh options, put options, 2 lakh premium.

So, now they have moved from notional volumes to delta volumes, point one. Point two, I think also creating several pieces of what you call that, impediments for any trader have been done beautifully. And I think that is one change. There are very few markets who operate limits with delta against notional.

Sunil Shah: Okay. Fine. So, that helps us to understand, at least on the fear part that we need not worry at least for another Rs. 1.5 lakh crores of the AUM that we reach. Yes. Sir, one more point which I had, more of a question type of thing would we, currently, if I understand the net inflow for us Anand Rathi Wealth Limited

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has been close to Rs. 3,825 crores and our RM base is 382. That exactly comes to about Rs. 10 crores of incremental AUM per RM per quarter kind of a number

r?

Feroze Azeez: Correct.

Sunil Shah: Sir, so for going forward, can we get that per capita because as a country, we might be the fourth in terms of GDP. What really matters is the per capita. Similarly, for us, the incremental contribution per RM per quarter would be perhaps one of the numbers to really keep a watch on given that market could grow 10% plus/minus and the AUM could change accordingly. But the real strength is in terms of the per capita contribution per RM per quarter. So, some such metrics if it can be shared.

And one more point can be, if we can further get into the details of equity and structured product breakup as well. So, because that is going to be the base where we will get a higher percentage of income. So, if we can get one such number, if it is possible for you to share going forward, I think that will be more useful for all of us, if at all it is possible.

Feroze Azeez: Correct. Of course, sure, Sunil. It is a very - very valid suggestion. One thing which is a little different than the rest of the wealth management assets is because they do lateral hires largely and internal promotion is a smaller proportion. What ends up happening is there are very similar

kinds of private bankers. We have a mid-banker who is basically 26 and he has become a private banker after four years of training after his MBA. And I have somebody who has got almost 25 years of experience out of which 18 are in Anand Rathi. So, I am just telling you there is a lot of differentials between my youngest RM and the most mature RM. I can divide it, but I think dividing them would also be a little more sensible. I think we will work on these numbers for sure. We will divide it into secured RMs, 5 years plus RMs, and stuff like that. So, we started

with, Yes, it's a good suggestion . 5 years plus, 3 years plus> we stratify our RMs into three categories, sir, less than 3, 3 to 5 and 5 plus. So, Sunil sir , looking forward, what is the per capita per RM net mobilization in these three strata , we can probably give that orders . Strategy for us and information for you.

Sunil Shah: Yes. Yes. And sir, it is competitive sensitive , so I just leave it for you to take that call. That is just my suggestion.

Feroze Azeez: Okay. Superb. I think the piece of information we are reasonably transparent and I think we should be okay. We will just look at it internally and publish it to you and in the next call or before that.

Moderator: The next question comes from the line of Saiyam Sondhi with Desvelado Advisory. Please go ahead.

Saiyam Sondhi: Congratulations for your quality stats for FY'26. Sir, my question is what is the latest update on the GIFT City subsidiary and International expansion of U.K. and Bahrain office?

Feroze Azeez: Sorry, can you go again?

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Saiyam Sondhi: Sir, the question is what is the latest update on the GIFT City subsidiary and international expansion of U.K. and Bahrain office?

Feroze Azeez: U.K. and Bahrain office , yes. So one is an update . But I will tell you what we look at international business that you look at Dubai currently, which we have for almost 10 years. We just finished 10 years of business in Dubai and we think the interest of NRIs in India will grow dramatically.

And I think the kind of flexibility GIFT City also has to offer, the tax efficiency it has to offer.

I think one of them in the couple of calls back had (Inaudible) international office...

Moderator: Sir, sorry to interrupt you. Mr. Saiyam, sir, your audio is breaking. Maybe request you to use your handset in case you are using any Bluetooth device?

Saiyam Sondhi: Sir, actually I am not able to hear the voice of Feroze sir. Should I repeat my question or the question is clear?

Feroze Azeez: On the Bahrain

and the U.K. office , right?

Saiyam Sondhi: Yes, yes.

Feroze Azeez: So, they are in the very nascent stage of getting licenses currently. Point two, I think as soon as you start a business, it is not going to be a huge contributor. But what is our vision for international NRIs or investing in India . We can see a large opportunity, given the interest levels of NRIs, which will, which happen in India, we want to make sure that we have our offices in place and the strategy in place.

Point three, SEBI has been creating several platforms, which make it very easy sort of a pooled investment, okay, especially from international . In the GIFT City and the AIFs and other businesses, which can channelize money into India are developing beautifully. So, we have just got licenses, or we are in the process of getting licenses. But I think the long-term vision is, we believe that there will be a lot of money from NRIs flowing into India for the next decade, and we want to capitalize on that and not just with one office. But once we finish 10 years in a specific business then that is when we try to build our business brick by brick. We just finished 10 years in Dubai.

After having seen an office and profitability and the pros and cons in the international products, now we were confident to have other locations. That is why you see Bahrain and U.K. We are a wealth manager, which tries to build it brick-by-brick. And so we are reasonably bullish on international money coming to India and getting the pie of it. Does this answer, sir?

Saiyam Sondhi: Okay. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Muskan Agarwal from Swan Investments . Please go ahead.

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Muskan Agarwal : So, the guidance that you guys have released regarding the revenue, PAT, and AUM. So, when we see like you guys are pretty much there when it comes to AUM, but there is a lag in the revenue and PAT numbers. So, there are three questions. First, if you can help me understand the difference and if you guys are like expecting to revise the AUM guidance?

Feroze Azeez: Muskan, we have met our revenue numbers for a year unlike 25%, like you rightly pointed out, we have met 24.17%. And the PAT number is almost 25% that is point one. Point two, do I see any change in the guidance? The answer is a big no, because we will be able to achieve those numbers is how we have always under committed, overdelivered. And you will also be very happy to note Muskan that out of the NSE Small Cap 250 companies, which we are a part of, our primary analysis says that there is only one Company which has given PAT guidance and

also met it for 3 successive years, which is Anand Rathi Wealth Limited. Quite a few do not give a PAT guidance, very few give a PAT guidance. Out of those who gave a PAT guidance for three years and met it, it is only one Company. And with that, I am just giving you a little assurance and some hope that we will meet our guidance this time as well, with the Grace of God, of course.

Muskan Agarwal: So, means any explanation regarding why, like there is a gap like considerable gap between the AUM and the PAT revenue figures because it is just 24% and 25% but the AUM targets like you have achieved 88%.

Feroze Azeez: Yes. See AUM is like a photograph and revenue is like a movie. AUM depends on where markets ended on 30th June. Revenue is an outcome of every day's action and every day's revenue. 30th June, if the market fell 3% hypothetically, would my, there would my AUM be Rs. 88,000 crores, approximately? The answer is, no. It would have been Rs. 86,000 crores. So, when you look at AUM as an average then there will be sanctity with the revenue. So, what has happened is you have added Rs. 3,800 crores. And in the first quarter,

NIFTY has given about 7%, 8% return.

And our model portfolio of mutual funds has out beaten that by 2.47% as of day before yesterday.

So, AUM, that is why we are not revising the Rs. 1 lakh number because on 31st March what Nifty will happen, I do not know. So, what happens is there is something which is an internal controlled variable, which is how much I can bring from clients wallet to my assets. That is what we focus on then when we pay to the lord. Because then market movement and intern clients return will, and it is not one day, it is 30

th June is the AUM number, right. So, if I give you the

average numbers, then you would understand. Does it answer, madam?

Jugal Mantri: Yes, Feroze Bhai, I would like to add. Muskan, if you look at it, like last year, we were at a number of Rs. 79,000 crores, okay, I am just rounding off for the purpose of understanding. And we have given a guidance to have the AUM of Rs. 1 lakh crores by end of the Financial Year '25 - '26, correct? So, what I need to add is Rs. 21,000 crores in 12 months time.

Now in three months' time from Rs. 79,000 crores we have reached at about Rs. 88,000 crores.

So, how much have we crossed? We have achieved almost Rs. 8,800 crores which is 40% of the AUM addition target in 3 months only. So, in fact, this is the only area we have, by and large

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with a very wide margin, we have beaten the target number which we have given. So, I do not know why this question has come that we should revisit this number.

Feroze Azeez: No.

Muskan Agarwal: No, I meant like upward revision?

Feroze Azeez: Yes.

Jugal Mantri: Okay, okay. No, we are happy to be committed at the level which has been given.

Muskan Agarwal: Okay, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Kamlesh Gupta, who is an investor. Please go ahead.

Kamlesh Gupta: Thank you for giving me an opportunity, sir and congratulations to the team, the numbers are excellent. I have two questions. Various time has management has reiterated that the guidance of revenue will be 25% to 30% back. But last two quarters, it has come down to near about 25%. And the second question is, please, throw light on the same. And the second question is from the last buyback, stock has given negative or negligible return. Could you be considering anything, any corporate action for this?

Feroze Azeez: Yes. One is, see when we say we have always given you 20 to 25% PAT guidance long term 10 years, 15 years. Our professional guru, Mr. Rakesh Rawal, who is also the CEO of the Company, has always said, 20 to 25% PAT growth for years to come. That might also imply 20 to 25% revenue that us not on a quarter basis that is on a year -on-year basis. That is our aspiration.

Because we are in the business of managing one's money if there are some maturities, we will not do anything sooner or later and its client monies which we manage. So, when we give you a revenue guidance of Rs. 1,175 crores, that is the number you have to look at from Rs. 980 crores to Rs. 1,175 crores.

Jugal Mantri: And that is about 20%.

Feroze Azeez: Growth. Like Arjun we look into the fish's eye, sir of course one or two quarters, we don't look at it.

Kamlesh Gupta: Okay. Okay. And the second one?

Feroze Azeez: Yes, the second one, sir, stock has delivered whatever it has to deliver. I do not think, in my opinion, corporate action, of course, I do not remember what was the price during buyback because I think stock price...

Kamlesh Gupta: Rs. 4,450, I think.

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Feroze Azeez: Rs. 4,450, no, sir means yes, irrespective for buyback, you can just check. No, that was not the

Rs. 4,450, was that the price at which we buyback?

Kamlesh Gupta: Yes, before bonus .

Feroze Azeez: Yes.

Kamlesh Gupta: It was before '15 (to be ignored)

Feroze Azeez: So, sir, our corporate actions of buyback, I think we have not considered any buyback so far. And if there is any consideration we will come back to you and price is not a huge motivation for a buyback. Of course, earlier, there used to be immense amount of tax efficiency when we used to do buybacks. I think the tax laws have changed on that as well because the shareholder does not get it tax free now anymore.

Kamlesh Gupta: I think sir, for the open market buyback, it is still there, sir.

Feroze Azeez: Okay, sir. Thank you. Yes , we will check, because it is pardon my ignorance. Open market buyback if it is there . But we will come back to you. But as of now, in my mind, there is nothing on the cards, which we have discussed internally if I have to tell you as transparently as it could get.

Jugal Mantri: But for shareholders, it does not make any difference, Feroze Bhai . Whether the tender sales in buyback or whether we sell in the open market. So, there is no tax advantage to the shareholders.

Is there any tax advantage Kamlesh to shareholder?

Kamlesh Gupta: Yes, sir.

Jugal Mantri: In share in buy back.

Kamlesh Gupta: For shareholder it is not there. It is not there.

Jugal Mantri: That is what I am asking.

Kamlesh Gupta: But for Company , it is beneficial. Still it is earlier rules apply, sir, I think, for the open market.

Feroze Azeez: Yes sir, look sir, what we have to say sir, Kamlesh sir, we need such investors who look after the business for 10 years . In the meantime, we are trying to do our best for a shareholder in terms of dividend, in spite of the bonus shares, doubling the number of shares we try to keep the bonus rupee share, rupee value of the bonus equal. So, that the final dividend doubles. So, we are doing that. And we are always trying to look at people who do not see us on a quarter, six months, one year, and that is how we like to have our shareholders who can make us understand that if a business with compounding of 20% to 25% can be done in 10 year s that i s how we look at it. Of course, your point is valid. I will also examine because I am not a CA, but I have tried to read

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all the relevant ones, but this is enlightening for me. I will definitely do some homework, I assure you.

Kamlesh Gupta: Thank you, sir. Thank you.

Moderator: Thank you sir. As there are no further questions, I would now like to hand the conference over to Mr. Feroze for closing comments.

Feroze Azeez: Thank you, Z ico, and thank you, everyone, to join this call. It is a privilege to have our prospective and existing shareholders on this call. And it is, but if I have to go out of the script, I am so happy and enlightened each time you guys ask questions because it pushes us to think a little more and push us is in a brighter direction. So, we, as professionals, always assure you our best ability given to you as shareholders. So, I think thank you for those wonderful questions, which sets us thinking, sometimes improves us , and enlightens us. Grateful. Have a wonderful weekend.

Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2025

Ref No: 70/2025- 26

Dated :18th October, 2025

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
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Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited, Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
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Subject: Q2 & H1 FY2026 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q 2 & H1 FY202 6 earnings conference call dated 14th October, 202 5. The transcript is also available on the Company's website at <https://www.anandrathiwealth.in/financial.php> .
This is for your information and record.
Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Rajesh Bhutara Chief Financial Officer

Enclosed: as above
ANANDRATHI
Private Wealth. uncomplicated
ANAND RATHI WEALTH LIMITED
(Formerly known as Anand Rathi Wealth Services Limited)
Private Wealth. uncomplicated
AMFI-Registered Mutual Fund Distributor
CIN No.: L67120MH1995PLC086696 Registered Office; Floor No. 10, A Wing, Express Zone, Western Express Highway, Goregaon (E), Mumbai -400 063
Board Line No.: 022 6281 7000 | Website: anandrathiwealth.in
Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai -400013 | Board line No.: 022 69815400 /69815401 | Website: anandrathiwealth.in
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Anand Rathi Wealth Limited
Q2 & H1 - FY26 Earnings Conference Call
October 14, 202 5

MANAGEMENT :
• MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
• MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER

- MR. CHETHAN SHENOY – HEAD, PRODUCT AND RESEARCH
- MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
- MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Anand Rathi Wealth Limited Q2 and H1 FY 2025-26 Earnings Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchstone phone.

I now hand the conference over to Mr. Feroze Azeez, Joint CEO of Anand Rathi Wealth Limited. Thank you, and over to you, Mr. Feroze.

Feroze Azeez : Thank you so much, Swapnali. Good afternoon, everyone. Thank you, everyone, for joining the earnings conference call for the quarter and half year ended 30th September 2025. Today on the call, we have with us Group CFO - Mr. Jugal Mantri, Product and Research Head - Mr. Chethan Shenoy; our CFO - Mr. Rajesh Bhutara and Head of Investor Relations - Mr. Vishal Sanghavi. I'm very pleased to share that we have delivered the 16th quarter of consistent and market agnostic performance despite the challenging environment with Nifty declining about 3% - 4% during both the quarter and the full year.

I want to take a moment to highlight the remarkable journey. When we launched our IPO around 4 years ago, our AUM was about INR 30,200 crores. And in just about 4 years, we have added more than double that amount reaching to a total AUM of INR 91,568 crores at the end of September 2025.

During the quarter Two of FY '26, equity mutual fund net flows increased by 101% year-on-year to INR 2,062 crores as compared to INR 1,025 crores last year same quarter, where the sentiment was significantly better last year than this year. So, it makes us believe that buying when the s

entiment is bad, creates a lot of value for our clients, and that numerically seems to be established in this quarter. For H1 FY '26, our market share in equity mutual funds net inflows stood at 2.33% in the category 3 of AMFI's publishing numbers. So of course, quite a few people were skeptical about penetration and market share when it comes to -- because of direct as a competitor during our IPO and subsequently over a 4-year period. But if you see our market share has gone up from 0.16% in FY '20, to 2.33% of the net inflows in India has come in active funds to us.

During the quarter 2 of FY '26, total net flows increased by 28% to INR 3,302 crores as compared to INR 2,336 crores. So the overall net flow was also reasonably healthy. Hence, H1 FY '26 total net flow rose by 20% to INR 6,827 crores compared to INR 5,700 crores last year same period of half year.

In our flagship private wealth business. During the last 12 months, we have added about 1,800 plus families on a net basis, bringing our total number of clients to 12,781.

And client attrition numbers have been -- our client attrition numbers in terms of AUM loss remain low at a second decimal of 0.09% for the quarter 2 FY '26 and 0.18% for FY '26, the full half year, reconfirming -- reaffirming the trust our clients place in our uncomplicated client-centric approach. ANANDRATHI

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Digital wealth business, which is a B2B2C business registered an AUM growth of 21% Y-o-Y and reached to INR 2,211 crores and the number of clients increased by 20% to 6,570.

The OFA business, which is our SaaS platform, has 6,790 subscribers with platform assets of about INR 1.59 lakh crores as of 30th September 2025.

Now I request Jugalji to give business highlights for the quarter, which went by. Jugalji, over to you.

Jugal Mantri : Thank you so much, Feroze bhai. Good afternoon, friends. Let me take you all through Q2 FY '26 consolidated financial performance first. Our consolidated total revenue for the Q2 FY '26

stood at INR 307 crores compared to INR 250 crores in Q2 FY '25, registering a healthy 23% year-on-year growth. Our profit after tax stood at INR 99.89 crores registering a 31% year-on-year growth compared to INR 76 crores in Q2 FY '25. Profit after tax margin for Q2 FY '26 was at 32.5%, which has improved from 30.6% for Q2 FY '25.

Now I will take you all through H1 of FY '26 financial results. During first half of financial year 2026, our consolidated total revenue grew by 19% year-on-year to INR 591 crores from INR 495 crores for H1 financial year '25. Profit after tax increased by 29% year-on-year to INR 194 crores from INR 150 crores for H1 FY '25.

Profit after tax margin was 32.8% for H1 FY '26, improved from 30.2% for H1 FY '25. In the first half of FY '26, the company has already crossed 50% mark and achieved 50.3% of its full year revenue guidance of INR 1,175 crores and 52% of PAT guidance of INR 375 crores.

We have reported a strong Return on Equity or ROE of 45.5% on an annualized basis for H1 financial year '26. Continuing our policy of rewarding shareholders, the Board of Directors have declared 120% interim dividend resulting translating to INR 6 per equity share.

Now I request hereby Soknali, to open the floor for question and answer. Over to you, Swapnali .

Moderator: The first question is from the line of Aakash Jha from AJ Wealth. Please go ahead.

Aakash Jha : Just one question from my side, sir. Actually, our RM attrition has increased, but we have still managed to retain most of the AUM part. So -- but typically, what I have seen in this industry is when RMs moves out, they tend to take a larger portion of the ir client's AUM. So I want to understand what we are doing differently or what client retention control do we have in place that help us minimize the risk of AUM loss?

Feroze Az

eez : See, firstly, RM attrition in our company is reasonably low. Like I had told you last time around on the call, I don't know whether you were there, we had some cultural issues with a few people in some of the locations. So , we had to let go of two and the other two left themselves. So these four attrition pieces, which you see in this H1 are largely from one location. That's point one.

And point two, when an RM leaves, basically, what happens is there is a certain motivation of the RM to leave. But the client centricity, if I exhibit that the client is better off here because we try and deliver risk -adjusted return of 4% to 6% Jensen's a lpha. There are very few companies ANANDRATHI Private Wealth. uncomplicated

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in the country who have a Jensen's alpha published on the overall AUM. Now for example, if you want to calculate the Jensen's alpha of Anand Rathi Wealth, we are now listed, this is our 16th quarter, you can get to know the mark -to-market gain which I've had every quarter. You can calculate that Nifty mark -to-market and find out the risk, which is beta in the public domain.

You can find out what is the total profit we have made in public domain, our mark -to-market for the last 3 - 3.5 years. So if you look at Jensen's alpha, so what am I trying to get to is, if I told a client, if the RM is leaving and if you want to move with him , what is a Jensen's alpha of the other company, which he is joining and that Jensen's alpha is not there. So it becomes easier to retain a client.

Of course, RM has the strongest relationships, and it should always be like that. It should not be technology led. But yes, we've been able to retain about 79% of the 4 people so far of the assets they had. That's why you see an attrition number, client attrition number in 0.18 or 0.19.

Aakash Jha: Just one last question, sir. I mean our AUM guidance of INR One lakh crores. So is there still impact? Or are we trying -- I mean, can we increase the guidance?

Feroze Azeez : We'll not increase the guidance because AUMs are on a specific date, if 31st March of FY '26 is not so good, then the AUM could be this way or that way. So we'll retain the guidance of INR One lakh crore s. It's an aspiration number. We are at INR 91,568. We'll keep that as INR 1 lakh.

We always like to under -commit , over-deliver in that same theme or the belief we would like to retain it like that, especially an AUM number, you would not want to update because it's very difficult for any of us to predict what 31st March of 2026 will be like. Does it answer, Aakash ?

Aakash Jha: And what assumptions are baked in for market performance versus organic inflow?

Feroze Azeez : It was INR One lakh crore s. It was an aspirational number. We started last year, we were at INR 75,000 crores (actual number was Rs 77,103 crores). We are at INR 91,568 crores. We assume 10% market growth generally. But the net flows have been very good. And that's why it's been good. So we assume 9% to 10% market growth generally when we look at beginning of the year.

Moderator: The next question is from the line of Bhavin Pande from Emkay Investment Managers Limited.

Bhavin Pande : Congratulations on wonderful set of numbers and consistent performance . Ferroze, what do you think once our AUM crosses INR One lakh crores, INR Two lakh crores, the base effect would come in when we look at growth. So how do we look at growth once the base effect comes in? Secondly, perspective on flows from the existing families and new client additions. Have we seen the mix change where new clients are contributing more?

And third, what's the overall outlook on the market given the way we have seen a lot of consumption moves coming about?

Feroze Azeez : What was your first question, Bhavin bhai? Sorry, I missed the first part.

Bhavin Pande : Base effect coming in. Right

now, we are almost at INR One lakh crore s, maybe two years down

the line, you'll be at INR Two lakh crores. So how do we look at the growth numbers that 25% ANANDRATHI

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growth that we were kind of looking at, but is it coming about currently with 28% - 30% growth on a Y-o-Y basis. So the second leg of growth, would it be slightly lower or we still maintain the 25% kind of growth number?

Feroze Azeez : Thank you for the question, Bhavin bhai . Now I got the question. First is the base effect, you're absolutely right. We have been waiting for a critical mass. For whatever right or wrong, we had assessed that the critical mass in mutual fund AUM, for example, is INR 50,000 crores of regular AUM. So out of which INR 46,000 crores, INR 47,000 crores was mutual funds for us.

So critical mass at a total level, like you said, close to INR 90,000 crores – INR One lakh crore s is one. But in individual, there are very few wealth management outfits, which have been able to reach INR 50,000 crores of AUM in their distribution assets. So we always thought that was critical mass.

Once you get to critical mass, you're collecting a certain kind of client. See, what is different about Anand Rathi is we don't take everybody who has short-term mindset , long-term mindset, greedy mindset . We filter our clients very, very clearly that we'll be able to do 13% to 15% with a beta of 0.6 with Nifty. If you are very aspirational, you please go the full circle. You'll realize that it is 14% - 15% compounded over 10 - 15 years is very good.

So point is absolutely right. Critical -- this business is all about critical mass. Because HNIs love to go with larger outlets. That's why quite a few wealth management outlets inflate their AUM so that they can create a very good pull from a client stand point. So people count my assets in theirs by taking an advisory agreement of INR 4 lakh, they're accounting INR 200 crores. So point is, yes, critical mass is important. This business is all about mass and time.

So will we increase the rate of growth? I don't think so, because with the base being larger, the quantum of rupee value is higher, but percentages may not increase because INR One lakh comes to INR 25,000 crores, 25% of growth.

So will we be able to sustain that growth? The answer is a big yes. Will it be easier to sustain that growth? The answer is a big yes, after reaching critical mass. Will you be able to attract more like-minded clients? The answer is yes. But will we up our guidance of growth numbers? No. We are only working day and night to increase the chance of growth rather than the growth itself.

If I've given -- or my boss, Mr. Raval, who's also my professional guru, has given a guidance that we will do 20% - 25% of growth in 10, 15, or 20 years, then we are only looking at how do we enhance the chance that this statement becomes more and more credible with 30 , 50, 100 results? It's just 16 so far. So no upping the percentage, upping the probability. That's what it will do.

Second, new families and fresh clients, both have seen some reasonable numbers. 65 % is from existing currently and 35 % is from new. Why is it 65 -35? It could also be 50 -50, but we are very relaxed when we attract the client. We don't tell them , you give us INR five crores, then we will do your wealth management. We say give us INR one crore s, if we do our bit, then there's no ANANDRATHI

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reason why you will not give me a large portion. So only thing we filter is whether he's got One million dollar plus to give us if he so chose to. We let him start with INR 1 crore s.

So the ratio is 65 -35 because we don't put a gun on the head to start big. We think that if we deserve, we will get it . HN

I is a smart community is the hypothesis . That's the split, two third and one third . And yes, and I think getting references, people are now taking pride that's the critical mass. Our clients are taking pride to say that we deal with them, and they're referring their friends and their confidence has come up on us. So that's why first time we ever touched 200 client acquisitions in the single month in September.

Bhavin Pande : And your outlook on the market, given the way we are seeing consumption boost and government initiatives and the same?

Feroze Azeez : Yes. Sorry, I unknowingly dodged that question. We personally think that when it comes to market, our -- we try and answer simpler questions whether in the next 3 years, will Nifty give more than median return ? Median return of Nifty is 11.1 2% median return, mean return is 13.5 – 14%. We expect in the next 3 years, Nifty will deliver the 90% chance of a greater than median return on Nifty, one. Second question we ask ourselves is, what are the odds that there could be a catastrophic fall ? The probability of a catastrophic fall is near zero because we believe that everybody is light on the market. Margin funding books are light, FII short positions are 92%. FII's net flow over the last 4.5 years after COVID is zero, DIIs are sitting on inflows, INR 29,513 crores has come into September SIP. So mutual fund people are saying if I sell it, what will I buy next . Of course, a lot of mutual fund analysts would be on this call. So the point I'm trying to make is DII is loaded with money. FII is already sold. FII in future market is negative. Margin funding books of top 5 brokers are not at the peak. So catastrophic falls are unlikely even if U.S. tried their best for our markets to fall. That's why resilience is there.

So lowest negligible probability of a catastrophic fall, what do I mean by catastrophe fall is, more than 15% fall and the median return probability is upwards of 90. And with that kind of an assumption, can I deliver 13% to 15% for my client with 0.6 beta ? That's my proposition on the objective of numerical delivery.

Moderator: The next question is from the line of Arun Gopal an Individual Investor.

Arun Gopal : I really appreciate Anand Rath's statistical approach to the market, which is so uncertain. So that statistical approach gives a lot of confidence as an investor and as well as a client of them. I've got 3 questions, basically. One is we wanted to know the revenue stream and the product mix between the revenue stream between mutual funds and structured products.

And the second question is now a lot of emphasis has been based on structured products, vis-a-vis the market competitors, which sounds logical because the plan B is now right time to be activated because the markets are hovering around. So I wanted your view on that. And the third one is where do you and your team see Anand Rath in the next 5 years?

Feroze Azeez : Thank you, Arun sir, for your question. MF & S P revenue stream, we had guided that we will get to 50 -50 over a period of time and we are working extensively for a revenue stream to be balanced, S P 50 and the other is 50. Have we gotten there? May not be. We might be at -- how ANANDRATHI Private Wealth. uncomplicated

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much? 43 - 44? Somewhere in the 43 - 44 kind of range we are. We are trying to get to 50 -50. So that's what long term it will be is the prayer and our effort.

And to do that, what gives credibility to the statement, you would see a 2.33% market share in net flow for the first half year. And we have lakhs and lakhs of IFAs in India. We have NDs, national distributors, banks, all of them have brought in a net flow of 97.5%, for example, and Anand Rath 382 RMs, 386 now have brought in 2.33% of net flow in active equity mutual that's called credibility. So that tells you what

here we will get to 50 -50 or at least are we attempting to do 50 -50 and a hardest attempt is being made. That's point one.

Second, market should I put money in the market or S P, we generally don't tilt ourselves either way. Like my portfolio is 65% equity mutual fund, 35% structures. Wherever there's a gap, if I got a bonus, if Rath ji felt generous and he gave me a bonus, I would split it 35 or whatever is the gap in my proportions of the strategic allocation.

If we do that mechanically without getting biased on the recent performance, quite a few of our clients sometimes get carried away when the markets do very well, they are averse to structure products, when the markets are bad, there averse to equity mutual funds.

But we try and guide them mathematically. That's why you see INR 2,000 crores – INR 2,065 crores has come in equity in the last quarter. So it makes me feel happy that when the market is down, we are able to explain to the clients that we have to buy now. I agree that you won't feel like buying. Your heart will say that you don't want to buy at all. Your mind should say that you should buy. So we try and not gravitate towards either. Do we -- plan B, do we very strongly recommend? The answer is yes. People say, why do you recommend? Quite a few competitors say structured products, they are vested interest. Okay, you don't understand. But if you look at 1,059 structured products, which have matured from December 2020, have given the maximum possible return they could have given. So we use all Monte Carlo simulator, all our understanding of derivative to design a product, which is not the most attractive to see, but more than probabilities the estimate.

So from -- for the last 5 years almost, all products, which have matured, which is 1,059, which is almost one every working day, the same kind of product, of course. All of them have given

the maximum possible return, because there's a lot of technical expertise, which the product team brings. So that's the market and SP -- Nifty -- mutual fund and SP split.

Where do we see ARWL in 5 years from now from an Anand Rathi shareholder standpoint, we plan for September 2030's revenue, like yesterday, we were discussing, September 2030 revenue, how much of that is done for me. If I have to grow my business in next 5 years at 20%, I need INR 236 crores revenue in September '30. If I grow my business revenue at 25%, I need INR 289 crores.

How does that break up between trail and structured products, which will mature 5 years from now, you would see that there's an implied 18% - 19% growth, which we plan for 5 years from now. So that's from a shareholder standpoint, revenue of September 2030, how will it be? ANANDRATHI Private Wealth. uncomplicated
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Because structured products mature has doubled the money and there's a rollover option. So that's on the revenue side.

Now comes to from a client side, we have a target of making INR 125,000 crores of mark-to-market gain for our clients. If I have INR 91,000 crores, if I grow money at 14% - 15%, I can get a mark-to-market gain for my clients of INR 90,000 crores on the current assets.

If I collect INR 1,300 crores, INR 1,400 crores every month, then I end up collecting almost INR 90,000 crores again over the next 5 years. That also can give me a mark-to-market at 14%, 15% or INR 40,000 crores. So our aspiration for the client is how we can make a profit of INR 1.25 lakh crores and keep the risk limit for the clients within the next 5 years. Arun sir, does that answer?

Arun Gopal: Yes. That does answer my first and the third question very clearly. But I just wanted you to throw some more light on structured product because a lot of this -- a lot of the new clients were coming in, on-boarding onto the structured products. They look with a lot of scepticism into the

product. It's probably they don't understand the way it works, or if they find it as a hidden agenda. So sometimes if it can be explored a little more, structured products as a safer product plan B on your investment horizon, how it works out, that would be a little helpful for all the other people who are sitting on the fence and then trying to see which way they go?

Feroze Azeez: Structure product is nothing but a bond. A bond which does not fix your return, it gives you a variable return depending on the underlying, which in this case is Nifty, right? So what risk do you carry? Nifty risk, market risk is most explicit in this product. If Nifty delivered this, this is what you will get. So 5 years later, you have to turn on TV and see, for example, what is Nifty, what is the liability of the product towards you?

The second risk is, how is the money kept? The promise is one thing. Promiser is the next. If the promiser is alive is when he will fulfil the promise. How is the money which Anand Rathi Global Finance has deployed? You will see 63% of that money is in investments, in Demat Account. So that I'm sure my colleagues will take you through if you have had that discussion.

Secondly, of course, people -- competitors have always been predicting our default for the last 13 years. So -- but if you look at how the money has been deployed. You will realize that an NBFC is managed and very, very carefully and without any greed on NIM can have a very, very good credit risk management, and that's what we are proud of. And if you look at the Z score of the NBFCs, which we filter. There are about 9,500 NBFCs. So we do bottom-up, try and have these three filters on all the NBFCs. And we have currently been able to approve only 2 of them. One is Anand Rathi Global Finance and another external. Gopal sir, sorry, my memory doesn't serve me right. Vishal ji, who is our Investor Relationship Head, prompted me that we did a 3-part series for everyone to understand trade bear. And that you can always get it from Vishal ji and that's very exhaustive. We are planning to do more series if people want to understand, secondly.

Arun Gopal: Definitely. I'd love to get the series. Thank you very much.

Feroze Azeez: If you can -- yes, will get e-mail ID of yours. ANANDRATHI Private Wealth. uncomplicated
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Vishal Sanghavi: Yes, we'll put it up on the website, once trademark addition.

Feroze Azeez: Yes, it will be put on our website, Arun sir.

Arun Gopal: Okay, thank you very much. I'll pick it up from the website. Thank you.

Moderator: The next question is from the line of Jyothesh V from Qapita. Please go ahead.

Jyothesh V: Congratulations, first of all, Feroze. I think my question was earlier asked. I think throughout the year, the biggest strength or one of the biggest has always been the attrition rate. And if my observation has been right, it is going down the line as well. How do you plan about working on this and working towards this?

Feroze Azeez : Mr. Jyoti, right?

Jyothesh V: Jyothesh .

Feroze Azeez : Jyothesh , if you look at attrition, of course, there will be some attrition here or there. But when we look at our revenue, like I told you how we plan the revenue of 2030 September because all our structured products have a rollover, right?

Now -- okay? It means that the revenue, if I've done x amount of structured product sale in September 2025. Give or take September 2030, the same thing will mature with a certain 14%, 15% return, which means let's assume 15% for the moment, for argument's sake. Then if I collect INR 100 crores this year, September, 5 years later, there's INR 200 crores to mature, right? It is very -- it's lesser effort for a person to roll that over for the next 5 years. And not exercise the put option. So my revenue streams, if at a company level are reasonably

stable because we have

a trail revenue, for an RM also, it isn't like we were doing, we were doing some math for one of the RMs whom we internally call Singham, okay?

So his trail revenue is INR 19 lakhs. INR 19 lakhs in the next 5 years, if his AUM double, then he has INR 38 lakhs of revenue in September 2030, and structured product sales for last month was INR 4 crores. So if that matures as INR 8 crores. He has INR 8 more crores to mature then . So his total revenue for September 2030, 80% is done sitting today.

So will an RM has -- either -- the company has to ill-treat an RM or somebody who's got private equity money wants to throw 4x the salary and then later pressure him, he can leave, but most sensible people will automatically look at getting a trail income and putting their business on autopilot.

So these attrition numbers, which you see are not going to last. There are some differences we have on the cultural side. I don't want to spell out the specific reason of letting go of two people and their friends to more people letting go . On the call, I highlighted last time as well. So you can expect some attrition where there are cultural misfits, but not an exodus is my belief, so far.

Jyothesh V: Thank you so much. Once again, congrats to the entire team. ANANDRATHI

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Moderator: Thank you. The next question is from the line of Priyam from Trinetra Asset Managers. Please go ahead.

Priyam Shah : Thank you for the opportunity. Sir, my question is that, if you look at our yield to assets, they are much, much better than everyone on the street. And frankly, that is because of our key strength being structured products. My question is that as our AUM increases to five years down the line or 10 years down to say, INR three lakh crores or INR four lakh crores. Obviously, I'm expecting that structured products would be INR one lakh crores, INR 1.5 lakh crores at that time.

My question, sir, is that in this product, we are essentially not taking a market risk. We're taking some credit risk and as this category grows, is there enough good credit available, a, and b, do you think that the yield on structured products will remain the same? Or will it come down as we keep growing?

Feroze Azeez : Sorry I missed your name. I'm so sorry.

Priyam Shah : Priyam Shah.

Feroze Azeez : Priyam Shah, one is when you call yield, yield is always per annum, right? So if I look at yield, both mutual fund gives me 1.09% post -GST. For the 1,000 products which matured in structured products, if I calculate as per market value in the same method, how mutual fund gets calculated, my yield is somewhere between 1.15% and 1.17%. So yield -wise, both are identical.

Recognition wise, they could be different, one.

Second, if structured product becomes a INR one lakh crore, INR 1.5 lakh crores, is there enough good credit? Anand Rathi Global Finance, our confidence there is 99.99% because of the kind of management and their liquidity of the balance sheet. Do I have so many NBFCs who are ready to manage it in a liquid way, the way Anand Rathi Global Finance manages? The answer is no.

There are so many NBFCs who want to take money in structure product, but I don't feel like lending them . The person to whom I intend to lend money does not want to take it. The one who I don't want to lend says I'll give you structured product returns, why 14% of Anand Rathi, I'll give you 17%, 18% with the same product specs.

So -- but is this business scalable to INR1 lakh crores, INR1.5 lakh crores? You can believe it or not, my judgment, yes, very, very easily. Now why so is a separate story. Most of the things

which somebody will just see as an output would not have credibility. But yes, that's how it is. So -- but yes, INR1 lakh crores, INR1.5 lakh crores, INR2 crores, INR2.5 lakh crores, this

industry can grow very easily. So that's my judgment.

Priyam Shah : Sure. And sir, just a follow -up question. Do we -- are we -- we are focused on all of our areas. But going ahead, do you think that we'll be more focused on the equity part? Or will it just be as it is right now, or any new products in the angle?

Feroze Azeez : It will only be focused. Our focus is single -minded, obsession, I would call it, clients' objective. That's my obsession as a company. Everyone who is there says that let's assume if the client ANANDRATHI Private Wealth. uncomplicated
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wants to deliver 14% return with 0.7 beta, which is the simplest way to achieve it. If equity mutual funds can't do it, I'll replace them with PMS. If PMS' s can't do it, I'll replace it with AI F. But the focus is clients' objective. That's about it.

And if you are able to deliver for the client, if our hypothesis of client is smart, he will give me a lot more penetration capability into his wallet and his client preference. So we keep checking on whether I'm missing out or not missing out. So what I can do is everything what wealth management companies, other companies do, I can do , because nobody stops me doing AI F. But can other wealth management outfit survive on only two product lines? Difficult. The converse is not true. I can do whatever, which helps my odds of achieving a certain object. So that's the focus. Might seem very idealistic, but yes. That's that objective.

Priyam Shah: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah : Yes. Hello, Feroze, everybody on the team, a big, big hi. So thanks once more for this stupendous performance. I really need to congratulate each one of you with Anand Rath. Thank you so much. Sir, my thoughts is around this. I think Feroze, we have worke d out how we scale up employees in the organi sation. We have got a process in the organi sation. That is really commendable. Similar applies to even clients as well in terms of acquisition, etc etc.

One point I want to make to you is, in terms of our structured products, now there was a three part series Vishal and his team, they nicely explain everything. The AUM that we have in structured products, as I see from the presentation, is 27% of our AUM is in structured products, roughly, about INR 24,700 crores, so let's round it off to INR 25,000 crores.

So we are really diversified, whether in terms of dependency on one employee or one client. We are totally insulated from any vagaries on that front. But in terms of the structured products, our concentration risk is high in terms of the Anand Rath Global Finance, just highlighting .

So if we can look at diversifying, as I made some three different options where the diversification can happen and in due course of time, all the senior management, including Chethan and all can take a call, but just wanted to share the names in terms of NBFCs, where are all these guys, Bajaj Finance, Tata Capital, Muthoot Finance, Shriram, HDB, they're all established. That's one category of NBFCs, which can be approached, explain this thing and eventually, this relationship can be developed. So that we diversified from Anand Rath Global Finance . The second set is the global bankers like the Citi 's and HSBC or JPMorgan, etc etc. And the third is the broking community, which are now listed. So the likes of Motilal Oswal, Edelweiss, IIFL, Kotak and Nuvama.

I believe in the past, we have had such a structured product thing with Nuvama and Edelweiss.

So just wanted to share how we can minimize the so -called risk in maybe my mind, investors' mind or the longevity point of view. That was the thought which I want ed to share with you,

Feroze, so I would like to hear from you, please. ANANDRATHI

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Feroze Azeez : Thank you, Sunil sir, your suggestions are always very valuable. I think the three part series was also your suggestion, if I remember right. I'm very, very grateful to you. Absolutely, your concern is well noted. Is diversification on the cards? The answer is a big yes. Have we approved one more just now again? Nuvama, like you mentione d. Since you mentioned, I'm mentioning, they are again there on the platform, then coming to which direction of diversification, which you suggested.

The problem with one -- Kalpesh, are you there? Okay. He's hearing. So anyway, so Kalpesh, who did the three -part series, will tell you how we look at evaluating from the 9,000. Our first criteria is at least half the money should be invested rather than lent, because when you have derivative positions, you need to have extensive margin always at all points in time. If the margin is INR 10 - INR20, you should have INR 50 out of your total money collected. So that's one. Now of course, these big names, which you said, they are very, very good names. If they start issuing structure products, I would be the first one to actually approve them. The problem is structured product, any company which can borrow at 8%, 7% without doing too much would not want to do all these efforts, to borrow at the same rate, right? That's my only challenge. The one who I want to lend money to, does not want to take it. They say directly, I'll do a mutual fund placement, straight. Why will I take INR 500 crores from you or INR 300 crores every month for the next 20 months. So that's one challenge. So if -- Sunil sir, if you suggest, I'll do another one-part series or a two-part series, Kalpesh, which says how do you evaluate? What are the three, four filters which we use, how do we use that score to evaluate? Actually, we had approved two of them both of them went through trouble much before we exited, right? Because that's because of Kalpesh Koradia, who heads this division, has been heading this division for 13 years now. And so his assessment of credit risk helped us get out of two other issuers well before they went into trouble. I'm not going to name them, but though one of them was called AAA, unfortunately, right? But we will do this one-part series. And we are looking at diversification, point noted, sir, you will hear some more news from us.

Sunil Shah : Sure. Thanks so much for all the efforts and please continue scaling higher. Thank you so much.

Moderator: Thank you. The next question is from the line of Mahek from Emkay Global. Please go ahead.

Mahek: Yes, hi. Thank you for the opportunity. Most of my questions have been answered. Just two questions. So if I look at the net inflows, the equity MF inflows as a portion of the overall inflows constitutes around 70% roughly for Q2 FY '26 as compared to 52% for the earlier quarter, that is Q1 FY '26. So could you give any particular reason for that and secondly if I look at your finance expenses that have increased sequentially by around 21%. So what could be the reason for that? These are my two questions?

Feroze Azeez : Firstly, what number you said, great you've noticed that. I'm glad that you did. This just proves to -- or at least add credibilities to Sunil sir's statement saying that you are process driven when it comes to clients. You are process driven in terms of people growth. Now that's the data which you have said. ANANDRATHI

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When the markets are down, let's assume one of my client has INR100 with me. If he gets INR 20 more. If I have to divide this 65 -35, INR13 needs to go into mutual funds and INR6 -- INR7 needs to go into structured products. When the market is down, the gap in mutual fund becomes larger because the other portion INR100, 65 -35, when the

market is down, this 65 has become 60, structure has not fallen.

So where is the gap more? The gap is in mutual funds. So when you allocate money as per a process rather than a top of mind recall, it's easier to sell a structured product last quarter, because mutual fund from last one year has not given a performance and client was saying what he is trying to purchase. But if you go as per the gap sheet of where the gap has emerged, when the markets are down, you will buy more mutual fund. And last year same quarter, markets were up, if you remember on 26th of September 2024, Nifty was at INR 26,217 which was the peak. Peak, it established in the last quarter same year. That time, I only had a larger -- only 52% going into mutual funds because the mark -to-market was higher. Does -- was I able to articulate what I'm trying to say?

Mahek: Yes, I got it.

Feroze Azeez : Instead of heart we allocate through the mind. According to heart you have to purchase the structure last quarter, but according to mind you have to purchase the mutual fund.

Mahek: Got it, sir. And secondly on...

Feroze Azeez : Yes sir. Go ahead.

Mahek: Yes, I was telling secondly on net finance expense relating?

Jugal Mantri : The finance, Mr. Mahek, what happens that wherever -- as and when the lease rentals get renewed. So like this year there were a larger number of lease rental got renewed. And as per IndAS under -- IndAS 116, part of the lease rental has to be booked under finance charges. And that is why the largely like whatever finance charges, which has been booked around INR 2.5 crores in the first half is on account of the renewal of the lease rentals. And I think we have taken some car loans of about INR 10 crores last year, INR 20 crores. So there is an increase of the cost on that car loan also on account of that. So that is the reason finance charges have gone up.

Mahek: Got it, sir. Thank you so much for your goods and all the best.

Moderator: Thank you. The next question is from the line of Shrenik Mehta from Indoalps Wealth . Please go ahead.

Shrenik Mehta: Hi, Feroze, congratulations once again for fantastic results. My question was a little more on the longevity front. The way the company has performed in the last few years, do you see this performance without any new platforms to be created to continue in the next 2 to 3 years as well and primarily focusing on how you're delivering on the PAT growth and also very high ROE.

Do you see this in the same manner going forward? ANANDRATHI

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Feroze Azeez : Yes, Shrenik sir. One is, of course, God only will -- time will unfold. But our attempt is to keep the ROE high, you've also seen that we have given a INR 6 interim dividend on an increased number of shares. Second, from a predictability standpoint, we believe that the four engines, we believe, of course, so many externally may not be able to believe that there are four cylinders to this growth, Shrenik sir. One is if I deliver very good performance to the client, risk adjusted, of course, not just return, then my revenues go up automatically. That's called the implied growth. There is an implied growth, client deserve 10% so for next year revenue 10% has increased and in that client attrition has to be second decimal or at least one decimal, if not second decimal. Then you have the implied growth. Then you have your existing RMs who can manage 6,000 clients extra more than what we have today. So no new plant and machinery, we have more number of clients. So RMs also do well. They get more clients and they feel more satisfied when the other family clients refer. That's the second thing, capacity utilization. Third is penetration. Most of our clients, since we don't push them -- so these three cylinders plus the new RMs. We already know who are our next 100 RMs. O

f course, our AM attrition has been high . We're trying to address that, but since we don't do lateral hires, my cost of a new RM building his life is immense patience and very low cost. You would see that lateral hires are not even 8% - 10% of our total last 100 RMs, that means that I give plenty of money to someone and bring it and I put a pressure on him that why didn't the client come. So all these four legs of growth, new RMs, existing RMs, new clients, existing clients or monies which are outside and the client growth put together in our firm belief is for long periods of time, 20 to 25. But with the base going up, would I say that the last 16 quarters , our median growth is 33%. Mean is how much? Mean is also 33. This quarter is 31. Can these 30 normalize to in the 20 -25 range as the values become bigger as a base? The answer is yes.

Shrenik Mehta: Okay. So you don't think there is any need for new drivers like international markets or any other diversification that is really required to sustain this kind of growth?

Feroze Azeez : So one is, I think our RMs, we didn't -- don't give them targets. So they dream well. They dream well, they don't have a geographical restriction. So today, an RM is actually acquiring a client in Abu Dhabi, who's been referred sitting here in India? The answer is yes. So coming back to what all do we need to do to sustain this? There are several things. Does it mean that I have to start other businesses for that? May or may not be. Are we doing more on the Gift City side? We took an approval yesterday from the Board that would be there in a minute. Are we doing domestically for NRI investing in structured products? Are we doing something? The answer is yes. We are trying to solve the Tax issue with U.S. NRIs? The answers, yes. Have we applied for Bahrain license representative? Yes. U.K. license? Yes. Do I see these as ideas to protect growth? No. I see them as the right things to do. What we see as protection of growth is to reinvest in some four - five things. We are already investing in technology. You will see that we are doing a beta test of a app called Uncomplicated by ARWL, trying to make technology our strength, investing in HR, investing in operations. These things we will do. So will we sustain the margin of 46% PBT? That's not the intent. We'll reinvest back to ensure that the probability of the 20% - 25% keeps in creasing with each passing day.

So that's the strategy. So do we need more things? Yes . But are we worried about the 20 - 25?

No. Do we have to strengthen several verticals, Rakesh sir says, strengthen everything , right. ANANDRATHI

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Rather than just try and say let's do new stuff. Does it answer, sir? Right or wrong, that's what we discuss in our office.

Shrenik Mehta : Yes, absolutely.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Yes. Hi, sir. Congrats on a good set of numbers. Sir, just on this, the distribution of financial products part, which is largely the structured products, is there a seasonality? Because generally, we look at Q3 and Q4 run rate in terms of revenues is lower than Q2 and Q1, but we've seen it in FY '24 as well as FY '25. Now is there a seasonality in the way it kind of works in this segment?

Feroze Azeez : So you're saying Q1 and Q2 is higher, Q3 and Q4 is lower?

Prayesh Jain : Yes. And that we've seen in FY '24 as well as FY '25.

Feroze Azeez : No, there's no seasonality. What happens is there could be -- now, for example, an RM is given the freedom to plan his business, one, okay? So, it could be different energy levels in the first half and the second half, marginally. But second is, like quite a few analysts were worrying and making me worried, saying that your maturities won't come till 2 ye

ars, till August. So the

seasonality, if there was any, was when we moved after COVID in August 2020, we learned that we did one mistake that if you make a 3-year product, and then at the end, if he doesn't get the return, he was provisioning a great return, but then he got back capital. I can say, sir, you got that capital during the peak of COVID, isn't that good enough? You could have bought NIFTY at 7,500, but that still doesn't suffice. So we moved from 3 year to 5 year in August '20, which implied that my maturities from August '23 to August '25 were dried up because we were doing -- we have moved to 5 years. So that was one of the seasonalities. That was because we took the right call of moving from 3 to 5 years, and that was actually very good. Otherwise, I would have had some maturities where there wouldn't be so much gain for the client as of now. So that's the only seasonality I can think of. Unfortunately, unlike most people's prediction that my mutual fund market share will go down because I don't do cheap, beautiful, durable. And my structured product will also be very difficult to do, but that August '25 bad period is over.

Prayesh Jain : Right, right. And sir, generally, you've been kind of delivering stellar returns on even this portfolio, right, structured portfolio, the structured products portfolio. And why is it that you kind of want to grow this business at a slower -- relatively slower pace versus mutual funds?

Feroze Azeez : Not at a relatively slower pace, sir. If I look at 65-35, which is the allocation, you will come to -- so that we have -- we're not growing at a slower pace. Now I think one of question, somebody has asked, they told that 27% -- Sunil sir told that, 27% is in structured products.

So when I allocate money, if the client has chosen 25% in structured products, 10% in debt and 65% in equity, which is a 14% expected return with a beta of about 0.5% or 13% expected return with a beta of 0.5%, I will go with the proportions chosen. ANANDRATHI

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So, I'm not trying to doctom my product allocation as per the revenue I need or my belief in a product. I'm again marrying it back to my clients' objective. There are several clients we said we will not take your money. If he says take this INR 2 crore s in structure d product . We said, we are not interested in selling a product. If you don't tell me the full asset s, it becomes difficult for me to address even 10% of it.

So, coming back to the question, I'm not either trying to grow one leg or another leg. I'm putting in a lot of effort to bring more money in equity mutual funds when the market is down . Which implies the market will bounce back, so my client not withdra wing money. Now you see September number in the industry, ironical and I feel sad as an industry participant. The net flow in September is INR 30,000 crores, total. And SI P is INR 29,500 crores. It means total H NI altogether for India is INR 500 crores to be put in equity mutual. Isn't that -- that is the month where you would buy. The average of NIFTY is 24,700, right? People buy what -- people sell what is -- what people buy. That's exactly the opposite you have to do. Clients will always be attracted with their heart because it hurts them to see no return for 1 year and gold has become 55%. So you have to counsel them and say, sir, please don't have recency bias, that's the biggest pitfall of in vesting. So I'm not saying I will sell more mutual funds. I will sell more mutual funds at the right time because I am plugging in gaps rather than selling what sells. Trying to, let me correct myself. Trying my best. Am I succeeding everywhere? The answer is a big no. Am I 5 on 10? The answer is yes. Will we improve? God knows. But will we try? Yes.

Prayesh Jain : Right. Sir, this question -- another question is on gl

obal your Anand Rathi Global Finance

Limited, gross NPA books on FY '24 was 2.15% , while it kind of improved significantly to 0.61%. I don't know whether this is a platform to be asked that question, what drove that improvement. Any thoughts or any color that would be helpful.

Feroze Azeez : Anand Rathi Global Finance is one of the best credits I have seen in my professional career. I have been into a structured product from June 2006, where Reliance on their PMS platform issued a Merrill product. From there on, if there is any credit, which you -- of course, this is a microscopic question saying that how is your NPA done? It is the meticulous management encompassed in an adjusted Z -Score, you can calculate how -- by Altman Z -Score, Altman 1964, Edward Altman made a score, I'm sure all of the learned people here would have known. And that's a very good predictor of default risk and they've improved every single time. That's how meticulously it's managed.

So, of course, there is a lot of lending also given to Anand Rathi Wealth Limited clients, which is against mutual funds. So INR 3,000 crores to INR 4,000 crores, INR 5,000 crores is lent to our own clients against mutual funds, okay, which, to my mind, is like the most safest lending. So if you -- of course, Jugalsir will be the best one to answer, sorry, why am I taking it away from Jugalsir, would you want to take this question?

Jugal Mantri : No, we have been maintaining the GNPA and net NPA under 1%. And the number 2.6%, I think what he is referring that pertains to post -COVID, it was 22 -23, not in '24, it was 2.6%. It was about 1.26%, which has come down to 0.6% in financial year 2025. But anyway, if you need any clarification or exact number, you can get in touch with Vishal. He will share with you the data. ANANDRATHI

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The only good thing which we have been doing in NBFC is that philosophically, whatever balance sheet breakup, which is there, about 60% - 65%, which we have in government securities and AAA bond and the lending, which we have done, one of the major principles which we follow is we don't take any undue risk. And all our portfolio is secured portfolio. We are not doing any unsecured lending over there. And the business we are in is not the lending. It is the collection business. The whole focus is on that. And that is what ensures that our net NPA is one of the best in the industry at 0.4%.

Prayesh Jain : Got that. Last question from my side. Feroze, any guidance on how should we look about cost going ahead into FY '27 -- '26 full year and FY '27 in terms of employee cost and overhead. So basically looking at how the margins should kind of pan out.

Feroze Azeez : Yes, the margins -- see, the one expense we love is the employee cost, okay. Employee, it's like we call it the sweet expense because it's getting credited into individual bank accounts. So that is a very formula -driven thing, okay? And that formula has not changed for the last 18.5 years now. So that is a very static cost. When people who are not in the bonus category get into bonus category, there is some degree of operational efficiency possible there.

Second is, we have always kept a benchmark, Rakesh sir says, PBT should not be lower than 40 and PAT not below 30 (here it is in %) . This -- is this the number which we internally want to keep it sacrosanct? The answer is yes. So, till that time, we like to reinvest, but can you expect a margin of 30% - 32% - 33% on PAT for the next couple of years? Yes. But 30% is what is my mandate. Otherwise, Rakesh sir will show eyes.

Prayesh Jain : Got that . Thank you so much .

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Feroze Azeez for closing comments. Over to you, sir.

Feroze Azeez : Yes, thank

you so much, everyone. I'm sure you're tired hearing my voice. But yes, I'm again there to give you a conclusive remark. I'm so grateful to you to patiently listen to us, patiently trust us over the last 16 quarters. I pray that this Diwali season, Samvat 2082 is the best for you so far. And may you have a great week ahead.

And if you have any questions whatsoever, please feel free to reach Mr. Vishal Sanghavi, our Investor Relationship Head; Rajesh Bhutaraji, who's been our CFO for several years .

And happy Diwali in advance to all of you. Thank you, Jugalsir, who join in, and thank you, Chethan, Vishalsir and Rajeshji, to be a part of this call. Thank you . What was the name of madam? Swapnil madam, thank you so much.

Moderator: Thank you very much. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. ANANDRATHI Private Wealth. uncomplicated

Call: Jan 2026

Ref No: 93/2025- 26

Dated :19th January , 2026

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited, Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q3 & 9M FY2026 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q 3 & 9M FY2026 earnings conference call dated 13th January, 2026. The transcript is also available on the Company's website at <https://www.anandrathiwealth.in/financial.php>.
This is for your information and record.

Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Pravin Jogani
Company Secretary and Compliance Officer

Enclosed: as above

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Anand Rathi Wealth Limited
Q3 and 9M - FY26 Earnings Conference Call

January 13, 2026

MANAGEMENT :

- MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
- MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
- MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
- MR. VISHAL SANGHAVI – INVESTOR RELATIONSHIP HEAD

Anand Rathi Wealth Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the earnings call of Anand Rath Wealth Limited for Q3 and nine months ended 31st December 2025, hosted by Anand Rath Wealth Limited. As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing start and then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Feroze Azeez, Joint CEO of Anand Rath Wealth Limited. Thank you, and over to you, sir.

Feroze Azeez: Thank you, Swapnali. Good afternoon, everyone, and thank you for joining the Earnings Conference Call for the Quarter and nine months ending 31st December 2025. We are here joined by the Group CFO, Mr. Jugal Mantri; the CFO, Mr. Rajesh Bhutara; and the Head of Investor Relations, Mr. Vishal Sanghavi.

Of course, you might have heard or read about we having lost one of our core constituents. Both emotionally and professionally, it's a very, very damaging blow for us, Mr. Chethan Shenoy, who was the product Head. For me, personally, it's been a very big loss, because I've been his friend and colleague for 21 big years. He is one person who started the product team practically. He was the oldest product team member. The 160-member team was built brick-by-brick by him. So, we feel very sad that we don't have him since November with us. His legacy will always be an integral part of our culture.

In his memory, we've opened a Mangalore office, which has been his hometown to give Shradhanjali to him, and we will fulfil all his professional dreams he had for Anand Rath Wealth Limited as a group of professionals.

Now coming to the company's performance. Our profit after tax for the Q3 grew by 30% year-on-year and crossed the INR 100 crore s mark for the first time. The total revenue grew by 25% year-on-year of the same quarter last year and reached a INR 306 crore s number.

As guided earlier, our company has had this aspiration of being consistent, and this becomes our 17th quarter where we have delivered a PAT growth Y-o-Y greater than 20%. And we also have indicated a certain expectation to our shareholders that we will try and deliver market -agnostic performances being a financial services company. We have tried our best to do that. And with God's grace succeeded this 17th time as well.

During the nine months period of FY '26, PAT grew by about 29% year-on-year to INR 294 crores, while the revenue increased 21% to INR 897 crores. During the first 9M of FY '26, we have achieved 76% of our full year revenue guidance, which is INR 1,175 crores, and we hold the same guidance. And 78% of our full year PAT guidance has been penetrated into, which was and which remains INR 375 crores.

Now I'll hand over the call to Mr. Jugal Mantri to give you all the business and financial performance of the company in detail. Jugal sir, over to you, sir.

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Jugal Mantri : Thanks, Feroze bhai. Good afternoon, everyone, and wish you all a very happy 2026. First, I will give brief about the business performance. Total AUM grew by 30% year-on-year to INR 99,008 crores as on December 31, 2025. During 9M FY '26, our total net inflows registered a Y-o-Y growth of 10%, reaching INR 10,078 crores and equity mutual fund net inflow achieved Y-o-Y growth of 4% to INR 6,082 crores.

In our flagship Private Wealth business, in the last 12 months, we added 1,800 + new client families on a

net basis, bringing our total number of client families to 13,262. Client attrition rate in terms of AUM lost for the 9M of FY '26 was just 0.31%.

Digital Wealth business, which is B2B2C business, registered AUM growth of 29% Y-o-Y to INR 2,359 crores and number of clients increased 19% to 6,858. OFA business, which is a SaaS platform has 6,850 subscribers with platform assets of INR 1.62 lakh crores at the end of 9 months ended 31st December 2025.

Now let me give you all brief about Q3FY '26 consolidated financial performance. Our consolidated total revenue for the Q3FY '26 stood at INR 306 crores compared to INR 244 crores in Q3FY '25, registering a 25% Y-o-Y growth. Our Profit After Tax stood at INR 100 crores, registering a 30% Y-o-Y growth compared to INR 77 crores in Q3FY '25. Profit After Tax margin for Q3FY '26 was at 32.7% as compared to 31.6% for Q3FY '25.

Now to move ahead, let me give you all the brief about 9M ended 31st December 2025 financial performance. The revenue for 9M FY '26 stood at INR 897 crores compared to INR 739 crores in 9M FY '25, registering a 21% year-on-year growth. Mutual fund distribution revenue also grew by 21% Y-o-Y to INR 366 crores in 9M FY '26.

Profit After Tax also grew by 29% Y-o-Y to INR 294 crores for 9M FY '26 compared to INR 227 crores for 9M FY '25. Profit After Tax margin was 32.7% for 9M FY '26 which has improved from 30.7% for 9M FY '25. Return on equity on an annualized basis stood at 47.33% for 9M FY

'26 compared to 44.8% in the corresponding period last year.

Now, I would like to request all participants to - and request the moderator to open the floor for question and answer. Over to you, Swapnali.

Moderator: Thank you very much. We will now begin the question-and- answer session. The first question is from the line of Pranay Sethi from Alpha Capital.

Pranay Sethi: Hi, sir. This is Pranay from Alpha Capital. I have two questions for you. The first one being your competitors are doing a mix of both advisories and distribution model. So, why are you guys still sticking to the distribution model?

My second question being last time around INR 4,000 price is where you guys came out with a bonus, right? And currently, looking at the price, I think we're just heading towards the same price. So, do we expect another bonus at the INR 4,000 level?

Feroze Azeez: Pranay, thank you for your questions. The first one is a very interesting question, very frequently asked to me, why is Anand Rathi Wealth Limited one of the few, if not the only one, who has Anand Rathi Wealth Limited

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chosen only a distribution, not an advisory? We strongly believe that a company ideally cannot de-mark it and do both at once.

Why is that so? Because if you look at other wealth players, some of them listed, some of them unlisted. Unlisted, I've had conversations across - with them. Not more than 8% - 10% or some people, 3% - 4% comes from advisory. The rest of it comes from distribution.

When a company does both, if you go to a client and say I'm doing advisory with you, but if 95% of commission is coming from the same company, the kind of biases which can spill over are unprecedented. That's point one.

Point two, the very reason why advisory is there is to remove bias. But actually, product category level bias has come. Money has moved out of mutual funds after Direct has been started and PMS and AIF form a large portion of HNI portfolio, which are lesser tax efficient. That's point two.

Point three, the day when somebody wants to do advisory, he should stop taking any commission whatsoever in the company. And today, we have INR 1,175 crores of revenue aspiration, all comes from distrib

ution. So, unless the day I'm confident that or I want to bring all the INR

1,000 crores - INR 2,000 crores of revenue from the client's bank account till that time, you shouldn't - I don't think you should smudge the very purpose of advisory, is to be transparent. It cannot be used to create opaqueness. And that's why you see SEBI having brought in so many amendments from first - from 2013, because people - industry is not wanting to follow it in the spirit correctly. That's the first question.

Second, of course, corporate action is, of course, the Board's discretion. But again, it's a smart observation that if the decision of a bonus was to increase or decrease the share price for better retail participation, the price fortunately or unfortunately has come back to similar levels when it was being discussed. So, any - if the decision variable is same, I think there is a case for the Board to consider.

Moderator: Thank you. The next question is from the line of Bhavin Pande from Emkay Wealth. Please go ahead.

Bhavin Pande: [Inaudible 0:11:35]

Moderator: Sorry to interrupt in between. Bhavin, your voice is not audible.

Feroze Azeez: We will go to the next question and come back to Bhavin.

Moderator: Bhavin, I would request you to kindly rejoin the queue again. The next question is from the line of Mahek from Emkay Global. Please go ahead.

Mahek Shah: Thank you for the opportunity. So, I have two questions here. Firstly, which is on the income generated from the other financial products, which stands at around INR 158-odd crores for the Anand Rathi Wealth Limited

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quarter. So, we see there has been a sequential decline of around 9%. So, could you help us just understand what would be the reason for the same?

And secondly on the regret RM attrition, which has been there. I see that has been - the number has been constant for the last three quarters, which is at 2 RM attritions per quarter. So, I just wanted to know your thoughts behind the same.

Feroze Azeez: Correct. So, I've not been able to comprehend your first question. Vishal ji, what is that other products, revenue from other products has declined 9%. So, we do very few products here in mutual funds and structures.

Jugal Mantri: So, there is a very marginal decline, because the primary issuances, which was in Q2, that was like about INR 1,979 crores. And that is - in the Q3, it was around INR 1,800 crores. So, the

fund raise out of the non-PP SP sale was slightly lower. That is why the income is down by 9%.

Mahek Shah: And on my - second question is on RM attrition.

Feroze Azeez: Yes. So, I'll bring you back, as a shareholder or a prospective shareholder, I think, yes, it's a good question to get into such minutiae details in terms of revenue changes. But I think what is the primary question I would expect my shareholder to look at is, whether my earnings will grow consistently? Will the ratios be different? If the market is down, I'll sell more mutual funds. If the market is up, marginally more structured products get sold and so on and so forth.

So, I'm going to design my business as a company only from a client's portfolio standpoint, not from what revenue I expect from each stream of business. That's what you should expect. I'm just - I know, I could have finished the question there. But to design or any shareholders' expectation from Anand Rathi Wealth over the next few years, if not decades, has to revolve around, what the client wants we will give. From this if the shareholder is happy with the revenue that comes, then that's good.

Right? Coming back to the attrition point. Last year, we lost about 3 RMs. This year, we have

had to let go - we have had some to let go, but some of them regret attrition is 6 to a quarter. Our thought is that we - if you remember a few quarters back, I had told that there will be some cultural misfit whom we will have to let go of. That was one. Second, of course, there are some RMs who leave for better opportunities. And we try to counsel them that in this business . It doesn't make any sense to start wealth management again from zero in a new platform. Like, Feroze, if he manages money, I will never want to restart my life from zero, because this business is proportionate to time. So, in spite of that, you'll have some people leaving and then this responsibility shifts to the client and the RMs who takes a handover of the relationship. So far, INR 1,115 crores are what the assets these 6 people were managing. A little early, but INR 978 crores of that asset still remain with us, which is an 88% retention.

And that's the current status. That might be a little exaggerated prettier number. You have to look at the number for the last year, three people left us, INR 446 crores were the AUM on the day of resignation, INR 346 is what remains. So, we have lost about INR 99 crores of assets to competition due to RM attrition. Does it answer?

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Mahek Shah: Get it, sir. Thank you so much for the detailed answer.

Moderator: Thank you. The next question is from the line of Lalit Mohan Deo from Equirus Securities.

Please go ahead.

Lalit Mohan Deo: Congratulations on a good set in the quarter. Sir, just coming back on this issuance numbers. So, I just wanted to understand like what were secondary issuances during this quarter?

Feroze Azeez: One second, Lalit. We'll figure that out.

Jugal Mantri: The secondary issuances for 31st December '25 quarter was INR 716 crores compared to INR 991 crores in Q2FY '26. And INR 589 crores in Q3FY '25. Does it answer your question, Mr. Lalit?

Lalit Mohan Deo: Yes, sir. Yes, sir. And just last - secondly, like last quarter that we have highlighted that for the distribution of structured products, we have started distributing product of another company also.

So just wanted to understand within these INR 1,800 crores, how much would be from the second party, like what will be the share?

Jugal Mantri: Yes, out of INR 1,815 crores, INR 213 crores were from the third -party compared to nil in the Q3FY '25.

Moderator: Thank you. The next question is from the line of Naman Shah, an Individual Investor. Please go ahead.

Naman Shah: Hello, am I audible?

Moderator: Yes. Please go ahead.

Naman Shah: So, my question was regarding employee cost. It was around 45% for FY '25 and of top line. In 9M FY '26, it is close to 42% of top line. So, is it expected to remain around 42%? And why has that come down from 45% to 42%?

Jugal Mantri: So, Naman, that is the advantage of operating leverage that once you have the capacity and now more and more RMs, they have been garnering and adding number of clients as well as higher pocket share - wallet shares of their client, you will find that the employee cost in percentage terms, gradually, it will come down bit by bit, but that improvement on account of operating leverage will definitely be visible, and it is purely on account of that. Feroze Bhai, you can add to this.

Feroze Azeez: No, no, correct. Yes, Naman, like Jugal ji rightly pointed out, some RMs are in build phase. If we currently have 393 relationship managers, initial part where the company, it takes a couple of years for a person to get into the bonus category. Once he gets into bonus category or he or she, they become a lot more efficient. Once

that happens, there is some degree of operating leverage. So that's absolutely right, like Jugal ji said.
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The second is, we also like to - of course, in my, in the previous calls, you would have heard me say that don't expect too much operating leverage. Having said which, the purpose is when we get some operating leverage, we want to reinvest that money in making our several departments more and more robust.

That's what Rakesh sir has guided us. That use the operating leverage so that growth can 10-20 years. So don't expect too much operating leverage to be delivered. But yes, some degree of operating leverage will move from one head of cost to another to make sure that we can sustain the guidance of 20% - 25% for not the previous 17, but the next 17.

Naman Shah: Okay, so no further questions from me.

Feroze Azeez: Thank you.

Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: It's not more of a question, but just about loss of Chethan Shenoy, that's really sad for the entire organization. Certain things just cannot - you cannot do anything about it. But can we have some learning from this?

My thoughts are that, if - do we have some kind of policy in the organization, an HR policy or something that any employee who is in the company for more than a decade has given a big tenure of his life working for the company. So, in case any such event happens, we have some kind of term insurance policy which the company is paying for the staff.

And then the family of the person is compensated. This is completely of a discussion just like a research guy, but more of a humanitarian and an investor, I'm talking here. So, have we thought anything on this ground?

We recently heard about Siddharth Bhaiya also, somebody else in the financial market. So just a thought, Feroze, just wanted to share this with you. 10 years plus of work ex, we do something for them. Any such thought if you could just let me know?

Feroze Azeez: It's not just part of it. We don't like to be vocal about the organization's generosity too much. We've lost two people in the past. In the last decade, we lost a person who had actually - both of them - Rohit, left us. Again, it's a good time to remember Rohit in 2015, in a superbike ride, we lost him. We lost another colleague of ours in Chennai.

So, coming back to your point, do we do something for the family? The answer is a big yes. And should there be term covers? So, we are planning to launch - we have almost finalized to make it more formal rather than ex-gratia applying mind. Of course, my boss comes from HUL, which is Mr. Rawal. And there are a lot of case studies there.

So, we follow the similar path of Unilever - Hindustan Unilever when it was, when he used to work there. So, be rest assured that, of course, I'm very close to the family as well because I know him for 21 years. They've taken care of monetarily for sure.

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And trying to - we also realize that we can put a process that should not be dependent on the CEOs also. So, there is something called the Chethan's Peace of Mind scheme, which we are launching. Once it has launched, maybe we can have a one-on-one discussion, I'll describe what that implies. That will be named after Chethan.

Moderator: The next question is from the line of Rochan Charan from Global Consilient Research. Please go ahead.

Rochan Charan: Sir, congratulations on your Q3 results, sir. And my question is with regards to the AUM growth. Sir, my first one would be as to how much of the AUM growth is coming

from new customers

and how much from the existing customers? And I would like to know your outlook on the same for the upcoming few quarters?

Feroze Azeez: 60% - 40%. 40% from new clients and 60% from existing clients.

Rochan Charan: Right, sir. So - and how do you expect it to be in the next few quarters, sir?

Feroze Azeez: See, I'll tell you. Last - so, we track it on a daily basis, how much comes from new money, new clients, new money. I think 40-60 % is a fair ratio for a company which is very secure in its own skin. What do I mean by that? We are not very insecure. We never tell the client to start big. Because we think what we want to get is our right. I think, I'll stick to English. But yes, where are you based out of?

Rochan Charan: Bangalore, sir.

Feroze Azeez: Bangalore. So, I'm from Bangalore as well. I can probably do some Kannada with you. But yes, on a lighter note, sorry to digress. But coming back, so it will remain 40% - 60%. It could change marginally. That will be more incidental 35% - 65%, 45% - 55%. These are two microscopic

numbers, but this is the general number. It will look like 5 years from now, in my opinion, why would it not change?

Because we never force a client to start big. If the guy has got INR 10 crores, he's my potential client. Let them give me INR 1 crore, I don't mind. Because if I deserve INR 5 crores, I'll get INR 5 crores. So, we don't say start with INR 5 crores. We are now private banking. We've got INR 1 lakh crore. We don't touch a customer who doesn't give us INR 5 crores. So, what does that mean? That depicts the security of the company saying that if I don't do lip service to my client, there is no reason why a smart guy who's top 1% of this country, he's sharp as why he's there. So, if it's in interest to give me more money, you'll give me that more money. So, it will always remain 40% - 60%. And if there are any changes, those are incidental depending on large accounts being acquired in a specific month. But one thing which clearly stands out lately, people have started realizing that cost is not a great thing to pursue in investment.

So today, I have seen even clients who are walking into us through our websites with INR 50 crores, INR 80 crores as their balance sheet size, which would never happen in the past. Because quite a few of our competitors try and give that little lollypop saying that I'll give it at a cheaper price and then sell something and make significantly more than what you make in a mutual fund.

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Rochan Charan: So that answers my question, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Hemant Abhyankar. Please go ahead. Hemant please proceeds with your question. Hemant Abhyankar. Due to no response, we'll take the next participant. The next question is from the line of Anand Parekar, an Individual Investor. Please go ahead.

Anand Parekar: Thank you for your time. So, I have one question here. So, it's almost now end of three quarters, and we are more than on target for what we had set out for our revenue, profit and AUM. So, do we really want to change the guidance raise it maybe upwards and what would be the guidance for, say, next year?

Feroze Azeez: I missed your name. I'm so sorry. I got little distracted. Sir, your name, I missed your name.

Anand Parekar: Mr. Anand Parekar.

Feroze Azeez: Yes. Anand sir, yes, we deliberated internally. We think that the - of course, like you rightly said, 78% of the PAT guidance is penetrated into 76% revenue. We always wanted to under commit over deliver. And so, we would stick to the guidance. Hopefully, we've got

it's kind, we

will marginally supersede that if things are good, that's one.

Of course, the AUM guidance is almost met for the year. But since AUM is one number of a specific date, you feel a little not so comfortable upping it. Because then, 31st March, if Mr. Trump has something to tell us will impact my commitments to my shareholders, which I think is something which will keep me up that night and I don't want to. That's one.

Second, coming to the next year guidance, I take my boss very seriously, who is Mr Rakesh Rawal. He has given you a guidance in the public domain, 20% to 25% growth. And I think I would - as a group of - as a representative of the other 1,300 people in the company, I think we should be able to guide the similar number between 20% to 25% for the next year as well on this year's base. Does it answer, Anand sir?

Anand Parekar: Yes. That's pretty much helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Karan Gupta from Asit C Mehta Investment. Please go ahead.

Karan Gupta: Yes. Hi, my question on the commission part of whatever the extra return that you generate from your structured products and some other strategies, how is that in terms of cost?

Feroze Azeez: In terms of cost - I didn't get your question at all, sir.

Karan Gupta: So basically, on the commission basis, what will be the extra return that we generate over putting the strategies we use like the straddle and shallows kind of strategies. So what is the extra commission that we charge over trail commission?

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Feroze Azeez: So what we do is - see structured products are not derivative strategies of the short term. We do the same structured product, same kind of structured product. We do two - three kinds of structured products, about 2,000 times it's done matured. So, now in those structured products, let's assume they are 5-year structured products, I make an aim.

We have had 1,630 -odd, structured products mature so far. 1,630 maturities so far, highest ever maturity of any NBFC in a stipulated period of time. In those maturities, I backward calculate what is the yield I made. Mutual fund pays you per annum on the market value. In the same method of computation, the approximate yield I made on my matured structured product is

1.17% per annum on market value.

So, do I recognize this on a trail basis? No. Do I recognize this upfront? The answer is yes. How much extra do I make 8 paisa . 1.09% is my post-expense commission on mutual fund model portfolio, post GST commission. So, to answer your pointed question, 8 paisa more per annum is what I've made on the matured structured products on the same method of commission computation.

Karan Gupta: Okay. And trail is something - yes, yes. The trail is 0.5% to 1.5%?

Feroze Azeez: Sorry, you're in a noisy place , so I'm not able to hear your question really.

Karan Gupta: Yes. So the trail commission is 0.5 to 1.5% of the yield?

Feroze Azeez: Sir, I've told you the precise number, 1.09 as transparent as any human can get. 1.09% in my model portfolio. If you see something (not audible 32:43 to 32:56).

Karan Gupta: Thank you, thank you.

Moderator: Thank you. The next question is from the line of Jaiprakash from Korman Capital. Please go ahead.

Jaiprakash: Hello. Am I audible?

Feroze Azeez: Yes, sir. You are.

Jaiprakash: Hi. My question is regarding this subsidiary you have, Anand Rathi Global Finance. So you have an 8% stake there. So, I'm just looking at its financials and the debt is improving quite a bit and it's at leverage of 8x. So, I'm just wondering if there is any, any day this company needs financial suppo

rt. Will you be providing the financial support? And is there any intention to increase the stake in that company?

Feroze Azeez: No, not at all. Crystal clear, the answer is no. And it's not a subsidiary though, with 8%, surely not.

Jaiprakash: Okay.

Feroze Azeez: So, no, no, intention.

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Jaiprakash: Okay. And is there any guarantee, sir, on the borrowings it does from the Anand Rathi Wealth, which is listed company, is there any guarantee on their borrowings?

Feroze Azeez: Sir, your voice is - no, it's muffled though. You are audible, but not clear.

Jaiprakash: Yes, is there any guarantee provided on those borrowings of Anand Rathi Global Finance by Anand Rathi Wealth?

Feroze Azeez: No, sir. We are just distributors of that product, and we don't provide any guarantee on Anand Rathi Global Finance's product, which is an NBFC, which is the 60th largest - approximately the 60th largest NBFC in the country currently out of the 9,450 approximately. So it's not a small NBFC. So, if you look at it up, you will get to know. For the last 13 years, it has done issuance, and it is within the top 100 now, 60th, if I'm not wrong, in the country in terms of the balance sheet size. Very, very stable professionals running that company, and it needs no other distributors guarantee, fortunately.

Jaiprakash: Okay. Thank you.

Feroze Azeez: Thank you, sir.

Moderator: Thank you. The next question is from the line of Hemant Abhyankar. Please go ahead. Hemant, please proceed. Your voice is not audible. Hemant, please proceed with your question. Due to no response, we will move to the next participant. The next question is from the line of Anand Parekar, an Individual Investor.

Anand Parekar: I have one more question. So, you know, I'm tracking the company for some time now, and we were at 380 RMs at the end of FY '25. And it's almost now three quarters, we have added, I think we have reached 393. So, we have added 13 RMs. And if I recall correctly, in some of the previous con calls, we had mentioned we might add around 50-60 RMs every year.

And we have that pool of secondary associates who eventually become RMs. So, do we intend to grow this number? I mean, currently, with the RMs that we have, we still are able to grow at a quite healthy pace. But do we think we need more RMs to grow further in future? Obviously, we have tech platform up dation that also were done recently. But what are your thoughts on the RM growth from here on?

Feroze Azeez: Yes, sir. the RM growth, we have a reasonable robust pipeline of people who can get promoted to be relationship managers. That's an activity which happens largely during March. So, of course, I would have guided 40-50. So, we may just get there as well. On 1st of April, then it will be counted next year. Somewhere thereabouts, yes.

So to answer your question, we have 450 account managers who are being trained to become relationship managers at a point in time, if they so chose to, they also get funnelled into the product team if they choose that path of a little more research or mid-office kind of job growth. So, yes, so is 40-50 possible, if there is possible for any company, it is us. Because I don't have to hire people laterally outside. We have not engaged with any consultant to hire our people. So

efficient brick-by-brick building is possible. Are we? you might not see the number here, like you rightly said, 13 is my addition.
But the pipeline is not visible to naked eye. But there's a good strong pipeline. Do we need? the more important question is, do we need more RMs to grow?

ow? Not for the next 3-4 years, growth

can be ensured by these 393 currently out there. That's my belief, right or wrong.

Anand Parekar: Okay, that answers my question. Thank you so much.

Moderator: Thank you. The next question is from the line of Bhavin Pande from Emkay Wealth. Please go ahead.

Bhavin Pande: Yes, hi. I think of the [inaudible 38:43]. So when we went for RMs...

Moderator: Sorry to interrupt in between. Your voice is breaking in between. I would request you to kindly rejoin the queue again. Thank you. The next question is from the line of Nayan Gaba from Nayan Securities. Please go ahead.

Nayan Gaba: Hello.

Moderator: Yes, please proceed.

Nayan Gaba: [inaudible 0:39:22] equity mutual fund for December '25 this year, it is about...

Moderator: Sorry to interrupt in between Nayan, your voice is not audible.

Nayan Gaba: Hello, am I audible now?

Moderator: Yes, please proceed.

Nayan Gaba: So, if we see for December '25, the equity mutual fund AUM mix is around 53%. And for the December '24, it was around 55%. And for structured products, we see 28% of AUM mix and December '24, we see 26% of AUM mix. Am I correct?

Feroze Azeez: It could be. If you're reading out the number, it must be correct.

Nayan Gaba: And what structure would be like?

Feroze Azeez: Swapnali, did you hear any bit of the question, clearly?

Moderator: No, sir. Nayan, your voice is not audible to us. I would request you to please rejoin the queue again.

Feroze Azeez: Okay. Let me just try and answer. I think he was trying to allude to what is the proportion in mutual funds, what is there in structure. The mutual fund structure proportion, which you currently seek can change up and down by 4% - 5% this way, that way, depending on the market-to-market of each of these asset classes or product classes. But so far, at a client level, is there a change in recommendation of proportion? The answer is no.

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Secondly, when it comes to mutual fund, it will be astonishing for people to note that our market share in the net mobilization of a country this large with just 385, now 393 people is about 2.7% (actually 2.38% for 9MFY26) for the year, which is going - which is currently happening. 2.7% of the net flow in category 3 (actually category II) of equity oriented mutual fund active as per AMFI categorization.

It used to be 0.18% a few years back. So in spite of not doing the advisory model of low-cost mutual fund advice, our market share, unlike most predictions of analysts has gone up substantively rather than going down. Swapnali, we can go to the next question if you have any.

Moderator: Thank you. The next question is from the line of Shayantan from Tata Capital.

Shayantan: Hello. Am I audible?

Feroze Azeez: Yes, sir.

Shayantan: So, I would like to start by expressing my deepest condolences to Mr. Chethan and his family. What happened is really unfortunate. And I hope something as unfortunate doesn't really repeat itself. And with that, I would like to - I have a question that is not really based on your P&L or your balance sheet. It is basically something in general. So, I wanted to ask whether in your company, has there been a restructuring due to the implementation of the new labour codes? And if so, what has been the impact in the operating margins and the EBIT margins, if you have some colour?

Feroze Azeez: Yes, yes, Shayantan. Yesterday, this point came up when the auditor was presenting the new labour code. We have had - one of the key changes was the 50% of the total comp should be basic, if I'm not wrong. So, we've hardly had any change, because most of the - most of us have

greater than 50% as basic. So, minimal to no difference. I think this is what I could take from the presentation made in the Board by somebody. So, saying that it has minimal impact because we are in spirit already following it, largely.

Shayantan: Okay. So you're saying that no operating margins and your EBIT margin had any noticeable change in terms of BPS?

Feroze Azeez: No, no, no. And even if it was, I would be happy because my colleagues would get richer.

Shayantan: Okay. Thank you.

Moderator: The next question is from the line of Amit Prakash from Archeron Consultant. Please go ahead.

Amit Prakash: Hi, am I audible?

Moderator: Yes, sir. Please proceed.

Amit Prakash: I'm calling from Archeron.

Feroze Azeez: Yes, sir.

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Amit Prakash: Yes. I just wanted to understand your future plans. You had mentioned about your plans of 2030. Do they remain the same or do we see a change in that?

Feroze Azeez: I think last quarter, we spoke of 2030's plan. Yes, we try and plan for 4-5 years, because that's practically possible because our structured products have 5-year periods, and there's a rollover option, which we introduced, which implies that 60%- 70% of my revenues of 5 years out and its growth is almost high probability, I would say. Yes, so, 2030 targets become a little more solid than they were last quarter, if that's what you're trying to understand.

Amit Prakash: Fair enough. Anything in particular numeric targets, anything of that sort that we can take back home?

Feroze Azeez: No. Mr. Rawal's 20% to 25% guidance is what I can just reiterate.

Amit Prakash: Thank you for that. Congratulations on the wonderful report.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr.

Feroze for the closing comments. Thank you, and over to you, sir. Ferroze, sir.

Feroze Azeez: Yes. I feel - I'd like to thank everyone to be a part of today's call. We hope that we have tried and answered your questions. If you need more information, please feel free to contact Mr.

Vishal Sanghavi, our Investor Relations Head; and Rajesh Bhutara, who is our CFO for the last couple of decades.

Management: Thank you so much, everybody. Have a wonderful week ahead.

Moderator: Thank you very much. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

Call: Apr 2026

Ref No :14/202 6-27

Dated :14th April , 2026

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Subject: Q4 & FY26 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q 4 & FY26 earnings conference call dated 10th April , 2026. The transcript is also available on the Company's website at <https://www.anandrathiwealth.in/financial.php> .

This is for your information and record.

Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Pravin Jogani
Company Secretary and Compliance Officer

Enclosed: as above

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Anand Rathi Wealth Limited
Q4 and FY 26 Earnings Conference Call
April 10, 2026

MANAGEMENT :

- MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
- MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
- MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
- MR. VISHAL SANGHAVI – HEAD - INVESTOR RELATIONSHIP

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Moderator : Ladies and gentlemen, good day, and welcome to Earnings Conference Call for Q4 and FY26 hosted by Anand Rathi Wealth Limited . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Feroze Azeez, Joint CEO of Anand Rathi Wealth Limited. Thank you, and over to you, Mr. Feroze.

Feroze Azeez: Thank you so much, Renu. Good afternoon, and thank you, everyone, for joining the earnings conference call for the fourth quarter of the year ending FY26. Today, we have with us the Group CFO - Mr. Jugal Mantri ; the CFO - Mr. Rajesh Ji Bhutara; and the Head Investor Relations - Mr. Vishal Ji Sanghavi. First, I would like to share some good news with all of you.

As of yesterday's date, we have crossed INR1 lakh crores of AUM post the recent positive movement in the equity markets. This is a 5 -digit number. So we were very intrigued to see when we would reach there. 30th March, which was the year -end number, recorded Nifty at an unusual 22,331 . So we were intrigued to see whether -- when would we meet our INR1 lakh crore guidance, which we had given for the last year. Unfortunately, we didn't meet it on the 30th March number. So we checked it. Now we have reached the INR1 lakh crores number. So we've just given out the press release as well because this was one of our guidance.

As a part of our policy to reward shareholders, the Board has approved the bonus issuance of 1:1 and has declared a final dividend of INR 7 per equity share, both subject to shareholders' approval. We continued to deliver another quarter of consistent performance and one more indication which we had given to our shareholders that we will try and deliver market -agnostic performance, which seems difficult in a financial services firm, but actually, it's reasonably easy in our judgment. And this is our 18th quarter where we've been able to declare PAT growth Y -o-Y greater than 20%, which is, again, a rarity in Nifty 500. We are one of the very few, which can be counted on a fingertip of how many companies have been able to achieve that feat. Of course, 18 quarters is too little to be able to see consistency. But yes, I'm sure and hopeful that over periods of time, we -- if God is kind and clients are kinder, we'll be able to do that. The mean of the year -on-year growth of our last 16 quarter profits has been -- the mean has been 32.2% , with a median of 33.2% and a standard deviation of our PAT growth is 4.5 % , which we -- in our judgment, is a very good barometer of consistency of PAT growth for the 16 quarters, , we have, of course, excluded the first 2 because it had the base effect of a lower COVID year. We might be one of the few companies in the world who measure the standard deviation of their PAT growth declared. Again, let me give you my disclaimer that 16 quarters is too little. Statistically, my teacher used to tell me that you need to have 30 data points to call it a large sample. So 14 more quarters to go.

Excluding the impact of fair value gains on the ESOP expense and the related tax effects for FY '26, our total revenue grew by 22%, and we ended the year at INR 1,198 crores with a PAT growth of 28% for the year, ending at INR 386 crores against the INR 375 crores guided.

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We have given FY '27 revenue guidance of INR 1,415 crores and PAT guidance of INR 460 crores, again, going with the principles which Rakesh sir Rawal and Rathi ji has always taught and every elder in the company has taught

us that under commit, over deliver. Under the same principle, we are guiding you INR 1,415 crores and INR 460 crores for PAT and INR 1,20,000 crores of AUM for the year ending FY '27 is our guidance.

Then coming to the net flow of last year grew by 7% only, INR 13,457 crores is what we collected new, thanks to our clients who have been very generous to give us more money during bad times.

In our flagship Wealth Management business in the last 12 months, we have added 1,600 new client families on a net basis, bringing our total number to 13,395 individual families. Client attrition rate in terms of AUM lost for FY '26 is 0.54% for the full year. Of course, there should be hardly any attrition, and we always aspire to have not even a single client family to be upset with us to leave, but 0.54 is a number which we want to see at 0.

Digital wealth business, which is a B2B2C business, registered an AUM growth of 22% year -on-year to INR 2,218 crores and the number of clients increased by 17% to 7,106. The OFA business, Omni Financial Advisors business, which is a SaaS platform, has 6,906 subscribers with a platform assets of INR 1.47 lakh crores for the year ended 31 st March 2026.

Here, I stop my monologue and invite our Group CFO, sir, Mr. Jugal Mantri to take this conference forward.

Jugal Mantri: Yes. Thank you, and good afternoon, everyone. Let me give you all brief about Q4 FY '26 consolidated financial performance followed by full year FY '26 financial numbers. Excluding

fair value gain on investments, ESOP expenses and related tax effects, our consolidated total revenue for the Q4 FY '26 stood at INR 302 crores compared to INR 241 crores for Q4 FY '25, registering a 25% Y-o-Y growth. Profit after tax stood at INR 92 crores depicting a 25% Y-o-Y growth compared to INR 74 crores in Q 4 FY '25. Profit after tax margin remained flat at 30.5% for Q4 FY '26, which was at the same level in Q4 FY '25 too.

The reported number that is including fair value gains on investments of INR 54.6 crores, ESOP expenses of INR 39.3 crores and the related combined net tax effect of INR 3.8 crores, total revenue for Q4 FY '26 was INR 356 crores, showing a growth of 47.6% and PAT was INR 103 crores, showing a growth of 40%.

Now let me give you all brief about full year FY '26 financial numbers. Excluding fair value gain on investment, ESOP expenses and related tax effects, total revenue for FY '26 stood at INR 1,198 crores compared to INR 980 crores in FY '25, registering a 22% year-on-year growth. Mutual fund distribution revenue also grew by 22% Y-o-Y to INR 494 crores in FY '26. Profit after tax also grew by 28 % Y-o-Y to INR 386 crores for FY '26 compared to INR 301 crores for FY '25. Profit after tax margin improved from 30.7% in FY '25 to 32.2% for FY '26. Return on equity on an annualized basis stood at best in industry at 46.74% for FY '26.

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Reported number that includes fair value gains on investment of INR 54.6 crores, ESOP expenses of INR 39.3 crores and the related combined tax effect of INR 3.8 crores, total revenue for FY '26 was reported at INR 1,253 crores, showing a growth of 28% and PAT was shown at INR 397 crores, depicting a growth of 32%.

So that is the update on the financial numbers. Over to you, Mr. Re nju to open the floor for questions and answers.

Moderator: Thank you. The first question comes from the line of Manas Agrawal from Bernstein. Please go ahead.

Manas Agrawal: So a couple of questions. One, I think in the statutory results, there is some discussion around subscription to ARGFL shares. I want to just understand what is the quantum and how much stake do we have now? What valuation this transaction is happening at? Because I understand this is a group company, which is unlisted.

Part B is, can you just explain what is the asset sale that

is leading to profit being recognized in

other income? And third is ESOP at fair value (he was referring to face value instead of fair value in subsequent part of question also) . A lot of companies issue ESOPs at a discount to CMP, not at fair value, there is a big gap. So I want to understand, is this ESOP concentrated in KMPs? Is this spread across the company ? Those were the 3 questions.

Feroze Azeez: Super. So I'll take the first part and then give the valuation part to Jugal sir. So Manas, the INR 40 crore s rights issue subscription of ARGFL from AR Wealth Limited is a rights issue where Feroze as an individual has participated with INR 94 crores. Rakesh sir has participated with INR 56 crores and the holding company has participated with INR 270 crores and the rest of the other group entities might have participated to a sum total of INR 500 crores.

That's the total amount, which has been subscribed as equity capital in ARGFL. And since there was a rights issue, and I think we own close to about 8%, valuation was INR 500 a share. I think I'll leave the rest to Jugal sir to answer.

Jugal Mantri: So Manas, as correctly said by Feroze bhai that the company has come up with a rights issue, the NBFC Anand Rathi Global Finance Limited. And Anand Rathi Wealth Limited is holding about 8% in Anand Rathi Global Finance Limited, and it has only subscribed to its entitlement. So the total issue size, which was INR 512 crores, about 8% of that, that was about INR 40 crores that has been subscribed by Anand Rathi Wealth Limited just to continue to hold its holding in the NBFC at a price of INR 500 (per share) . And since it is a closely held company, the whole issue got subscribed by the promoter and the KMPs in the group companies as named by Feroze bhai.

And now coming to the revaluation of the assets. So as the company continued to hold a stake in Anand Rathi Global Finance Limited. But every year, there is an accretion in the net worth of the company as well as the book value is also going up. But to be at conservatism, the stake value has gone up of whatever holding which Anand Rathi Wealth has in Anand Rathi Global Finance Limited and the value has gone up by INR 54.6 crores, and that is the amount which has been booked under fair value change.

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Now coming to the ESOP. The company do not follow any practice of issuing ESOPs at the discount value -- discount to the market price. In fact, the ESOPs have been issued, the grant as

well as the vesting will happen at the market price only. And -- but still, we will have to take the hit. And that is why on account of that, there is a -- in this Q4 FY '26, the company has taken a hit of INR 39.3 crores. So employee cost has gone up by that amount. So this is the explanation to all the 3 questions which have been put by you, Mr. Manas. If you need any further details, you can get in touch with Rajesh or Vishal. They will give you the exact last digit number on these 3 things.

Feroze Azeez: Manas, someone little clarification. It gets issued at face value like we have in the previous couple of instances. So our policy of ESOP, we generally don't follow a policy of ESOP. There were some -- if you look at the 2018 ESOP policy, you will get a full judgment of how we -- what's our practice. That's consistent with what we had done in 2018.

Manas Agrawal: I understand that. So typically, unlisted companies do issue at face value. My question was a lot of listed companies issue closer to CMP. But that's -- okay. I'll look at it, and I'll discuss offline. On the profit...

Feroze Azeez: One second, Manas. One little clarification to each potential or a current shareholder, we don't do anything because it is popular to do as a matter of principle, okay? So we generally follow a de novo policy on all our HR practices. Like, for example, in our HR practi

ces, we have several

of our RMs children joining us, okay, spouses joining us. There could be several listed companies who have a policy that one of you have to resign if you fall in love at work. So anything we do is not because these are popular practices. Whatever is compliantly right, we generally do as per our HR policies at best, you will find some inspiration from HUL because Rakesh sir used to work there.

Manas Agrawal: Understood. And just one more thing. The revaluation gain that we've booked, we've not sold ARGFL shares. This is just mark -to-market. Is that accurate?

Jugal Mantri: Yes, that is accurate.

Moderator: Next question comes from the line of Navin Mathur with Pioneer Capital. Please go ahead.

Navin Mathur : Congratulations, everyone, for a fantastic result. So my question is specifically for Feroze. I was just going through the investor presentation and the latest one. And I came across this slide which talks about credibility marathon. If you could just throw some light on that, I think would help me understand it better?

Feroze Azeez: Yes, Navin. Yes, we have included one interesting slide emanating from a few questions which came when I was speaking to a few industry CEOs who want to potentially someday build a very strong wealth management franchise. So we said, why don't we make that public information of what has been our learning so far of why -- how should a wealth management business, what we learned from our mistakes.

So the slide will say, it is not a capital race. It's a credibility marathon. Quite a few wealth management outfits are wanting to be built and have been in the past every couple of years,

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there's somebody who's wanting to build a wealth management business very quickly. So there are 6 learnings which I put on that slide. I'll just explain briefly.

Wealth management is not a capital business. A relationship manager cannot handle thousands of clients. The business is actually a linear business, not an exponential business. So it's not a capital business and quite a few think otherwise.

Second important learning we had in our journey is it's not a business of speed. You can't build this business so fast. It's about patience and time rather than speed.

Third, ideally, manufacturing mistakes are very, very, very scarring to a franchise. So quite a few people build a wealth management business starting manufacturing on the day zero.

So we believe this is a backward integration business. You have to be very careful in terms of manufacturing after building ability. So the third point there is build wealth management is a business of backward integration. Distribution is first, manufacturing later.

Transparency with clients. This is some place where if your client doesn't know how much you earn, that's not a franchise which is very easy to protect. That's our judgment. Now there are quite a few wealth management outfits who tell clients that we do advisory. But then when you see their distribution incomes are substantively large, 10x more than advisory income. So you have to be able to tell them that I like, for example, we earn 1.09% approximately on mutual funds post GST on structured products, we earn 1.17%, 1.18% yield if we have to do the same accounting as mutual fund, and we account that upfront. So that's transparency.

Relationship managers do not scale like start-ups. People have this misconception that you hire people at obscene salaries and they will scale up. So if you see this year, 45 RM increase, 78% are people whom we trained from colleges and made them RMs. So lateral hires cannot be a substantive portion of your strategy.

Every leader, this is the toughest part, which we -- I think we have -- Rakesh sir has taken 18 years or 19 years being in this company. Every leader in the company has to be an RM first.

Very tough to

achieve, easy to speak.

So CEO is an RM, joint CEO is RM, unit head is RM, team leader is an RM. Even support functions, product team at least 15 - 20 people out of the 163 will be RMs. That's one. So that's what this slide is all about. If anybody wishes to build a wealth management business, these are our 6 learnings for them to see if they are relevant to them. That's why we added this slide. Than k you, Navin sir, does it answer.

Navin Mathur : Yes.

Moderator: Next question comes from the line of Prabhav Shah with Equirus.

Prabhav Shah: First of all, congratulations on a 5 -digit AUM number. I have a few questions. First is, like this quarter, we saw an ESOP cost of INR 39.3 crores. So can you help us understand how ESOP costs could trend over the next few years?

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Feroze Azeez: How I would like to look at it is INR 460 crores projection is, that is incorporating all my projections. Under commit, overdeliver is the principle. Do we go too much in detailing, of course, you can write to Vishal Ji. I have always, on this call, said, if you wish to understand the total number, I can give you. INR 460 crores is the guidance, right?

That does not include ESOP, Vishal corrects me. Should we guide that as well? So how is the projection? I don't know about the projection. But yes, we can give you that specific projection one on one. Is it okay if you can be patient, Vishal ji, if you can have any projection, we can give. But yes, INR 460 crores is our PAT guidance before any of those adjustments.

Jugal Mantri: So as we have been reporting the number, excluding the exceptional item like ESOP as well as on fair value changes, the guidance has been given, excluding these provisions.

Prabhav Shah: Got it. I have another question on issuance. Can you help us what was the primary and the secondary issuances for this quarter in MLD?

Feroze Azeez: Jugal sir, you might have those numbers.

Jugal Mantri: See the gross issuances in this quarter was INR 1,895 crores compared to INR 1,815 crores in Q3 FY '26.

Prabhav Shah: Got it. And secondary one?

Jugal Mantri: And secondary was INR 1,101 crores in Q4 FY '26 compared to INR 716 crores in Q3 FY '26.

Prabhav Shah: Got it. And just last question. Like a few quarters back, you highlighted that we have been selling third -party products on our platform. So can you help us understand like how much for this quarter we got from third party?

Jugal Mantri: So in Q4, it was INR 168 crores. And for Q3, it was INR 213 crores.

Moderator: Next question comes from the line of Niranjn Kumar with Avendus Spark.

Niranjn Kumar: So I just wanted to ask 2 questions. On the first one, so we make around 1.09% yield on mutual funds, right. But with the new SEBI T ER structure, like new T ER structure by SEBI, which is effective from 1st April. So will the yields be impacted? That is the first question. And the second question maybe on similar lines, if you look at the mutual fund industry, maybe top 5 or top 10 AMCs. So how much do they account for in our mutual fund AUM portfolio? And have they come for any negotiations regarding the distributor payout. These are the broad 2 questions.

Feroze Azeez: Sir, I missed your name. Can I know your name again?

Niranjn Kumar: Niranjn.

Feroze Azeez: Niranjn sir. Do AMC's come for negotiation, the answer is yes. Do I see any material change in 1.09, not significant. Like we have guided, we are at the fag end of any cycle, like 2016, we went all trail before SEBI made it mandatory in 2018, okay? That's something which I take pride in till date because we were the first one who's voluntarily said , I don't want upfront income.

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So that's one. So if you ask my personal opinion, where are we in the cycle of change because there is also a dir

ect, right? So, the squeeze, which was supposed to happen, has happened. Now, if there is a squeeze, it can be of 2,4 , 5 BPS . It can happen at any time. That much, Mr. Trump does for us. Great! By moving the market. Right? So, it's not going to be materially different is the point being made in terms of trail income.

Yes, to answer your question, do large AMCs come for a negotiation, that entwined twins is a permanent affair for Shweta madam Rajani, who's the Mutual Fund Head for long periods of time for Anand Rathi Wealth. Does it answer, Niranjn bhai?

Niranjn Kumar: Sir, got it. But just to confirm, so there will be yield impact of 2 to 4 basis points. Did I get it right or because of this T ER structure or you are telling it will be maybe on?

Feroze Azeez: For an AMC, it might be very important to see what percentage bps change. For a wealth management outfit, 2 -3-4%, I don't know the change in bps or will there be any, right? So will it be significant? No. Because if an AMC is making 25 bps, 3 bps is 12% of their revenue, right?

If this is one portion of my revenue, in that, if it is on a base of 1.09, it's even smaller, 3 bps on 1.09 is 3%, 3 bps on 30 bps is 10%.

And if this is a part, 40% of my revenue comes as trail, then it is 3% of that 40%. Do you understand the two level base effect is what I'm trying to say. It is not significant enough for me to be worried about my PAT growth for the next 4, 5 years. Does it answer, sir? Will it be 2 bps, 3 bps? I think Shweta Rajani is a very strong lady, and I've worked with her for 20 years.

Moderator: Next question comes from the line of Shubham Gautam with ZS Associates.

Shubham Gautam: My name is Shubham, and I want to start by congratulating the entire management team and Anand Rathi Wealth team on a truly consistent performance this year. I have two questions also.

Firstly, on the guidance. The company has consistently guided and delivered around 20% to 25% long-term PAT growth and you have beaten your own guidance every year.

But for the financial year '27, the PAT guidance of around INR 460 crores roughly is around 18 - 19%, which is a bit lower than the stated range, like 25%. Is there a specific reason management is being more conservative this year? Or is it more around the market conditions, global uncertainty or perhaps the base effect getting larger?

And second question is more around the net inflows. The INR 13,450 crores of net inflows, I think, grew in 7% year-on-year basis. So how does management think about the inflow growth in financial year '27? Is it will be in the similar lines? Or do you see any acceleration as the new client families ramp up?

Feroze Azeez: Great question, sir. INR 460 crores on a base of INR 386 crores is a number which is 18 - 19% of PAT growth. But if you also see it from my last year guidance, INR 375 crores, then it will come into that range of 22%. So Rakesh sir has guided for long periods of time, the 20% to 25% range, unless God has other plans. This seems intact. And we work on a plan of not 2026. We play -- we work on a plan of 2031, which is 5-year hence, because most of our structured products have a rollover option now.

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So 99% of our business comes with a rollover option that implies. If clients, no need money, it rollover. So coming back to your question, we will -- of course, we will always keep that principle in mind with the good understanding, which has been given to us that we will under commit, try our best to under commit and deliver. You're absolutely right, 18 - 19, that was a round figure to do INR 460 crores. On a INR 375 crores base, you will still be in that range of 20 - 25%. That's one.

The second question is net in flow. Any number which can become a negative integer has to be seen very differently. I repeat, net flow can be a negative one as well.

There are most numbers, most numbers which come like PAT numbers could be negative. Revenue numbers can never be negative, right? At worst, you don't make money. You don't lose money, revenues can't be. So this number, net in flow, I'm happy that it is 7%. Of course, would I be happy if it is 10% growth? The answer is yes.

What I'm happy about as a professional is that in a year or a quarter like last year, last quarter, we got monies. People lose money also, right? Today, if you see industry's net flows ex the SIP number, today, AMFI has given the number just now, INR 32,000 crores is the SIP number. Last month, the number was -- if you remove the SIP number, the net purchase was negative in equity 3 category, active funds. So coming back, is 7% something to ride home about, answer is big no. But what we do at Anand Rathi is we put our own self-governance.

Now for example, let me give you an example. We had a large inflow coming off a promoter equity, which promoter said that I might consider aligning it to your strategy. But that INR

1,000-plus crores is not counted in my net in flow. So do you understand how much of self-governance is needed to show INR 3,356 crores (actual INR 3,379 crores for Q4FY26). Is that the number, Vishal, for net flow, right? When we also had some reasonable transfers, but we thought we should not count them till never hatch your chicken before they hatch or something, never count the chicken.

So to answer your question, 7% is nothing to ride home about, but I'm very happy that we bought equity in the last quarter where everybody was so depressed, we had one of the best months, which is not given as a split, we had one of the best months in March. I will not throw a number because they're not published. Does it answer, sir?

Shubham Gautam: Yes. Yes. This is helpful.

Moderator: Next question comes from the line of Manas Agrawal with Bernstein.

Manas Agrawal: Thanks for the opportunity to ask again. I will again ask on the ESOP. One part of the question was not answered, maybe missed out, so I just want to check. Is the INR 40 crores ESOP spread out across the company? Is it concentrated in KMP? And I'll clarify why I'm asking. Stock options are a retention tool, and that is why they're given at CMP usually. There's nothing barring companies from issuing it at face value, but the gap between face value and CMP essentially is a free gift today. So you ideally want to give it at CMP so that future growth in the company is

shared with employees. So that's where my question.
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Feroze Azeez: Yes. So this is with KMP, Rakesh sir and me to be more specific, if I'm not wrong. And it is in the public domain already.

Manas Agrawal: Understood. So all of it.

Jugal Mantri: ESOPs are going to be issued at the face value, okay? And that is why there need to be the hit, the P&L hit has to be taken where the differential amount of the market value as well as on the face value, that hit has to be incorporated. That is where you see the ESOP hit has been included in the employee cost, and it is as per the EGM and the resolution which is already passed in the past.

Manas Agrawal: I understand the accounting. I am still not convinced on the classification as one-off and the other thing is whether it should be at face value or not, but that is for the company to decide. So it's okay?

Feroze Azeez: Manas is very unhappy that I've got a gift. No worries, Manas I'll do justice to this gift, don't worry.

Moderator: Next question comes from the line of Akshay Jain, an Individual Investor. Mr. Jain, please go ahead with the question.

Akshay Jain : Just one question from my side. So in an increasingly competitive wealth management landscape with the banks and new age platforms scaling rapidly, what do you believe is your most defensible moat? And how are you strengthening

g it over time.

Feroze Azeez: What is our moat, right? Is that the question, sir?

Akshay Jain : Yes, yes, correct.

Feroze Azeez: The moat -- there's -- everything is a moat, like 6 things which I read out to Navin are a moat. Is there any wealth management outfit wanting to create a culture by hiring people and designing their minds to not sell products which are not good and they don't buy it themselves, that's a moat.

Second, creating a process-driven company is a moat, right? Getting private bankers to do what is right for the client and follow a process is not an easy task. It has to be built brick by brick. When Rakesh sir hired the first Divya in 2008 and started building it, we built it brick by brick.

So culture is designed not soon.

Third, we don't sell all products. We are not a pharmacy. Pharmacies have medicines, generic medicines published by -- on the counter of any pharma company. We first decide what will we buy and only sell that, which is mathematically correct on the basis of the chronological order of sharp ratio.

Our HR policies are entrepreneurial. So Feroze if he's no more, God forbid, then my son can become an RM if I qualify him enough that he is ready to -- he's ready to take the Anand Rathi brand, wealth brand to the marketplace without compromising the delivery of the brand created by them.

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So everything which we do is de novo. We are not product sellers. AM to RMs, right? I have 450 people. I'm training. From 2016, '17, we are training people for 2026 promotions, 21 promotions, 4, 5 years of training, right? Is that a moat? That's a moat. Calculating Jensen's Alpha for clients, which is nothing but the extra return over risk-adjusted measures, Jensen's

Alpha, no one measures, right? We did a survey. We did a survey with 6,000 client HNI families. They said we want risk-adjusted return.

Let this sink in to everyone who is on the call. We did a 6,000 people survey, not 1 or 2 families.

They at least own INR 1 lakh crores or INR 2 lakh crores put together. And they say the first thing which we want from a wealth management industry is risk-adjusted return. Which wealth management outfit is measuring risk-adjusted return in any of these 4 measures, Jensen's Alpha, Treynor, Sortino and Sharpe.

These are the 4 I know as a finance student. Nobody is measuring it. Now if you ask my client, what is this Jensen's Alpha, he'll tell you 5%, 7%, 8%. I see a INR1,000 crore s portfolio with my competitor, which has negative Jensen's Alpha. And the clients have not measured it. The wealth manager has not measured it, right?

People are selling debt saying that interest rates will come down, you will make money, right?

Interest rates went down, repo went down from 6.25% to 5.25%. 10-year GSEC went from 6.8% to 7%. People lost money in spite of going wrong on repo. So finance is lacking marketing and sales is more. That's the moat, right? So there are every step, we are trying our best to do what is right for the client. So the chronological order in which we arrange the 3 stakeholders, our colleagues, then client and then comes shareholder.

If colleagues are not happy, they will leave or they will be so sad that they can't make a client happy. If the client is not happy, shareholder can't be happy. So we as professionals never would want to make our shareholders directly happy. If we have made our people happy, they can make client happy, if both of these guys are happy, the shareholder will be happy. So most people want to make the shareholder happy directly, right?

I'm not so bothered about what the shareholder has to say about how portfolio should be created. Quite a few people said you have only two revenue streams. You are the riskiest business to buy.

But it's okay because the client doesn't need a PMS, he doesn't need an AIF in my judgment to produce a 4 - 5

% Jensen's Alpha, which is best -in-class. I don't have to sell the fourth or fifth product. So all these are moats.

Moderator: Next question comes from the line of Sunil Shah, SRE PMS.

Sunil Shah: Congratulations, Feroze, and the entire Anand Rathi family, thanks for a super FY '26. Wonderful thing. Sir, just the numbers, we are like 400 RMs, 13,000- plus clients and the AUM per RM about 226. So all the points you mentioned about the moat are clearly there. Now the thought which I have is the next level of growth.

Sir, what I want to share here is more of a suggestion, not more of a question, is that we have a track record of delivering this kind of Jensen Alpha. How about approaching global institutes, institutions for as our client prospect.

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The thought which I have is because they are writing a \$10 million check for our kind of a track record will not be something which would be very huge for them. But for us, if we can showcase this kind of a product and try to address the global institutes, that can be a huge leg of growth for us as a company.

And if we can showcase ourselves in the world market as a wealth management firm, delivering this kind of returns, this kind of track record of low attrition of clients, low attrition of colleagues at work, all of those and approach them.

I'm not sure if we are doing, we have done it or we are working or thinking about it. But if you could share me something on these lines or look upon it in the future. Feroze, that was my thought to just reach out to you on this call today. I would like to hear you.

Feroze Azeez: Sunil sir, I'm always grateful for the suggestions you have given in the previous earnings calls, and they're invaluable to the rest of the shareholders as well. So of course, anything coming from you would be taken with utmost seriousness. But having said which, we have had a certain thought process of saying how do we want a client segment.

That's what Rakesh sir has said that don't go to the really rich ones. Go to those guys who actually will respect math. I'm sure the foreign institutions who can cut large checks can. So this has to

be a great intense debate with Rakesh sir, but this is definitely a growth opportunity which you are highlighting.

And very high growth also scares us. Let me confess because I want to consistently grow rather than grow 1 year, 40% and then I have a higher base to grow. I'm just telling you the internal debates of like every -- for the last 7 - 8 years, except the COVID year, we have not worked for the last 5, 7 days. Again, let me confess. We have done offsites. RMs are outside, like we were in Vietnam.

Last year, we were in Thailand. So one will be take your suggestion very seriously. Rakesh sir has been very, very clear and mathematical because he comes from an FMCG background. He says, if you have clearly segmented your clients very well, you will be able to bring predictability in your business. So point taken, sir, if I give any comment, which is contrary to Rakesh sir's belief on this one, I will not have a job and Manas can save that money.

Sunil Shah: Sure. I appreciate the thought. Just I was looking at the numbers, now we have almost 28%, 29% of our clients whose average ticket size is more than INR 50 crores and above. So INR 50 crores and above kind of a ticket size for a client is like an institution in itself, and that's almost 29% of our business.

So we have obviously migrated them for -- from being an HNI to an ultra HNI for sure. But we are currently doing similar kind of work. So that was the thought. That's the only piece which I wanted to share, Feroze...

Feroze Azeez: Brilliant suggestion. Having known Rakesh sir's possessiveness in the segment we operate is why I said that's beyond my -- even commenting capability. That's how well he has governed

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that one topic. And of course, it's a brilliant suggestion. I'm sure Rakesh sir will consider that. I

was just saying that commenting there would be on record in line would be a bad thing. But you're absolutely right. Now that you've alluded to the Platinum segment, and you also said that we have homegrown large clients. One thing which is changing dramatically is, I'm just telling a shareholder. Now quite a few large clients are going through our website and saying we want to reach out to you.

It is surprising that people with INR 400 crores are reaching out, INR 500 crores. I did one meeting in Gurgaon. We had never seen these green shoots of people who need a service of wealth management reaching out to us and uncomplicated appealing to a large guy. That's one thing which I should say.

And when we actually started this Platinum segment, there were 32 clients or 33 clients when we identified this whole ballooning. Now we have almost about 211 families. And because you have a Platinum segment, quite a few people who are on the borderline are wanting to give us a little more money and come into the Platinum segment, which has got a strong proposition of generating 1%, 1.5%, 2% extra Jensen's Alpha by using more concentrated finance.

Because we -- like you said, Jensen's Alpha, we use 3, 4 very publicly available Nobel Prize winning formulae, be it the Black-Scholes pricing model, inefficient market theory and capital asset pricing model. We use these. So that is what is producing Jensen's Alpha rather than that.

So, more people are joining the Platinum segment and those who are on the borderline, some are in INR 35 crores and their INR 20 crores are out, they are saying I am ready to become your

Platinum. So, you will see my projection of the platinum number of clients in the next 2 years is about 450 to 500. You're so right, we're already in the segment from a size standpoint. From a behavior standpoint, people behave very differently as a corporate entity.

We have -- I have gone to so many corporates and got them to redeem the liquid fund if the CXO was dealing with us and said that this is the corporate funds. So we will debate that, but this will not go by the wayside. I assure you, Sunil, sir.

Moderator: Next question comes from the line of Manav, an Individual Investor.

Manav: Congratulations on another great result. It's very evident that you are a people's company. Therefore, you've really contained the attrition. But it looks like last year, it's bumped up a little.

I'm just trying to understand if that has any kind of impact on the business?

Feroze Azeez: I missed your name, sir.

Manav: Manav.

Feroze Azeez: Manav sir, you've identified rightly. In FY '24-25, we had two people leave. They had INR 295 crores of assets under management on the date of resignation. One resigned on 17th March. Last working day was 17th March 2025, and one guy had 30th December '24. These were the only 2

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attritions in FY '25. And we retained INR 203 crores out of the INR 295 crores, which is 69%.

Why am I going back to FY '24-25 because that's how we see it as a department.

So now in FY '25, '26, we had six people leave. And on the date of the -- seven people, I'm sorry, Vishal sir corrects my eyesight, which is so wrong, I'm having a sheet on in front of me. So seven people left and their AUM on the date of resignation had INR 1,212 crores. Without the market movement, we have INR 987 crores with us of the same families whom these seven were managing. So that is INR 987 crores is with us, so 81% retention. So 69% retention went to 81% client retention.

Clients in a wealth management outfit in my experience, leave for two reasons. One is product failures. Like in ABN AMRO, I sold a cinema fund. I lost three clients. I sold an art fund. I

sold

a wine fund. So selling products, sometimes which bomb, people leave. The other is RM attrition. RM attrition could create. So we have seven, but that's not a trend. We have some of

them, like I told in the previous quarter were cultural misfits we had to let go. Some of them are actual genuine regret attritions. And is it a one-off? I guess it's a one-off, but 81% of those clients' assets are with us -- RM assets are with us without the AUM movement of market.

Moderator: Next question comes from the line of Rajat Patel with Arihant Securities.

Rajat Patel: I just wanted to ask because Anand Rathi Wealth has subscribed to the rights issue of ARGFL.

Can you tell what is the ROE and capital adequacy ratio of this NBFC?

Feroze Azeez: Jugal sir can answer that.

Jugal Mantri: I don't have the P&L of Anand Rathi Global Finance handy right now. So what I suggest is, Vishal, please note down his number and the e-mail ID and share the same with him.

Feroze Azeez: Okay. One thing I can tell you, ARGFL is now in terms of -- okay, let me -- because provisional balance sheet, done. So please feel free to write to Vishal Ji. Because still not finalized the March balance sheet, I'm sure if otherwise, Jugal sir would have had it on fingertips. So I don't want to shoot jump to that.

Moderator: Next question comes from the line of Vikas Arora, an Individual Investor.

Vikas Arora : Sir, I'm asking if are we looking to open new branches in any particular geography.

Feroze Azeez: So we are looking at opening branches, yes. In fact, again, let me tell you, Rath Ji has very good aspiration of having a greater footprint. If that is our Guru's aspiration, should we have more footprint? Yes. Where will we open branches, we will not open branches on the basis of opportunity only. We will open branches in those places where we have somebody to send back.

And I've said this in the previous calls, I'm again saying, let's assume if I was not the joint CEO. I could have worked from Mysore because Mysore is where my parents live. So if there are

people who can go back to their towns and start units there because Feroze needs to understand

Anand Rath Wealth. Opening an office in Mysore, I can hire a few people from some banks, which operate there and start an office.

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We are reluctant to do that. So in our 401 RMs, whoever has their ageing parents living in a city or comes from that city. So I can't tell you which locations. Of course, Rajesh Bhutara sir last time also corrected me saying that these are the other two units you opened. Rajesh ji, have we opened any other units in this quarter.

Rajesh Bhutara : No, sir. This quarter, no, we have not.

Feroze Azeez: So that's the principle, sir. Vikas, that's the principle on which we open. As of now, there is an office potential in most of the Tier 2, Tier 3 cities in India, getting 40, 50, 70 HNIs who are thinking like you, who are more mathematical about their money is not very difficult. But you need to have somebody who can de novo think like Anand Rath Wealth of not selling multiple different innovative products, which are making my clients' money experimental.

Vikas Arora : Sir, do we look for a franchise partner or open on our own basis if we open a branch?

Feroze Azeez: Always own, sir. Managing culture on a franchise basis is, again, something which we very passionately feel about. No, it will always -- at least at this point in time, as a professional, I can say I don't see a franchise model for years, if not decades.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of the question-and-answer session. I would now like to hand the conference over to Mr. Feroze for closing comments. Mr. Feroze, please go ahead.

Feroze Azeez: Sorry, I was on mute unintentionally. Thank you, Rajenji. I'm very grateful to

each one of you to

join us consistently for the 18 quarters. And I'm very, very grateful for the suggestions and the questions which have some learnings for us in the process, extremely grateful to spend a Friday afternoon with us. Vishal Sanghavi is our Investor Relationship Head; and Rajesh Bhutara is our

CFO. He is Rajesh Bhutara, again, whenever I mention Rajesh Bhutara, I like to highlight that he has finished 24 - 25 years in the group, and that's what the kind of understanding he has. So please write to them to get any questions answered. And thank you for all the wishes you gave for the good result. And please pray for us so that God is always with us and you. Thank you.

Moderator: Thank you. On behalf of Anand Rath Wealth Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2026

Ref No : 51/202 6-27

Date :15th July, 202 6

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238 Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q1 & FY27 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q 1 & FY27 earnings conference call dated 10th July, 202 6. The transcript is also available on the Company's website at <https://www.anandrathiwealth.in/financial.php> .
This is for your information and record.
Thanking You,

Yours faithfully,

For Anand Rathie Wealth Limited

Pravin Jogani
Company Secretary and Compliance Officer
M. No. A25413
Enclosed: as above

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Anand Rathie Wealth Limited
Q1FY27 Earnings Conference Call
July 10, 2026

MANAGEMENT :

- MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
- MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER

- MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
- MR. VISHAL SANGHAVI – HEAD - INVESTOR RELATIONSHIP

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Moderator : Ladies and gentlemen, good day and welcome to the Quarter 1 of Financial Year 2027 Earnings Call hosted by Anand Rathi Wealth Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Feroze

Azeez, Joint CEO of Anand Rathi Wealth Limited. Thank you and over to you, Mr. Azeez.

Feroze Azeez: Thank you so much, Michele ma'am. Good afternoon and thank you everyone for joining the earnings conference call for quarter ended 30

th June 2026. We have today with us the Group

CFO - Mr. Jugal Mantri, the CFO of ARWL - Mr. Rajesh Sir Bhutara, and our Head Investor Relations - Mr. Vishal Sanghavi.

As we have always shared with you, we remain committed to delivering consistent profit growth.

I am pleased to report that we have delivered another quarter of consistent performance, this is our 19th quarterly result. I would like to sincerely thank our clients, employees, and all our stakeholders for their continued trust and support. Despite the volatility which you all are aware of in the Q1 FY27, our uncomplicated business model and unwavering focus on client outcomes helped us deliver consistent, market-agnostic growth.

This once again demonstrates the strength and resilience and the scalability of our business. The mean Y-o-Y growth of our last 17 quarters, skipping the first two because there was a COVID base, profit has grown at a mean median of 31.7% Y-o-Y and a mean of, sorry, mean was 31.7% and median was 33.1%.

Seldom do listed companies measure the consistency of the earnings and the standard deviation of these 17 numbers, which are Y-o-Y PAT growths declared for the last 17 quarters, the

standard deviation was 4.8% reflecting the consistency of our performance mathematically rather than in English. Total AUM grew by 21% Y-o-Y to INR1,06,300 crores as on June 30th,

2026, supported by the net flows of INR2,743 crores for the quarter despite high volatility.

Equity capital markets reflect our clients' continued confidence in our business model. So, this

quarter, we had INR1,900 crores of net sales in equity mutual funds alone. In our flagship business, in the last 12 months, we have added 1,600 plus new client families on a net basis

bringing our total number to close to 14,000, to be precise 13,941. Client attrition rate in terms of AUM lost for Q1 FY27 was 0.09%.

We love to see this number second decimal, but yes, we would love to see it zero in fact, underscoring the strength of our client-centric uncomplicated approach. Zero regret RM attrition for the quarter is another highlight. Now I will hand over the conference to our Group CFO, Mr. Jugal Mantri to give you all the updates of the subsidiary companies and the consolidated financial performance of the company. Jugal sir, can I hand this over to you?

Jugal Mantri : Thanks Feroze bhai. Thanks Michele. Good afternoon everyone. Let me first talk about our other businesses in subsidiaries. Digital wealth business, which is B2B2C business, registered

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AUM growth of 23% year-on-year to INR2,526 crores and number of clients increased by 16 % to 7,320. OFA business, which is a SaaS platform, has 6,890 subscribers with platform assets of INR1.66 lakh crores for the quarter ended 30th June 2026. We have also started operations in UK and very soon you all will see this business flowing from there and start contributing.

Now let me give you all brief about Q1 FY27 consolidated financial performance. Excluding fair value gains on investments, ESOP expenses, and related tax effects, our co

nsolidated total

revenue for the Q1 FY27 stood at INR336 crores compared to INR284 crores for Q1 FY26, registering an 18% Y-o-Y growth. Profit after tax stood at INR116 crores showing a 24% Y-o-Y growth compared to INR94 crores in Q1 FY26. Profit after tax margin is higher at 34.4% for Q1 FY27 compared to 33% in Q1 FY26.

During the first quarter of FY27, we have achieved 24% of full year revenue guidance of

INR1,415 crores and 25% of its full year PAT guidance of INR460 crores. Given the strong business we have built and the opportunities ahead, we remain confident of achieving our

guidance. Reported numbers including fair value gains on investments, ESOP expenses, and the

related combined tax effect, total revenue for Q1 FY27 stood INR430 crores and PAT at INR163 crores. That's all on the financial numbers. Now we can start question and answer session. Over to you, Miss Michelle.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Shubhi Gupta from Trinetra Asset Managers. Please go ahead.

Shubhi Gupta : Good afternoon, sir. So, my first question is that we are expecting Platinum families to grow from 211 level to about 450 to 500 over two years. So, I wanted to ask what is the Quarter 1 update on that number and how much is the contribution from them? My second question is that clients from less than INR5 crore s bracket upgrades themselves to INR50 crore s bracket. So, I wanted to understand at what rate does that happen? Every year how much of the first bucket upgrades to the second bucket?

Feroze Azeez: Didn't get your second question, Shubhi, if you can repeat that for me.

Shubhi Gupta: Sir, yes, so basically clients from less than INR5 crores bracket upgrades themselves to INR50 crores bracket, which is our target market. So wanted to understand that at what rate does that happen? Like every year how much of that first bucket gets transferred to the or upgrades themselves to the second bucket?

Feroze Azeez: Correctly, so first question is what's the update on the Platinum clients . I think Platinum clients would be about 230 now approximately from 211. And since this is a segment which we have launched just about two and a half years back, when we actually launched this segment, we had about 40-45 clients only. So, if you ask me whether we will get to that 400- 500 number sooner than later, of course.

The second question automatically is the next question of the first question or the subset to the first question; how many people upgrade? INR5 to INR50 crore s is a large segment. So, we are

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now also trying to segment our clients into Gold and Platinum. These will be the only two segments we wish currently to have.

So, I think the upgrade rates would be something like a few a quarter, 10% -15%-20% a quarter, that would be my guess. Because we generally believe in not going to people -- quite a few wealth management outfits figure out who's got into money by a transaction, large real estate transactions or large private equity transactions . If people come into money a few hundred crores, most wealth management outfits reach there and try and get a share out of that.

We believe in growing our clients internally. So, I think there will be a hockey stick kind of a count increase, like in the last two years it went up from 45 -50 to 230. So, I wouldn't be surprised that you would see it in four digits in a few years.

Shubhi Gupta: Okay, sir. So just one more question. Sir, AUM per RM has been increasing. I think it was INR230 crores per RM and now it's been increasing. So is there a cap on that or how do we see that progress?

Feroze Azeez: See, there's no cap in terms of the amount of money. Of course, there are -- there are relationship managers who have spent about 15-18 years

with our company, most of them could be at INR500, INR800, INR1,000, INR1,500 crores also if somebody has created a business for about

a couple of decades. This business is about mass and time, not about speed. That's what we have been saying. So, rolling stone gathers no mass in this business. Anybody who changes companies in this business has -- if you look at data, anybody who changes more than three companies, the guy leaves the wealth management industry before he retires. So, coming back, is there a cap on the AUM? The answer is no. Should that number go up? The answer is yes. When we got listed, if I'm not wrong, that's when we had got to INR 100 crores per relationship manager.

Now we have had more relationship managers and we have more AUM per RM. And since this business, the key crux is what's your client attrition, what's your RM attrition . If your client attrition is 0.09%, it is but obvious that this number (AUM per RM) will keep going up. So quite a few companies, AUM per RM can come down, then you would automatically -- it'll -- if and it's a cause and effect. So, you will automatically work backwards to check what is the client attrition, you will see in a few percentage, 4%, 5%, 7%, 10% also in so many wealth management outfits. So, will this number grow? The answer is yes.

If this number -- will it plateau somewhere? I guess no. Because this is a self -fulfilling prophecy because if a client -- like for example, I am a relationship manager, in fact most of our leaders, we have about 86 team leaders and 19 unit heads, all of them are relationship managers, Rajesh sir also manages clients, I manage clients. I think I've -- Yes, a few thousand crores could be a easy number per RM. And we have achieved that in a few cases depending on how long a person has spent in the company.

Shubhi Gupta: Thank you so much, sir. This was very helpful. Thank you.

Moderator: Thank you. We will take the next question from the line of Jignesh, an individual investor. Please

Jignesh: Yes. So I had two questions. First is in such a bad market like we had in from April to June, how do we actively manage our asset allocation during such high volatile markets? Second is why -- I think you as a house are giving -- having a call that we will not invest in gold. But sir, wouldn't it be fair that many of the people have invested in multi -asset funds and may be sold out in the last quarter and entered small caps? So , I wanted to understand this, how is it actively managed?

Feroze Azeez: Great. Jignesh sir, we -- see, of course, asset allocation, if your overall risk is high in the portfolio, like we measure it in the form of Beta, of course, most of people on the call would know -- they are from financial services industry because we have lot of analysts. Beta is a risk measure, basically trying to risk evaluate the risk relative to a certain index. If my beta is very high, then I need to do active management.

Let's assume if a treasury is there. He's got some portion of his money with two Beta. Then he needs to go in and come out of the market. We operate highest beta portfolio is 0.6-0.65. That means you're taking lower risk than Nifty mathematically, not in perception. In mathematics, you're taking lower risk than Nifty, so you don't need too much dynamism. So that's point one. Point two, you're not buying the riskiest asset in equity.

I buy mutual funds currently because that's the most tax efficient platform and mathematically if someone were to without being too biased, if he tries to create a diversified portfolio, mutual fund becomes the best platform for a diversified portfolio. So I'm already have a vehicle which is the lowest risk. If I was recommending stocks, for example, those are high beta in the equity portion.

So low beta overall portfolio and conservative equity

allocation and structured products makes

my overall portfolio a low beta portfolio, hence active management on asset allocation becomes lower of the need. Then coming to gold, if we have this principle, very important principle and that's the foundation stone on which our cultural or our professional fabric is at least laid out is , we sell what we buy; rather than sell what sells.

So gold already is 28% of India's household savings. Out of the INR1,600 lakh crores approximately, 28%, which is USD4 trillion or INR400 lakh crores is already there in gold in the form of 30,000 tons. If already we have so much gold, if wealth management outfit also starts selling gold, then an equity mutual funds is 1.8% and I'm supposed to be selling equity mutual funds, if I start selling gold which is already 28% of Indian household savings, especially after the gold has gone up three times.

That's the reason why we don't recommend gold because India has enough of it and it has doubled after 20 -- well almost 15 years later gold has got this rally above 2,000 going to 5,600 and people are still recommending gold in January when the gold had touched 5,500. So that's why we don't recommend gold because India has enough of real estate and gold.

Jignesh: Right. So out of your total portfolio allocations in mutual fund, all are purely into equity as of now?

Feroze Azeez: No, not purely into equity. If I remember right, we have about INR55,000 crores in equity, INR4,500 crores in debt, and some structured products and some raw material which gets aligned

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to the model portfolio over periods of time. So it's a combination of all, but largely mutual funds and structured products. (Here, he talked about overall AUM mix)

Jignesh: Okay. Right. Thank you.

Moderator: Thank you. The next question is from the line of Rohan M from Equirus Securities. Please go ahead.

Rohan M: Yes. Good afternoon, sir. Thanks for the opportunity and congrats on good set of numbers. Sir, on -- wanted to understand on this other income on the INR110 crores that you have booked now, what is sitting in there?

Feroze Azeez: So INR110 crores of other income is basically mark-to-market gains of our holding. Jugal sir, you want to take that one?

Jugal Mantri: Yes, Feroze bhai. Out of INR110 crores, INR96 crores that is mark-to-market gain in the holding of Anand Rathi Global Finance Limited and rest is the normal other income which is interest income on the surplus which we carry.

Rohan M: Sure, sir. And just on this NBFC revaluation that we have done, so like what is the thought process behind that? Like how did we revalue it?

Jugal Mantri: No, no, we don't revalue. We get it revalued from the third party. So investment banker, he does the revaluation and this has to be revalued after -- in every six months. So this is obligatory on us to get the company revalued every six months and we should incorporate that revaluation,

either the increase or decrease in valuation whatever comes, we have to incorporate the same in our P&L account.

Rohan M: Sure, sir. Sure. And sir, what would be the primary and secondary issuances of MLDs this quarter?

Jugal Mantri: See, the primary issuances at the gross level in Quarter 1 was about 8% higher compared to last year. So it was INR1,875 crores compared to INR1,704 crores to the group companies and a INR312 crores of the primary issuances of the third parties. So total it was INR2,187 crores compared to INR1,704 crores in Q1FY25. And secondary, the number was INR968 crores in Q1 FY27 compared to INR755 crores in Q1 FY26.

Rohan M: Sure, sir. Thank you.

Moderator: Thank you. The next question is from the line of Vikas Agarwal, an individual investor. Please go ahead.

Vikas Agarwal: Yes. Thank you so much. I have a question for Feroze. I remember Feroze have once told that three o

f his RM had gone to competitors. So what is the retention of their asset? Like how do you retain their assets who switch to competitors?

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Feroze Azeez: Mr. Vikas, right? Mr. Vikas, thank you so much for your question. Yes, you remember right. I think in the last or the last to last earnings call or the December quarter ending, I had said that three of our colleagues went to a specific company.

So yes, so we basically believe that when a person goes to a newer platform or another company change, if the company is, Anand Rathi is, a very process-driven company, client retention becomes a very important objective and that has been achieved in the form of if I'm not wrong, generally 70% to 80% of the assets at least get retained.

This specific company was wanting to hire people at very obscene salaries because they'd raised some capital. So that's why I might have mentioned that three people went there and that data. Yes, I'll give you the precise numbers. I think it'll be in the range of 80% retention. Now when

you look at retention, we don't add mark-to-market. We take the precise net flow of those specific clients who were mapped to that person on the date of resignation.

Vikas Agarwal: How do you plan to derisk your structured product business?

Feroze Azeez: Derisk structured product business. So basically, when you look at our recommendation to our clients, it's mutual funds and structured products. There are 20 different product lines that are possible. We believe opportunity is overrated, focus is underrated. This is what Rakesh sir has taught us, who is our CEO. Don't have to give everything to the client.

So structured product itself is a market risk reduction mechanism for us. In that structured product, we sell Anand Rathi Global Finance structured products and third-party products. The proportion of Anand Rathi is greater and third party is lower because we believe that lending money to somebody else, you have to be very, very careful of a credit risk not fructified.

So Anand Rathi Global Finance is a group company, and that's why our comfort remains there.

What you might see as a risk of concentration, for me it is a derisking in itself because we have already seen 2 structured product popular issuers in India almost went belly up and one of them actually went belly up.

So having -- of course, when they went belly up, there were a lot of mutual funds, conventional bonds which was there in the mutual funds portfolios of that specific AAA-rated so-called company. So coming back, structured product helps you derisk the market and brings down the beta of one's portfolio. That's one.

Second, when you're speaking about concentration risk, concentration risk on ARGFL is because we believe that lending to certain corporates, you have to be very, very careful because there is risk construct. So what you see as risk is my derisk.

So the day when these 3 gentlemen designed incidentally, all these 3 were men. So INR 758 crores is what they had. Net flow was INR 73 crores, correct? INR 2 crores in July. So now we have INR685 crores of the INR 758 crores with us currently, INR 658.5 crores, this is as of June end.

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So one person could take away a little more. The other could take away a little less. So basically, 90% of it is retained approximately without the market movement, of course. Does that answer, Vikas sir, as precisely I could get.

Vikas Agarwal: Yes. This was a pretty good explanation for sure.

Moderator: The next question is from the line of Anita Singhania, an individual investor.

Anita Singhania: I would like to ask 2 questions. My first question...

Moderator: Sorry to interrupt you. There is a follow-up on the line. Can you mute all the other lines which

are connected from the same room?

Anita S

inghania: Yes. Is it better now?

Moderator: Yes. Please go ahead.

Anita Singhania: Yes. So I have 2 questions. My first question is, as you already applied for mutual fund license, is there any plan to expand in other capital market businesses such as investment banking or others? And my second question is, can you explain your plan and views on the Liberalised Remittance Scheme?

Feroze Azeez: Okay. So yes, we have just got a Board consent approval to apply for an AMC license. We believe that arming ourselves is very critical because we have some aspirations, long-term aspirations for this business. So arming ourselves with all the ability is something which we see as our duty towards our shareholders. So yes, that's our Board consent to go and apply for the AMC license, one.

Second, will we get into investment banking? Of course, Anand Rathi Group already has an investment banking wing. I guess you're asking me this question because quite a few wealth management outfits try to get their assets from investment banking transactions like I just alluded to in the previous answer.

Sometimes people go after, they have received INR500 crores approach them with an option that is affordable, attractive, and durable, and you'll land the client. Those are, we believe that, that is capital management, not wealth management. By design, wealth management is intergenerational in our belief.

So we are trying to get that portion of the assets like INR 1,06,300 crores has been filtered to see a large portion of that intergenerational wealth. So investment banking for the world has a very large synergy with wealth management, but we believe that getting intergenerational wealth doesn't come from investment banking transactions.

That's why like, for example, I must tell you, Ms. Singhania, that one of my friend works with a real estate firm, and he says that the promoter has got a few hundred crores or a little over INR1,000 crores for next 5, 6 years, he can invest. I'd say, Anand Rathi Wealth Limited is not interested in 5, 6 year money.

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So that's why no investment banking. And of course, quite a few people have had a strategy to build it there. There's nothing wrong with it or right with our strategy. But yes, we want to not focus on capital management, but in business management. Wealth management business is more longer term and intergenerational. Wealth is what interests or appeals to us. So only AMC, no collateral other businesses like investment banking.

LRS, yes. Again LRS, again let me again say what I just said, focus is underrated and opportunity is overrated. Everybody tells me there's so much opportunity of the LRS money. Clients also need it, maybe clients need it. But if 182 product people are trying to understand India, and we are still somewhere -- we are scratching the surface.

If I have to give global recommendation across so many markets, I will at least have to have 200 product people sitting somewhere in Singapore or Dubai. Making tie-ups is very easy. A wealth management like ourselves can go to another private bank and tie up and refer our clients, but we have been told by our bosses, Mr. Rathi and Rakesh, sir, that only speak in places where you understand second decimal.

Otherwise, miss the opportunity, you are better off doing that. You can't be everything to everyone for all portions of their money. So LRS is something which is currently far-fetched.

Of course, it's a huge opportunity, but we are okay to miss it.

Moderator: The next question is from the line of Lalit Mohan Deo from Equirus Securities.

Lalit Mohan Deo: Just 2 questions. Firstly on the mutual funds business, we have been hearing that a lot of larger AMCs have said that due to the change in the TER expense ratio, they have been -- whatever impact they have been passing on to the distributors. So a

re we experiencing any pressure on our yield in the mutual fund business?

And then secondly, with respect to the RBI circular on the bank guarantee capital market entity due to which there is an expectation that volumes from the exchanges might go down. So does it impact -- does it have any kind of an effect on the derivative business, which is done by the NBFC?

Feroze Azeez: Got it. So your voice was muffled. I tried -- attempted to hear you. Correct me if I'm not understood your question correctly. First one is AMC's our belief to transmit all the TER pressures to distributors. Is that your first question, sir?

Lalit Mohan Deo: Yes.

Feroze Azeez: So I think some degree of to and from happens. But since we are now a seriously large

distributor, it becomes difficult for them to also transmit all of it. Whatever is rightfully ours, 1, 2 bps, I think I would have told you last time also, those get passed on. But in this -- now that you brought me to the subject, I would like to highlight in FY19-20, was it FY19-20, about 6, 7 years back, we -- out of the total net sale in India, Anand Rath Wealth Limited was 0.18%. Now for this quarter, is it, Vishal?

Vishal Sanghavi: No, for FY26.

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Feroze Azeez: For FY 26, you will be happy to note if you're already a shareholder, that the 0.18% market share on net flow has gone up to 2.47% (actual is 2.3%) as highlighted in the presentation. So since we are a large distributor, we also have some bargaining is the point I'm making, and we might be the only wealth management, one of the few wealth management outfits, which participate are long positions of our clients only using our mutual fund.

We don't recommend stocks, we don't recommend PMS, we don't recommend long -only AIF currently. If my clients need it someday, I might. So, my other wealth management distributions will generally be having mutual fund as one of the products. So, it gives me that little extra, but 1, 2, 3 bps of transmission might happen here or there, like I told last time also.

And Trump decides my yield better more because mark -to-market comes because of that, sometimes it -- so 2, 3 bps is very little on a base of 1.09%, if I remember right, post GST, which is what I earn. Does it answer, sir, the first question?

Lalit Mohan Deo: Yes, sir.

Feroze Azeez: And with my bad memory, I've forgotten the second one. If you could just prompt me again.

Lalit Mohan Deo: Yes, so it's on the circular of the bank guarantees which RBI...

Feroze Azeez: So, the RBI circular, I see that as a great circular because in India, because of GST and other things, quite a few times, there is market inefficiency coming in. So, a learner high -frequency trader or a derivative trader can -- in fact, in India, you can see some -- on naked eye, you can see arbitrage.

Arbitrage is supposed to be identified by second decimal computer. Sometimes when I see the terminal, I can see some arbitrage. So, I am very glad that some degree of volume of all these high-frequency traders will definitely get curtailed. And that makes transfer of wealth becomes a little more difficult.

For example, let me give you this example -- sorry, on our earnings call, I'm giving you this example. Nifty can be rolled over in a spread window. The underlying constituents, there is no spread window for rolling it over. This is like a huge arbitrage. I'm sure whoever needed to understand would have understood in terms of what technical I'm speaking about. If somebody wants to roll over their short or long position on Nifty, there is a spread window. But stocks, which are the underlying 50 stocks of Nifty don't have a spread window.

So higher the restriction on high- frequency traders or learner people who actually operate their computers, supercomputers on Black -Scholes pricing model, it has become really easy. So, RBI

brings down the frothy volumes, which were the largest cause of wealth transfer between Indian retail and somebody who's second decimal understands order -- second -order Greeks off derivative. So I'm very happy about that.

Second, what will be the impact on us? Negligible or nil. In fact, positive impact because if you see the last Tuesday, so many Tuesdays, you see these 1 -minute candles with 100 point movement, that is largely because of high -frequency traders. So market volatility will become a

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little more soother on Tuesdays and Thursdays is my assumption. So it's better, and I'm very happy for the country and its regulation.

Moderator: The next question is from the line of Akhil from SKVM Company.

CS Sachin: My name is CS Sachin, not Akhil. What typing error, I don't know. I'm your customer, also client since last 10 years, and I'm a practicing chartered accountant and Independent Director in a few of the companies. And first of all, congratulations to you all, sir, on such wonderful results.

I would like to know only one small thing. At this pace when you are reaching to a mutual fund industry regarding your stake in AUM which has now moved from 4% to 5%, what is your long-term aspiration?

Feroze Azeez: Sachin sir, thank you for your question and thank you to be our client for 10 years. I'm extremely grateful because entrusting hard earned money is one of the best things you could do for us.

CS Sachin: Also a shareholder in your company, client plus shareholder, both.

Feroze Azeez: Thank you, sir. Of course, there are shareholders too; we are very grateful to you for placing your trust in us. And now coming to your question, sir. Regarding the long-term target we had

announced for the mutual fund industry, we were looking at about a 4% market share on the overall Category II when AMFI declares its assets, it does so across various categories growth and equity-oriented scheme is called Category II is around INR30 lakh crores.

Our market share today is only around 1.5% to 1.75%. Our desire is to take it to 4%. To take it to 4%, we projected what the Category II of the mutual fund industry would be after 10 years. It could reach INR1.5 lakh crores if I grow today's assets at 10% and grow net sales at 10% as well. If these two assumptions are right, Category 2 of mutual funds could be at INR1.5 lakh crores. So, according to its 4%, Anand Rathi Wealth will reach INR6 lakh crores, then that desire will be fulfilled. So when we indicated 4%, we had calculated these figures. We still hold to this 4%. To reach this 4%, I will have to grow my assets at 22% to 23%. Some of it will come from returns, some from net sales. You will see that we have brought INR1,900 crores in equity mutual fund Category II even in a quarter like June. So we are firm on the 4% indication we gave, and the effort is full, and if God's grace remains, it will happen in 8-10 years.

CS Sachin: I would like to ask one more question. As you just mentioned that you will also take an AMC license and start your own mutual fund over a period of time?

Feroze Azeez: Yes sir, for now the Board has approved applying for the license. Now we will take the license.

See, if we have any dreams, if a shareholder like you is sitting with our shares, if you are holding them for the long term, then it is our duty to prepare by fully confirming the tools that will be needed to traverse the capabilities and the difficulties that will come to our company.

So that's why we are preparing our armory in that direction. That's why the UK subsidiary's business has also started, point one, in the last quarter. We are also taking a GIFT City license.

Vishal ji will tell you – Vishal Both stage have we reached?

Vishal Sanghavi: Second stage in process.

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Feroze Aze

ez: The first stage is done, second stage -- these became our two companies. And this AMC license, the board also believed that it is necessary to do this. And it is very important to keep this armory of ours ready. Ups and downs come in this business, many things also change, so to prepare for it fully, by God's grace, whatever difficulties have come so far, whatever wolves were knocking on our doors, we did our best as a professional duty. We want to make sure that we look at all 0.5% risk, 1% risk and mitigate those as professional.

Moderator: Thank you for answering those questions. The participant left the queue. We'll move on to the next question from the line of Priyank S from Trinetra Asset Managers.

Priyank S.: While our legacy business has been growing steadfastly in a calibrated manner, I just wanted to understand, is there any sort of AUM figure that you all are aspiring to be in the next 5, 6 years, which will be divided between structured and the mutual fund business, A?

B, I also wanted to ask that this has now become the norm that all large-scale distributors are going towards setting up their own mutual fund business and we understand that this is -- ideally you get more control and the yields also see an uptick. So is that with our line of thinking? And third is the UK business, there's a huge NRI market there. Will yields be higher compared to India? And how do you see that?

Feroze Azeez: That's a lot of questions, Priyank, sir. First is, yes, quite a few distributors might have done something like backward integration, like you see the first slide in my presentation of the company. Those are our learnings, which we have learned the hard way. So we have published it for anybody who gets lured with the wealth management business.

Like I had said, wealth management is optically very, very easy business from outside on Excel sheet, and it is as difficult as it could get internally. That's my judgment having spent a couple of decades in this industry.

So in that, you would see point number three, wealth management is a business of backward integration, not forward integration or simultaneous integration. So that's why -- now that we have 18, 20 years of full-fledged distribution, having a backward integration made sense for us.

That's why we are doing it, not because somebody else is doing. There are some wealth management outfits, which raised capital and start all businesses at once. All the best, but we think that it has to be backward integrated. That's where it comes from.

So it's not from the herd mentality or a trend which might be there. We really have some reasons, but we don't want that to be completely disclosed today. We have stronger reasons. We have a

clear thought process. We have a lot of testing done in terms of doing that. But like you would have seen, we have never attached any value to our subsidiaries of digital wealth, whereas in 2021, people could have sold anything on the basis of technology.

So similarly, we would want to underplay it currently, but it is not stemming from who else did it. It's stemming from our own individual thought process. And it is consistent with what is written in point number 3 of the first Slide. And then sir, asked me what else the question.

Priyank, sorry, when I'm answering one, I forget the next one.
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Priyank S: So just wanted to understand any sort of specific AUM figure that you are aspiring to be 4 years from now or 5 years from now, that would give us some sort of visibility?

Feroze Azeez: Yes. So, we have done projections for long periods of time. But how you should look at it, if you want to model, once I think 4, 5 quarters back, somebody had asked me, how we look at it internally. So basically, how we look at it is, whatever assets we currently manage, INR 1,06,000 crores markets can't be subdued forever. Last

2 years, Nifty went on a negative -- slipped into a

2-year negative return on 9th June of this year. Nifty can't be negative eternally, okay?

If you look at the past of -- just before I come to my specific AUM, I'm just giving you some color, which I've done a study, it that was interesting for anybody who has some money in the Indian capital markets. Any time Nifty delivered 2 years negative return over the last 26 years, there are 50 observations out of 291 with monthly shifts which gave a negative return for 2 years, the subsequent 3 years, all those 50 observations were positive, and the worst return was 4.1%, best return was 56.8%, mean return was 21.6% and median return was 20.2%.

So having said which, if history has any merit, the probability that Nifty will deliver more than its historical median return of 11% is very high for the subsequent 3 years. With our selection methodology, we have a lot of signs for whatever it's worth. We have beaten Nifty by 4%

compounded after what we earned. So, coming back, so if you project our AUMs on the basis of 10% to 12% M TM with some degree of conservatism, and if you add INR 1,100 crores, INR1,200 crores of net sales, which we intend to do per month for the next 3 years, and then you can grow the net sales also at the rate of 10%, 12%, you will be able to arrive at the exact AUM, which we target.

So basically a 20%, 25% AUM growth, 10%, 12% coming from mark-to-market and 10%, 12% coming from 1% per month of net sale coming from -- if my AUM is INR 1,06,000 crores, internally, we discussed that we need to take a single on every ball. INR1,060 crores will be my implied net sale target for that month. That's how we look at it. God will provide 12.0% -- which will be realized thanks to our research team -- and I will take 1% every month. So, I will be at 20%, 25% AUM growth. At 26% growth, AUM becomes 10x in 10 years, just for ease of mathematics I'm just saying. Does it answer, sir?

Priyank S: Perfect. And just a short answer on the UK business. Is that exciting? Are the yields better than the Indian business? How do you look at it?

Feroze Azeez: Generally, yes, it is exciting, but I've realized that, when we look at mathematics of a certain business, we'd like to be excited after some numbers trickle because, yes, we are happy, that we now have a UK subsidiary. Will we try and scale it up very soon, we'll hire a lot of people?

That's not our style. We like to build it brick-by-brick. So, if somebody is not a shareholder for 10 years, 5 years, 7 years, we should not even worry about the subsidiary, as honest as I could be.

Priyank S: Sure sir. Thank you.

Moderator: The next question is from the line of Vivek Patil from Elementus. Please go ahead.

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Vivek Patil: Sorry sir, this is Vivek Patil here. My phone has issues, so I'm just calling from my wife's phone.

So, we are basically in the ARWL family now, and thank you for allowing us to be a part of your family. So once again, Feroze, sir and ARWL team, congratulations on the stupendous success. In fact, it's what -- as you are saying that 31% year-over-year over the last 17 quarters, except that COVID part. And at the same time, maintaining this or increasing this AUM to INR1,06,000 crores. So, with this, actually, what -- this is translating to something like 20%, 25% annual growth or whatever, if you consider all these other -- allow for certain relaxations here and there.

So, with this increased AUM, how do you see that in the coming years, in the coming 3, 4 years, if you are able to maintain this particular growth, the AUM and the growth as well as this increase? Of course, most of it is coming out of your increase in the performance. But -- and then it will come as increasing the AUM through new acquisitions, etc. etc. etc. But with this, how do you see this growth being maintained

and kept intact over the next 3 to 4 years?

Feroze Azeez: Three to four years, I think the growth has to be a reasonable high probability retention, because what happens is, like we said, we're passionate about how we manage as against how much we manage. If you look at the mark-to-market gain, which is easy for one to calculate backwardly,

backward calculation, after we have listed, our clients have made INR28,000 crores, INR 30,000 crores of profit itself. If you look at, let's say, my AUM minus net sales will be mark -to-market. My clients have made in a bad time.

Of course, any client who has joined us in the last 2 years has not made the expected return because Nifty has delivered 3%, 2% , depending on which particular period did he come in 2024. So, what I'm trying to get to is , this business inherently is an easy business , if you don't have client attrition. If you do justice to one's money, the clients are going nowhere. That's one. So -- and you should be very passionate about -- client expectation should be lower than what you can deliver.

So, coming back, can you grow this business for 3, 4, 5 years at 20%, 25%? In our judgment, yes, that's the order I have from my boss, Mr. Rawal . And I will -- as a professional group, I'm speaking on behalf of all the 400- odd relationship managers and account managers that we 'll do our best. Now coming to where does this come from? There are 4 mutually exclusive cylinders to fire. One is implied growth or an embedded growth of returns of clients, okay? When I look at my client portfolios who are long-term clients, 15%, 16% has happened, even on the model portfolio level, even at delivery. That's the embedded growth in our business.

Then new clients of existing relationship managers. Today, the number of relationship clients per RM is 33. That means we already have plant and machinery to acquire to have 17 more clients into 400 -odd, which is close to 6,500 new client families can be handled by the same

colleague set of us. That's called new client acquisition of existing capacity being utilized, capacity utilization.

Third cylinder is new relationship managers. We have 490 people trained, it's easiest said, but thinking about it 8 years back, hiring a youngster, giving him patients, teaching him and then promoting him is one of the toughest tasks one would accomplish in reality. So that is already

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people -- the next 100 set of RMs are being prepared are 60% ripe . Like there is a mango, right? You keep it under the bed; those mangoes are ripening for us. So, they will be promoted, right? Then there will be more plant and machinery for acquiring more clients.

Then the last one is existing clients. This INR 1,06,000 crores comes from 13,941 families. And we don't tell our clients to start big. If anyone has dealt with us, we don't tell them, "Sir, you have INR10 crores, why don't you start with INR5 crores?" Most private bankers will tell you that -- put a gun on your head and say start with INR 4 crores, start with INR 5 crores. Till some time back, we were also ready to start with INR 50 lakhs for a person who has INR 10 crores. Because if I don't do lip service, he will give me the money if I deserve it. That was the secured place which Rakesh sir has suggested us to be .

So, this INR1,06,000 crores of 13,000 families, which we are in the process of measuring it accurately, you will at least have twice more that outside. So that is called penetration. So, capacity utilization, penetration, new RMs and embedded growth. These 4 put together, 20% to 25%, it will take a lot of effort. Last quarter wasn't easy from a sentiment standpoint . Adversities will come , but we will do our best. So, odds, if you ask me to put an odd, I would do 90%, 95%. Some odds have to be given to gods actually.

Vivek Patil: Thank you and good luck.

Feroze Azeez: Thank

you sir so much to be part of our family. I don't know as a client or a shareholder, but thanks you are a family. Thank you.

Moderator: We'll take the next question from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: Thanks, everybody. Thanks, Feroze, for this opportunity one more time. Feroze, just want to sound off -- I hope I'm audible.

Feroze Azeez: Yes, Sunil bhai.

Sunil Shah: Feroze, just now that we have a successful track record of like more than decades plus, how about taking this entire structured product thing to the global markets? We have some kind of a formula -based trading that we do in the structured products on our Nifty, etc . etc. Why not try this for various global indices?

Now clearly, there has to be some other party thing. Like here, we have our sister concern, who is giving us the other party side of the transaction as well. What about targeting those global banks on this, the Citibank, the HSBC, the JPMorgan and over time, maybe not in like one quarter, two quarter, but directionally, try to replicate our entire model in the global market so that then the world of growth opens up for us. Just a thought.

And then we can do it through the wealth platform that we have. We can have the AIF thing if you want to take some higher fees. And now we are also getting the Board approval for the mutual fund. So even in the mutual fund industry, as a differentiated product over a period of time where even if in the AMC business we are a late entrant, but the differentiation can really

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be a huge winner with time. So just wanted to sound this, Feroze and wanted to hear your thoughts on what I'm talking, if at all, you can just discuss this out with me, please.

Feroze Azeez: Sure, Sunil. Your suggestions have always been thought provoking. One person who has consistently given us guidance on this earnings call. If not all the 19, you might have guided us in 10 of those. And I'm very grateful. So as soon as I hear your good name, I become a little more attentive. I'm very grateful for that. Now coming to my reaction on as a company, can we look at structured products on other indices or in other denominations on Nifty as the index, definitely can be explored, especially when you have an NRI platform now in the form of a UK subsidiary.

And we have a product which is in UK for tax efficiency for UK participants in India. We have made a fund of fund there, 11 schemes, which are listed there, which is very tax efficient. So those clients need wealth structured products. Globally, structured products are very, very popular. I am told that in Singapore 50% of one HNI portfolio is structured products because you are able to create a risk return profile using a Black -Scholes pricing model precisely to the need of it.

So, coming back, should we explore that? Yes, sir, we will definitely explore that. Has Mr. Kalpesh Koradia, who is the Head of Designing of Structured Products for 14 years, I'll ask him to come and see you, and tell you that how he has taken some pricing on other indices because structured products have debt and derivative.

Higher the volatility, better it is for the structured products pricing. So global volatility today is 6%, S&P 500 volatility for last calendar year is 6% greater than Nifty in spite of having 10x more the number of stocks. People don't probably put the closing prices of Nifty and S&P on the same excel sheet. If you look at the standard deviation thrown up by Nifty, it's 6% lesser than that of S&P. If I'm not wrong, it was 13% and 19%. So, what I'm trying to say is with that kind of volatility on S&P 500, it's like a lottery for a person who is long gamma to hedge that. And interest rates earlier in the global market were very low. So, the products you design that would be more call buying than put selling because

the forward rates have also gone up there. So, you're absolutely right.

Volatility has gone up and interest rates are a good raw material for a good structured product pricing.

Has Kalpesh done a full -fledged job? The answer is no. A couple of times; he has shown me some pricing because we had a Dubai office. But yes, I will make sure that Kalpesh does some designing and deliberates internally, and also shows you if you have any interest on that, and then you might be able to give us some specific records also.

Sunil Shah: Yes. Sure, Feroze. So that's the whole idea that we have done this for a long period of time. As a company, we have grown. We have built a team. The third element of sustainable growth is that innovation part. And if we are able to do that, I think we still have a long, long way to go on the growth front. So just wanted to share and good to hear you, and I'll take this with Kalpesh

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offline as well to understand the things that are going on. Thanks, everybody in the Anand Rathi family for this call and having me on this session. Thank you.

Feroze Azeez: Thank you sir. May your words come true.

Moderator: The next question is from the line of Arun Gopal, an Individual Investor. Please go ahead.

Arun Gopal: Good afternoon, thank you very much and congratulations on the entire team who could make up a growth of 23.5% year -on-year basis on this quarter, where it was -- everybody was struggling to just even meet -- just being neutral level on growth. So, congratulations to your team. That's where Anand Rathi stands apart, making growth uncomplicated. That's absolutely what you all stand for.

I'm an investor and a shareholder of Anand Rathi right from the IPO and an investor for the last 8 years. I really appreciate your hard work and your vision and the mission of your organization, which has really returned a lot of good wealth to all your stakeholders and shareholders. Thank you.

Feroze Azeez: Thank you, Arun sir. If I recognize you from your voice, Arun is a common name. Arun sir from Bangalore, right?

Arun Gopal: Chennai.

Feroze Azeez: Chennai. Okay. Great.

Arun Gopal: I was in Abu Dhabi and I moved on to Chennai for my mother.

Feroze Azeez: Okay, got it. Thank you to be our shareholder and client for so long. One thing I should note that you gave us a positive -- such a positive comment almost at the end of the call. I must say that clients have been very, very patient during bad times, and they have also looked at supporting us by giving us fresh monies. We believe that when you get money at lows, which is

very difficult, the sales cycles are larger, it takes difficult -- it's very difficult emotionally for Feroze to cut a check when the market is down and out.

So, Rakesh, sir has designed our minds to be long-term thinking is why I'm able to take courage, and I'm able to, as a company, transmit courage, but clients have given us more money, one. And second, thanks to the mutual fund selection process, out of the 924 schemes choosing those 14, mathematically using all the signs possible over the last 12, 13 years of evolution, we have our mutual fund head whom I have worked for 18 years, Shweta Raj ani. Sorry, I'm always the person who is the front of it.

So, there are some heroes, unsung heroines who are there at the back. So, I'm not missing the opportunity to recognize Shweta Rajani, who has been doing mutual funds in my Macquarie in Religare, I know her. From 2008 -09, she's only looked at mutual funds, one of the biggest names in the mutual fund industry. She has chosen the schemes. And you'll be happy to note from 1st April to 30th -- 1st April to 30th June, our model portfolio has beaten Nifty by about 6%, if I'm not wrong.

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All the 14 schemes have beaten Nifty. It seldom hap

pens, so I'm highlighting. Always there will

be 2, 3 laggards, which will become better in the next quarter and so on and so forth. But thanks to clients and Shweta, our client outcomes have been very beautiful last quarter. Nifty has done about 7%. End-to-end 7% Nifty gave; mutual fund portfolio of 14 scheme has given 7% after our cost more. So, thanks to Shweta and clients. Thank you, Arun, sir, for such a positive comment, made my weekend.

Arun Gopal: Thank you.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand the conference back to Mr. Feroze Azeez for closing comments. Thank you, and over to you, sir.

Feroze Azeez: So, I am very, very grateful for everyone's time. I know it's a Friday. And you have consistently supported us as a client, as a shareholder, as a person at the capital market. We -- as always, I would want to reassure that we stand by our indications, and we will do our professional best to serve our clients first and then our shareholders. I look forward to the continued support which each of you have given us in the past 4.5 years and before.

Moderator: Thank you, sir. Thank you, members of the management. Thank you so much.

Feroze Azeez: Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Anand Rathi Wealth Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.